

BLS Internat. (BLS)

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Call: Aug 2022

August 13, 2022

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra K urla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on August 08 , 2022 .

In continuation to our intimation dated August 03, 2022, please find enclosed a transcript of the Earnings Call held on August 08, 2022 to discuss the operational and financial performance for Q1 financial year 2022 -23. The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

Encl: as above

Page 1 of 12

BLS International Services Limited Q1 FY23 Earnings
Conference Call ”

August 08, 2022

MANAGEMENT : MR. SHIKHAR AGGARWAL – JOINT MANAGING DIRECTOR ,

MR. NIKHIL GUPTA –MANAGING DIRECTOR ,

MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER ,

BLS International Services Limited
August 08, 2022

Page 2 of 12

Moderator : Ladies and Gentlemen , Good day and welcome to the BLS International Services Limited Q1 FY23 Earnings Conference Call . This conference call may contain forward looking statements about the company which are based on the belief, opinion s and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal – Joint Managing Director. Thank you and over to you , Sir.

Shikhar Aggarwal : Good afternoon everyone. I welcome you all to our Earnings Conference Call for Q1 FY23. I have on call with me today Mr. Nikhil Gupta – our Managing Director and Mr. Amit Sudhakar – Chief Financial Officer of the company. To start with I am happy to say that we have started with new fiscal year on a strong note. Our performance for Quarter 1 has been better than expected surpassing the previous quarter which was already above pre-COVID levels. With travel and tourism recovering rapidly across various regions we are witnessing robust month - on-month growth in business especially in our visa and consular services.

China and Russia comprised approximately 30% of visa and consular business till before COVID. Business in those countries has not recovered fully yet. Despite this , businesses from rest of the regions have already surpassed the combined business including China and Russia during the pre-COVID times. So, as travel resume in full swing in these two countries it should boost our revenues significantly going forward. In our visa and consular business growth would come from multiple fronts , new clients, new geographies , and enhanced services to existing clients. We will also focus on added value services which will help us utilize our existing network and infrastructure thus enhancing efficiency and margins.

This quarter has been particularly eventful for our business correspondence line of business . In line with our strategy to expand inorganically , on 7th June , we acquired an 88.71% stake in Zero Mass Private Limited , a business correspondent for SBI in India. The acquisition has further strengthened our BC business and will reduce our dependence on our existing lines of businesses. This move makes us the biggest BC for SBI across India.

The acquisition was made at an enterprise value of 135 crores of which 15 crore was debt and 120 crore was the net equity valuation. The debt has already been repaid. ZML's contribution to the total top line was approximately Rs. 10 crore during 8th to 30th June alone. Quarter 2 onwards we expect a revenue of 35 crores to 40 crores per quarter from this. The acquisition is also expected to improve our ROCE going forward.

BLS International Services Limited
August 08, 2022

Page 3 of 12

On the other front citizen services continue to grow with several new contracts that we won during the quarter like the contracts of the West Bengal government and the Karnataka government. I would conclude by saying that all our businesses are generating profit. We strongly believe that digitalization is a key in the post COVID world and therefore we will always try to use cutting edge technology in all our services. This is all from my side I now hand

over to Mr. Amit Sudhakar for update on the financial performance . Thank you.

Amit Sudhakar : Good afternoon everyone. Let me brief you on the financial performance for the first quarter

ended 30th June 2022. During the quarter we reported a revenue of Rs. 272.7 crores a healthy increase of 52.7% YoY and 7.4% QoQ mainly driven by continued recovery in visa and consular business as well as citizen service businesses. Revenue was also supported by a contribution of about Rs. 10 crores from ZMPL during the quarter. We are seeing a good momentum in all our businesses and are optimistic of sustained growth in the coming quarters. Zero Mass Private Limited is one of the largest business correspondent of SBI in India with about 11,500 active CSPs. It has more than 15% of all SBI business correspondence business. This move gives our BC business a Pan India presence across all states and union territories . ZMPL also accounts for about 5% to 6% of all the bank accounts, deposit base and aggregated value of transactions of BC systems in India. EBITDA for the quarter stood at 31.5 crores compared to 18.8 crores in the corresponding quarter last year and 35 crore in Q4 FY22. EBITDA margin for the quarter stood at 11.4% which was about 100 basis point higher compared to corresponding quarter of last year. EBITDA margin for the quarter was impacted due to certain one-time expenses incurred mainly on account of around 2.5 crore in relation to acquisition cost and there was an increase in the employee cost due to increments and new hiring for the new upcoming projects.

Profit before tax stood at 32.4 crores in Q1 FY23 as compared to 20.8 crores in previous corresponding quarters and 37.3 crore in Q4 FY22. Our interest income reduced since we utilized some of our cash reserves for the acquisition of ZMPL during the quarter. PBT margin in Q1 FY23 stood at 11.9% compared to 11.6% in Q1 FY22.

Going forward as mentioned earlier ZMPL will help us in our strategy to expand our BC business vertical . Acquisition is EBITDA and EPS accretive from day 1 and is expected to improve the ROC E going forward this is all from my side. We now open the call for Q&A. Thank you.

Moderator : Thank you very much. We will now begin with the question and answer session. We take the first question from the line of Aniket Redkar he is an Individual Investor. Please go ahead.

Aniket Redkar : Good afternoon sir, I have couple of questions sir can you throw some light on our businesses like visa, e-governance and the banking related business we have, so what kind of growth we have seen from last two quarters and what would be our strategy for the couple of quarters?

BLS International Services Limited

August 08, 2022

Page 4 of 12

Shikhar Aggarwal : correct, If you see BLS we have three lines of businesses. One is visa and consular business which constitutes more than 80% to 85% of our revenue. The banking correspondent and the e-governance only constitutes 15% to 20% of our revenue. Going forward we are seeing encouraging growth in all the sectors of the company. So, we are aggressively looking at growth in all three sectors. So, revenue mix on a long-term basis should remain the same.

Aniket Redkar : And sir any development in our e-governance services?

Shikhar Aggarwal : As you know we have recently won two new contracts in India. One is from the West Bengal government where we will be doing 9 registration projects and another is the Karnataka project wherein we will be opening 4,000 offices those are the two contracts that we have won.

Aniket Redkar : Sir as we all know there is a pandemic which was hampering our business, so which were the regions most impacted due to the pandemic?

Shikhar Aggarwal : As you know even during pandemic when the visa business was almost zero we had still made a profit of more than 50 crores and with more than 450 crores of revenue, you know, situation can only get better from there and has been getting better. Last year we did more than 800 crores of revenue and 111 crores of bottom line and this quarter also only 60% to 70% of our appli-

cation

counted back from 2019 levels, certain geographies within China and Russia are still semi closed and still operating at not negligible volume of 2019 levels not more than 10% to 15%. So, as things open up more in those geographies we will see a jump in our revenue and bottom line from our existing contracts.

Aniket Redkar : As we can say in our all businesses we are recovering right now so which are the growth parameters we have seen in our such segments?

Shikhar Aggarwal : See we have been seeing aggressive growth in our visa and consular business you know revenue per application has increased from 2019 level with a psyche of customers has changed in terms of demand of services that they want right now and we also got certain increases in our service charges and prices of value-added services. So, I think that is why we are seeing aggressive growth in our visa and consular business and on top of that even if you see we have recently acquired this company Zero Mass which has led to a good growth in our banking correspondence business. Going forward there will be synergies will get kicked in with our existing BC business. So, we will see a further growth in gross profit margin and reduction in expenses in that business.

Even in the e-governance business as soon as we set up those opportunities we will see a growth in that business as well.

Aniket Redkar : As we said Zero Mass Private company so sir can you throw some light on this acquisition part of this?

BLS International Services Limited

August 08, 2022

Page 5 of 12

Nikhil Gupta : Just brief you that the cost of acquisition and what the business company is doing as we said it is a largest banking correspondent in State Bank of India. State Bank of India basically has branches in Tier 1, 2, 3 cities, but when it goes to the rural areas they do not have a great presence.

So, what they have done is outsource the work of opening bank accounts and making transfer of money as well as updating passbooks and various things services. All these are being outsourced to banking correspondents like us. We are managing about 11,000 plus centers across all states and Union Territories of India with all of these correspondents.

Aniket Redkar : So, can we say we are only focusing on SBI as a business correspondence or any other entity also we are also looking for?

Nikhil Gupta : No, we have already got on four other banks with whom we are working already and this is as it is a large number of branches where we can also extend other services through them. So, we are seeing that this is a good area to get into and since we have a strong presence we are looking at big growth.

Aniket Redkar : On the bottom line front what would be the benefit of this acquisition?

Nikhil Gupta : Yes very much it is from day one it is cash accretive.

Aniket Redkar : Sir, can you brief on your pay per use businesses?

Shikhar Aggarwal : Sorry I cannot understand the question.

Aniket Redkar : The banking sector as you mentioned your segment we have the banking also the banking correspondent, what is our pay per use?

Shikhar Aggarwal : See how it works is that as you know from a company perspective we only get into businesses which gives us per application money. So, even in the banking sector we get commission on per transaction. So, it depends on different, different transaction what is the commission that we get.

Aniket Redkar : And sir who are the main competitors and what would be the entry barrier for us in our business?

Nikhil Gupta : In the banking correspondent business.

Aniket Redkar : Yes.

Nikhil Gupta The State Bank of India has got about 20 companies which are doing this work, but as we said Zero Mass is the largest and by far the largest. So, out of 70,000 we got 11,000 odd which is 15% where the others are all much smaller right from 5 crore businesses to the 20 crores in business, ours is nearly 160

crores last year Zero Mass has done .

BLS International Services Limited

August 08, 2022

Page 6 of 12

Aniket Redkar : And any new CAPEX plan in near future?

Nikhil Gupta : No in banking correspondent you do not need any CAPEX really.

Aniket Redkar : No overall I am asking?

Nikhil Gupta Amit do you have any numbers?

Amit Sudhakar : See we have normal operating CAPEX in the range of every year around 15 to 20 crores, but for these e-governance business there's no CAPEX required per say. There is initial investment in getting people on board who generate this business. There is no CAPEX per se has been run on this contract.

Mod erator : Thank you. We take the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : Good afternoon everyone. I had a couple of questions the first is I think Shikhar you had mentioned the visa volumes roughly in terms of how Russia and China volumes pre-COVID as a percentage was and any sense how is it now if you could give both the numbers and how are the overall volumes versus pre-COVID ?

Shikhar Aggarwal : So, Nitin as you know if we talk about the first quarter even the last year we are at 60% to 65% of our overall visa number or overall application count reason being that certain geographies have not come back to normality. So, you can say that at least 25% to 30% used to come from those geographies and only 10% or 15% number has started coming from those geographies as of now.

Nitin Padmanabhan : And what is the general expectation by when you think this should sort of ease out considering the things happening in those geographies?

Shikhar Aggarwal : See we are also relying on the news that we see on the channels, but I think we are hopeful that within this year thing should streamline because as you know people have not travelled for the last two, three years and the countries that have opened up we have seen a huge demand there

has been a pent up demand and people are eager to travel even in those countries. Our expectation is that we need to be ready with our infrastructure, with our people on the ground to work on enhanced capacity because we are expecting a surge in demand as soon as those countries open up.

Nitin Padmanabhan : And the new contract that we have done right through over the past few years let us say Kuwait for example just as an example are they sort of ramped up to full sort of potential for you or they are also sort of lagging?

BLS International Services Limited

August 08, 2022

Page 7 of 12

Shikhar Aggarwal : See definitely certain geographies are still lacking we started working for Indian Embassy in Kuwait I think couple of months back. So, that has started becoming we are getting the revenue from that contract that has already started streamlining for us as a company, but certain other contract which we are yet to deploy like the German contract will be starting only in the next few months revenue will start coming in then. So, certain contracts definitely we have seen certain revenues, but contracts that will be deployed soon the revenue will only start coming in from then.

Nitin Padmanabhan : And any updates on these renewal opportunity whether I think UK has given October or maybe I think there were some sub-contracting opportunities as well maybe Saudi or US and things like that, any updates broadly on these?

Shikhar Aggarwal : As you know I think everyone knows this industry has a long gestation period. It takes us two or three years from an initiation to a conversion of contract there is a big opportunity of \$1.5 to \$2 billion in the market of different countries that you have mentioned and so we are actively working in all these opportunities as and when the results are announced we will definitely let you know.

Nitin Padmanabhan : And just one last one from my end does the Karnataka and the West Bengal contracts will they

be able to leverage the ZMPL correspondence presence in those areas or you will need separate centers altogether?

Shikhar Aggarwal : So, see I think what our objective initially was to obviously cross utilize people on the ground. So, definitely people that we have as district managers or regional managers in those geographies can work on even deploying the offices for other contracts. So, definitely there is a cross utilization and that was the main aim of getting into similar lines of businesses so that it will lead to increase in bottom line straightaway for us.

Moderator : Thank you very much. We take the next question from the line of Neha Jain Individual Investor. Please go ahead.

Neha Jain : Good afternoon sir. My first question is about Zero Mass Private Limited so do we fully plan to acquire it and then what will be the cost at which we acquire in case we plan to?

Nikhil Gupta : The shareholders in this company besides the promoters or besides the promoter companies is State Bank of India itself. So, there is no benefit in taking over their shareholding and they have also expressed an interest in continuing with the company. So, there is no plan to takeover so question of pricing does not apply.

Neha Jain : There was the source of repaying 15 crores debt which was taken for the acquisition, so what is the source for that?

BLS International Services Limited

August 08, 2022

Page 8 of 12

Amit Sudhakar : They were internal accruals because we have done all the acquisition and the repayment from the internal accrual.

Neha Jain : So, full 15 crores from internal accrual this side?

Amit Sudhakar : That is right.

Neha Jain : Sir what is the management strategy to identify government that is not currently in business of outsourcing visa or consular services?

Shikhar Aggarwal : So, Neha what has happened is that as we know this market is outsourced only up to a level of 50% globally so only 50% governments have outsourced conventionally. Now post COVID what has happened is lot of governments which are kind of hesitant to outsource for the first time have started to fast track the outsourcing as we know we have recently won contracts for the Brazil government in two countries which was outsourced for the first time, the Philippine government in three countries were outsourced for the first time. So, a lot of these governments are in Latin American or South East Asian market lot of countries which never outsourced are thinking of outsourcing for the first time we have started pilot, we have started working for the Estonia Government which was outsourced to us for the first time. So, I feel that in the next few years the market definitely will change, it will expand at very fast pace and a bigger scale. So, we expect to win lot of these new contracts also on addition to the existing markets which is

growing for us .

Neha Jain : So, then apart from growing in that segment are we also looking for any other merger or acquisition opportunities?

Shikhar Aggarwal: We have good amount of cash on the books as you know we have announced dividend for our shareholders bonus . So, we are doing all the things that can add value to the company on that only we did this acquisition in which we are getting 15% return. So, we are actively looking at acquisition both in all the three segments of the company and going forward also we expect the revenue split from all these segments to remain the same so because we expect good growth in the coming quarters.

Neha Jain: So, do we have anything in pipeline for acquisition right now or we are searching for?

Shikhar Aggarwal: We are looking at opportunities as you know Zero Mass also we had been looking for quite some time, we are conducting proper due diligence . So, we are actively looking at different opportunities at this particular point in time.

Neha Jain: Now coming to the financials part

of it, can you help me to understand what will be revenue and profit margins for the full year FY23 ?

BLS International Services Limited

August 08, 2022

Page 9 of 12

Shikhar Aggarwal: So, see for the full year right now you can see whatever numbers we have done in the first quarter itself definitely there will be further growth because for us normally the business from the first quarter is little less than the other quarters. So, definitely the next few quarters the business and the revenue for the company will grow further and on top of that if as we expect the countries which are currently closed if they open up to a large extent then definitely there will be a further growth. So, in the coming few quarters there will be definitely further growth.

Neha Jain: And what is our target ROCE for FY23?

Amit Sudhakar : That will improve going forward because of this acquisition and as far as we can use our cash for acquiring or for new projects the ROCE will continue going up and I will see them going at a higher pace on a quarter -to-quarter basis now.

Neha Jain: And what is the cash balance and debt as on book as of now?

Amit Sudhakar : So, there is no debt on the book we are zero debt company and we have a balance of 330 crores as on 30th June.

Neha Jain: And sir my last question it is regarding the lower tax rate so is this because of the subsidiary in UAE that is helping us with the tax saving?

Amit Sudhakar : Yes that is right because UAE is our major profit center and under there the tax slabs are much lower.

Moderator: Thank you very much. We take the next question from the line of Rajiv Venkatesh Individual Investor. Please go ahead.

Rajiv Venkatesh : Couple of questions is there any shift in the business dynamics are we getting more asset heavy in terms of adding more employees for the projects of Bengal and Karnataka, can you throw some light on this and how it is different from Punjab and UP?

Shikhar Aggarwal : As whenever we get new contracts we need to have people who will deliver those contracts on the ground, people who are this submission officer level. So, definitely we have to add on people in West Bengal and Karnataka , model is different in all the different geography. So, it is not like all the people will come on our books because in Karnataka we have a model wherein we will partner with people we will provide them per transaction commission whereas in West Bengal we will appoint people on our rolls on our partner HR company rolls from a compliance point of view. So, if you talk about people at a senior level I do not think we have to change lot of things because we already have certain people in those geographies. So, it will not lead to an incremental. It will be incremental with benefit for us.

Rajiv Venkatesh : And how are we different from Punjab and UP on this perspective?

BLS International Services Limited

August 08, 2022

Page 10 of 12

Shikhar Aggarwal: 100% every contract is not the same it is a little different. In West Bengal , we are doing land registration /acquisition . It is kind of a similar concept wherein people will come and apply for the services we will collect per application money. So, in that sense Punjab model is completely same, but services are quite limited in West Bengal wherein you know we are not offering all the services that we are offering in Punjab. Same way in Karnataka the services that we are offering are different, but the model is kind of similar people will come to our centers to apply for government services, but in neither of the contracts we have to establish our own offices, in West Bengal the offices will be provided by the government to us and in Karnataka we will be tying up with franchisee partner who will be opening the offices.

Rajiv Venkatesh : We do not get the fee from government it is from the customer from the person who want the

services?

Shikhar Aggarwal

: Correct.

Rajiv Venkatesh : One more is on I think a couple of concalls before you said like on the software upgrade so where are we on that and what is the progress on that?

Shikhar Aggarwal : So, definitely as you see the software upgrades that we have done are leading to actual good wins of contracts for us also even if you see from a e-governance point of view the contracts that we have won for Karnataka and West Bengal there will be not a major incremental expenditure for us since, you already have the software that you have upgraded and we will be using the same software for deployment of services. So, I think at 60%, 70% of the software upgrade has happened on the new contracts that we have won even for Germany and other countries and Italy that is on new government that are going to come up we are planning to utilize those software for deployment.

Rajiv Venkatesh : One more question is like I have been the investor with BLS for almost like four, five years so we started with Punjab then move to UP, then West Bengal and now Karnataka. So, we are getting some tractions, so how do you see this panning out from two to three years perspective with multiple states still yet to be say like we can still provide the same services?

Shikhar Aggarwal : If you see it took us a lot of time even after Punjab to get into different states because we want to stick to one model which is a return on our investment with a minimum profit margin that we expect. So, we are analyzing different states. Right now we do not want to take more contracts and have a problem of deployment. So, we want to take contract deploy them properly, provide good quality of services only then look at other states. So, we are right now in the process of deploying more contracts we have got and primarily talking to other states also. So, I think there will be a growth in the sector, but at the same time we are heavily focused on growth on visa and consular service business which is happening globally. So, I feel that there will be growth in both the lines of business.

BLS International Services Limited

August 08, 2022

Page 11 of 12

Rajiv Venkatesh : So, I have question on the visa consular services so this post the blackstone acquisition of VFS global, are we getting any traction from the institutional investors to invest in BLS, what is your thought process on that?

Shikhar Aggarwal : I think definitely if we talk about the acquisition that the competition has done there has been a big traction in the company I do not know Amit can also offline tell you that we have had big number of FI's also entering the company. So, there has been a big traction. So, definitely there has been a good attention on this industry even governments are paying attention. So, this will lead to expansion of the industry in terms of more avenues of outsourcing for us. So, we are quite encouraged and energized when big companies also provide their commitment to this industry.

Rajiv Venkatesh : On the EBITDA margins can we assume that the current EBITDA margins are say the base is made or can we still assume going forward we may see some compression in the EBITDA margins?

Amit Sudhakar : I feel current EBITDA margins are the base and then you will see them improving going forward every quarter -to-quarter because there is a fixed cost which is very much there and revenues are picking up on a month -to-month basis. So, EBITDA will go on improving from here onwards.

Moderator : Thank you. We take the next question from the line of Shikha Independent Investor. Please go ahead.

Shikha : One book keeping question I would like to know about your onetime cost on employees I think this quarter you mentioned about 27 crores and there is one of staff cost for increments, can I have that number like apart from other expenses you have 2.5 crores just a breakup of one time cost this quarter?

Amit Sudhakar : On

is that employee cost also includes the employee cost of Zero Mass which we have acquired during the quarter as well as there is a new increments which company has done for the year was effective from 1st January onwards. So, there is a cost related to that which has added in this time which will not come going forward so that will be approximately around 2 crores of onetime cost which will not come going forward.

Shikha : So, this 2 crores was for the previous quarter which is Quarter 4 of last year?

Amit Sudhakar : That is right otherwise we should not because of the acquisition which we did.

Shikha : So, 2 crores and 2.5 crores of acquisition 4.5 crores is onetime cost which has been shown on this operating expense?

Amit Sudhakar : Yes, but then acquisition cost will continue because it is also adding to the EBITDA.

BLS International Services Limited

August 08, 2022

Shikha : No that will not be carry forward for the next quarter that was this quarter is my understanding right Amit if you can just clarify a bit?

Nikhil Gupta : You are right it would be onetime cost.

Shikha : One more thing more this cash which you have mentioned 330 crores should we expect some kind of acquisition in BC front or we are looking for opportunity in visa and consular business?

Shikhar Aggarwal : We are definitely right now looking at acquisition opportunities more in visa consular service business and you know as and when we get a good opportunity in BC business which will add to more synergies or increase in our effective utilization of cash then we will be looking at that also.

Moderator : Thank you. We take the next question from the line of Aniket Redkar. Please go ahead.

Aniket Redkar : Sir again I have some questions based on our financial quarterly financial sir I just want to know have we added new assets during this period as the depreciation which has increased so just wanted to know that?

Amit Sudhakar : So, there is no new major assets being added in this quarter.

Aniket Redkar : In Q4 FY22 we can see that there is a 5 crore for other income, so is that one time increase?

Amit Sudhakar : In that there was a write back of around 1.25 crore and the balance was mainly it is related to the interest cost.

Moderator : Thank you very much sir. Ladies and gentlemen that was the last question for the day. I now hand the conference over to Mr. Aggarwal for his closing comments. Thank you and over to you, Sir.

Shikhar Aggarwal : Thank you everyone for your participation in our Q1 FY23 Earnings Call. In case of any further queries you may get in touch with Bridge IR or feel free to get in touch with us. We will look forward to interacting with you next quarter. Thank you.

Moderator : On behalf of BLS International Services Limited that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

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Call: Nov 2022

November 14, 2022

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
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400051

BSE Ltd.,

Phiroze Jeejeebhoy
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Hotel, B andra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on November 09, 2022

In continuation to our intimation dated November, 03 2022 , please find enclosed a transcript of the Earnings Call held on November, 09 2022 to discuss the operational and financial performance for Q2 FY 2022 -23. The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

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Page 1 of 12 BLS International Services Limited
Earnings Conference Call
November 09, 2022

Moderator : Ladies and gentlemen, Good day and welcome to the BLS International Services Limited Q2 FY23 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference , please signal an operator by pressing “*” then “0” on your touchtone telephone. I now hand the conference over to Mr. Shikhar Aggarwal – Joint Managing Director, BLS International Services . Thank you and over to you, Sir.

Shikhar Aggarwal : Good afternoon everyone. I welcome you all to our Earnings Conference Call for Q2 FY23 and H1 FY23 business and financial performance. I have with me on the call today Mr. Nikhil Gupta – Managing Director and Mr. Amit Sudhakar – Chief Financial Officer of the company. Our performance for the second quarter has been in line with expectations, continuing with a growth trajectory. We are all above pre COVID levels despite certain geographies not having

fully opened up.

As travel and tourism continue to recover rapidly across various regions we are witnessing strong month-on-month growth in our business in visa and consular services. Business in certain countries have not recovered fully yet business in rest of the regions have surpassed the combined business for pre COVID levels. So, when travel resumes and grows in these two countries these should boost our revenues significantly.

In our visa and consular service business growth is coming from multiple fronts. New clients, new geographies and enhanced services to existing clients, for instance, over the past few months we have won contracts to process visa from the Royal Thai Embassy in Kenya, from the Royal Thai Consulate in Mumbai and New Delhi, Kolkata and Chennai and to process German visas in North America and Mexico. We are also focusing on value-added services which will help us utilize our existing network infrastructure thus enhancing efficiency and margins. The past few months have been very eventful for our business correspondence as well as the e-governance line of business.

In line with our strategy to expand inorganically in June 2022 we acquired a 88.71% stake in Zero Mass Private Limited, a business correspondent for SBI in India. This acquisition has further strengthened our BC business. This move makes us the biggest banking correspondent for State Bank of India across India. On the other front, our citizen service business continues Page 2 of 12 to grow with several new contracts during the first half of the financial year. Some of these include

an agreement with the Karnataka government department of administrative reforms and an agreement with directorate of registration and stamp revenue, government of West Bengal.

Based on the progress in our BC and E-governance businesses and in the light of recent ZMPL acquisition which has made the BC business a substantial in terms of size and opportunity we have decided to merge the e-governance and BC business into one segment namely digital services. Digital services will consolidate all our services under the BC and e-governance business and will include a range of value added services without requiring much additional cost. We foresee a tremendous opportunity for growth in this segment and will have a clear focus with a dedicated team in the future, independent of our visa and consular business for this segment as well.

In light of this, we have transferred our entire equity stake in BLS Kendras Private Limited our wholly owned subsidiary into BLS E-services Private Limited another wholly owned subsidiary thus making BLS Kendra Private Limited a step-down subsidiary of BLS International Services Limited. There would be no change in control in either of these companies, but it will facilitate future growth plan for our digital services business. We aim to develop and grow both our segments into a sizable level of business for which we shall be aggressively bidding for new contracts. We are also looking for inorganic growth opportunities on this front to complement our organic growth efforts.

I would like to conclude by saying that all our businesses are doing well. We firmly believe that digitization is the key in the post COVID world and we will always try to use cutting edge technology for our services. This is all from my side. I now hand over the call to Mr. Amit Sudhakar our CFO for updates on financial performance. Thank you.

Amit Sudhakar : Good afternoon everyone. Let me brief you on the financial performance for the second quarter ended 30th September 2022. During the quarter we reported a revenue of Rs. 357.04 crores, an increase of 87.46% YoY basis and 30.87% QoQ, mainly driven by continuous recovery in visa and consular business as well as citizen service business. Revenue was also supported by contribution of about 40 crores from ZMPL during this quarter. We have seen a good momentum in all our businesses and are optimistic of sustained growth in the coming quarters. Zero Mass Private Limited is one of the largest business correspondent of SBI India. It comprises more than 15% of all the SBI business correspondents. This move gives our BC business a Pan India presence across all states and union territories and bring our total number of customer service points to more than 15,000 CS Ps. Post this, our BC and e-governance businesses together are sizable enough to be pursued with deeper focus. It is with this perspective that we have merged these two lines of businesses under digital services. The EBITDA for the Page 3 of 12 quarter stood at Rs. 56.78 crores compared to Rs. 27.57 crore in the corresponding quarter last year and Rs. 31.36 crore in Q1 FY23.

The EBITDA margin for the quarter stood at 15.9%, which is more than 140 basis point higher compared to the corresponding quarter last year. The cost optimization and higher volumes helped offset the impact of higher employee expenses benefiting the EBITDA margin for the quarter. The profit before tax stood at Rs. 56.22 crores in Q2 FY23 as compared to Rs. 28.45 crores in the previous corresponding quarter and Rs. 32.41 crores in Q1 FY23. PBT margin in Q1 FY23 stood at 15.75% compared to 14.94% in Q2 FY22.

Going forward as mentioned earlier we are investing in expanding both our business segment visa as well as digital services. The recent ZMPL acquisition has been EBITDA and EPS accretive from day one and is expected to further improve our overall RO

C E. Coming to half yearly results

in 6 months ending September 2022 our revenue grew 70.7% year-on-year to Rs. 629.86 crores the EBITDA stood at Rs. 88.14 crores growing at 90% YoY while EBITDA margin improved by 143 basis points to 13.99%. The PBT for this period was Rs. 88.63 crores, a YoY increase of 80%. The PAT for the period was Rs. 81.69 crores versus Rs. 47.71 crores in the corresponding period last year, a rise of 71.21%. This is all from our side. We can now open the call for Q&A. Thank you.

Moderator : Thank you. Ladies and gentlemen we will now begin the question-and-answer session. We have the first question is from the line of Ravi Naredi from Naredi Investment. Please go ahead.

Ravi Naredi : Sir my point as we enter in digital business this way how much are we going to invest in software and hardware and second what target you want to give for financial year 23 and 24 in revenue terms or in profit margins?

Shikhar Aggarwal : See as you know that our 90% of the revenue used to come from visa and consular business.

Post acquisition of this company now 18% of the revenue is coming from the digital service business it includes banking correspondent and e-governance and the models as you know is the same wherein we collect upfront money from the citizen it is kind of an annuity business.

So, we are right now generating cash from that business itself to invest in that business. So, right now there is no investment required from BLS side for expanding that business. So, we are expanding through the revenue that is being generated from that business, but we see good opportunity for growth in that business because volumes that we are getting in that business is very good and going forward we expect the margins and profitability of this business definitely to grow up because of the value added services and other services that we will offer from those services. Having said that about your next part of the question regarding the next two, three years guidance of the company as I have said that the company right now the result that we have got is because of the application count that we have got globally barring certain geographies like Russia and China which are still semi closed. So, when those geographies start becoming normalized, numbers start coming in then definitely there will be a further growth. Page 4 of 12 on the numbers and that will lead to growth in revenue and profitability of the company. On top of that the additional inorganic growth opportunities in terms of the new tenders that we are bidding, we are winning we recently won contract for the German government, Philippine government, Thailand government, more tenders is expected by new foreign government. So, that will definitely add to the revenue and bottom line. So, I would say we are also maturing as a company in terms of our operations. Now, economies of scale will definitely kick in as we get new contracts and there will be further growth.

Ravi Naredi : In future visa and consular will be major revenue versus digital is it okay or some visa and digital business will be more in compared to gradually now it is 18 it will be may be 25 or visa will be major number?

Shikhar Aggarwal : Always because we see major growth in visa consular business in the coming years the percentage will definitely I think will maintain the same percentage because there will be growth in both lines of business. Definitely always major focus is on the visa and consular service there will be major growth.

Moderator: Thank you. The next question is from the line of Nikhil Kapoor from JM Financial. Please go ahead.

Nikhil Kapoor : Just couple of questions from my end one in the next two to three years any ballpark figure on how many contracts in visa and consulate business are up for tendering that is question number one. Question number two for our digital business what kind of margin outlook

are we

looking at on that front and lastly when we are looking at inorganic growth are we looking at international expansion as well as in the digital business in terms of inorganic opportunities or are we looking at domestic ones so those are the questions?

Shikhar Aggarwal : So as I had explained before because of COVID the tender cycle and lot of visa contracts had become they have given expansion, but now all of these contracts have come up for renewal and we have been working on them for the last three, four years. The opportunity size is quite big if you talk about only visa, consular services which is \$1.5 to \$2 billion worth of contract, but if you add on top of that even certain new consular services contracts like we won for the Philippine government you know wherein we are doing passport renewal for certain for Philippine government in three countries and planning to expand that. There are lot of new governments which have never outsourced so that was never in the horizon. So, that is a new opportunity that will add also bottom line, top line for us in terms of growth opportunity in visa and consular services. If you talk about the margins in our digital service business margins are in line of 12.5% to 15% because this is relatively new business and we think that the margins will definitely increase going forward because if like in the visa business if we can increase revenue per application in this business also that is the main aim for us so definitely margins will increase in this line of business. I forgot your third question Nikhil you have a third question.

Page 5 of 12 Nikhil Kapoor: So, the inorganic opportunities that we are looking at for digital business this is domestic or international as well?

Shikhar Aggarwal : See our main aim as a company was always to expand globally. We also started to see the visa

business with a Portuguese Embassy contract in New Delhi and we started with the Indian government globally and eventually we start working for foreign governments. So, definitely where you get payments in dollars and Euros which is abroad we will definitely look at global opportunities. We are very open to global opportunities. Wherein our terms and conditions where in upfront payment there is negligible investment and there is negative working capital if those things are taken care of then definitely we look at expanding globally.

Moderator: Thank you. We have the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : So, my questions are more related to the kind of opportunities that are out there if you just throw some color on a few of them. So, I think one is the UKVI I think October was supposed to be the time when they sort of announce the final list of bidders the second was on the US side of things where I think PAE has already sort of tied up chosen a sub-contractor, GDIT any incremental move there with GDIT and finally anything in KSA or any other geographies that is sort of standing out and finally these Germany contracts that you have picked up what is the kind of volume one should sort of anticipate there per annum those are the questions?

Shikhar Aggarwal : So, I think what I can comment on is that all these tenders we are in different stages of qualification. These are not simple tenders they take years you need to get pre qualified and then qualified and when there is a negotiation round. So, we are I would say different successive stages and I would not like to comment on particular opportunities, but none of the results have started to come in yet as and when they are announced we will definitely be coming out with the news to the market. So, that is the opportunity right now and addition to that there are lot of Schengen contracts also by different European governments that are expected to come out. So, we are preparing for that. In regards to German con

tract since it is

a first time outsourcing by the German Embassy in US and Mexico. For Germany in USA we are going to open more than 10 offices in Mexico we are going to open two offices out of which we have already opened couple of offices in which we have started with very limited numbers because embassy wants to first make sure how normal system happens, the operations everything is air tight and once they get a comfort then initially and gradually the counts increase. Having said that the service charges that we have got are very high more than 30 years, 32 years old in both the geographies and even the charges for value added services are quite high. So, we are expecting good margins from these German contracts. Numbers since it is the first time outsourcing as and when there is probably a 6 months operation then we can have a better hang on the application count.

Page 6 of 12 Nitin Padmanabhan : So, basically you should have a better handle on absolute volumes from these only later, one

last thing on the visa volume that we see today on an absolute basis excluding China and Russia what you mean to say is the absolute visa volumes are higher than pre COVID or the revenues are high than pre COVID how should we think about it?

Shikhar Aggarwal : See it is absolute numbers definitely cannot be higher because the geography of Russia and China still have not started. So, absolute numbers are definitely what we did in 2019 on a total level is not higher, but if you remove the count from Russia and China and if you do an Apple to Apple basis definitely count should be in the same ballpark what we did in pre COVID levels. Definitely revenue per application is higher than what we did in 2019.

Nitin Padmanabhan : So, if I understood it right the number of applications excluding China and Russia are higher and or is the revenue per application is actually higher?

Shikhar Aggarwal : I would say the revenue per application is definitely higher application count would be marginally higher.

Moderator: Thank you. We have the next question from the line of Rajiv Venkatesh an Investor. Please go ahead.

Rajiv Venkatesh : In the investor presentation and in your inaugural call you said that you will be merging the BC and e-government services, are we bringing any new CEO for this particular vertical?

Shikhar Aggarwal : The segment that we have worked out for creating our internal focus in these businesses. So, at the moment we have not got any a separate CEO for all these businesses, but individually we have CEO's for these businesses separately, but I think Rajiv what we are doing is that as individually Zero Mass already had a CEO and the e-governance business has CEO, but going forward definitely we are going to have a dedicated focus to have competent people we will have different individual handling that business.

Rajiv Venkatesh : And my second question is on I think the e-government services with the Karnataka government and with the West Bengal government. So, one is department of administrative reform and other one is with I think is revenue and services like is it similar on the lines with UP and Punjab I think we did few years back the Punjab one?

Shikhar Aggarwal : See definitely the services are quite similar in that West Bengal we are doing registration, land registration agreements and certificates, services are different in Karnataka I would say services are quite similar as Punjab wherein this includes birth certificate to death certificate. So, services are kind of similar what we are doing in Punjab.

Rajiv Venkatesh : And the margins and the top lines will be similar to the Punjab ones?

Shikhar Aggarwal : top line in all our lines of business e-governance is similar.

Page 7 of 12 Rajiv Venkatesh : And do you have any new states in the pipeline for these type of services I think this quarter we did not report any new pipelines for new states

?

Shikhar Aggarwal : I think there are many states we are working in different models, but as we took time to even get into these states after Punjab if you see because we are being very careful. We are looking at different states, we are only looking at states which suit our model wherein our model if state is implementing then we are looking at it and we are looking at two, three states talking to them looking at this model.

Rajiv Venkatesh : The question is like with regard to the contracts that are to be renewed so did we get any renewals from the European countries especially Spain I think in the last few calls we were talking to about the renewals for Spain which is coming up this year?

Shikhar Aggarwal : Right now all the current contracts are ongoing and as and when there is any decision on extension or renewal we will definitely announce.

Rajiv Venkatesh : And one more question on the gross margins we are at 33% gross margins and our EBITDA is also like pre COVID levels and in the last quarter we had a significant I think the human resource count was added the margins were bit affected because of that, are we optimally utilized on the human resource for this quarter or do we see any levers which can play out over a period of time to improve the gross margins and EBITDA margins?

Shikhar Aggarwal : Rajiv this quarter has been normal and we have optimized our expenses as per the volumes of business which we are doing currently. So, once we get any new geography or something then obviously with the new contract we may add more people, but the current volumes of business we are optimized as far as expense is concerned.

Rajiv Venkatesh : And on the books we have sufficient amount of 500 odd crores I think I am considering even the H2 cash flow generation we will be having around close to 500 odd crores. So, I think this has been a pressing question from couple of years in fact for more than one and half years, what is acquisitions we are in pipeline considering that we have already completed the zero mass one?

Shikhar Aggarwal : If you see the 30th September we have cash equivalent of around 385 crores in a balance sheet which was as on 31 March was about 410. So, we utilize in the 6 months about 130 crores for the acquisition and the couple of acquisitions we are working seriously on and as and when they get crystallized we will be announcing them, but we are working on those.

Rajiv Venkatesh : These are more on the visa and consular services related acquisitions or on the e-governance part?

Page 8 of 12 Amit Sudhakar : Actually, both, we have one or two proposals which we are working on the e-governance and on the digital service area and one or two in the visa side also.

Rajiv Venkatesh : On the Slide # 14 on the UAE, we have provided customized solutions, is it a new set of solutions what we are providing or the existing ones I just wanted to check if that will be coming into the part of the top line?

Shikhar Aggarwal : Rajiv which slide you are talking about.

Moderator : We have the next question from the line of Shikha Kapur from Quant Investec . Please go ahead.

Shikha Kapur : One thing Mr. Shikhar you had mentioned a while back that a largely growth was on account of revenue per count and less on the volumes, can you quantify that figure please?

Shikhar Aggarwal : No, I mean that there is definitely as I have said that pre COVID levels we have grown per application count from 1x to 1.4x. So, we are getting I would say 20%, 30% more revenue per application now. There has been growth in application count from the countries where we are currently operating. So, there has been a marginal growth of 5% to 10%, but geographies of as I said certain geographies still have not opened up, so there is no revenue from those geographies.

Shikha Kapur : So, what would be the breakup of that 70% increase in the value terms?

Shikhar Aggarwal : It is in

terms of value-added services.

Shikha Kapur : Secondly my question is on profitability of ZMPL I guess half year or maybe four, five months we targeted about 50 crores to your top line, so what about the profitability how much is it contributing in terms of profit margin?

Shikhar Aggarwal : This quarter we have added revenue of around 40.5 crores on the top line and the bottom line is 5.5 crores has come from the zero-mass operation.

Shikha Kapur : Thirdly, you had mentioned about Royal Thai Consulate business, so what is the scope of work for you here and what is the size of our business, is it sizable?

Shikhar Aggarwal : Shikha basically this is outsourcing of the Thai visa's within India. So, we won the contract from the Royal Thai Embassy in Delhi, Calcutta, Chennai and Mumbai because they take out different tenders we are running through all four and we also won a contract for the Royal Thai Embassy Kenya. These are all people who want to go to Thailand and they want to apply for a physical visa they are applying through us. So, since we have just started we are getting around 3,000,

4,000 applications per month so which is expected to further grow as things become normalize, but it is good profitable contract for us and in our existing centers we are accepting applications. So, we do not have to set up any new infrastructure for that.

Page 9 of 12 Shikha Kapur: So, this is over and above visa on arrivals in Thailand I mean these are the services which should be provided to Indian citizens?

Shikhar Aggarwal : Correct.

Shikha Kapur: Lastly one more question in your presentation it was mentioned about your subsidiary of step subsidiary in addition to ZMPL there was some Kenya and Italy also, so I am assuming these two geographies you may have some application processing work, so what is the size of the business over there?

Shikhar Aggarwal : Italy we are working for the Philippine government currently, Kenya we work for three, four governments for Qatar , Spain, Thailand so we work for three, four government. So, size of the business I think we need to check what is the revenue size from those countries, but I do not think it will be very big.

Moderator: Thank you. The next question is from the line of Aniket Redkar an Investor. Please go ahead.

Aniket Redkar : So, sir I have a couple of questions sir as far as our BC business is concerned so are we focusing mainly on the SBI only?

Shikhar Aggarwal : I think we are not only focusing on SBI although we have the largest BC of SBI right now in India, but we are working with many other banks like Karur Vyasya Bank with Central Bank of India, Bank of Baroda, Punjab National Bank. So, we are working with many other banks, but the biggest bank definitely is SBI, but slowly we are planning to grow in the other banks also.

Aniket Redkar : And sir what would be our strategy in terms of identifying the government those who are not currently outsourcing the visa and the consular services?

Shikhar Aggarwal : Strategy is very simple first we see where the counts are big and second we see where the government is facing a problem in processing application themselves. So, I think that is where how we are focusing.

Aniket Redkar : Sir as far as our value added services is concerned how much does the company earn in terms of the revenue and the profit margin?

Shikhar Aggarwal : I think on a total level our profit margin is 15% EBITDA. So, I think that includes the total revenue of the company and the profitability.

Aniket Redkar : And sir who will be our main competitors basically and what are the entry barriers for our business basically?

Shikhar Aggarwal : If you see competitors globally there are different competitors. So, we have PLS contacts and VFS global which are competitors in this business and entry barriers it is different entry barriers

Page 10 of 12 in different contract , it took us 15 year

s to get here as you have explained before. So, there are different restrictive clauses we need to process as many applications in different geographies.

So, definitely you have to pre-qualify for bidding for these contracts.

Aniket Redkar : And any CAPEX plan in near future?

Shikhar Aggarwal : No.

Aniket Redkar : Are you looking for any M&A opportunities in future and if yes then in which line of business?

Amit Sudhakar : As I said earlier we are seriously looking at acquisition because we need to grow in all segments in the next couple of years and with the cash and strong balance sheet we are geared up to look at good opportunities available in India as well as outside India.

Aniket Redkar : What is our topline contribution from the ZMPL?

Amit Sudhakar : I just said it is about in this quarter it was 40 crores.

Moderator: Thank you. We have the next question from the line of Neha Jain an Investor. Please go ahead.

Neha Jain: I have couple of questions so we see that there is a bonus share issued during this quarter and the last one during the March quarter that is a very short gap between both the bonus share issues, so could you help us understand actually why the company has decided to do this?

Shikhar Aggarwal : Basically what has happened is that as you know we are generating good amount of cash in the books that we are utilizing for acquisitions and spending on new contract wins we have to spend the money in terms of setting up offices and we are also distributing dividends to our shareholders. So, we were discussing ways how we can reward our shareholders so that was one of the things that came across that maybe bonus was a good option that was the only reason that we have declared the bonus.

Neha Jain: Sir what is the status on this UK visa renewal ?

Shikhar Aggarwal : First of all it is a firsthand contract for us and as I said we are in different stages of contract and as and when the results are announced definitely we announce into the market.

Neha Jain: In terms of ROCE what are our estimates for the next couple of years in terms of growth?

Shikhar Aggarwal : We are seeing the trend has been up , from around 17% we have now reached to around 27% ROCE this quarter and the intent is to take it further up over this next couple of years. So, ideally if we can reach around 30% that would be our target to.

Neha Jain: By when do we plan to reach the target?

Page 11 of 12 Shikhar Aggarwal : So, we are working on that so our target is to reach somewhere around 30% .

Neha Jain: But you do not have a time frame yet?

Shikhar Aggarwal : We are working on that. So, we will see in the next 6 months or so or year it will take us to reach there .

Neha Jain: Sir for the value -added services to the business how much is the company able to generate in terms of revenue and profit margins?

Shikhar Aggarwal : See we are not calculating them separately in terms of total revenue of the company. So, as we see revenue growing they are part of the revenue of the company and total we are generating around 15% EBITDA margins. I think that is where the figure is .

Neha Jain: And sir for a banking correspondence business are we only focusing on SBI?

Shikhar Aggarwal : I just explained I think we are working with different banks we have 5, 7 maximum banks including Punjab National Bank and Bank of Baroda, Central Bank of India. So, we are focusing on different banks.

Neha Jain: So, this will be the major contributor from all these bank s right ?

Shikhar Aggarwal : SBI at the moment.

Neha Jain: So, is it possible in terms of percentage how much does SBI contribute?

Shikhar Aggarwal : So as we said in total right now SBI is the major contributor in terms of bank correspondence business and other banks have just started. So, we have just recently one tender in the last one year from other banks. So, even though we are getting it , major contributor i

s SBI.

Moderator: Thank you. We have the next question from the line of Rajiv Venkatesh an Investor. Please go ahead.

Rajiv Venkatesh : So, I just wanted to check slide 14 we are providing the customized solutions, is it a new set of solutions or the existing one for the UAE?

Shikhar Aggarwal : Are you talking about the latest investor presentation?

Rajiv Venkatesh : Yes Shikhar the latest one, I think it is under digital services, e -governance services the global one?

Shikhar Aggarwal : I think Rajiv it will be better if you can email me the query I am sorry, but I am not able to understand exact query.

Page 12 of 12 Moderator: Thank you. As there are no further questions from participants I would like to hand the floor back to Mr. Shikhar Aggarwal for closing comments. Please go ahead sir.

Shikhar Aggarwal : Thank you everyone for your participation in our Q2 FY23 Earnings Call. In case of any further queries you may please get in touch with Adfactors PR or feel free to get in touch with us. We will look forward to interacting with you next quarter. Thank you.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of BLS International Services Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

February 13, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Compl ex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on February 07, 2023

In continuation to our intimation dated February, 01 2023 , please find enclosed a transcript of the Earnings Call held on February, 07 2023 to discuss the operational and financial performance for Q3 FY 2022 -23.

The transcript is also available on the Company's website at <https://www.bl-sinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

Encl: as above

Page 1 of 16

"BLS International Q3 FY23 Earnings Conference
Call"

February 07, 2023

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR, BLS
INTERNATIONAL
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER,
BLS INTERNATIONAL
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR, BLS INTERNATIONAL

BLS International
February 07,2023

Page 2 of 16

Moderator: Ladies and Gentlemen, Good day and welcome to BLS International Q3 FY23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal. Thank you and over to you, Sir.

Shikhar Aggarwal : Good morning everyone. I welcome you all to our Earnings Conference Call for Q3 and 9 months FY23 Business and Financial Performance.

I have with me on call today Mr. Nikhil Gupta – Managing Director and Mr. Amit Sudhakar – Chief Financial Officer of the Company.

Our performance in the third quarter has been in line with the expectations continuing the growth trajectory of the previous quarters. Healthy recovery in travel and tourism across the globe is boosting volumes and revenues in our visa business which is growing month and month. With the increase in volumes, we are benefitting from economies of scale leading to an improvement in our margins and visa business.

In early January 2023 China also announced plans to open up travel which bodes well for us.

We expect volumes to increase going forward after this development. Now only Russia which has been operational for a while remains to open fully to tourism. We also won new contracts in our visa business including the Malaysian immigration authority contract to issue E-Visa and we have successfully renewed our contract with the ministry of external affairs for the attestation business. On the other front in the last quarter, we had consolidated our business correspondent and e-Governance business in one segment namely digital services. Our business correspondent business has been growing steadily especially after the acquisition of Zero Mass Private Limited in June 2022.

Consequently, the line of business became sizable enough to demand dedicated focus. Therefore, we consolidate BC and e-Governance business into digital service segment. In line with this we consolidate our digital service business under BLS-E Services Private Limited thereby making BLS Kendra, ZMPL and Starfin as subsidiaries of BLS-E Services which will facilitate the future growth plans for a digital service business. Moreover, we are able to offer both type of services through a common touch point we are investing in infrastructure and manpower to expand this segment. In fact, a number of touch points have grown from 80,000 to September 2022 to 90,000 December 22.

BLS International
February 07,2023

Page 3 of 16

During the quarter we commenced 4,300 GramaOne centers in Karnataka while operations in West Bengal, Rajasthan and Punjab are going on track while the visa business continues to grow we aim to develop our digital service business aggressively.

For this we plan to expand our network of touch points throughout India. In line with this PNB Punjab National Bank and Bank of Baroda are already on board with us whereas we explore tying up with further newer banks. I would like to conclude this by saying all our businesses are doing well. We firmly believe that digitalization is the key in the post-COVID world and we have always try to use cutting edge technologies for all our services.

This is all from my side I now hand over it to Mr. Amit Sudhakar for updates on the Financial Performance. Thank you.

Amit Sudhakar : Good afternoon everyone.

Let me brief you on the Financial Performance for the third quarter ended 31st December 2022:

During the quarter we reported a revenue of 437.90 crores an increase of 92.86% YoY and 22.72% QoQ mainly driven by robust recovery in visa and counselor business coupled with digital services businesses. The revenue

e was also supported by a contribution of about 42.2 crore from ZMPL during the quarter. We are seeing good momentum in all our businesses and our optimistic of sustainable growth in the coming quarters. The EBITDA for the quarter stood at 66.30 crores compared to 25.53 crore in the corresponding quarter last year and 56.8 crores in Q2 FY23. The EBITDA margin for the quarter stood at 15.14%, which is over 390 basis point higher compared to the corresponding quarter last year. Cost optimization and higher volumes help offset the impact of the higher cost of services benefitting the EBITDA margin for the quarter. The profit after tax PAT stood at 45.85 crores in Q3 FY23 as compared to 28.29 crores in the previous corresponding quarter and 50.99 crore in Q2 FY23.

Going forward as mentioned earlier we are investing and expanding both our businesses segments the visa as well as digital services the recent ZMPL acquisition has been EBITDA and EPS accretive from the day one and is expected to further improve our overall ROCE.

Coming to 9 months results of the 9 months ended December 2022:

Our revenue grew 79.11% YoY to 1067.56 crore, the EBITDA stood at 154.47 crore growing at 115% YoY while EBITDA margin improve to 241 basis point to 14.47% The PAT for the period was 127.54 crores vis-a-vis 76 crore in the corresponding period last year a rise of 67.8%. In December 2022 we allotted bonus equity shares in the ratio of 1 is to 1 for every equity share of Rs. 1 each held by the shareholders of the Company.

BLS International
February 07,2023

Page 4 of 16

The Board has approved the first interim dividend for FY22-23 at 50% that is 50 paisa per share on the expanded equity capital.

This is all from my side. We will now open the call for Q&A. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session anyone questionnaire to ask the question may press * and 1 on the custom telephone if you wish to remove the cell phone press * and 2. Participants are requested to use handset for asking the questions. ladies and gentleman we will wait for a moment all the questionnaire assembles. Participants give * and 1 to ask the question. The first question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi : Thank You Garima Ji to give me opportunity congratulations in advance to reach 1 billion dollar market cap which we will surpass soon top line rises by 93% for this quarter while net profit rises by 62%, so what are reason to net profit margin down in this Quarter 3?

Amit Sudhakar : As explained in our commentary we have started investing in our digital businesses. So, the percentage margin has come down in the current quarter and in the next quarter onwards we will see the benefit from those digital business investment and what we are trying to invest in extra people on board to expand the businesses.

Ravi Naredi : What are the business and will you highlight some more information about that?

Amit Sudhakar : So, in digital businesses if you look at we basically have two verticals one is the banking correspondent business and the second is e-Governance. So, we have won few contract in the last quarter and we have started operations in Karnataka where we have got 4,300 as Shikhar explained center points which we are developing and will start full operations from next quarter this quarter onwards we will see the revenue start coming from those. So, we are putting the infrastructure and increasing the number of touch points on Pan India basis, wherein all Digit businessse will grow over the next few quarters.

Ravi Naredi: Sir, what will be the income tax rate for the Financial Year '23 and '24 if you can guide about that?

Amit Sudhakar : See the effective rate will go on increasing now from the last year onwards main reason being the revenue from Indian operations especially from digital business has grown, if you see the

last year YoY we were doing 10% business in India and now that has gone up to 17%. So, the effective rate what we are looking at will come, somewhere around from say 10% last year to around 12% to 15% this year.

Ravi Naredi : Sir can you tell in next three years where we see visa and counselor services versus digital services any broad picture can you give it will be the help us?

BLS International
February 07,2023

Page 5 of 16

Amit Sudhakar : If you see in our total revenue around 83%, 85% is coming from visa counselor service. Looking at the opportunities that we have in both the space, I think we can expect the revenue mix to remain same in the coming years because we are expecting further growth in the visa counselor segment and further growth in digital service segment. So, definitely we expect the revenue mix to be maintain the same and this figure sometime changes because depending on a very big contract if you get in digital so that quarter the percentage may change a little bit, but as a midterm and a long-term strategy point of view we want to keep it 20-80 ratio.

Ravi Naredi : Both the services we have same margin or visa have more margin in compared to digital

services?

Amit Sudhakar : As on today the visa has a much better margin compared to digital, but in the topline growth we see higher potential in digit business immediately in the next couple of quarters, so digital will grow much faster.

Ravi Naredi : Thank you and all the best sir

Moderator : Thank you all the participants uses the * and 1 to ask the question. The next question is from the line of Amresh Kumar from Geosphere capital please go ahead Amresh may I request to ask the question please. He is not respond we move to the next participant. The next question is from the line of Maulik Patel Individual Investor. Please go ahead.

Maulik Patel : Hey Thank you for taking my call. My question is BLS International Limited is holding 70% in BLS-E Services Private Limited right?

Amit Sudhakar : Yes that is right.

Maulik Patel : And then who is holding the remaining 30%?

Amit Sudhakar : Maulik as we have given in the announcement also to the stock exchanges there have been 69.32% with BLS International and the balance is with the promoter and non-promoter group they are holding their balance.

Maulik Patel: And what is the reason we have assigned that 30% to non-promoter and promoters because as I understand Company has enough cash and why is the different interest promoter have in holding Company and subsidiary Company because anyway promoter is holding like 75% overall approximately, so why do not have like straight up with the subsidiary and the main Company?

Nikhil Gupta : ok let me explain, my name is Nikhil Gupta. I am the Managing Director See this business of BLS-E Services consists of many businesses as Mr. Amit and Shikhar explained to you the digital services and these businesses has started something like 7 years to 8 years ago. So, in all of these 7 to 8 years the promoter growth has put in substantial amount of time, effort in some BLS International
February 07,2023

Page 6 of 16

cases they provided guarantees, given loans and all this has helped to grow the business to the situation we are in today where the annual profits of this E Services as a group would be in the region of 30 crore to 40 crores. So, the board of directors of the Company considered it appropriate that they be compensated for all the work that has been done over the years to bring it to the current status and this is one way of rewarding them and instead of paying this money by way of cash it has helped the Company by way of allotting equity to them. So, this is the entire background to what you see in the financials and the reason behind it.

Maulik Patel: Thank you Nikhil for your answer But as a minority shareholder it would be nice if we have provided the cash because think about that if this business will be b

igger like if it is generating

like 40 crore right now it will generate 400 crore maybe in three, four years or maybe seven years then we are diluted for like lifetime, so it would be nice if Company have the cash and we consider the cash as a payment?

Nikhil Gupta : Not to be argumentative but just to let you know that the money that we are earning in cash has really helped us in the past and we expect it to help in the future in terms of growth of the Company through organic as well as acquisitions. So, we want to conserve some of that money so that we do not end up taking up a large amount of debt in future. So, allow us time we will show better results in terms of acquisitions.

Maulik Patel : yes I agree , I am not arguing that the previous participant have asked why revenue have increased, but why EPS not have increased and I think that is the reason I feel because of diluted of the shareholders equity that is why we have increase in the revenue, but EPS may be not that effective because if you see our operating margin have increased year-on-year so EPS should increase too?

Nikhil Gupta : Yes it will you will see that.

Maulik Patel : In my whole portfolio I am holding 30% of the BLS International only and it is my first time in my lifetime, so I am very excited of the Company I am like on top of the notch and I am very happy, but just I did not like the one thing that we have diluted that is the thing I did not like.

Nikhil Gupta : We have taken your thoughts on board and we will communicate to the board also, but this is where we are and we believe that what we have done is going to only help the Company in more further commitment from the promoter family to grow the business much more as they have done in the past but thank you for your suggestion.

Maulik Patel : I hope you consider because I want to see not you are 1 million Company I want to see you are in the world anyways you are in like top three I want to see you in the top first?.

Nikhil Gupta : Really thank you for that and we will work hard towards achieving your dreams also.

BLS International
February 07,2023

Page 7 of 16

Moderator : Thank you. Participants press * and 1 to ask the question. The next question is from the line of Joseph Mathew Individual Investor. Please go ahead.

Joseph Mathew : So, from where will our visa business is growing like do we detect any expansion from any particular area or region?

Shikhar Aggarwal : Definitely as you know the visa counselor service business this quarter we have achieved the highest EBITDA and revenue for the Company and till now the world has not fully opened up.

So, we expect the revenues to go up from the existing contracts that we held. We have already been informed that China is going to open up we are ramping up our capacities probably Russia should open up also in the near future. Definitely we expect a good summer season in the first quarter next year and definitely revenue and EBITDA will grow up from the existing businesses that we held on to top of that as you know we have recently deployed our German contract in US, Mexico revenues have already started coming in and will start increasing over the course of the months from those contracts. On top of that the additional contracts that we have bit for and in which results are coming where the opportunities is quite huge as we have explained in the previous quarters of \$1.5 million to \$2 billion and slowly and slowly we are at different stages of qualification. So, as and when that will come definitely revenues and profitability will increase further for the Company.

Moderator : The next question is from the line of Avirup. Please go ahead.

Avirup Ghoshray: Hello, First of all congratulate you very much for your results I just had one question like if we look at the segment wise results like the profit and loss before taxes QoQ, so in September 30th result we had a profit of around 9.5 crores from the

digital services which has fallen down to (-

16) crores in this quarter, so any specific reason for that?

Amit Sudhakar Mainly as we have given this sweat equity impact of 24.6 crore has impacted the P&L noncash impact it is a one time. So, if you take that out we are quite a similar percentage of profit what we did in the previous quarter.

Avirup Ghoshray: Understand And just a further add on to that question so standing from that point of view what would you say is like the outlook of the digital services business which you have now separated out like how do you foresee it going let us say on a quarter-to-quarter, on a year-on-year basis?

Nikhil Gupta : This is one of the emerging businesses that we acquired a Company in the business corresponding space 6 months or so ago and it is already beginning to show improved results.

So, this is investment in businesses which will overtime we expect will give the targeted EBITDA numbers like the visa business is doing. So, there is a slightly lower today compared to visa we hope that it will catch up.

BLS International
February 07,2023

Page 8 of 16

Avirup Ghoshray: So, I take it away from this conversion that this was a onetime hit that has been booked and we will see further results of your investments in this sector in the coming quarters?

Amit Sudhakar : Absolutely.

Moderator : Thank you.participant to press the * and 1 to ask the question. The next question is from the line of Amresh Kumar from Geosphere Capital. Please go ahead.

Amresh Kumar : One question on BLS-E Services will this be the only vehicle through which we will be doing digital services and if yes will ZMPL be a part of it or is it currently the case?

Nikhil Gupta : It is currently a part of E Services ZMPL is a part of E Services now.

Amresh Kumar : So, BLS-E Services would be a single entity through which you will be doing this business?

Amit Sudhakar : That is right.

Amresh Kumar : And secondly sir any update on your Spanish contract renewal and other contracts for the competitors if you can give any update?

Shikhar Aggarwal : So, definitely as you know we recently started working for the Germany government. We deployed office for the Philippine government, we recently also won a contract for the Malaysia eVisa authority wherein we have started in India right now and then eventually we will be going into many more countries so that is the status as of right now and as and when the results throughout the contract that we are bidding for our announce will definitely you know the problem is that we cannot announce before the agreements are signed. So, then as and when we are signing then we will definitely be announcing, but we are on trajectory for growth and gaining market share in the coming years that will add to our existing revenue and profitability that we are already doing.

Amresh Kumar : And what about your Spanish contract renewal any update there?

Shikhar Aggarwal : As and when the results are announced or when we sign the agreements and we are allowed to announce we will be announcing.

Moderator: Thank you. ladies and gentleman to press * and 1 to ask the questions .The next question is from the line of Rikesh Parikh from Rockstud Capital. Please go ahead.

Rikesh Parikh : First of all we like to know we were looking to some acquisition in the visa processing space, so any update on that?

Page 9 of 16

Shikhar Aggarwal: Correct , As you know this is a very niche market where there are only three global players BLS, TLS and VFS and then there are some small regional or small level players which are operating globally. So, we have been under due diligence for couple of companies in the visa outsourcing space. Till now nothing has we have done due diligence and we are negotiating. So, as and when we see a good value add for the Company or the multiple is attractive as we have done in the past if you see

the Zero Mass acquisition has given us a 42 crore of revenue this quarter and added good profit to our bottom line and it was at a healthy multiple that we bought the Company. So, we are looking at those healthy multiples and revenues and profitability only then we want to acquire the Company. So, definitely I think we are looking at it and as and when anything fructifies then we will be making announcements.

Rikesh Parikh : And any thought on means or any structure through which we plan to bring the surplus cash from here rather than what we require for acquisition point of view from Dubai subsidiaries to here, have we thought on that anything?

Shikhar Aggarwal: As and when the money is required we are getting it and also as you know this quarter we have declared the highest ever dividend the management has decided because of the highest EBITDA achieving the quarter we have declared the highest interim dividends and also the contracts that we are bidding for as and when they fructify we will need to deploy a good amount of cash even in operation of those contracts because these are all big contracts.

Rikesh Parikh : Just lastly on the digital services side right now we are roughly around 17% of the revenue coming from that so down the line where do we see in terms of percentage revenue will it be ramping up or we are looking at certain size between visa and the digital services space?

Shikhar Aggarwal: As of now our long-term strategy is that we maintain the ratio or the revenue mix between both visa and digital service business and that is what we foresee in the near future because we expect major growth coming in from both the segments. So, our total revenue of the Company will increase and profitability will increase, but the revenue mix should retain almost the similar.

Rikesh Parikh : And the last question if I can squeeze in what is the profitability in the case of digital revenue?

Shikhar Aggarwal: So, I think quarterly average we are doing a 10 crore of profit in the digital business currently 12% margins.

Rikesh Parikh : Thank you

Moderator : Thank you. The next follow up is from the line of Joseph Mathew Individual Investor. Please go ahead.

Joseph Mathew : So, how do you think is difficult for our competitors to entry into our business?

BLS International
February 07,2023

Page 10 of 16

Shikhar Aggarwal : We already have competitors which are operating in the business and then if you are talking about new entrant entering to the business then definitely there are big barriers to the business. It also took us many years to get qualified for these tenders. They require experience of working with those many government for x number of year. So, it took us slowly we build our capabilities and that is the reason that now all the tenders that we are working on there are only handful of companies in the world including ours which are qualified.

Joseph Mathew : And is the business still seeking out any M&A opportunities like and if it has been which industry would it be like what standards would you evaluate for such opportunities?

Shikhar Aggarwal: You have seen the success of M&A that we have done in the recent past with Zero Mass, with Starfin we did a revenue of 42 crores in the quarter and generate a profit of 10 crores for digital service business. So, definitely we are looking at acquisition in both the visa, passport and digital service business and we are looking at not buying a Company at a heavy valuation. So, we are looking at tractor multipliers which can add also we can very fast recover our investments. So, I think this is what we are looking at.

Joseph Mathew : Earlier you mentioned Russia so the geopolitical tension that is going on in Asia region what do you think would be their effect or what is the visibility on Russia looking up?

Shikhar Aggarwal: See definitely as you know this is a global world that we are living and we are a global Company

where we operate in 64 countries globally. So, whatever numbers we have achieved right now which is with negligible numbers coming from both Russia and China and so we have not even achieved 2019 numbers. So, whatever things open up things will only benefit us. So, right now we do not have any outlook on the Russia or any other space. As I have informed you before we have been told to ramp up our capacities in China already which we are doing because we are expecting the government is expecting the things to open up and numbers to come in. So, Russia

also maybe in the near future things should become normalized.

Moderator : Thank you. Next question is from the line of Aman Vishwakarma from RoboCapital. Please go ahead.

Aman Vishwakarma : So, what I need to know was so you have won few couple of contract so what is the time period of these contract?

Shikhar Aggarwal: Sorry you are talking about ?

Aman Vishwakarma : Towards the time period of these contract how is that like, is it a one-year contract or five-year contract?

Shikhar Aggarwal: Normally it is 5 to 7 years.

BLS International
February 07,2023

Page 11 of 16

Aman Vishwakarma : And as a follow up so what is the switching cost that a government would have to take on let us say if it does not want to continue with BLS and maybe just switch to VFS or something, so is it possible for you to quantify that sort of switching cost?

Shikhar Aggarwal: Government does not take any cost. So, all the cost are bared by us or the vendors.

Moderator : Thank you. The next question is from the line of Dhvani Shah from Investec Capital. Please go ahead.

Dhvani Shah : So, couple of questions first I will start with EBITDA volume just wanted to understand if there is any seasonality in Q3 and are there impact in gross margins in any way?

Amit Sudhakar : Yes there is a seasonality as you know people travel to Europe during the summer and people travel to India and Asian countries during the winter. So, there is a seasonality and normally the peak is mainly during the summer season. So, there is little bit of impact and obviously that has some impact on our profit margins, but what we have seen in this quarter per se the revenue travel what we were talking about has resulted in growth in the volumes during this quarter whereas normally this quarter is little subdued compared to Q2.

Dhvani Shah : Also wanted to understand now that we have lower our expenses or we have come down from 9.5% employee expense in Q2 to 8.5 on revenue and similarly with other expenses, are there any one off and can this be sustained going forward?

Amit Sudhakar : So, this is more because of the higher volumes and the revenues which have gone up. So, as this costs are I would say semi fixed and if we are able to continue with higher growth in Revenues, this percentage will continue to come down or it may stabilized somewhere around this level.

Dhvani Shah : So, there is no one off in the quarter right?

Amit Sudhakar : No, nothing one off during the quarter.

Dhvani Shah : On Karnataka and West Bengal within the digital services by when will they start contributing to the revenues and how much do you expect the contribution to be?

Amit Sudhakar: See the West Bengal has started last quarter only and Karnataka we have put the infrastructure in place and this quarter we will get the revenue from Karnataka.

Dhvani Shah : And if you can give any guidance and how much would that be?

Amit Sudhakar Little early days because it all depends on the transaction which happens. Next quarter we will have a better understanding both.

BLS International
February 07,2023

Page 12 of 16

Moderator : Thank you. Next question is from the line of Akshay Jain Individual Investor. Please go ahead.

Akshay Jain : My question is like with respect to last mile delivery and insurance like we are talking about it from past say three, four quarters like is there any revenue

being generated by that like substantial revenue?

Nikhil Gupta: The good news is that we have started the insurance part of it in all of our businesses and it is beginning to show some results, but the large volumes will come in with over a period of time.

Akshay Jain : So, like the 90,000 check points which we have we are having all that services from all the 90,000 or like it is just a tip of....

Nikhil Gupta We may not have the business from all the 90,000, but the business has started in all the 90,000. So, whoever is interested in insurance can come in and take insurance.

Akshay Jain : My other question is about our operating profit margin like would we expect it to be the same or to increase a bit or decrease something like that?

Amit Sudhakar: This quarter has been quite good as far as the volumes are concerned. If these volumes continue I am sure we will go on improving our EBITDA margins which have now touch from if you see last year we were somewhere around 12% to 13% now we are touching around 15% to 16%. So, what we have did during COVID of realigning our cost is showing results now as a percentage of EBITDA and we are sure if the volumes continue going up our cost may not go in the same proportion.

Akshay Jain : So, we can expect a bit of increase like revenue?

Amit Sudhakar : All depends on the volume of business we get.

Akshay Jain : My last question is like if you can just give a rough figure about the market share like we are top three so what is the market share we have with us with respect to the world?

Shikhar Aggarwal: Market share I think globally we would be having around 12% in the visa counselor service business that we are as I explained to you before that we are expecting and we are bidding for tenders wherein the market share held by competition is coming under tendering. So, if we gain a certain market share in those territory so then definitely a market share will go up on top of that the industry is also the outsourcing is also improving and increasing. So, definitely our market share will go up in the coming years.

Moderator : Thank you. The next question is from the line of Sudhir, Retired. Please go ahead.

BLS International

February 07,2023

Page 13 of 16

Sudhir: I have two questions first is it is nice to hear that China is opening up, so let us say from the first quarter of next financial year what do you expect the China contribution in the entire visa service revenue?

Shikhar Aggarwal: See right now whatever numbers we have achieved in spite of China being semi closed and the Russia semi closed. So, it is very difficult to predict what numbers will come from there right now, but because that we have started ramping up our capacities in anticipation of increase in numbers whether it happens in first quarter, second quarter we cannot comment on.

Sudhir: Basically what has been the contribution of China in the pre COVID?

Shikhar Aggarwal: Pre-COVID the contribution was I think the number of China was 15% of the total global volumes because see conventionally if you see China and Russia were major source markets for tourists. So, definitely those numbers still are negligible.

Sudhir: My second question is it is glad to know that we have 1.5 to 2 billion worth of opportunities still to be tapped now when we are talking about that you also mentioned in your presentation and various interviews that the share outsourcing is currently around 45% and if you will see to be going up to 50%, so this 1.5 billion plus opportunity that we are seeing is it what you are talking about the balance 15%?

Shikhar Aggarwal: No, This is majorly from the existing market because this is the visibility that we have on tenders, but we have not talked about the opportunity or the tender size for the markets which are outsourcing for the first time so that if we get any of those that will be definitely adding to the market.

Sudhir: So, I mean I am still not ab

le to get hold of this?

Shikhar Aggarwal: Let me explain you this opportunity is from the existing outsource market. Right now these contracts are being run by competition and since now we are qualified in this cycle so we are poised to gain a certain market share in these contracts. So, this is from the existing outsource market on top of this opportunity there is a not accounted for opportunity which is a non-outsource market, for example, we started working for the Philippine government, the Brazil government which outsource for the first time. So, these tenders sometimes take years to come that is why we have not mentioned this opportunity.

Participant : So, I understand so it is basically on account of increase in market share?

Amit Sudhakar : What Shikhar said that around 1.5 billion that there are the tenders which are coming in the market for retendering. So, they are the existing outsourcing business which are currently in the process of retendering.

BLS International

February 07,2023

Page 14 of 16

Moderator : Thank you. The next question is from the line of Sachin Individual Investor. Please go ahead.

Sachin: So, I will ask the question sorry to put you in a spot, but my question is with regards to note 5 and the results and the allotment of 15% of sweat equity, can you just elaborate in terms of the thinking around going for sweat equity and not looking at ESOPs or commissions associated with that and also are we looking for BLS-E Services to be listed in the near future.

Nikhil Gupta: Actually maybe you were not present earlier, but we have responded to this question earlier, but just to summarize BLS-E Services has a bunch of businesses which are banking correspondent business it is a e-Governance as well as this digital services. So, this businesses were started about 7 to 8 years ago and during that period the promoters have spent enormous amount of not only time and effort, but also their knowledge and also their contacts and also their own funds they have deployed in the business and given guarantees against their personal assets. So, all this time they never got any compensation for providing all of these services. So, the board considered it appropriate to give some sweat equity to the promoters on account of the work done in the past and for the future obviously. The reason behind not issuing ESOPs or commissions one because it is a cash outflow to the Company which we wanted to conserve and

the other thing is not tax efficient to do any of that. So, various reasons went into it and the board considered all of that before taking this call.

Sachin: Are we looking to list that entity that is the second part of my question?

Nikhil Gupta: That is something which is open right now no immediate plans.

Sachin: Another question is it possible for us to see monthly business update like few firms kind of do that at the end of the month we know how many visa applications out of which market have been processed or just to give a visibility in terms of how we approach towards the coming quarter I know we have had very good results, but just in terms of being comfortable through the quarter is that a possibility?

Amit Sudhakar : We can consider this, but since we are working on a global environment. So, globally we get the information in MIS. So, yes we can look at it at the moment thanks for your suggestion we will look at that.

Moderator : Thank you. Next question is from the line of Ankit Wadekar Individual Investor. Please go ahead.

Ankit Wadekar : So, sir I just want to know that in terms of financials so other income which is double as far as QoQ and YoY, so what could be the main reason for it?

Amit Sudhakar : See other income has gone up mainly due to higher interest incomes, as you have seen the interest rates have gone up so has increased interest on FDs, secondly there has been a reversal

BLS International

February 07,2023

Page 15 of 16

of excess

provisioning against the debtors during COVID last year as per the accounting standard 37 and this Qtr it has been reversed because those collections have come in and the debtors have come down so we have reversed around 3.5 crores of excess provisioning in this quarter.

Ankit Wadekar : So, sir we have issued the bonus share right now and last time we have issued the bonus share so what would be the main reason for issuing a bonus share in a very short span of time?

Shikhar Aggarwal: I think the main reason for issuing bonus share was to increase liquidity in the market and to reward our shareholders so that was the main reason.

Ankit Wadekar : And sir currently about these our UK visa business what is the status of that in terms of renewals?

Shikhar Aggarwal: Under tendering process.

Ankit Wadekar : And sir how much we earn from this value-added services which we have in terms of revenue and the profit margins?

Shikhar Aggarwal: Profit margin is similar we are doing I think around more than 15% profit margins on an annual basis this is what we are doing the profit margin is same.

Ankit Wadekar : And sir one last question do we have any CAPEX plan in the future?

Shikhar Aggarwal: CAPEX plan average acquisitions plans we have and CAPEX what we are doing every year to refurbish our 10 to 15 crore we use to refurbish our offices globally and on top of that if additional contracts come that will require CAPEX.

Moderator : Thank you. The next question is from the line of Neha Mehta Individual Investor. Please go ahead.

Neha Mehta : I just had one question regarding CAPEX required for digital services so do we have any plans for CAPEX in digital services?

Nikhil Gupta: There is very limited CAPEX required for the digital services most of the CAPEX goes into acquisition finance and as well as the new contracts that we get.

Neha Mehta : Sir is there any acquisition in pipeline then?

Nikhil Gupta: There is always a list of things that we are looking at and some come up to maturity and then we announce it.

BLS International

February 07,2023

Page 16 of 16

Moderator : Thank you. As there are no further questions I now hand the conference over to Mr. Shikhar Aggarwal for closing comments.

Shikhar Aggarwal : Thank you everyone for your participation in our Q3 FY23 Earnings Call. In case of any further queries you may get in touch with Adfactors PR or feel free to get in touch with them. We look forward to interacting with you next quarter. Thank you.

Moderator : Thank you very much. On behalf of BLS International that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

May 16, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
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400051

BSE Ltd.,

Phiroze Jeejeebhoy
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of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on May 12, 2023

In continuation to our intimation dated May, 04 2023, please find enclosed a transcript of the Earnings Call held on May, 12 2023 to discuss the operational and financial performance for Q4 FY 2022-23.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

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Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

Encl: as above

Page 1 of 16

"BLS International Services Limited
Q4 FY23 Earnings Conference Call"

May 12, 2023

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR – BLS
INTERNATIONAL SERVICES LIMITED
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
– BLS INTERNATIONAL SERVICES LIMITED
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR – BLS INTERNATIONAL SERVICES
LIMITED

MODERATOR : MR. RAHUL TRIVEDI – ADFACTORS PR

Page 2 of 16

BLS International Services Limited

May 12, 2023

Moderator: Ladies and Gentlemen, good day, and welcome to the Q4 and FY '23 Earnings Conference Call of BLS International Services Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant's lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal, Joint Managing Director of BLS International Services Limited. Thank you, and over to you, sir.

Shikhar Aggarwal: Good morning, everyone. I welcome you all to our Earnings Conference Call to discuss the business and financial performance for Q4 and FY '23. I have on call with me today Mr. Nikhil Gupta, Managing Director; and Mr. Amit Sudhakar, Chief Financial Officer of the company.

Our performance in the fourth quarter has been in line with expectations, continuing the growth trajectory of the previous quarters. Continued recovery in travel and tourism across the globe is boosting volumes and revenues in our Visa business, which is growing month-on-month. An early pickup of travel has been boosting visa volumes as several people are traveling before the onset of summer. With higher volume, we are benefiting from economies of scale, leading to improvement in margins. Moreover, our value-added services are also contributing to our profit margin.

We also increased our stake in Zero Mass Private Limited through a share transfer agreement in March 2023. Post this acquisition, BLS E-Services now holds aggregate of around 91% of the paid-up equity share capital of ZMPL. We have won several new contracts during the period. We have signed an agreement with Polish Embassy in Manila to provide visa outsourcing services. Under this agreement, we will be processing 20,000 applications annually and opening offices in Manila and Cebu. We are thrilled to have signed the contract with the Polish government because it marks the beginning of our relationship with them, and we are optimistic for taking part in their upcoming tenders worldwide.

Moreover, we signed an MoU to accept electronic visa on arrival for seamless travel to Thailand. Our significant development will enhance the traveling experience for Thai tourists. A projected 75,000 or more applications are anticipated for the forthcoming season, which is likely to drive continuous increasing travel to Thailand. We will start the EVOA's applications from 17 countries worldwide for Thailand. Also, we have signed a

Page 3 of 16

BLS International Services Limited

May 12, 2023

contract with a Thai Embassy in South African and neighbouring countries for visa outsourcing services.

On the digital front, we are able to offer banking correspondent e-governance services through a common touch point. We are investing in infrastructure and manpower to expand our digital services segment. Moving to the growth potential, we are looking to restructure the business to make the digital service segment a self-funded, growth-oriented and independent business.

To sum up, I would like to say that we are optimistic about both our Visa and Digital Service business and aim to grow both independently. This is all from my side. I now hand it over to Mr. Amit Sudhakar for updates on financial performance. Thank you.

Amit Sudhakar: Good afternoon, everyone. I'm pleased to present the financial performance for the fourth quarter end

ed March 31, 2023. In Q4 FY '23, we achieved a revenue of INR 449 crores, reflecting an impressive 76% Y-o-Y increase and 2.45% quarter-to-quarter growth. This growth was mainly -- primarily driven by the robust recovery of visa volumes bolstered by the Digital Service business. We have witnessed a surge in travel with early onset of summer, which boosted our Visa business. I'm pleased to inform you that we are currently experiencing positive momentum across all our businesses and hold a strong sense of optimism for sustained growth in the coming quarters.

During the quarter, our EBITDA stood at INR 67 crores compared to INR35 crores in the corresponding quarter of last year and INR 66 crores in Q3 FY '23. The EBITDA margin for the quarter stood at 14.83%, an increase of 103 basis points compared to corresponding quarter last year. We are able to offset the impact of higher employee costs by implementing cost optimization and managing higher volumes, thereby benefiting the EBITDA margin for the quarter. In Q4, FY '23, the profit after tax stood at INR77 crores as compared to INR 35 crores in previous corresponding quarter and INR 46 crores in Q3 FY '23.

Moving on to the financial year ending March 2023, our revenue grew by 78% Y-o-Y to INR 1,516 crores. Our EBITDA stood at INR221 crores, growing 107% Y-o-Y while our EBITDA margin improved by 200 basis points to 14.58%. Our PAT for the period was INR204 crores as compared to INR111 crores in the previous financial year, representing an increase of 84% Y-o-Y. Lastly, the Board has recommended a dividend of INR0.25 per share on the expanded equity capital for the current year FY '22, '23 subject to shareholders' approval.

In conclusion, we are committed to maintaining this positive trajectory and creating a substantial value for our shareholders. Thank you for your attention, and I'm now ready to address any questions you may have.

Page 4 of 16

BLS International Services Limited

May 12, 2023

Moderator: We have the first question from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: Sir, in March quarter, Digital Services gave good profit almost 40%, while visa services, 15%. So that trend continue in future too?

Amit Sudhakar: See, one is the growth which you are looking at is mainly on account of the new acquisition we did in digital services during the financial year. So the base was quite small, therefore the percentage-wise it looks much better at the moment. But if you look at overall scenario, the digital business of was 10% last year, it has now become around 20% of our overall revenue. So that is the increase over the year, but if you look at from a medium-term perspective, we see a growth in both the businesses going forward.

Ravi Naredi: Okay. Secondly, you mentioned MoU with Thailand for 17 countries worldwide. And now you tell again, Thai embassy contract different of South Africa contract. Why you gave 2 separate announcements?

Shikhar Aggarwal: Correct, this is Shikhar this side. So basically, we have been outsourced the physical visa from the Thai embassy in South Africa and neighbouring country. So that is the physical visa that we'll be processing. People who go to the embassy, they will have to come to us. And then parallelly, we have signed another MoU with Thailand government, wherein we will be processing the electronic visa on arrival which is a digital for many countries worldwide for people visiting Thailand from different countries.

Ravi Naredi: Right. Yes, sir. Sir, any more acquisition are in pipeline at present? Or how many visa services applications we made usually? And what is our success rate in these visa application services execution. These are my questions.

Shikhar Aggarwal: Yes. So we did around 78 million applications as of 31st March, 2023. And last year, we processed around 16 million applications. There are -- if I got your question correct

tly, there

are multiple acquisition opportunities. Nikhil, would you like to put some light on that?

Nikhil Gupta: Yes. Actually, we are continuously looking at acquisition opportunities, and we have created a pipeline of such opportunities. And we are at different stages of discussion. So it's not possible to give any further information until they are concluded.

Ravi Naredi: Right, right. And we are just reaching to 1 billion market cap in advance, I'm wishing you all the best.

Nikhil Gupta: Thank you very much, sir.

Moderator: We have the next question from the line of Omkar Kamtekar from Bonanza Portfolio.

Omkar Kamtekar: So sorry for the disturbance. So first question is, are we looking to expand any regional

Page 5 of 16

BLS International Services Limited

May 12, 2023

offices in India? So we currently have Punjab, Uttar Pradesh, Rajasthan projects ongoing.

So are there any plans to expand the regional footprint?

Nikhil Gupta: No. I would say that we are constantly looking at opportunities and bidding for projects,

which are outside in these 4 areas. So there is no focus only on some areas in India. As you know, we have a presence in banking across all states in India. So we are present already and we want to expand.

Omkar Kamtekar: Okay. And just to understand the acquisitions that are in pipeline, so these are -- which segment facing. So are they basically business facing or are the overall visa consular also.

Any idea on that?

Nikhil Gupta: We are working on the entire pipeline, which includes visas and includes the digital services, both.

Omkar Kamtekar: It's both. So it's not specifically targeting any segment like digital services or visa.

Nikhil Gupta: Wherever there's a good opportunity.

Moderator: The next question is from the line of Ankita from Shree Capital Services.

Ankita: Hi Sir, Good Morning and Congrats on a good set of results. So I have a basic question. I just want to understand your business model in the sense. Like, let's say, when you're acquiring a visa processing for a new country. How is this whole process? Because there are many competitors, right? So how is this whole process you're acquiring the deal like? Is it your bidding process? Could you please throw some light here?

Shikhar Aggarwal: Yes. So Ankita, we have now -- our company has been there for the last 12 years. So we have been continuing bidding for contracts. So I can tell you that this industry is quite segmented with only 3 players qualified globally for all the tenders, so we've been the only Indian company. If there is a tender, any government tender, if you qualify, you have to bid for it and the model is that you don't collect money from the government. And you collect up-front money, which is a tendered value that you demand. So that is how the model works, and we'll take care of all our expenses, everything from the revenue that we generate from that service charge plus value-added services.

Ankita: Okay, sir Thank You. And my second question is like, are we gaining market share? Because I think our biggest competitors in India is VFS. So how are we like are we ahead? Could you just throw some light on that, too?

Shikhar Aggarwal: So definitely, every year -on-year, month -on-month, we are increasing our market share. If you see, in the last 2 years, we have won quite a few contracts with Germany, Philippine and different governments. So definitely, our market share is increasing year -on-year.

Page 6 of 16

BLS International Services Limited

May 12, 2023

Moderator: We have the next question from the line of Rahil Shah, an individual investor.

Rahil Shah: Good Morning. Yes. I just want to ask are you providing any revenue or margin outlook for FY '24? How do you feel about the business growing more?

Amit Sudhakar: Sorry, I couldn't hear you.

Shikhar Aggarwal: Amit, he is asking about revenue and margin outlook. You

go ahead, Amit, on that question.

Amit Sudhakar: Rahil, you have seen this year and in the last 2 years, our growth trajectory has been in the range of 50% to 70% growth. Yes, it was based on a COVID situation. But this growth has now stabilized around these levels, depending on as and when we get a new contract, it will go to a different level. But the current momentum is steady, and we think this will continue. Margin will obviously improve as the volumes will start picking up further.

So like Shikhar has talked about earlier that a few geographies are still to open like China and others, obviously, we will improve the revenue as well as the EBITDA going forward.

Rahil Shah: Did you say 50% to 70%, and that is 5-0, 7-0 percent growth you've seen?

Amit Sudhakar: See, last year, we have done about 70% to 80% growth. Going forward, it will taper down to around 20% to 25% of the existing business. But with the opening of new geographies like China and others, may grow by another 10% to 15%. So that is the range which we expect.

Moderator: We have the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes. This quarter, the revenues were a little tepid relatively. So the China and the Russia side of things, were supposed to begin to at least contribute to revenue. Has it not come through this quarter? Or it's just a timing difference and is expected to sort of come on a going-forward basis?

Shikhar Aggarwal: See, basically, normally last quarter for us is normally subdued in terms of travel season, but still, we did a growth from the quarter 3 because March, we saw some early summer actually beginning. From China, we saw only probably 10 - 20% probably 30%, 35% of the pre-COVID numbers coming in from 0. So definitely some numbers have started to come in, but fully China is not opened up. So I think in the coming quarters, we will see more revenue coming in from those geographies.

Nitin Padmanabhan: So the flow from Moscow for Spain, so that is opened up or that is yet to sort of open?

Shikhar Aggarwal: Sorry, the flow from?

Nitin Padmanabhan: Moscow for the Spain -- Spanish contract.

Shikhar Aggarwal: No. that is -- still, the numbers are still very low because of the different issues that are happening globally. So definitely, those numbers are expected to grow.

Nitin Padmanabhan: Okay. Okay. Any sense by when you think this will open up or you think it's still difficult to sort of predict when it actually comes through.

Shikhar Aggarwal: I think it's a political issue, more of a political issue between Europe and certain geographies. So I think demand is there, but I think as soon as flights, direct flights start from Moscow to different European countries and more travel is allowed, definitely, people are willing to travel. So I think we are ready with the capacity as soon as the government starts sending more people or allowing more people. So definitely, numbers will increase. But we don't have any specific time line, but we expect within a year's time, definitely things from Russia to get back to normal. And China has already started to become -- the number has started to grow month-on-month.

Nitin Padmanabhan: Sure. Fair enough. And on the Digital Services business, I think we added West Bengal during the quarter.

Amit Sudhakar: Karnataka was added during the quarter.

Shikhar Aggarwal: West Bengal also was added.

Nitin Padmanabhan: Right, right. So when we look at both of them, the 5% sequential growth that we're seeing, would it mean that the Zero Mass side of the, or the banking correspondent side of the business was relatively flat during the quarter?

Shikhar Aggarwal: Yes. Nikhil, can you take this call -- question?

Nikhil Gupta: Yes. The March quarter has been -- there is growth, but not the kind of

growth that we

would have expected. We think that this coming quarter could look much better for the banking correspondents.

Nitin Padmanabhan: Okay. And what's driving that confidence at this point in time? At least from a business perspective some type.

Nikhil Gupta: Two things have happened. One is that we've got more allocation of new areas and new consumer -- the customer service points. We've also got a few more banks which we are working with, and that will help us to increase on the volumes. In addition, we find that the economy also is showing some signs of improvement where the numbers pickup is in the banking side.

Nitin Padmanabhan: Okay. Sure. Fair enough. And if possible, what was the accretion from West Bengal and

Karnataka this quarter, if it's possible?

Nikhil Gupta: Minimal. Amit, very little.

Amit Sudhakar: I don't have at the moment with me, but I will come back to you with that number.

Moderator: The next question is from the line of Pramod R., an individual investor.

Pramod R.: Shikhar, could you please throw some light on the upcoming tenders as well as what is the expected CAGR growth for coming quarters?

Shikhar Aggarwal: Hi, See, as you know, in the last 1, 1.5 years, we have won quite a few contracts with the likes of German government, Philippine government, Poland government, Estonia government, so which are -- we are in the process of deployment, deployed a few. And now in the next few quarters, definitely there's an opportunity of more than \$1 billion that we have talked about. And we're in the process of bidding in the different stages of different tenders. So definitely, when those come in there will be additional growth, as Amit had mentioned in the previous question. But if you talk about from the existing revenue, definitely, whatever we have achieved in the last quarters, we expect to maintain that. And further if different geographies like China, Russia open up, there will further grow from existing contracts.

On top of, if you add the new contracts, exactly, we don't know how much market share we will win. But if we win, then there will be a further increase in growth trajectory.

Moderator: The next question is from the line of Bapodara Mayur, an individual investor.

Bapodara Mayur: So congratulations to the management on good set of numbers. So my question was regarding an earlier call, we stated that we want to bid for that last mile delivery services in e-commerce businesses. So I want to understand the thinking process behind those businesses, is this related business? Isn't it more crowded space?

Nikhil Gupta: Shikhar, I'll answer that?

Shikhar Aggarwal: Yes, please go ahead. Please.

Nikhil Gupta: Yes. This is a business for -- it's an extension of the banking business that we are doing. And the public sector banks alliance have had quoted an inquiry and a tender for bidding

for the last mile delivery of cash. We see that as an opportunity and the extension of our existing business. And as a result of it, we have bid for it. It's not yet finalized the contract. We hope it will get done in this quarter.

Bapodara Mayur: Okay. No. So I think I misunderstood that. Is it for last mile delivery for cash? Or is it for e-commerce things like Flipkart and Amazon.

Page 9 of 16

BLS International Services Limited

May 12, 2023

Nikhil Gupta: No, no, this particular tender you're referring to was for cash.

Bapodara Mayur: Okay? And is there any other things like last -mile delivery for e-commerce products?

Nikhil Gupta: We are doing some retail work also, which includes the last mile delivery. We started that about 6 months ago, and that's still in its nascent stage, but it's progressing well.

Bapodara Mayur: Okay. So how are the margins in those lines of businesses? Is it same with our current business line?

Nikhil Gup

ta: No. In this kind of -- you will understand that in trading and e-commerce, the margins are not in the same level, but there is no cash deployment, and we still get a reasonable return on this business.

Bapodara Mayur: Okay. Great. And my other question was regarding the increase in depreciation and amortization expenses related to earlier quarters. In quarter 3, it was around INR3.5 crores, and it has jumped to INR8 crores, almost. So are there any policy changes in our depreciation and amortization expense booking?

Amit Sudhakar: No, there is no change in the depreciation and amortization policy, but they were IT investments which we have done, on that depreciation has started now because the IT software got installed and was operational. We have started using it. And there was an impairment in one of the assets, which is a yearly exercise to review the fair value of all the assets. In that, there was an impairment on 1 asset, and that has impacted by about INR1.2 crores in this quarter.

Bapodara Mayur: Okay. So going forward, it will be around these numbers only or it will reduce by the onetime item?

Amit Sudhakar: This INR1.2 crores will not come again, but the normal depreciation will be there.

Moderator: The next question is from the line of Sumit Chandwani from Earth Equity.

Sumit Chandwani: So a couple of questions. One, can you please explain this exceptional item, which is there in the last quarter, it was an expense. And this time, it appears to be an income. Both are related to, I think, these shares that were issued to the promoters in one of the subsidiaries. So can you please explain these accounting entries?

Nikhil Gupta: Yes. Let me do that, Sumit. Actually, what happened was that after due consideration and acting upon the feedback received from various stakeholders, the Board unanimously decided to reduce the amount of sweat equity of BLS E-Services given to the promoters. So based on whatever feedback we got from all of you and the other stakeholders, the sweat equity, which was earlier allotted to the promoters was reduced substantially after approval

Page 10 of 16

BLS International Services Limited

May 12, 2023

of the Board, and that's what you see in the accounting entry.

Sumit Chandwani: So this is a onetime so the net effect is INR2.60 crores for the year, and this is it for this year, or this will appear every year?

Nikhil Gupta: No, no, no. This is one time.

Sumit Chandwani: This is one time. Okay. Got it. All right. So second question is on your segmental results. If you go to the segmental results, now the Digital Services showed a loss of INR16 crores in the last quarter on about INR75 crores turnover. And this time, it is showing a profit of INR31 crores. Can you please explain the reason?

Amit Sudhakar: Sumit, this is because of this sweat equity impact only. Because this sweat equity was given in BLS E-Services, which is a part of the Digital Service company. That has impacted the profit in the last quarter that is Q3 FY23, actually.

Sumit Chandwani: Last quarter.

Amit Sudhakar: Yes. That's right. So the impact of that has been there.

Moderator: We have the next question from the line of Rajiv Venkatesh, an individual investor.

Rajiv Venkatesh: I hope you guys are doing great. So I have a couple of questions here. One is on the renewal contracts, especially in the European region. We haven't heard anything from Spain or any other regions on the renewal contracts. Can you throw some light on that?

Shikhar Aggarwal: Yes. So as and when the contracts are renewed and we are legally informed by the government, we will be informing the exchanges and the market.

Rajiv Venkatesh: But it was supposed to come for renewal this year or last year, if I'm right.

Shikhar Aggarwal: Correct. Correct. Correct. So as and when everything is formalized, we'll be talking about it.

Rajiv Venkatesh: Ok

ay. And the second question is on EBITDA margins. We are close to 15% margins this year. So if I look pre-COVID in 2018, we clocked somewhere close to 20% margins. Is there a possibility to reach the 20% margins considering that China and Russia may come online probably this year or by first quarter of next year? What are your thoughts on this?

Shikhar Aggarwal: Amit, would you like to take that?

Amit Sudhakar: Yes. Rajiv, first that, when you're talking about FY '18, that was mainly because of the Punjab contract, which was an annuity-based contract. And we have done a major investment of more than INR125 crores, and the impact of that was in the depreciation. So

Page 11 of 16

BLS International Services Limited

May 12, 2023

if you see the depreciation in that year was much higher and the net profit was more or less same at that time. But as that contract has changed now, ideally, if you look at financial from '19 onwards and without the Punjab contract business. We have grown from 13% to now 15% EBITDA margins. And as and when this business further grows and the revenues continue growing upside, this will go up by at least another 100 to 200 basis points, depending on how the volumes comes up.

Moderator: We have the next follow-up question from the line of Ravi Naredi from Naredi Investment.

Ravi Naredi: So one my relative apply for Spain visa from Delhi, but they are not getting any interview there -- there is a long queue while if they apply for -- from Kolkata, they are getting in 3 days only. So why this rush and why not we arrange smoothly in Delhi? This is my question, sir.

Shikhar Aggarwal: Ravi, thank you for the question. I don't think we will be able to comment on individual cases. We work under the guidelines of the government.

Ravi Naredi: Yes, I understand.

Shikhar Aggarwal: Yes. Thank you.

Moderator: The next follow-up question is from the line of Omkar Kamtekar from Bonanza Portfolio.

Omkar Kamtekar: So in the last 2 years, we have incurred significant amount of investment in the assets. So we have done good amount of property plant and equipment in tangible investment. So any idea how much more are we looking to spend in expanding the infrastructure? Any idea on that?

Amit Sudhakar: I think we have done basic infrastructure investment on the assumption of the current volume of operations. Any further new contracts, which requires further investment, we are ready to do that. But on regular basis, which we have been saying every year, we have a normal operating capex requirements of around INR 15 crores to INR 20 crores. But any new contracts or big tenders which we win, may require an incremental capex.

Moderator: The next question is from the line of Harsh Sharma, an individual investor.

Harsh Sharma: So I wanted to ask what is our strategy to identify the governments that are not currently outsourcing visa consular services?

Shikhar Aggarwal: See, our strategy is very simple. We look for the countries where the volume is there, and governments are currently facing a problem in processing. And government's policy changes in the government level. What are they looking at and what is -- where the future growth markets will come from.

Page 12 of 16

BLS International Services Limited

May 12, 2023

Harsh Sharma: Understood that, sir. And one more question. Sir, what are the barriers for new players to enter this industry and our market shares?

Shikhar Aggarwal: Correct. So barriers are too many. There is qualification criteria in which you need to show your experience, a different time government, the SLAs, the data protection. Different, different barriers are there in terms of history and the industry and how many governments presence, global presence. So that is why only a handful of companies are qualified to bid for these tenders.

Harsh Sharma: And sir, last question, like do we have any capex plans?

Shikhar Aggarwal: I think on a normal basis, Amit, every year, we have a regular capex, which is a small amount. But in case there is any big tenders that we win, definitely, there will be some capex that has to be run in deployment of the offices globally.

Harsh Sharma: And is that -- like prior to my previous question, are there any barriers only for the digital services business?

Shikhar Aggarwal: No, there are barriers in both visa outsourcing business. For the digital service businesses, Nikhil, would you like to take that?

Nikhil Gupta: Yes. Actually, experience is clearly one of the important barriers, and what you've achieved in the past and what your experience is, is critical to getting, winning any new business.

Moderator: We have the next question from the line of John Matthew, an individual investor.

John Matthew: I believe we might have discussed this, but I'm going to ask anyway because -- Okay. So going ahead with the question. Are we seeing any specific growth from a particular region when it comes to growth in our visa business?

Shikhar Aggarwal: Yes. Definitely, I think a particular region is that definitely, we had an increase in revenue per application wherein -- in the last couple of years, the consumer demand pattern has changed. People are opting for more value-added services, more at home services. So that is definitely one of the reasons. We've got certain increases in service charges during COVID and there has been a different increase in consumer volume. In the last 2 years, we've also won a few contracts that we've deployed, so there has been additional revenue and profit generation from those contracts. So those are the couple of reasons from the Visa business while there is an uptick in revenue and profitability.

John Matthew: You having said that, how do you think is this growth rate sustainable?

Shikhar Aggarwal: I think we already discussed about the growth rate that whatever numbers we have achieved when there is a further opening up of geographies, there can be a further growth from the

Page 13 of 16

BLS International Services Limited

May 12, 2023

existing contracts. On top of that if we win newer contracts that could be an addition on the existing base that we have achieved. So there will definitely, we wish to maintain the growth trajectory that we have done in the last few quarters.

John Matthew: Two, three more questions I have. Since China has opened its borders, what kind of revenue in terms of volumes can we expect?

Shikhar Aggarwal: So, see China has recently opened up their borders, but governments also need to take time to ramp up the capacity and demand starts coming in, in certain time. So definitely, we will see as the number goes because from 2019, definitely we are doing high numbers. So if we achieve those numbers back, we will be doing overall of our application volume around 10% comes from China, 10%, 15%. So if that comes back, definitely there will be increase in overall percentage for BLS.

John Matthew: Okay. Talking about our cash position, especially since this quarter has been highly cash generative, what is our plan regarding utilization of cash like how do you plan to use the cash?

Shikhar Aggarwal: We are looking at inorganic growth opportunities in terms of mergers and acquisitions. And definitely, the contracts that we're bidding for, there will be a deployment of cash that is necessary in terms of opening of offices globally. And also on top of that, we are rewarding our shareholders with different dividends all the time. So I think this is how we are utilizing our cash.

John Matthew: Okay. And last question, sir, what is our current working capital cycle?

Amit Sudhakar: Ours is a negative working capital cycle. So we don't need money for the working capital. Further, it will depend upon any new contracts.

Moderator: We have the next follow-up question from

the line of Bapodara Mayur, an individual investor.

Bapodara Mayur: So actually, I wanted to expand on the previous question regarding profit before tax of Digital Services. So you alluded that it was due to that subsidiary, sweat equity changes that last quarter, it was minus INR16 crores, and this time it is INR31 crores. So excluding all business related, unrelated to business changes, what is the amount that will sustain?

Nikhil Gupta: Amit, will you respond?

Amit Sudhakar: Yes, I can do that. So see, basically...

Bapodara Mayur: As I wanted to ask what is the sustainable rate?

Amit Sudhakar: EBITDA margin basis.

Page 14 of 16

BLS International Services Limited

May 12, 2023

Bapodara Mayur: EBITDA margin.

Amit Sudhakar: So currently, we are working at a 12% to 13% EBITDA margin business, and we see this can be sustained up to 14% to 15% once the volumes kick in, in this business.

Bapodara Mayur: Okay. And the next question is, we are targeting that unless we win new contracts in visa and consular services, our growth rate will be around 20%, 25%. And similarly, what will be our growth rate in Digital Services segment going forward?

Nikhil Gupta: We are targeting growth rates and since it's related to new business, the growth rates could be even higher than that.

Bapodara Mayur: Okay. And actually, I wanted to understand a bit regarding the current market size, global market size of Visa and Consular Services business and our market share in that as per FY '23 data.

Shikhar Aggarwal: So as per the Visa Consular business, I think our market share would be around, it's very

difficult to know the exact numbers since there is no particular report, but do you think our market share would be in the range of 12% to 15%.

Bapodara Mayur: And what is the global market size?

Shikhar Aggarwal: I think we would like to probably see this number exactly before commenting on that.

Moderator: The next question is from the line of Aniket Redkar an Individual Investor.

Aniket Redkar: Good Afternoon sir, I have a couple of questions. So I just want to know the capacity of U.K. Visa business renewals that we have.

Shikhar Aggarwal: I don't understand the question.

Aniket Redkar: I just wanted to know the status of the U.K. Visa business renewals that we have.

Shikhar Aggarwal: We are not currently working. But we have bid for the contract and currently there is no result. So as soon as result is announced, we will definitely let the market know.

Aniket Redkar: Okay. Okay. And sir, what is the reason behind the issue of the sweat equity in our subsidiary of BLS E -Services?

Nikhil Gupta: We didn't get the question. What was the question, again, sorry?

Aniket Redkar: So what is the reason and rationale behind this issue of sweat equity in our subsidiary called BLS E -Services to the promoter?

Page 15 of 16

BLS International Services Limited

May 12, 2023

Nikhil Gupta: We've already explained that, that it was earlier issued. And based on the feedback that we received from all the stakeholders, the Board has unanimously decided to reduce the amount substantially. That's only a INR2.5 crores amount remaining, and the reason why we have done it is because the promoters have bought the business to this stage, and they did not get any compensation for it. So we decided to issue sweat equity, which was non cash.

Moderator: We have the next question from the line of Neha Jain, an individual investor. Ladies and gentlemen, as the current participant was on hold and as that was the last question for today, I would now like to hand the conference over to Mr. Shikhar Aggarwal for closing comments. Over to you, sir.

Shikhar Aggarwal: Thank you, everyone. These outstanding financial results serve as a testament to our dedication, resilience and strategic initiatives. We are committed to maintaining this projected positive trajectory and

creating sustained value for our shareholders. Thank you

all for your attention, and I am now ready -- and thank you for participating in this call.

Moderator: Thank you, sir. On behalf of BLS International Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

August 18, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on August 11, 2023

In continuation to our intimation dated August 01, 2023, please find enclosed a transcript of the Earnings Call held on Friday, August 11, 2023 to discuss the operational and financial performance for the first quarter ended June 30, 2023.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI Membership No.: ACS40502

Encl: as above

Page 1 of 16

"BLS International Services Limited
Q1 FY24 Earnings Conference Call"

August 11, 2023

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR – BLS
INTERNATIONAL SERVICES LIMITED
M R. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
– BLS INTERNATIONAL SERVICES LIMITED
M R. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR – BLS INTERNATIONAL SERVICES
LIMITED

MODERATOR : ADFACTORS PR

Page 2 of 16

BLS International Services Limited

August 11, 2023

Moderator: Ladies and gentlemen, good day and welcome to BLS International Services Limited Q1 FY24 Warnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the belief expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties which are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal, Joint Managing Director.

Thank you and over to you Mr. Aggarwal.

Shikhar Aggarwal: Good afternoon everyone. I welcome you all to our earnings conference call to discuss the business and financial performance for Q1 FY24. I have on call with me today Mr. Nikhil Gupta, Managing Director, and Mr. Amit Sudhakar, Chief Financial Officer of the company.

I am happy to say that we have begun the new financial year on a strong note. The company's performance in the first quarter of FY24 was in line with the expectations, maintaining the upward trend of growth seen in previous quarters. The on-going revival of the travel and tourism industry worldwide is driving an increase in the number of visa applications. This, along with higher realization, is leading to continuous month-by-month growth in our visa business.

Today, I would like to share some of the recent developments and highlights. Firstly, I am thrilled to announce that the Ministry of Foreign Affairs, Spain, has once again chosen BLS International as the global visa contractor for the visa application outsourcing. This marks the second time in a row that we have been trusted with this significant responsibility.

The contract covers a wide range of regions, including Europe, America, Latin America, CIS, Africa, Middle East, and APEC, among others. BLS International has been serving the Spanish government since 2016 and operates 122 visa application centers. We process almost 2 million applications from the Spanish government every year. And this number is expected to increase further.

What's more exciting is that we have also been outsourced a national visa for the first time, which will lead to further growth in volume and opening up offices in newer geographies. As normally is the case under the contract, BLS will also be providing different kinds of additional value-added services, including SMSs, couriers, mobile

Page 3 of 16

BLS International Services Limited

August 11, 2023

biometrics, etcetera.

By providing these services, we hope to enhance the overall experience for visa applicants and further strengthen our position as a trusted service provider. One of the key factors contributing to our success is the strong partnership we have forged with governments around the world. We currently work with more than 46 client governments in key. These partnerships have allowed us to leverage our expertise and provide unparalleled services to citizens and governments alike.

We've also won some new contracts with the Italian governments, Poland governments and different other governments. On the digital services front as well, we are making significant headway. Based on the growth of our banking correspondence and e-governance business, we decided to merge these two into the digital services segment and focus on growing these lines of business.

As our number of touch points across India increase, we expect robust growth of these revenues. The business now comes under our subsidiary BLS e-Services. I'm happy to share that Board has approved a fun

draising initiative through an IPO of its equity shares of BLS e-Services.

We recently filed the DRHP for the company with the SEBI. The move, subject to necessary approval and market conditions, will enable us to explore new avenues of growth and expand our reach. BLS e-Services will continue to be a subsidiary of BLS International Services. The fund raised through this will help fund our growth plan for this business where we see significant growth potential.

Overall, we aim to grow both Visa, Consular as well as digital service business organically as well as explore inorganic opportunities. To sum up, we are optimistic for the on-going fiscal and strive to foster growth. I would now like to hand it over to Mr. Amit Sudhakar, our CFO, for an update on the financial performance. Thank you.

Moderator: I'm sorry, sir, the line got dropped for Mr. Sudhakar. I'll reconnect him, sir. Give me a moment.

Shikhar Aggarwal: I can read for Mr. Sudhakar also.

Moderator: Sure, sir. Please proceed. I'll try connecting him in the meanwhile.

Amit Sudhakar: Okay. Good afternoon, everyone. I am pleased to present the financial performance for the quarter ended June 30th, 2023. In quarter 1 FY24, we recorded a revenue of INR383.49 crores, a 40% increase year-on-year, primarily driven by the robust recovery of visa volume supported by the value-added services.

Page 4 of 16

BLS International Services Limited

August 11, 2023

We are witnessing positive momentum across all our businesses and are optimistic about sustaining growth in the coming quarter. Our digital service revenue increased about 140% year on year during the quarter, supporting the overall growth. During the quarter, our EBITDA stood at INR80.5 crores compared to INR31 crores in the corresponding quarter last year, and INR66.53 crore in quarter four FY23.

The EBITDA margin for the quarter crossed 20% mark, standing at 20.88%, an increase of 933 basis points compared to the corresponding quarter last year. We were able to offset the impact of higher cost of services and higher employee costs by implementing cost optimization and managing higher volumes, thereby benefiting EBITDA margins for the quarter.

In Q1 FY24, the PAT stood at INR70.99 crores as compared to INR30 crores in the previous corresponding quarter and INR76.73 crores in Q4 FY23. That's all from our end and we can now open the call for any questions. Thank you.

Moderator: We'll take the first question from the line of Ravi Naredi from Naredi and Investments. Please go ahead.

Ravi Naredi: Thank you for giving me opportunity. Mr. Shikhar, I am watching BLS International since last six years and realizing how you change the fortune of company with help of good consultant. Our fund is stuck with Punjab government and how we come out of that mess? Now you change business model. I am very much impressed as you are doing -- you are working and wishing you all the best.

Now my question is how many visa tender work we apply and likely to get in next few months, maybe March 24 and INR642 crores cash, how we utilize for the development of company and we are also making an IPO in subsidiary, we may be receiving money from there, so what is your plan for long term purpose? If you tell specific, it will help us. thank you very much.

Shikhar Aggarwal: Thank you first of all Mr. Ravi for your good wishes and I would like to reiterate that we have a 10,000 more strong strength of people in the company that are working hard you know for the growth of the company and there is no particular individual you know so it is the entire company that is working towards the growth of the company. It is teamwork. Yes, and second of all, the growth, if you see the contracts that we have won in the last few years, in the last few months also that we have announced with the Italian government, we have announced our sixth contract within this year itself. With Polish government, w

e have recently announced a contract. With Thai government, we have announced a few contracts. So we have been winning all of these contracts and deploying these contracts.

Page 5 of 16

BLS International Services Limited

August 11, 2023

In the next few months and few years also, as we discussed last time, there are multiple

opportunities coming out for contracts, so that we will be bidding for. The opportunity is huge. We have already mentioned more than a \$1 billion opportunity. Out of this, some has been realized as the contract that we have been willing for.

So the opportunity size is huge and whatever number that we have recently renewed our contract with the Spanish government also. So all the contracts that we have won we have deployed and these new contracts as and when they come, it will lead to an increase in profit and revenue of the company.

Regarding BLS digital services, which is BLS e-services business, you know that has grown around 140% compared to similar quarter last year, you know that is a fantastic business.

You know we see growth coming in that business also, but we do not want to utilize the money earned in visa business for the growth of that business. That was the reason that we wanted to list the company and we have filed the DRHP. The funds that will be coming in will be utilized for both organic and inorganic growth opportunities of that company. So, you know, we are expecting future growth in that company also, you know, coming in.

Ravi Naredi: Nice, sir. Really, those 10,000 employees are also part of our family. I forget to mention their numbers, so sorry for that. And in the state of dividend in future, you consider buy back, it will help us as a shareholder and as an investor. Thank you very much.

Moderator: Thank you. We'll take the next question from the line of Sakshee Chhabra from Svan Investments. Please go ahead.

Sakshee Chhabra: Hi, sir. Congratulations on a great set of numbers. Sir, my first question was I wanted to understand that if we are not going to use the INR640 crores of cash that we have for the digital side of the business since you are coming out with an IPO shortly, so what is this money going to be used for exactly?

Shikhar Aggarwal: So we, so definitely we expect further growth in the visa and outsourced consular service business. You know, that is the momentum has really increased after COVID also. So we are looking at acquisition in the visa consular states of some regional providers. And also the kind of contracts that we are eyeing and the business that we are eyeing will require deployment of cash for opening up of offices in different geographies.

Many new governments which are going to outsource for the first time now are also will require a new infrastructure and setup. So we are looking at as we have explained before acquisition, organic growth all the new contracts that we will be deploying and definitely dividend and shareholder to enhance shareholder value all the steps that we can take, we

Page 6 of 16

BLS International Services Limited

August 11, 2023

will do that to utilize this cash.

Sakshee Chhabra: Right. And so is there any quantum that you have decided on the risk for the IPO?

Shikhar Aggarwal: We have not. I think, Amit, would you like to comment on that? We have decided on I think Amit would you like to comment on that, we have decided on the number of shares.

Amit Sudhakar: So, see this will be decided, the valuation will come from the merchant bankers once they get it through with the SEBI. We have defined the number of shares which we plan to dilute and issue the new ones.

Sakshee Chhabra: Right, but you must have decided on a certain amount that you wish to raise right?

Amit Sudhakar: Yes, it will be somewhere in the range of 290 to say 320 cr that is the range we are expecting.

Sakshee Chhabra: Okay, alright. And so another thing I wanted to just understand so if I see t

he EBIT that

was reported in the last quarter for the digital services, that was around INR31.6 crores versus in this quarter that number is down to INR9 crores. So is it that in the previous quarter there was something exceptional because of which that number was so high?

Amit Sudhakar: Yes, that's right. If you see the last quarter of FY 23 result, there was an exception item of INR22 crores, which was related to this. If you take that out, then about INR965 crores was the operating EBITDA of digital segment in the Q4 FY23.

Sakshee Chhabra: Okay, all right. And so on your Visa and Consular Services side, what is the sustainable EBITDA margin that we can look at going forward?

Amit Sudhakar: See, what we have achieved in the current quarter, we are looking at maintaining that at least if we cannot increase it further, this will become the base now for the further growth.

Moderator: Thank you. We'll take the next question from the line of Mayur Bapodara, an individual investor. Please go ahead.

Mayur Bapodara: So some of my questions were answered. So I wanted to know that, so you told that margins in the Visa segment which we achieved this quarter, so is it sustainable? Right?

Amit Sudhakar: Yes, that's right.

Mayur Bapodara: So what is the reason behind such improvement in this margin improvement?

Amit Sudhakar: So this has a couple of factors which we have been talking about over the last couple of

quarters calls. One is the value-added services which we have been able to sell much more on a quarter-to-quarter basis. And if you see the last four to five quarters, there is an improvement in the margins. And we have got new contracts which are at a much higher rates.

Page 7 of 16
BLS International Services Limited

August 11, 2023

So that has been contributing on the revenue side, margin improvement, as well as on our cost optimization. After the COVID got over, we have maintained our cost under control, whereas the volumes and the revenues are going up. So these factors have made us reach this 20% plus, EBITDA margins.

Mayur Bapodar: Okay, so is there any chance to improve the margin further going forward like not in the short term but in one to two years span in Visa processing?

Amit Sudhakar: We are looking at every day to improve it further and hopefully we will be able to improve it further on a quarter-to-quarter basis. But this what we have achieved, we think we can maintain this.

Mayur Bapodar: Okay, great, sir. And my second question is regarding you told that the cash on balance is like INR642 crores, we are going to utilize it in expanding our Visa segment, Visa processing segment. So can we expect anything concrete like acquisition or something in the span of at least one year from now?

Amit Sudhakar: Certainly, there should be some acquisitions getting finalized. But again, as I said, you don't know till the last moment. We are seriously looking at acquisitions in both the Segments, not only in Visa, but we are also looking into digital business also.

Mayur Bapodar: Okay, okay. Right, right. So, and so my second question is regarding some. One UK tender was there which got float in the February or January I think and results for that were expected in the end of current year -- first half of current year. So anything is there regarding that, we bid for that tender or not?

Shikhar Aggarwal: As when the results are announced, we let you know.

Mayur Bapodar: Okay, so results were not out right now, right?

Shikhar Aggarwal: Correct.

Mayur Bapodar: Okay, okay, sir. And, sir, what will be the BLS International's holding in the e-Services subsidiary after the listing? Currently it is 69% something. So what will be after the listing?

Amit Sudhakar: So, Mayur, it will remain a subsidiary of BLS International, we will ensure that it is not less than 50%.

Mayur Bapodar: Okay, okay. And rest of the stock promoter is also selling this stock or?

Page
8 of 16

BLS International Services Limited

August 11, 2023

Amit Sudhakar: No, this is all a new issue IPO. The funds will be used for the organic and inorganic growth, what we are looking at acquisitions as well as expanding existing business.

Moderator: Thank you. We'll take the next question from the line of Dhvani Shah from Investec. Please go ahead.

Dhvani Shah: Can you please explain why was there a dip in the margins of digital services? If I adjust for the exceptional item for last time, it was around 12.1% and now it is 10.8%. This is after adjusting. And if you see Y-o-Y, it was 13.5% so if you can just explain the difference?

Amit Sudhakar: So as we have explained we started digital and are expanding it now. We are spending on hiring new people on board, investing in people. We have also had opened a new office in Gurgaon, so the rentals have gone a little higher. So we are basically creating an infrastructure for the next growth which we are anticipating in the next year or two. Therefore the expenses are a little higher.

Dhvani Shah: Okay, understood. And could you tell us how much was the contribution from ZMPL this quarter?

Amit Sudhakar: So ZMPL, I just said, one second has contributed about INR6.5 crores EBITDA.

Dhvani Shah: Okay, INR6.5 crores, and that's been on 13% margin?

Amit Sudhakar: Yes, that is about 13% margin, exactly about 12.78%.

Dhvani Shah: Correct, got it. Perfect. And is there any seasonality in visa or in digital services in Q1?

Amit Sudhakar: Digital segment you don't have much seasonality but visa obviously you have seasonality. It peaks during the winter as far as India is concerned. As of this quarter there is a seasonality impact that there has been a little less revenue compared to Q4. And if you see on a Y-o-Y basis, the growth has been because of the COVID getting over and from the new contracts which have been now executing.

Dhvani Shah: And just one last question, could you share the visa volumes for this quarter?

Amit Sudhakar: Exact figure we don't have at the moment, but I can share it with you later.

Dhvani Shah: Sure. Thank you so much.

Moderator: Thank you. We will move on to the next question which is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: Sir, my question is again from BLS e-Service IPO, BLS International receive any fund or
Page 9 of 16

BLS International Services Limited

August 11, 2023

all fund will be from new investor only?

Amit Sudhakar: So, Ravi, there will be no OFS. It's all going to be a fresh issue. As I explained, it will all be for the growth of the company.

Ravi Naredi: So, BLS International, how much it will be having after the IPO?

Amit Sudhakar: So it will remain a subsidiary of BLS International therefore it will be higher than 50%.

Ravi Naredi: Okay, thank you.

Amit Sudhakar: Thank you.

Moderator: Thank you. We will take the next question from the line of Neha Jain, an individual investor. Please go ahead.

Neha Jain: Good afternoon, sir, and congratulations for a good set of numbers. Just wanted to check, the growth in digital service that we have as of now, is that kind of sustainable? How do we see it going forward? Just wanted some light on that.

Amit Sudhakar: Neha, see the digital business, if you see the base is very small currently. So the growth what we are anticipating will continue the way we have been doing till now. We are looking at acquisitions as well as new contracts which will keep this momentum going. So, we are very bullish about this business per se. We can really take it to a different level altogether.

Neha Jain: So sir, in terms of percentage wise, do we see it contributing a sustainable percentage in the coming two to three years?

Amit Sudhakar: Yes, we are very bullish and we should continue with this momentum, which we have seen, the percentage rise more than 100% growth is what we are foreseeing in the near future.

e.

Neha Jain: Okay. And sir, our operating expenses have also reduced. So are there any specific measures that we are taking towards it?

Amit Sudhakar: So as I said that we have focused on cost optimization since the COVID happened and luckily the volumes have started coming in but we have been able to control our costs and still we are keeping these cost under control. That's why you can see the improvement in the margins.

Neha Jain: And also do we have any plans for inorganic expansion like M&A?

Amit Sudhakar: Very much.

Page 10 of 16

BLS International Services Limited

August 11, 2023

Neha Jain: Do we have anything that is already in process?

Amit Sudhakar: Yes, we are talking to couple of targets and let's see when they get finalized.

Neha Jain: So then will that require any further capex?

Amit Sudhakar: Capex, no, maybe funding will be required and that is what we are working on.

Neha Jain: How do we plan to get those funded?

Amit Sudhakar: So it will depend on case-to-case basis and on the circumstance of each situation. The whole objective is to improve the ROI of the company. So whatever best combination we think will improve company's ROI, we will go for that. It may be a leverage buyout or equity if we think is required. But the intention is, to improve the ROCE of the company.

Neha Jain: Okay. And just one last question. So these value-added services, what kind of revenue does it generate and what kind of margins does it generate for the company?

Amit Sudhakar: See, these value added services improve our margins at a much more than the visa service per se. Because...

Shikhar Aggarwal: Amit, Let me answer that. I think, so value-add service, combined the service charges and the value-add services, the margin that we are generating is on a combined level. And definitely, over the years, the consumer mentality has changed. People are opting for different home delivery kind of services, mobile biometrics. So that is where we see, and we've also, and we are now working in more geographies around the world where the consumer pattern is different. So on a consolidated level, we can now as we have achieved a better margin of around 20%.

Neha Jain: Okay, got it sir. Thank you so much and good luck.

Amit Sudhakar: Thank you.

Moderator: Thank you. We will take the next question from the line of Harsh Sharma, an individual investor. Please go ahead.

Harsh Sharma: Hi sir, good afternoon. Sir, you did mention INR22 crores of exceptional items. Can you

please share what comprises of this?

Amit Sudhakar: This was in Q4, last FY '23, not in the current quarter. As we have explained it last time also, this was a sweat equity payment which the promoters have given for the shares, which have shown as the exception items.

Harsh Sharma: Thank you. Also, sir, if we see our depreciation has grown around 145% Y-on-Y. Have

Page 11 of 16

BLS International Services Limited

August 11, 2023

we made any investment?

Amit Sudhakar: So, see this has gone up mainly because of two reasons. One, we acquired in June last year ZMPL, the company. So the depreciation of that business has come in. In the current, if you see the Q4 FY23, we are practically at the same level. So, Y-o-Y the difference you see is because of that ZMPL was not there in the Y-o-Y June FY '23 results.

Harsh Sharma: And sir, if we see, our other income also has gone up by 87% or 87-odd percent. So, could you please throw some light on that?

Amit Sudhakar: Sure. So, other incomes have mainly gone up because the interest rates on our FDs have changed in global market. Last year, on average, our FDs were at 1% in US dollar, whereas now, most of them are at 5.5% so that has improved our other income and as well as the additional funds generated from operations the number of FDs have gone up so that's main reason of the interest income.

Harsh Sharma: Thank you and sir one last question now that China has opened

its borders, do we see any

kind of volumes or revenue? Do we expect?

Amit Sudhakar: Yes, Shikhar, can you?

Shikhar Aggarwal: Yes, definitely China has opened up, so we expect increase in volumes coming from China.

Harsh Sharma: Okay, fine. That's it from my side. Thank you, sir.

Moderator: Thank you. We'll take the next question from the line of Aniket, an individual investor.

Please go ahead.

Aniket: Thank you for the opportunity. I have few questions sir. So sir, how does the company plan to utilize this cash? Can you throw some light on this?

Amit Sudhakar: I think we have already answered this multiple times in the last few questions.

Shikhar Aggarwal: As we said, we are using this money for new M&A activities as well as for new contracts which we expect to win in the next couple of quarters.

Aniket: Okay. And sir, how many touchpoints do we have as of now?

Amit Sudhakar: Around 1 lakh.

Aniket: Okay. So sir, on the M&A plan, would this be for the visa or for digital services?

Page 12 of 16

BLS International Services Limited

August 11, 2023

Amit Sudhakar: For both, we are looking aggressively in both the segments.

Aniket: Okay, thank you. Okay, and sir one last question, can you give some guidance on the visa volume and also on the revenue realization? Since now value-added services are contributing well to the revenue?

Shikhar Aggarwal: No, first of all, we are seeing growth in the numbers as we have explained -- right after COVID and we have also got increase in service charges. So our service charges are more from before. So prices have increased. So conversions have improved a little bit but prices have increased more both in service charges and other services. So we expect to maintain the growth momentum.

Aniket: Thank you. Thank you, sir. This is from my side.

Moderator: Thank you. We'll take the next question from the line of Mayur Bapodara, an individual investor. Please go ahead.

Mayur Bapodara: So just I wanted to understand, so the visa contracts which are up for renewal like opportunity of \$1.5 billion. So in that case that our competitors are serving for those governments already for a long time in past. So how we are planning, how we are strategizing to get the market share from those contracts? What is the strategy we are looking at? So can you provide some light on that?

Shikhar Aggarwal: See, strategy is definitely internal of the company and this is what we have been working on. But definitely as we mature as a company, we are in touch with those governments and doing pilots all over and have been talking to these governments for last couple of years. So definitely we have people from the industry that are working on such things.

Mayur Bapodara: Okay, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Shikhar Aggarwal, Joint Managing Director for closing comments. Over to you, sir.

Shikhar Aggarwal: Thank you everyone for your participation in our Q1 FY '24 earnings call. In case of any further queries, you may get in touch with Adfactors PR or feel free to get in touch with us. We look forward to interacting with you next quarter. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of BLS International Services Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

November 13, 2023

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

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Towers,
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of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on November 07, 2023

In continuation to our intimation dated November 01, 2023, please find enclosed a transcript of the Earnings Call held on Tuesday, November 07, 2023 to discuss the operational and financial performance for the second quarter ended September 30, 2023.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

"BLS International Services Limited
Q2 & H1 FY24 Conference Call"

November 07, 2023

MANAGEMENT : MR. SHIKHAR AGGARWAL – JOINT MANAGING DIRECTOR ,
MR. NIKHIL GUPTA –MANAGING DIRECTOR ,
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER , AND
MR. GAURAV CHUGH – HEAD -INVESTOR RELATIONS

BLS International Services Limited
November 07, 2023

Moderator: Ladies and Gentlemen, Good day and welcome to BLS International Services Limited Q2 and H1 FY24 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company which are based on the belief, opinions and expectations of the Company as on the date of this call. The statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal – Joint MD of BLS International Services Limited. Thank you and over to you, Mr. Shikhar Aggarwal.

Shikhar Aggarwal: Thank you. Good evening, everyone. A very warm welcome to all of you and thank you for participating in our Earnings Call for the Quarter Ended 30th September 2023.

I have on call with me today, Mr. Nikhil Gupta – Managing Director, Mr. Amit Sudhakar – Chief Financial Officer of the Company and Mr. Gaurav Chugh, who has recently joined us as Head of Investor Relations and Adfactors – our IR team.

I am happy to share our recent developments and achievements during the last few months and our future plans for the Company. We have set the stage for an exciting journey in the current fiscal year commencing on a strong note with the more promising Financial Results for the 2nd Quarter of the Financial Year 2024.

Our business continues to witness growth momentum as well as strong profitability. We saw the highest ever EBITDA being reported by the Company and in addition , our EBITDA margins continue to be in excess of 20%. On the given basis, we believe that this momentum will continue for the foreseeable future. Any new contracts or acquisition will further add to this momentum. Regarding the industry we operate in, we believe the outsourcing market, particularly the Visa outsourcing market has been expanding rapidly with many new countries scouting for partners who can facilitate Visa as well as consular services for them.

Additionally, the travel industry continues on a trajectory of revival worldwide. This global recovery is expected to translate into a surge in Visa applications, fueling the growth of our Visa business. Month -on-month, we are witnessing a steady upward trend driven by both growth in applications as well as improving realizations .

BLS International Services Limited
November 07, 2023

The last quarter has been quite eventful for us. In our Visa business, we signed up with the Government of Slovakia to offer outsourced Visa services across 18 countries. This is an exclusive global Visa contract. Slovakia is fast becoming a sought -after tourism destination for travelers across the globe.

We also recently opened up new application centers in China for the Spanish Embassy. As China is opening up, we expect to see further growth in volume from the region . This growth could also be complemented with further opening up of CIS countries.

Furthermore, we recently expanded our operations in Saudi Arabia and Nigeria where we have opened new offices, these offices will further help enhance the Visa service business.

On the digital service front, I am thrilled to share a significant milestone achieved by our subsidiary BLS E -services. We have successfully integrated UMANG Services into our digital platform. This strategic collaboration with the National E -governance division aims to make over 500 E -governance services easily available. This integration underscores our commitment to provide seamless and convenient services to citizens both i

n India and overseas and in multiple languages.

In addition, BLS E-services also tied up with Kotak Mahindra Bank for offering banking correspondence services .

Looking ahead, our focus remains twofold, growing both our Visa & Consular Services and Digital Service Business organically and exploring opportunities for inorganic growth in India as well as abroad. We continue to be optimistic about the ongoing fiscal and are committed to fostering growth.

In conclusion, I want to emphasize our confidence in the next few quarters. So, the BLS team is resilient and committed to growth in both our segments. We firmly believe that the strategies we adopt would pave the way for a bright future for BLS International Service in the coming years.

Thank you for your continued trust and support. I would now like to hand over the call to Mr.

Amit Sudhakar, our CFO, for an update on our financial performance. Thank you.

Amit Sudhakar: Good evening, everyone. I am pleased to present the Financial Performance for the 2nd Quarter and Half Year Ending September 30th, 2023.

In Q2 FY24, we recorded a revenue of 407.7 crores , a 14.3% y -o-y increase, driven by both business segments, Visa and digital services. We continue to witness growth in both our business segments and are optimistic about sustained growth in the coming quarters. During this quarter, our EBITDA stood at 86.7 crore compared to 56.8 crores in the corresponding quarter last year, witnessing a growth of 52.7%. The EBITDA margin for the quarter stood at 21. 3%, an increase of 535 basis points compared to the corresponding quarter last year.

BLS International Services Limited

November 07, 2023

Cost optimization, higher volumes and favorable business mix help expand the EBITDA margin for the quarter . Profit before tax stood at 87.2 crores, a growth of 55% over the corresponding previous quarter.

The profit after tax for the quarter stood at 82 crores as compared to 51 crores in the previous corresponding quarter , a strong growth of 60.8%. Earnings per share for the quarter stood at Rs. 3.59 per share as compared to Rs. 2.46 per share in Q2 FY23.

Coming to the half year performance :

The half year revenues stood at 791.2 crore, a growth of 25.6% versus the corresponding previous period.

EBITDA for the H1 FY24 stood at 166.8 crores compared to 88.3 crores in the corresponding half year last year, witnessing a growth of 88.9%. The EBIT DA margin for H1 FY24 stood at 21.1% versus 14% in H1 FY23 an expansion of 706 basis points.

Profit after tax (PAT) stood at 153 crores as compared to 81.7 crore in the previous corresponding half year, a growth of 87.3% . That is all for my side.

We can now open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Naredy from Naredy Investment. Please go ahead.

Ravi Naredy: Sir you are doing a really fantastic with our business. This enhanced margin will continue in H2? What is your expectation?

Amit Sudhakar: Margins, if you see from last year EBITDA margins were in the range of 15 to 16%. Now in the current year, we have maintained it around in our 20s and we see the potential that we should be able to continue these margins in the coming quarters.

Ravi Naredy: Okay and sir how many more Visa contracts we have applied and what is success rate we can expect from them?

Shikhar Aggarwal : So, as part of our ongoing business activities, we keep on applying for different tenders and as you have seen in the last 1 -1.5 years, we have won a lot of tenders for different governments like recently we won a contract for Slovakia, different European governments, Germany, Italy.

Poland, Portugal and we also renewed our contract for the Spanish Government. So, definitely we keep on applying for different tenders and as we have said before, there's a big pipeline and

out of this pipeline only some of the tenders we are winning and some of the results are to be announced. So, as and when we win some tender , we will be announcing.

Ravi Naredy: So, this 80% Visa volume. Can we expect in the next few years also?

BLS International Services Limited

November 07, 2023

Amit Sudhakar: Correct. Yes.

Ravi Naredy: Sir, how do we utilize the 700 crores cash which we are having and because ROCE is 35%. So, how would you achieve 35% ROCE in future?

Amit Sudhakar: So, we have talked about in our last call also, we are seriously looking at new acquisitions in the similar field and as well as Shikhar said, we are bidding for big contracts, so we may need

some funding for setting up new offices. So, we are going to use this fund for these requirements.

Ravi Nareddy: Right. This big contract in Visa service.

Amit Sudhakar: In both in Visa as well as digital services, so we are bidding in both.

Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza. Please go ahead.

Omkar Kamtekar: So, firstly with respect to the rate of growth in the digital services, we can clearly see that the digital services business is growing more than twice the rate of the Visa and consular services and its share in revenue pie is also increasing. So, the first question is how long will this sustain and what will be the effect say two years or three years down the line, the share of the digital service business.

Shikhar Aggarwal: The Digital Service business as we stand today is around 21% of the entire revenue of the Company. Base was quite small compared to the last year. That is why we have grown quite well. We have big plans for the growth of the e-services business also. So, in the next few years we can see good growth coming in from different future contracts that we are eyeing as well as, acquisitions. So, I think growth momentum should continue in both of these.

Omkar Kamtekar: Okay. So, we can expect a similar kind of growth or maybe higher going forward for the next 2 - 3 years?

Shikhar Aggarwal: Percentage I do not know. I cannot comment on any percentages, but as you have seen from our track record, we have been focused on growth. So, definitely next few years also we are targeting growth.

Omkar Kamtekar: Okay and with respect to the, so we had also applied for the listing of the E-service business. What is the status of that? Is there any update from the SEBI with respect to that?

Shikhar Aggarwal: As per the norms, we have filed our DRHP with SEBI and as and when we get the approval, we will be listing the Company and as we have stated we need money to come into the Company which will be utilized for further growth of the Company.

Omkar Kamtekar: And just to comment on the Visa space specifically now because of the conflict that has happened in the Middle Eastern region. We also have certain amount of business in that region.

BLS International Services Limited

November 07, 2023

So, how much of an impact has that had on the business, and do you see this business impacting other regions such as Europe or adjacent areas, can you comment on that.

Shikhar Aggarwal: Well, see, we operate in a global environment. We operate in 64 countries. We work with 40 plus governments. So, for us this event has not at all impacted our business. So, our revenue, as you have seen have grown, even in the last quarter that for us. But as we are a global Company, you know different events keep on happening in different parts of the world, but on an annual basis, it hardly matters.

Moderator: Thank you. The next question is from the line of Supan Parekh, who is an individual investor. Please go ahead.

Supan Parekh: Sir I would like to ask about the IPO. So, like you plan to propose an IPO of BLS E-Services, so like what is the aim for that like could you elaborate much on that?

Amit Sudhakar: See, DRHP has been filed with SEBI. So, we can say that the whole idea of the IPO is to raise the fund for the growth of the Company because we see a big potential of growing this digital business first in India and then globally, and for that we are looking at this growth capital for the digital business at the moment.

Supan Parekh: Okay so like what is the future road map for this BLS E-Services?

Amit Sudhakar: I think once the SEBI approval comes in, we will share the road map and the presentation of the whole business.

Supan Parekh: So, next question, I would like to ask the current growth rate and EBITDA margin. Is that sustainable for long term like what are the things like you are looking out for the next quarter or this fiscal year like?

Shikhar Aggarwal: As we have stated, I think you already answered that question that for long time we were doing the margin of 15 -16% and from first quarter this we achieved a margin of 20% and we have sustained that in the 2nd Quarter also. So, every day we are working very hard to obviously sustain and improvise. So, definitely I think from where we stand, we feel that we can sustain the margin.

Supan Parekh: Okay and also on the purpose of the cash utilization, so this quarter has been like has been highly cash generative. So, what are the Company's plan regarding the utilization of cash in the coming quarters?

Shikhar Aggarwal: We are very conservative and looking for effective utilization of money and as you know this cash has been generated because of the hard work that the Company has done from the inception.

So, definitely we are looking at particular opportunities and as and when you know, we think that it qualifies all our conditions, we will be going in for acquisitions. Other than we are

BLS International Services Limited

November 07, 2023

regularly paying dividends to the shareholders and the opportunity is that we foresee, money will be utilized in growth, opening new offices, in technology and everything else.

Supan Parekh: Okay, so now I am just shifting my questions right now like I am seeing like the volumes have recovered from China. So, what are the expectations with the Russia right now.

Shikhar Aggarwal: See in terms of volumes we are better than what we are doing in COVID. In China, now things are opening up, we have also opened our offices. In Russia, volumes are still low, so if you talk about the numbers, still from 2019 level, we have not achieved the volumes, but still revenue and profitability is higher.

Supan Parekh: Okay. So, like we can expect it to go like moving forward, it can go up.

Shikhar Aggarwal: Correct. This is not the base volume. So, base volume 2019 level, we still have not reached.

Supan Parekh: Okay and that the impact of Canada issue been so far like how has that impacted us?

Shikhar Aggarwal: I do not think there was any impact as we have stated. The Visa business from Canada was 2% of our annual revenue and that has also come back. So, we do not see any impact from the Canada business.

Supan Parekh: Okay and also like the last question I want to ask is that the status of UK tender, is there any progress in terms of these things like winning any geographies?

Shikhar Aggarwal: No, there is no status. We are filing for many tenders and as and when the results are announced we are notified. We will inform.

Moderator: Thank you. The next question is from the line of Vicky Patel from Artika Wealth. Please go ahead.

Vicky Patel: My first question is I would like to know on the recent news we heard regarding the Egyptian Embassy. So, what is the current status? Are we like, have they denied working with BLS or?

Shikhar Aggarwal: No, we work for them, and we are one of the authorized partners. There is an exclusive contract with them. So, numbers are quite negligible from the start and still. So, no one has denied, but

we are not the exclusive partner. They do not follow exclusive outsourcing policy anywhere in the world. So, that is the status.

Vicky Patel: And Sir, the ongoing Israel situation, so will it affect the current line of business?

Shikhar Aggarwal: No, actually we have not seen any impact on it and we see strong growth in our numbers.

Vicky Patel: Okay and sir the revenue, the total income has grown, I think roughly 14% to 15%. So, do we see a similar range of growth in the coming second half of the year?

BLS International Services Limited

November 07, 2023

Shikhar Aggarwal: Whatever we have achieved, I think we, I think our wish is definitely to maintain it and we are working hard towards that.

Vicky Patel: There has been a rise in the increase interest cost. The short term borrowings or the long term borrowings have not increased. So, if you could please throw some light where why has there been an increase in the interest cost?

Amit Sudhakar: So, see the interest cost is mainly because of the new accounting standard AS -116 where the lease rights of lease has been booked in the assets and the expense has been routed to depreciation and the interest. But there is no debt on the books and there is no interest payment in the financial charges.

Vicky Patel: Okay and also employee cost as a percentage of sales has increased. If you see y-o-y so is this because of the increments or we are expanding the manpower?

Amit Sudhakar: Right, it is because of the increments that have been there for to the existing employees and currently the Company is investing in people at the senior and the middle level to ensure the growth which we are planning to do in the next couple of quarters.

Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza. Go ahead.

Omkar Kamtekar: One thing what I wanted to ask was on the fixed asset. We have seen an approximate 24 -25 crore of addition. So, how much of more CAPEX for fixed asset and other equipment are we looking ahead for the H2 and FY24 also if you can.

Amit Sudhakar: So, Omkar, this is the CAPEX which is showing in the balance sheet. The increment is mainly during this half year and is as per the accounting standard of Use of Assets which we have leased.

Omkar Kamtekar: Okay. So, the lease assets the lease liability.

Amit Sudhakar: Otherwise, we normally have a normal operational CAPEX in the range of 15 to 20 crores in a year.

Omkar Kamtekar: So that will be the steady state 15 to 20 crores CAPEX that we do annually. That would also continue FY25, okay?

Amit Sudhakar: Correct. That is right.

Omkar Kamtekar: And with respect to I was not able to catch the number or what was the volume growth in the number of Visa applications that we did for the period?

Shikhar Aggarwal: Volume we do not normally declare the exact volume.

Omkar Kamtekar: As a suggestion if it is possible if you could add that bit on the investor presentation that would be very helpful. I mean if because what would happen is because we can see in EBITDA, the EBITDA margins have increased and because the high margin business of the digital services is increasing so we could break it down as to how much of the revenue.

Shikhar Aggarwal: High margin is in the Visa business.

Omkar Kamtekar: So, that is why so if the volumes there are also going to pick up the margins would also meaningfully pick up.

Shikhar Aggarwal: Definitely volumes there will increase further.

Omkar Kamtekar: So, the analysis becomes much easier for us. So, that's it. That's it. Thank you.

Moderator: Thank you. The next question is from the line of Rajiv Venkatesh, who is an individual investor.

Please go ahead.

Rajiv Venkatesh: Couple of questions from my side. I want to know from the tender pipeline for the Visa business, would you be able to provide

the split on the retenders and the new tenders that we are in and secondly would you be able to provide the split in the EBITDA for the Visa and the E-business and would you be able to provide more details on the ZMPL business like I think before we had like Punjab, UP and all, we used to provide some details, some color on that. So, will you be able to, sorry.

Shikhar Aggarwal: By whatever tenders that we are currently doing, we have retained, and we have even re-won our tender. So, if you see Spain tender also, we again re-won in April for the next five years at an increased service charge and we recently have won tenders like for the Slovakia Government. There is a global tender that we have won in Visa and we have won tenders for Portugal, Poland, Germany, Italy, couple of governments that we started working for within this year. So, definitely there has been a growth in number of governments that we are working for and going forward, as I have been telling, there are multiple opportunities in Visa outsourcing. Different governments are coming out with tenders and different geographies which we are eyeing for. Now the results have come for Slovakia which we have announced. So, as and when other governments come out with results, we will be announcing. But the opportunity size is quite huge. There are many governments which are outsourcing for the first time and there are many government which are coming out for the re-tenders that is on the Visa business. And on the ZMPL, you know ZMPL which is part of BLS E-services as we have declared that we have already grown, I think more than 100% in that business, compared to last year. We have already won a lot of contracts with new banks like Kotak Mahindra and different banks. We have tied up different government, things like Umang. So, we see further growth happening in that we have now started. We were already in public sector business, now we have also started the private sector business. We have tied-up with HDFC, Kotak, and couple of other banks. So, we see huge growth coming in that business and for that reason only we wanted to list that Company

BLS International Services Limited

November 07, 2023

separately and as and when growth capital comes, it will be utilized for growing the Company further.

Rajiv Venkatesh: Great. And I have one request from my side. Like would you be able to provide some sort of say during the IPO some sort of employee asked for pre investors who are already invested with

BLS as a priority for getting the IPO?

Shikhar Aggarwal: See, we have to follow the SEBI rules so whatever SEBI rules allow we can only work on that.

Rajiv Venkatesh: Okay, great and what is the group guidance for the next year for the year FY25 I think last call you iterated that it will be like somewhere north of 50 or 60%?

Shikhar Aggarwal: We have not given any guidance I think till now, but of any percentage terms. But as you know, whatever growth that we have achieved in the first two quarters, we wish to maintain that.

Moderator: Thank you. The next question is from the line of Dhvani Shah from Investec Capital Services India. Please go ahead.

Dhvani Shah: One question was on digital services. You all saw the highest margin this quarter to 14%. So, can you explain the drivers for the same and the sustainability of it?

Amit Sudhakar: In digital business this quarter, there was a new contract which we have won and under that they have given us an advance /incentive which was part of the new revenue in the business. So, that has increased the revenue in the current quarter by about 3 crores and that has impacted the bottom line.

Dhvani Shah: Okay. So, the cost for that will be booked in the future?

Amit Sudhakar: The CAPEX costs, which we have done in this case.

Dhvani Shah: Okay, got that and also just to confirm, the previous participant asked about ZMPL. So, you said

the growth has been 100% y-o-y, if I am not wrong the y-o-y the previous quarter that was reported to 40 crores from the ZMPL. So, the 100% growth on that was around 800 million, is that correct or can I just?

Nikhil Gupta : Now if you see in this quarter the revenue that we have done for digital business is around 82 crores if I am not mistaken.

Dhvani Shah: 90 crores.

Shikhar Aggarwal : How much is it.

Dhvani Shah: 90 crores.

BLS International Services Limited

November 07, 2023

Shikhar Aggarwal : For digital business we have done 85 crores, which is compared to 68 crores. No, this is quarter 2.

Dhvani Shah: Quarter 2 is 90.1 as reported.

Shikhar Aggarwal : I think we had some intersegment. I don't know which numbers are talking?

Dhvani Shah: As reported in your NDL segmented revenue 900.72.

Amit Sudhakar: So that may have inter-company revenue, which may have been netted off.

Dhvani Shah: Okay.

Amit Sudhakar: Because the intercompany transactions are under the segment s.

Dhvani Shah: Fair enough. So, how much would be this ZMPL of that?

Amit Sudhakar: ZMPL is for the quarter 2 is about 49 crores.

Dhvani Shah: So, that is over last quarter, which was last year, which was 40.

Amit Sudhakar: Q1 was 45 and last year 40

Dhvani Shah: Okay, understood and in terms of Visa volume recovery for the FY24, do you expect to close around at least 75 to 80% of the higher levels of FY19 considering China has opened up and

Russia is in initial stages.

Shikhar Aggarwal: Correct. I think we definitely expect the numbers to be higher than last year and last year I think we achieved around 65% to 70% of the numbers. So, this year it should be closing at 75% to 80% definitely.

Dhvani Shah: Okay and just one more question on the realization per Visa application are you seeing a significant growth there after the Spanish contract which was at increased level.

Shikhar Aggarwal: Well, actually, you know what this is not because of any particular contract. Definitely our service charges from contracts have gone up in the last few years, but also the consumer pattern has changed. So, demand for different kind of services will also increase. So, in the last few years, after COVID, constantly we tried to offer more services, we have seen increase in revenue per applications in the last two to three years.

Dhvani Shah: And just one more question this quarter has witnessed some kind of seasonality in the Visa and consular services with higher international like higher European country Visa applications and that could be a reason for the higher gross margin. Is that a correct assumption?

BLS International Services Limited

November 07, 2023

Shikhar Aggarwal: See definitely in this business seasonality is there, but since we are operating in a global environment, now the seasonality does not impact. But if you talk about the EBITDA margins, they are particularly not because of seasonality because EBITDA margins are counted per application basis. So, we have seen rationalization of cost and increase in revenue. That is why there have been higher EBITDA margins.

Dhvani Shah: Okay, now as I was referring more to the gross margins and EBITDA margins, I understand just wanted a little bit more color on the gross margin improvement. I wanted more color on the gross margin improvement.

Amit Sudhakar: Gross margin has been on a similar line. If you see Q1 versus Q2, they have been around 40 percent or so.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. Request participants to get in touch with Investor Relation Team for further queries. I now hand the conference over to Mr. Shikhar Aggarwal for his closing comments. Please go ahead, Sir.

Shikhar Aggarwal: Thank you everyone for taking your time out to participate in BLS International Earning Call today. Wish you all very happy and prosperous

s Deepavali. In case of any further queries you

may get in touch with Gaurav Chugh, our Head of Investor Relations or Adfactor PR. We look forward to interacting with you again next quarter. Thank you so much.

Moderator: Thank you. On behalf of BLS International Services that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

February 16, 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on February 13, 2024

In continuation to our intimation dated February 06, 2024 and February 09, 2024, please find enclosed a transcript of the Earnings Call held on Tuesday, February 13, 2024 to discuss the operational and financial performance for the third quarter and nine months ended December 31, 2023.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

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Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

Page1of14

"BLSInternationalServicesLimited
Q3&9MFY24ConferenceCall"
February13,2024

MANAGEMENT:MR.SHIKHARAGGARWAL–JOINTMANAGINGDIRECTOR,
MR.NIKHILGUPTA–MANAGINGDIRECTOR,
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER,AND
MR.GAURAVCHUGH–HEAD-INVESTORRELATIONS
BLSInternationalServicesLimited
February13,2024

Page2of14Moderator: LadiesandGentlemen,GooddayandwelcometotheBLSInternationalServicesLimitedQ3
and9monthsFY24EarningsConferenceCall.

Thisconferencecallmaycontainforward-lookingstatementsaboutthecompanywhichare
basedonthebelief,opinionsandexpectationsofthecompanyasonthethedateofthiscall.

These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shikhar Aggarwal—Joint Managing Director, BLS International Services Limited. Thank you and over to you, Mr. Aggarwal.

Shikhar Aggarwal: Good afternoon everyone. I welcome you all to our Earnings Conference Call for the quarter and nine months ended 31st December 2023.

I have on call with me today Mr. Nikhil Gupta—our Managing Director, Mr. Amit Sudhakar—Chief Financial Officer of the Company, Mr. Gaurav Chugh—Head of Investor Relations and Ad factors—our IR team.

I am glad to share with you all today what we all have done lately and what we aim to do in the near future. We have made good progress in the past few months, crossing significant milestones and have entered the last quarter of this fiscal on a strong note.

Talking about our strategy—We have been speaking to you regarding our strategy of focusing on both organic and inorganic growth opportunities and utilizing our cash in an efficient manner and generating significant returns. And in line with our strategy, we had acquired Zero Mass in 2022, which significantly expanded our operations and in January 2024, we have announced signing of a definitive agreement for acquisition of 100% stake in iDATA for an enterprise valuation of Euro 50 million.

iDATA is a prominent player in visa and consular services and is based out of Turkey.

Interestingly, iDATA has been the exclusive provider of visa and consular services to the Italian diplomatic missions since 2006 and German government since 2012 in certain geographies.

BLS International Services Limited

February 13, 2024

Page 3 of 14 The acquisition will be funded primarily through internal accruals of the company and would be EPS accretive from day one of the acquisition. We expect the acquisition to be concluded by end of the fiscal subject to government and regulatory approvals.

iDATA operates more than 37 visa application centers across 15 plus countries serving diplomatic missions of Germany, Italy and Czech Republic. We believe this acquisition will mark a significant milestone in BLS In

ternational's Journey. This strategic move underscores our commitment to becoming a global leader in tech-enabled services for government and citizens.

We believe that this acquisition will further expand our operational footprint as well as market share in the visa services segment. Post consummation of this transaction, we will work towards integration of the business keeping in view various synergistic aspects including achieving operational efficiencies and exploring new opportunities.

On the operational front, let me highlight various awards we have won during the period. We have been rewarded the contract for visa services from the High Commission of India in Canada, which includes operation at HC in Ottawa and CG in Toronto and Vancouver. We will continue to provide services like consular support, passport processing and visa facilitation.

On the digital service front, we secured a significant contract from state health agency Ayushman Bharat, Pradhan Mantri Yojana, Uttar Pradesh. This partnership involves handling of Ayushman card on behalf of the National Authority IT platform. Being chosen as being chosen as a Empowered Service Provider reflects based international reliability in delivering crucially, governance Services.

The company was awarded another significant contract from UIDAI to conduct a comprehensive data quality check for Aadhaar information. The project, spanning over three years, is extendable by another two years.

Last but not the least, in a momentous milestone, we recently completed the IPO of our subsidiary BLSE—Services successfully. As BLSE makes its debut in the public market, it provides an opportunity for us to participate in the company's growth trajectory while enabling BLSE to expand its operations and enhance its offering in the business segments. The proceeds will be utilized towards growing our E-service business both organically and inorganically. We see tremendous headroom for growth in this business in the coming years.

Our endeavor is to continue expand our operation through both organic as well as inorganic growth of initiatives and serve people across the globe. Technology and process-oriented BLS International Services Limited

February 13, 2024

Page 4 of 14 approach will remain a key focus area and we will continue to innovate and strengthen our business operation to serve the government and citizen in the best possible manner.

Thank you for your continued trust and support.

I will now like to hand over the call to Mr. Amit Sudhakar, our CFO, for an update on our financial performance. Thank you.

Amit Sudhakar: Good afternoon, everyone. I am pleased to present the consolidated financial performance for the third quarter and nine months ended December 31st, 2023. In Q3 FY24, we recorded revenue of 437.9 crore, a 7.4% QoQ rise primarily driven by continued recovery in visa and consular services. During this quarter, our EBITDA reached 88.6 crore compared to 66.3 crore in the corresponding quarter last year and 86.7 crore in Q2 FY24. Notably, the EBITDA margin for the quarter stood at 20.23% reflecting a substantial increase of 509 basis points compared to the same quarter last year. This improvement can be attributed to our cost optimization initiatives and the positive impact of value-added services.

In Q3 FY24, our profit after tax amounted to 87.18 crores, a significant increase from 45.85 crore in the previous corresponding quarter and 82 crores in Q2 FY24. Additionally, the EPS for the quarter stood at Rs. 2.5 compared to Rs. 1.23 in Q3 FY23.

Now shifting to nine months performance, the nine months revenue reached 1229 crore showing a robust 15.13% YoY increase. This growth was primarily driven by the strong recovery in visa volumes along with higher revenue from digital service business. The EBITDA for nine months FY24 amounted to 255 crores compared to 154 crore in the corresponding nine months last year. The EBITDA margin for this period stood at 20.78% reflecting an increase of 631 basis points compared to nine months FY23.

In nine months, FY24 the profit after tax stood at 240 crores, a substantial improvement from 127 crore in the previous corresponding 9 months. The EPS for the period is Rs. 5.64 compared to Rs. 3.2 reported in nine months FY23.

Additionally, I am pleased to highlight that the Board has recommended a dividend of 50% to the shareholders of the company, this translates into 50 paisa per share as dividend.

That's all from our end. We would be happy to take any question that you may have. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while

the question queue assembles. The first question is from the line of Mayur Bapadora, who is an investor. Please go ahead.

BLS International Services Limited

February 13, 2024

Page 5 of 14 Mayur Bapadora: Congratulations for the good set of numbers. So, my question was regarding the visa segment of our business. So, in the visa segment how much we are going to grow in the future, like we said, we are going to grow 20% year over year and for nine months it is actually 11% growth in nine months over nine months. So, it is slightly slowing down. So, what we must expect going forward without the acquisition we had iDATA and with the acquisition how much we expect in the visa segment growth?

Shikhar Aggarwal: See if you see from a profitability point of view, you know from a PAT level we have grown more than 90% if you compare the same quarter last year, even if you see that from EBITDA level you know we have grown more than 33%. So, definitely there is a major growth.

Regarding revenue, you know also we grew there was some seasonality in the business, some contingent upon this quarter that is why there was a little drop in the volumes. But still if you see the revenue we have achieved is similar. So, that is why there is an increase in the revenue that's actually and whatever numbers we have achieved we wish to maintain that. If you have seen in the last 3-4 years we have given more than 50% CAGR growth, and next year also coming year our objective is obviously to grow the company. We cannot give you any firm numbers or percentages where we target to grow, but definitely we have aggressive growth internally set within the company.

Mayur Bapadora: Sir, my next question was regarding our digital services segment. So, on the margin front, can we further see the margin improvement in the digital services segment going forward?

Shikhar Aggarwal: See the margin that we have achieved, obviously this is a volume-driven business spread across the length and breadth of the country where we have 4 lakh people coming into our center every day. Margin is little less than the visa business around 14.5% margin, whereas in our visa business we are doing upwards of 20% margin. Definitely you want the margin for visa business was less, it grew with time. So, definitely your objective and agenda is always to grow the margin in whatever business we get into and that will be the same objective even in E-services.

Mayur Bapadora: Sir, what is our thought process behind the acquiring of iDATA and how is the margin profile iDATA will have and can we expect similar margin profile in that acquisition also once we fully accommodate the company in our system.

Shikhar Aggarwal: See first of all, it took us 15 years to acquire such a big company. The money that we have generated is our hard-earned money. First we invested in Star in then Zero Mass and now this €50 million, it translates to 450 crore acquisition. We expect the money to be recovered within five to six years. This is a niche player based in certain geography of the world where in

they are operating only for Germany, Italy, Czech Republic also from many years, 2006 they have been in business. Definitely margins in this company is little higher than BLS International Services Limited

February 13, 2024

Page 6 of 14 International because it is a niche player working in certain geographies only with certain governments at higher service charges than us. So, that was also the objective of buying this company to learn from them and obviously adding a new client base. In this geography it gives us we can use economies of scale, combine our offices, lead to further growth, reduction of four expenses, we get qualified for more tenders. So, definitely there are multiple advantages. That is all added advantages other than the fact that we will recover our money within five to six years, and these are all extra advantages that we will get.

Mayur Bapadora: Okay sir. Best of luck from my side for your future endeavors. Thank you.

Moderator: Thank you. The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

Ravi Naredi: First of all Nikhilji and Shikharji congratulation to you and your team along with us for good listing of BLSE-services, because you have given the quota for shareholder of BLS and we get the allotment and sir 100% you acquired fully this is a company, so how much net profit in last calendar year 2023?

Amit Sudhakar: So, see, we have signed a definitive agreement. Certain CPs are still to be done and after getting the approvals, we will be able to complete the buyout, the CY22 audited numbers, they have a calendar year was about 20 million revenue and had EBITDA of €10.2 million. This is all in Euros.

Ravi Naredi: Very nice, very nice

ce and our quarter three topline revenue could not grow any reason?

Shikhar Aggarwal: I think we just answered this question previously. We just answered this question.

Ravi Naredi: OK, so I will listen in the system and this digital services, it will stand with us or it will transfer to BLSE-services.

Shikhar Aggarwal: No BLSE-services, which is the subsidiary of BLS International, will continue to remain a subsidiary of BLS International and all the revenue, profitability will get consolidated into BLS International. But definitely the E-service arm will handle all the regional service business everything.

Moderator: Thank you, Sir. Our next question is from the line of Avnish Khara from Investec. Please go ahead.

Avnish Khara: So, I just have two questions. The first one is on the visas services. I just wanted to understand whether the quarter-on-quarter increase is primarily, is it led by volumes or do you also see some kind of a price jump over there and secondly on the digital services, it's quarter on BLS International Services Limited

February 13, 2024

Page 7 of 14 quarter, it is falling a little bit. So, may be you could throw some light over there as well on what exactly happened?

Shikhar Aggarwal: So, I think on the visas service front, definitely, there has been a good growth in the revenue mix, the revenue mix has changed. We have definitely gotten some additional service charges, some of our service charges have also increased. If you see in the last year even the Spanish contract that we won or the new contracts for Germany, Italy, whatever we have won is at higher service charges and definitely there has been a good increase in different additional services like biometric, mobile biometric, etc. So, that is why also the profitability has increased and we expect to maintain that. Regarding digital services, I think from quarter 2 to quarter 3 there could be a minute change, but going forward we see good growth coming in.

Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.

Omkar Kamtekar: So, just a clarification to understand if the thought process is right as you said the iDATA acquisition that you have done - the entity is a niche player and it has a higher margin than that's what BL Shas. So, I think by what time you will be able to complete the acquisition because if it is a higher margin business, once that becomes incorporated in the numbers of BLS, the margin from the visas services should increase and if you are saying that the visas margin we are currently at 20, they could jump higher. So, would that be a material jump or a normal jump?

Amit Sudhakar: So, as I explained in the earlier question that iDATA has a much better EBITDA margin percentages compared to us because they are in a niche market and the most lucrative market in which they work. So, obviously once we acquire our margins will go up overall and we see value coming from synergies of operations and we both have offices in more than five countries which we are looking at how to synergize those operations and improve the margin further in the consolidated financials. So, those are the potential EBITDA improvements which we are looking at.

Omkar Kamtekar: Understood sir, but would the margins jump materially higher or would be it incremental marginal gain? So, would it be say for example if the margin is currently 20%. Would it go like

25-26-27 percent would be like 1 or 2% higher? It's just that would it be a material jump or a normal jump?

Shikhar Aggarwal: See, actually we cannot give any substantial numbers right now, because we are also not aware, but as you have seen in the past BLS International EBITDA margin has jumped from 15% to 20%. Now we are up to 20% and our endeavor is definitely to grow the margins always even with this acquisition and other than this acquisition also our endeavor is to grow BLS International Services Limited

February 13, 2024

Page 8 of 14 the margins. So, definitely, we will be focusing on that, but we do not have any visibility on exact numbers.

Omkar Kamtekar: And final question is with respect to the length of the contracts that you also have with respect to your awards that you get for visa and other processing and what iDATA has, do they have the similar length of contracts or do they have a higher or a shorter length of contracts and what is our length of contracts currently?

Shikhar Aggarwal: If you are following on the history of the company, maybe if you have seen that we have renewed our major contracts recently. We recently won a contract again with the Indian Embassy in Canada. Last year, we won again the Spanish global contract at a higher service charge. So, every government has differ-

rent topographies. Germany typically works on a 7-

year period even the new contract that we work with German government in USA is for seven years. Accordingly, all the contracts with this company also are there for the next few years and whenever they come up for bidding, then there will be a tender.

Moderator: Thank you. Our next question is from the line of Aniruddha Thackeray who's an investor. Please go ahead.

Aniruddha Thackeray: I have 2 questions. Can we expect this to happen in FY 2023-2024, the iDATA complete acquisition; also is there any probability or chance with our synergies to have a new business off-exchange for the customer?

Shikhar Aggarwal: Sorry, I understood your first question. That answer is yes, you can expect this transaction to close soon after the approval. I did not understand your second question. Can you please repeat?

Aniruddha Thackeray: What I am trying to understand is that we are into visa services, and we are providing a lot of digital services. So, in case can we have a new business line for the exchange of currencies like can we make available the currencies to our offices, Forex exchanges.

Shikhar Aggarwal: See, we are not averse to any value addition that can come to our existing customer base. So, you know in some countries we have tied up already with certain banks where in we are offering Forex card services at our centers and already this is happening. So, you know we don't want to invest in any new line of business where in we want to utilize the customer base that we have. So, definitely we are very open to any business that can lead to incremental revenue from our existing customer base.

Moderator: Thank you. The next question is from the line of Nihar Mehta, who's an investor. Please go ahead.

BLS International Services Limited

February 13, 2024

Page 9 of 14 Nihar Mehta: If you could reiterate, I have noticed recently the revenue growth was not significant so if you could highlight or give a color on the reason for the same.

Shikhar Aggarwal: Certain geographies that had not fully opened up or there was some seasonality in certain geographies. That is why volume was a little less compared to a similar quarter last year, but in fact our revenue has increased because our revenue has gone up from the existing application that we are getting and going forward so we see the volumes going up. So, the volumes should grow more. So, that is why there should be a further increase in revenue.

Nihar Mehta: Understood and given the recent IPO that we had if you could elaborate on like how much funding was raised or where are we going to use that fund?

Shikhar Aggarwal: We can reiterate that, but we have also explained this a lot of times in the last 2 weeks a lot of investor interviews, but I can tell you that we have raised around 300 odd crores.

Funding will primarily be used for four verticals which is growing of all the three verticals of four banking correspondent, our E-governance and assisted E-services and we are going to spend the money on strengthening our existing technology infrastructure, to develop new capabilities, invest in organic growth, opening of different kind of BLS stores within our network. So, couple of things that we have already mentioned in our RHP also and we have reiterated in our responses and interviews that we did in the last one/week 10 days.

Nihar Mehta: Understood, Sir. And we had our subsidiary in the US. So, correct me if I am wrong, we have recently stepped down that subsidiary which was in the US. So, if you could tell me what the reasons behind that were and how do we plan to work on our growth prospects given in the US.

Amit Sudhakar: See, we have a presence in the US currently. We have created this company with \$200 of equity more from the operations point of view, nothing else. So, it is just to streamline our

operations in the US.

Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.

Omkar Kamtekar: The question is with respect to the gross margins. So, in the nine months we can see that there is a good jump in the gross margins going up close to 42% on a rounded basis. So, my question was with respect to what it is attributed to, approximately 10% jump in the gross margin. What is the breakup of this jump? How much is it with respect to increasing prices and what is the breakdown of it?

Amit Sudhakar: So, it's a mix of all what we just talked about. There have been new contracts where the revenue per application is higher. We have added new value-added services and they all are BLS International Services Limited.

February 13, 2024

Page 10 of 14 higher margin businesses, which is improving our gross margin over the years. You can see that change

going over the last year, quarter on quarter. The 5% overall EBITDA margin has been improved and we are now maintaining those.

Omkar Kamtekar: Understood and the cash on the books that is shown in the presentation is approximately 750 odd crores. So, once the acquisition of DATA is complete, that would go down, so that would be the correct understanding?

Amit Sudhakar: Yeah, that is right. But we are generating around 80 crores a quarter also. So, that will also go on adding to the cash.

Omkar Kamtekar: Understood and finally, one question with respect to the E-services business. So, from what I recollect from one of the previous calls, you had said that we were experimenting and exploring with respect to last mile cash delivery system, cash delivery in the E-services business. What is the status of that and are we seeing any traction with respect to that?

Nikhil Gupta: So, we went into an agreement with the public sector banks alliance where there are 12 public sector banks that have given us nearly 58% of the transactions across India where by in the last mile we have started doing various services, to the residents at their homes, for example picking up cash or giving them cash and even any kind of checkbook that they want, they want bank accounts to be opened. We have already started many of these services in the last three months.

Omkar Kamtekar: Understood. So, this would fall under the bank correspondences services or would it be different from the existing multiples?

Nikhil Gupta: It's a separate contract, but within the BLSE-services.

Omkar Kamtekar: No, but would it fall under the bank correspondences subsegment or will it be a separate head?

Nikhil Gupta: No, it's separate, it will be in the same segment, but it's a separate agreement.

Omkar Kamtekar: OK, understood and are we seeing traction or is it still in its nascent stage or are we seeing ramping up very quickly?

Nikhil Gupta: It's in its nascent stage, but the bank is expected to be ramped up very rapidly over the next couple of months.

Omkar Kamtekar: Next couple of months, so maybe 12 months down the line it would be a much significant contributor to the revenues of the E-servicing business.

BLS International Services Limited

February 13, 2024

Page 11 of 14 Nikhil Gupta: It would be a contributor. We will have to see how significant it is over time.

Moderator: Thank you. Our next question is from the line of Mohit Doshi, who is an investor. Please go ahead.

Mohit Doshi: Good afternoon, sir and so just two questions and the first one being gate enabled service provider, so, what is our budget on R&D for innovation.

Shikhar Aggarwal: Are you talking about BLS International?

Mohit Doshi: Yes, Sir.

Shikhar Aggarwal: The budget for R&D, I think what we have been spending is 20 odd crore every year, and definitely now with the new things in place and not a new kind of business that we are targeting in visa consular services across the world, we are going to maybe have a little bit more investment going forward in the technology space as our revenue and profits increase.

Mohit Doshi: So, what would be an approximate scale up in this if you could provide a number.

Shikhar Aggarwal: No, it is not defined the percentage as and when we get new contracts accordingly we have to invest in technology for each contract some different kind of technology. So, probably that, but I think it will be utilized from the internal accrual of the company.

Mohit Doshi: And in the future, if one wants to assess the company I mean measure the company success in any particular indicator or something that we should look out for?

Shikhar Aggarwal: I think EBITDA and PAT are the indicators that we internally look at and definitely sustain growth that is what we are looking at.

Moderator: Thank you. The next question is from the line of Supan Parekh, who is an investor. Please go ahead.

SupanParekh: I just wanted to know about way forward for the investor as well as for the stakeholder to monitor the success of the BLS going forward. Like, what are the main things that the indicator they should look upon?

ShikharAggarwal: See, you should look at the history of BLS last 3-4 years show we have grown as a company and this may be definitely next few years the company that we have acquired, iDATA, the revenue profitability that is generated in that company will get consolidated into BLS. We see growth coming in from that area, entering into new geographies. So, I would say that definitely we as a company have now become a little matured in terms of our entry into BLS International Services Limited

February 13, 2024

Page 12 of 14 different geographies. Now we understand how to aggressively grow the c

ompany even

further. So, definitely you know there could be good growth coming in the next few years.

SupanParekh: Okay. I wanted to ask about the current vis-a-vis volumes per annum or quarter like what are the current volumes?

ShikharAggarwal: We have not disclosed that number properly because we are working in multiple territories and multiple countries or different governments. So, I think we have to get back to you on that.

SupanParekh: Okay. Sir, have you lost any contacts in the last few months?

ShikharAggarwal: No, we have in fact won new contracts.

SupanParekh: OK, so I also wanted to ask the follow-up question for the volumes regarding what is the volumes in China and Russia as well like what is the situation in Russia and China?

ShikharAggarwal: 20% of our global volume, the volume that we are generating, any contract that we do 20% of used to come from Russia and China. China is starting to look at coming back now. Russia still has not started to come back.

SupanParekh: Okay and the last question I would want to ask is like any short-term road map for BLSE-services post IPO?

ShikharAggarwal: We have already announced our road map, the money that we will be utilizing for it is all growth capital. You know this is all fresh issue of equity, money has come into the company and we will be our main objective will be whatever we have mentioned in RHP we want to want to follow that, and our main objective will be to implement that.

Moderator: Thank you. The next question is from the line of Omkar Kamtekar from Bonanza Portfolio.

Please go ahead.

OmkarKamtekar: Thank you. Could you share the free cash flow generated for the nine months, if it is available.

AmitSudhakar: You can check. We have given the cash as on 31st March as well as now I don't have the figure with me, but it was about 1 billion around Rs. 550 crore on 31st March and now it is about Rs. 750 crore.

OmkarKamtekar: Free cash flows, not the cash, free cash flow.

AmitSudhakar: Free cash flow from the business.

BLS International Services Limited

February 13, 2024

Page 13 of 14 OmkarKamtekar: Yes, free cash flow.

AmitSudhakar: So, in our case, if you add the depreciation and the tax, you'll get the free cash flow from the business. We have generated around 200 crore in the nine months, free cash.

OmkarKamtekar: Understood. Thank you and with respect to CAPEX, what is the steady state CAPEX that we would require? I know it would be dependent more upon how many contracts do we get and where are the offices that are being opened in various regions but an approximate steady state CAPEX that we generally do on an ongoing basis so that the operations are running?

AmitSudhakar: Sure. We have a normal CAPEX in the range of around Rs. 15 crore every year and additional comes from the new contracts which we win and it depends how much we need to invest in those new contracts, but the normal is about Rs. 15 crore.

OmkarKamtekar: 15 crore, so 15 crore is on average it could happen depending on the contracts.

AmitSudhakar: Anything addition will be on account of new contracts.

OmkarKamtekar: And all this is generally funded by us only or for example the counterparty, the government is also fixing a bit or is it fully funded by us?

AmitSudhakar: No, it is done by us only. No government support on the CAPEX.

OmkarKamtekar: Understood and can we share what is the approximate market share if we can disclose that what is the market share BLS has in the vis-a-vis services business or domestically and globally or otherwise?

AmitSudhakar: I think there is no authenticated source available to give that.

OmkarKamtekar: Okay, no issues. If the investor relation teams could share the number with respect to the volumes, would that be so I would separately ask them offline this question.

AmitSudhakar: Yeah, we can discuss offline on that.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments. Please go ahead.

RaviNaredi: Yeah, this higher margin we have got in this nine months will this margin stay for future years also, future quarter?

AmitSudhakar: YeahRavi,ifyouseeourresultsoverthepast,Iwouldsayoneyear,quarteronquarterwe havebeenabletomaintainover20%EBITDAmarginandwearequiteconfidentof continuingandmaintainingthat.

BLSInternationalServicesLimited

February13,2024

Page14of14RaviNaredi: Yes.Iamshareholdersincelast10years.So,Iamminutelystudyingeverythingandlastfor thisdigitalservicesthatisBLSE-servicesconcallyouwilldoseparately?

AmitSudhakar: Yeah,wewillstartdoingthatfromnextquarter.

Moderator: Thankyou.Astherearenofurtherquestions.IwouldnowhandtheconferenceoverttoMr.

ShikharAggarwalfromBL

SInternationalServicesLimitedforclosingcomments.

ShikharAggarwal: ThankyoueveryonefortakingtimetoparticipateinourQ3and9MFY24EarningsCall.In caseofanyfurtherqueries,youmaygetintouchwithGauravChugh,ourHeadofInvestor RelationsorAdfactorsPR.Welookforwardtointeractingwithyouagainnextquarter.Thank you.

Moderator: Thankyou.OnbehalfofBLSInternationalServicesthatconcludesthisconference.Thankyou forjoiningusandyoumaynowdisconnectyourlines.

Call: May 2024

May 20 , 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Compl ex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on May 15, 2024

In continuation to our intimation dated May 10, 2024 , please find enclosed a transcript of the Earnings Call held on Wednesday , May 15, 2024 to discuss the operational and financial performance for the fourth quarter and year ended March 31, 2024 .

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

Page 1 of 13

"BLS International Services Limited
Q4 FY24 Earnings Conference Call"

May 15, 2024

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
MR. LOKANATH PANDA – CHIEF OPERATING
OFFICER – DIGITAL BUSINESS
MR. GAURAV CHUGH – HEAD INVESTOR RELATIONS

BLS International Services Limited
May 15, 2024

Page 2 of 13 Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY24 BLS International Services Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Chugh, Head of Investor Relations from BLS International Services Limited. Thank you, and over to you, sir.

Gaurav Chugh: Thank you, Dorwin. A very good afternoon, everyone, and thank you for joining the Q4 and FY24 earnings call of BLS International Services Limited. To give you all, an overview of the company and to discuss the operational and financial performance, we have with us on the call today, Mr. Nikhil Gupta, our Managing Director; Mr. Shikhar Aggarwal, our Joint Managing Director; Mr. Amit Sudhakar, our Chief Financial Officer; and Mr. Lokanath Panda, COO of our Digital business.

The company's investor presentation and press release has already been uploaded on the stock exchanges as well as on the company's website and we hope you all have had an opportunity to go through the same. Let me remind you that this discussion may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our business risk that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance, and then we'll open the floor for an interactive Q&A session.

Thank you, and over to you, Mr. Shikhar.

Shikhar Aggarwal: Thank you all for joining us on this earnings call to review our operational and financial performance for the quarter and full year ended March 31, 2024. We trust you had the chance to review our results, press release and the latest investor presentations, which are available on both the stock exchanges and our company's website.

I'm pleased to report that our company has delivered a robust performance in this fiscal year 2024 with consolidated profitability surging by almost 60% year -on-year. As we embark on fiscal year 2025, our commitment remains steadfast to achieving strong financial results through our focused strategy and structural adjustments to our business model, particularly within our Visa and Consular segment.

We have transitioned from a partner -backed model to managing our own operations, a move

BLS International Services Limited
May 15, 2024

Page 3 of 13 that underscores our dedication to optimizing performance. Our Visa and Consular business has sustained its growth trajectory, experiencing decent increase in both revenue and volumes during the year. The growth as well was supported by the overall expansion in the global travel and tourism industry.

Gross revenue in the Visa and Consular business increased by almost 8% to INR1,361 crores, contributing around 81% of the consolidated revenue. The business generated EBITDA margins of 22.1% in FY24, up sharply around 726 basis points year -on-year from 14.8% EBITDA margin in FY23. We successfully renewed and re -won our global contracts with the Spanish government and the contract for the Indian government in Canada, augmenting our service portfolio to enhance our offering.

Additionally, we secured another additional global contract from Slovakia and secured visa outsourcing contracts from Germany, Italy, Poland, Thailand, Malaysia, Hungary, Czech

Republic and Portugal that we st

arted just last week. A significant milestone in our global strategy was a definitive agreement to acquire a pertinent stake in iDATA, a leading provider of visa & consular services based in Turkey. This strategic move aligns seamlessly with our objective and is expected to enhance our market presence substantially. We expect this acquisition to be completed by 30th June 2024, subject to necessary regulatory approvals. To elevate customer experience, we have implemented several initiatives across our value chain, including a new appointment system with advanced facial recognition technology, a dedicated mobile app for Italian customers and a revamped website platform. Our commitment to providing essential services such as counsellor support, passport processing and visa facilitation remains unwavering.

In the digital service domain, we have witnessed commendable growth in both revenue and profitability, highlighted by the successful completion of the INR 300 crores IPO of BLS E - Services Limited. The funds raised will fuel the expansion of our digital service arm enabling investments in new technology, service offerings and outright efforts. Our digital business expanded its reach to over 1 lakh touch points and 1,000 BLS stores, reflecting our dedication to promote financial inclusion and digital empowerment.

Partnerships with public and private sector banks exemplified by initiatives like Har Ghar Suraksha and DBS Dastak underscore our commitment to extending banking services to underserved population of the country. Our innovative solutions such as the Business Facilitator model and Iris scanner have been instrumental in driving success and delivering value to our partners.

We have recently launched doorstep banking services tailored for the elderly in 25 states and union territories, making banks more accessible and convenient for them. This service aims to address the challenge faced by elderly in accessing traditional banking facilities. Looking ahead,

BLS International Services Limited

May 15, 2024

Page 4 of 13 we are focused on organic growth initiatives and strategic acquisitions to expand our market share and strengthen our competitive position. Our unwavering commitment to generating sustainable value for our stakeholders, underscores our responsible approach to growth.

Now I'll turn over the call to Mr. Amit Sudhakar, our Chief Financial Officer, for further updates on financial performance. Thank you.

Amit Sudhakar: Thank you, Shikhar. Good afternoon, everyone. I'm pleased to present the consolidated financial performance for the fourth quarter and full year ended March 31, 2024. During Q4 FY24, our revenue from operations stood at INR 447.7 crores. Our Visa and Consular business remained steady in this quarter. Our EBITDA surged to INR 90.3 crores from INR 66.5 crores in Q4 FY23, showing a robust growth of 35.7% Y-o-Y, primarily due to reduction in service costs. However, employee costs and other expenses were higher this quarter due to change in our business model, including transition from partnership model to direct operational management.

This transition resulted in increase in our workforce and expenses on refurbishment of our new offices, contributing to higher other expenses. Our EBITDA margin expanded significantly by 534 basis points to 20.2% in Q4 FY24, indicating an effective cost management and better revenue mix. PBT before exceptional items stood at INR 93.5 crores, up from INR 65.2 crores in Q4 FY23, marking a 43.4% increase. PAT reached INR 85.5 crores showing a growth of 11.4% Y-o-Y compared to INR 76.7 crores in Q4 FY23. In Visa business, the gross revenue for Q4 FY24 stood at INR 370.4 crores while EBITDA grew by 40.5% Y-o-Y to INR 77 crores from INR 54.8 crores in Q4 FY23. Our digital business revenue stood at INR 77.3 crores with EBITDA of INR 13.3 crores in Q4 FY24.

Moving on to full year

financial performance. We witnessed a 10.6% increase in revenue from operations, reaching to INR 1,676.8 crores from INR 1,516.2 crores in FY23 driven by a higher revenue in both the segments. EBITDA showed remarkable growth increasing by 56.4% to INR 345.7 crores compared to INR 221.1 crores in FY23. Our EBITDA margin improved to 20.6% in FY24, up from 14.6% in FY23, indicating a significant expansion of 603 basis points. PAT for FY24, experienced a robust growth of 59.4% to INR 325.6 crores compared to INR 204.3 crores in FY23 with improvement in margin by 595 basis points. The earnings per share for full year for FY24 was at INR 7.6 per share against INR 4.89 per share in FY23, registering a growth of 55.4%.

In Visa business, the revenue for FY24 stood at INR 1,361.8 crores, up from INR 1,259.9 crores in FY23, while the EBITDA grew by 61% Y-o-Y to INR 300.5 crores in FY24 with a margin of around 22.1%. Our digital business demonstrated a strong performance. For the full year the revenue increased by 22.9% Y-o-Y to INR 315 crores in FY24, up from INR 256.3 crores in

FY23. EBITDA also increased by 31.3% Y-o-Y to INR 45.1 crores in FY24. We take pride in

BLS International Services Limited

May 15, 2024

Page 5 of 13 being a financially strong company, supported by our low-cost and asset-light business model.

As of March 31, 2024, our cash balance stood at INR 1,135 crores, including proceeds from the

IPO of BLS E-Services Limited. Further, our esteemed Board have recommended a final dividend for financial year 2024 of INR 1 per share to the shareholders, including an interim dividend of INR0.50 per share.

With that, I would request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Fantastic result you have posted for FY24. Sir, iDATA, you mentioned by June '24, we complete acquisition. Can you tell top line, bottom line, our margin of iDATA for CY23 or FY24?

Amit Sudhakar: So see, iDATA, the last audited balance sheet for CY22, they had a top line of around EUR 20 million and EUR 10.5 million EBITDA.

Shikhar Aggarwal: For CY22.

Ravi Naredi: Okay. So after acquiring this company June 30, with complete formality, we are seeing any top line growth in FY25?

Amit Sudhakar: Yes, this revenue will get added to our existing revenue. Whatever is our existing business, this will add to that, and the existing revenues are also growing at around 15% every year.

Ravi Naredi: 15%. Sir, any modification in the business will happen due to iDATA, so many offices of our other countries will merge with this iDATA in future.

Amit Sudhakar: Yes, the whole advantage is that we will realign our offices with their offices. They are present in more than 10 countries and 5 countries are the common countries where we also have our offices. So the whole idea is to align those offices and get the necessary economy of scales from there.

Ravi Naredi: Okay. And sir, last, our enhanced EBITDA margin, which rises by 600 points, it will be continuing FY25, what is your prediction?

Amit Sudhakar: See, this 20% is now the base, and we are now looking at improving it in the current year and you will see that happening because of the business model we are trying to change from partnership to our own management, which will improve our EBITDA margins going forward as well as by acquisition. This company is generating an EBITDA of around 50%. So, the overall EBITDA margin will move up in the current year. We expect this to start happening from the first quarter onwards.

BLS International Services Limited

May 15, 2024

Page 6 of 13 Moderator: The next question is from the line of Avnish Khara from Investec.

Avnish Khara: My first one is on the gross margins. So

you had a decent quarter-on-quarter improvement, so maybe you can provide some sort of colour on why exactly that has happened and whether it's sustainable moving forward?

Amit Sudhakar: Yes. As we explained in the previous question, that the business model, the way we are changing it, our margins will go on increasing now because the margin we were paying to the partners will come down. And, as we start operations on our own, these margins will start improving. And that we have seen in the last financial year also.

Avnish Khara: Right. So then is it safe to assume that incrementally, I mean, can you provide some sort of an internal target as to where they'll sort of level off?

Amit Sudhakar: Our intention is to be around 25% - 27%. That is our target to reach immediately. And then let's see from there how we can improve it further.

Avnish Khara: Right. And what are your effective tax rate expectations for the next 2 years?

Amit Sudhakar: We are now around 7% to 8%. It will go to around 12% -ish.

Avnish Khara: Okay. 12 -ish in FY '25. Is that fair to assume?

Amit Sudhakar: That's right. Because in the current year, there will be a higher tax in Dubai, they have come up with a 9% effective tax. So we'll have some impact of that coming in.

Avnish Khara: And maybe if I can squeeze in one last question. You've spoken about volumes going down because of Ramadan festival, but that ended in April, right? And we've had sort of 1.5 months of Q1. So maybe you could throw some sort of colour on what kind of volumes we're seeing right now? And another question in relation to that, are we also maybe planning any price hikes in the visa business?

Amit Sudhakar: So taking the second question first, the price rises are not there because the contracts have a fixed price rates, which have been fixed. So we don't have an option of just changing the pricing.

But as you said, because of the festival reason, which started from 10th of March, those 20 days, in the last year, which started in the month of April previous year. So we have seen the volumes have come back and we'll see a better Q1 on volumes compared to the Q4.

Avnish Khara: Got it. And on the iDATA front, what kind of ramp-up in revenues do you think is possible for FY '25, given that in '22 calendar year, they've done about EUR 20 million, so any sort of colour on where that can be for FY '25 for us?

Amit Sudhakar: Again, we are looking at scaling those operations by at least 25% to 30%, both on the top line as well as on the bottom line.

BLS International Services Limited

May 15, 2024

Page 7 of 13 Avnish Khara: Got it. And in relation to that, so your other expenses have spiked up because of the business model change, right? But do you think that because of the iDATA acquisition and then sort of since you have offices in similar geographies, there is a scope for reducing other expenses as a percentage of the revenues?

Amit Sudhakar: Yes, it will be. But again, once we get into the operations, we will know much better.

Shikhar Aggarwal: Also because of the increase in other expenses, the EBITDA has been impacted.

Avnish Khara: Got it. I guess the reason that I'm asking this question is that I'm trying to ascertain whether your margins will be pulled up because of the gross margins or because of the opex that we're able to get under control. Which one will...

Amit Sudhakar: The gross margin will improve much more because of the improvement, and that would reflect in the EBITDA margins improvement.

Moderator: The next question is from the line of Anuj Jain from Globe Capital.

Anuj Jain: Congratulations on the very good set of numbers. So just want to understand, regarding that iDATA acquisition, I mean, due to what kind of problem, this acquisition is being delayed?

Shikhar Aggarwal: See, basically, we are doing a multi-jurisdiction acquisition. This company we're acquiring is

present in 15 countries. So as a precondition, we have to get certain regulatory approvals from different countries. So those formalities are going on. And that is the reason the acquisition timeline has shifted. Otherwise, the entire due diligence, everything is completed. But since we are a listed company, we cannot acquire a company without all the compliances.

Anuj Jain: So right now, we are comfortable with the date that you have given like 30th June. So we are comfortable with that date, or it can be extended further?

Shikhar Aggarwal: I think we are working towards according to that date. But you can understand this is a multi-jurisdiction acquisition, so I think so we are on track.

Anuj Jain: Okay. And I just want to understand one more thing. I mean, if we add up the iDATA numbers for FY25, we'll get some growth. So let's say, for example, without iDATA, what are the growth we are expecting from this visa business?

Shikhar Aggarwal: I can tell you the past historical figures, we did. 3 years back, we did a INR50 crores PAT then we achieved INR 100 crores and last year, we had INR 200 crores. And now for FY24, we closed at INR 325 crores of PAT, so which was a 60% growth compared to last year. So we have been growing quite, I think, above average, I would feel. And our objective always is to maintain whatever we achieve first, so whatever we have achieved last year, our objective will be to maintain that.

BLS International Services Limited

May 15, 2024

Page 8 of 13 Now last year, we won a few contracts with different governments. We renewed some contracts like the Spanish government, with Indian government. We won a few new contracts with Portugal government, Poland, Czech Republic, Germany, Italy. So all these contracts some revenue came in last year, but majority of the revenue will start coming in this year. So definitely, there will be a good growth in terms of the organic business that we have. On top of that, if you add the countries that have not fully opened up, if they open up, numbers should increase further. New tenders that we are bidding for. If you add on these acquisitions of iDATA and other companies also that we are looking at. So definitely, we are in the last 2, 3 years, we are in a growing space right now, and that is the trajectory we want to scale.

Anuj Jain: Yes, that is very exciting, Shikhar. I just want to understand one more thing. I mean, like VFS Global, that is the major player. What kind of market share they are commanding and what is our market share?

Shikhar Aggarwal: See, there is no proper market share available in the world. So definitely what we know is VFS is probably double or more than that, maybe 3x our size. That is what we feel in terms of the market share that they are handling globally. But there is no proper numbers to find that out.

Anuj Jain: Got it. And one last question. I just want to understand like when you are planning to utilize

this is for this BLS E -Services, when you're planning to utilize the IPO proceeds?

Amit Sudhakar: If you see in our DRHP, we have worked out a plan of investing this money over the next 1.5 years. We have started the process and a couple of acquisitions are also part of the object of this money. Those are also in advanced stages. As and when we finalize those, the money will get utilized.

Anuj Jain: Okay. And for the cash portion that we are holding, I guess, we are running 5%, 5.5% on those cash levels, if I'm right. Is that correct understanding?

Amit Sudhakar: So it depends. The money, which is in dollar, will be around 5.5%, to 5.75% maximum. And in India, the deposits are at the range of around 7%.

Moderator: The next question is from the line of Priyam Poddar from Value Equity.

Priyam Poddar: So this is with regard to the revenue. If you can share the revenue breakup of digital business between the BC and e-assisted and e-governance

for the full year?

Amit Sudhakar: So yes, for digital, for the year, it was INR 315 crores. And visa business for the year was INR 1,361 crores.

Priyam Poddar: Okay. And secondly, if you can share, which are the top 3 to 4 countries for our visa and consular business revenue-wise?

BLS International Services Limited

May 15, 2024

Page 9 of 13 Shikhar Aggarwal: Now there basically, we are working in more than 66 countries globally, and we work with more than 46 client governments. So as of now there is no top country, but I could say that regions, in terms of region, we get a good amount of revenue from our operations in North America, wherein we have renewed our contract with Indian embassy. We get a good amount of revenue from Gulf coming in. From Africa, Northern Africa, also our revenue is quite good. From the European countries, from UK, so these are 4, 5 regions wherein we get good amount of revenue.

Moderator: The next question is from the line of Sakshee Chhabra from Svan Investment.

Sakshee Chhabra: Yes. Sir, I wanted to just understand that for Q1, what would be the sort of volume increase that you are witnessing in the visa issuances?

Shikhar Aggarwal: See, definitely, normally, Q1 is the tourist season, at least from India outbound, if you see. So I would say exact numbers, it's too soon, and we don't want to give any forward-looking statement. But I think probably 5% to 10%, we will see an increase in volume in Q1.

Sakshee Chhabra: Okay. But it would be not more than 10%?

Shikhar Aggarwal: I'm saying that could be the average and could be more or less, I don't know right now. But definitely, the numbers will be higher.

Sakshee Chhabra: Okay. But the issues that were there last year in terms of visa issuances, all that have been resolved now, right?

Shikhar Aggarwal: Which issues?

Sakshee Chhabra: There was like the time taken for visa issuances was much longer last year in the same quarter, right, in Q1, so according to that.

Shikhar Aggarwal: See, time issuance, judgment is not our prerogative. We work under the guidance of the government and whatever they inform us, we have to collect the application and transfer it to them. Time taken, everything is dependent on them. So right now the government that we are working for, we know that they are taking quite smooth time and the visa is being turned around in a short duration of time. So that is what we know.

Moderator: The next question is from the line of Mayur Bapodara, an Individual Investor.

Mayur Bapodara: Sir, congratulations on good set of numbers. Actually, my question was regarding iDATA. So the question is why there is so much difference in EBITDA margin? Like that is a huge difference, that 50% EBITDA margin of sales and ours is 20%. So can we expect that we can also improve our EBITDA margins after we synergize with iDATA?

Shikhar Aggarwal: See, they are a very niche and regional player working in only certain geographies from the

BLS International Services Limited

May 15, 2024

Page 10 of 13 last 15 years. And the government that they are working for, they've got contract at a very higher service charge. So definitely, that is the reason. And that was also one of the reasons we have acquired them. So that will also lead to an increase in our EBITDA margin, and we will also learn. We'll add value wherever we can to increase their profitability, but we will also learn and incorporate the things in BLS International. We are more focused on volume, so we will also learn and probably that will lead to an increase in EBITDA for us also.

Moderator: The next question is from the line of Manoj Agarwal, an individual investor.

Manoj Agarwal: I'm an individual investor. I'm pretty new to your company. So if you can tell me what you mentioned that in the press release that there is some transformation in your business model.

So what were the issues you were fa

cing in your current business model that you want to transform it? And what would be a few challenges you would be facing?

Shikhar Aggarwal: First of all, we are looking at transforming and improving on the company every day. So that it is not like we have done something wrong, but it is a normal growth of the company that every day you think about what can be improved further, how you can transform the company going forward, next month, 1 year down the line, 2 years down the line. It's the changing environment we live in. So from that respect, we have mentioned that transformation.

And definitely, for example, in certain countries, laws have been changing. We were working with some FMC partners in certain Gulf countries wherein you're not legally allowed to own 100% of the entity. So we had to do revenue sharing with local FMC partners, and that has been changed now. We have done our 100% investment on our own. We are now getting the fruit of that revenue and profitability also. So from that aspect, we have mentioned that business transformation. But from a positive outlook, next year also, we will look at transforming something else. Wherever we see we can improve efficiency and benefit the shareholders and the company, we work on that.

Manoj Agarwal: Okay. So that would be for a few geographies or countries only, you are transforming on a global level?

Shikhar Aggarwal: Correct, correct.

Manoj Agarwal: Okay. And this would be for your visa and consular business only or you are taking this transformation to your digital business?

Shikhar Aggarwal: See, as of now, digital business is in a nascent stage. Right now we are not looking at implementing the same model. But right now only the visa and consular business.

Manoj Agarwal: Okay. And another question I have for your digital business is, its revenues are not expanding much. Can you please elaborate more on the reason behind that?

BLS International Services Limited

May 15, 2024

Page 11 of 13 Shikhar Aggarwal: No. If you see the revenues that we have done, we achieved a revenue of INR 309 crores, which is a growth of 25% compared to last year. EBITDA, we have achieved around INR 50 crores, which is a growth of 37.6% compared to last year. So definitely, revenue and profitability has gone up. And this year also, we expect because of certain things that we have done, acquisitions that we are planning, the increase in the contract that we have got from different banks, e-governance contract that we have got, revenue and profitability to increase further.

Moderator: The next question is from the line of Manoj Sah from Laxgov Investments.

Manoj Sah: My question is the software that you use for the visa and consular services, is it like an in-house developed software or you use a third-party software?

Shikhar Aggarwal: See everything is in-house from us. The source code, everything is retained by us in-house, but we do use certain outsourced partners globally. In different countries, we have different partners for different kind of requirements.

Manoj Sah: Okay. Just like for different countries, you will be using it in a local language or the language for the working is in English only across the globe?

Shikhar Aggarwal: Across the globe, it is in English. It depends on the requirement of the client government.

Manoj Sah: Okay. And regarding your visa business and consular is around 81% of the total revenue.

You're doing the digital business in that e-governance business. So you are doing it at the centre government level currently or you have tie up with state governments in India? And what are your plans for doing these kind of e-governance business in other countries as well?

Shikhar Aggarwal: We have tied up with both at the central level and state level also. Some of the opportunities, some of the central schemes, Aadhaar, the data quality check and different kind of tenders

we're doing directly with them. And a lot of tenders we are doing with state governments, like we recently won the Gujarat land record registration contract as well. So going forward, I see that ample amount of opportunities are there within India. But as we are a global company and we first want to excel in India and then take this model abroad, we are still looking at the same time in opportunities across the world using our resources already present there. So I feel that when the time is right, we might take this global as well.

Manoj Sah: Okay. So as of now, you're doing this e-governance services in India in partnership with states and the centre, but in future, you might go abroad also.

Shikhar Aggarwal: Okay.

Manoj Sah: Okay. And what's the outlook for the FY25 growth, revenue growth? Because this year, it's like in this quarter, it was flat and for the whole year, it was like top line was just 10% growth.

BLS International Services Limited

May 15, 2024

Page 12 of 13 Any guidance for FY25?

Shikhar Aggarwal: First of all, as a company, I personally look at more EBITDA and PAT numbers. I feel we have done a 60% growth at EBITDA level. And a year before that, we also did more than 100% growth in EBITDA. So that is what we are focused on. And I feel definitely this year also, we will surpass the numbers that we achieved last year.

Manoj Sah: Okay. So are you trying to say that the focus is more on the margin side rather than the top line growth or a growth with the margin kind of.

Shikhar Aggarwal: See, definitely, our focus is the growth of the company from wherever it comes. Right now we see that there is a big amount of opportunity in the margin growth. So that is why we are focused on that. And revenue growth will come automatically with the new contracts, existing volume getting increased, everything. So definitely, if we focus on the margin growth, the revenue growth will come automatically.

Manoj Sah: And in the worldwide wherever you got orders, these are your direct orders from the government to you or you have got local partner, he gets the order, and you provide assistance with them. How does it go?

Shikhar Aggarwal: These are all direct orders.

Moderator: The next question is from the line of Priyam Poddar from Value Equity.

Priyam Poddar: So there is just one question that I want to ask. If you can help us, what was the contribution of Punjab government for FY '23 and '24, like the contract, which is no longer with us under digital?

Shikhar Aggarwal: I think probably it will be better if we talk on this individually because right now, we don't have the handy numbers, so from the numbers we can tell you later.

Moderator: The next question is from the line of Rikesh Parikh from Rockstud Capital.

Rikesh Parikh: Congratulation on a good set of number. Sir, I just wanted to understand for the EBITDA, we have added that we'll like to maintain 20% plus going forward. So that was excluding iDATA, we are looking at? Or how one should be looking at?

Amit Sudhakar: Yes, excluding iDATA.

Rikesh Parikh: Okay, excluding iDATA. So including iDATA, that kind of be in the next year, it could be in the range of 24%, 25%, if I look at the current EBITDA number of iDATA.

Amit Sudhakar: Definitely, definitely. I think, it will get in there.

BLS International Services Limited

May 15, 2024

Page 13 of 13 Rikesh Parikh: Secondly, in terms of growth, 15% growth what we are guiding 10% to 15% kind of accrued, so that is also excluding this acquisition, or we have included this?

Shikhar Aggarwal: All of this is excluding acquisition or new contracts or growth in volume.

Rikesh Parikh: Okay. So on the base margin, you're looking at 10% to 15% growth, right?

Shikhar Aggarwal: So growth, I think on a normal conservative basis, this is the growth that even for the last 4 years, we have been telling this amount of growth only. 10%

will grow, but definitely,

numbers are changing. So we'll see.

Rikesh Parikh: And then, lastly, this iDATA acquisition is from our Dubai entity, if I'm not wrong?

Shikhar Aggarwal: Yes, it's from BLS subsidiary.

Rikesh Parikh: So means the cash, that we hold and means we have the profit that we can't fund it to India. So now again, the cash will be arising over there in Dubai, and we won't be able to reward the shareholders from that fund as well. So how do we propose to utilize the cash holding at Dubai?

Amit Sudhakar: First, we are using the cash for the acquisition of iDATA, whatever we have at the moment. And then secondly, we get dividend from FZE in India, and we use it for payment of dividends as well as for our funding requirement in India.

Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Mr. Shikhar Aggarwal for closing comments. Over to you, sir.

Shikhar Aggarwal: Thank you, everyone, for joining in our Q4 and FY '24 earnings call. We hope all your queries were answered. In case of any further queries, please feel free to get in touch with Mr. Gaurav Chugh, our Head of Investor Relations, or the IR team at Ernst & Young. We look forward to interacting with you again next quarter. Thank you, and goodbye.

Moderator: Thank you. On behalf of BLS International Services Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Disclaimer:

This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an

effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 15, 2024, will prevail.

Call: Aug 2024

August 12, 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C-1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Complex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on August 06, 2024

In continuation to our intimation dated July 31, 2024, please find enclosed a transcript of the Earnings Call held on Tuesday, August 06, 2024 to discuss the operational and financial performance of the Company for the first quarter ended June 30, 2024.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

"BLSInternationalServicesLimited
Q1FY25EarningsConferenceCall"
August06,2024
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEADINVESTORRELATIONS
Page2of15

BLSInternationalServicesLimited
August06,2024

Moderator: Ladiesandgentlemen,goodday,andwelcometoBLSInternationalServicesLimited

Q1FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I'll now hand the conference over to Mr. Gaurav Chugh from BLS International Services Limited. Thank you, and over to you, Mr. Gaurav.

Gaurav Chugh: Thank you, Sumit. Very good afternoon everyone and thank you for joining the Q1FY'25 earnings call of BLS International Services Limited. To discuss the operational and financial performance of the company, we have with us on the call today, Mr. Nikhil Gupta, our Managing Director; Mr. Shikhar Aggarwal, our Joint Managing Director; Mr. Amit Sudhakar, our Chief Financial Officer; and Mr. Lokanath Panda, Chief Operating Officer of our Digital business.

The company's investor presentation and press release has already been uploaded on the stock exchanges as well as on the company's website and we hope you all had an opportunity to go through the same.

Let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our businesses that would cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I would like to hand over the call to Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance, and then we will open the floor for an interactive Q&A session. Thank you, and over to you, Shikhar.

Shikhar Aggarwal: Thank you. Thank you all for joining BLS International's Q1FY'25 Earnings Call today. We trust you had an opportunity to have a look at our results, press release and the investor presentation, which are available on both the stock exchanges and our company's website.

I'm delighted to share with you that we have commenced FY'25 by achieving some significant milestones. Firstly, we have crossed INR 500 crores in terms of consolidated total income in the quarter. Our total income in Q1FY'25 was INR 510 crores, which is a growth of 31% from the same quarter last year. This was also the quarter with the highest-ever quarterly profits. We have delivered a profit after tax of INR 120.8 crores, which is a remarkable 70% year-on-year growth.

I would also like to take a moment to point out some interesting facts. If you look at our numbers a few years back, in FY'21, we did a revenue from operations of INR 478 crores in the

Page 3 of 15
BLS International Ser

vices Limited

August 06, 2024

full financial year, which is lower than the revenue of INR 493 crores, which were recorded just in this quarter itself, which is Q1FY'25. And this is just not for the revenue. It is also for other key financial parameters like EBITDA and PAT as well. I believe this is a testament to our focus on sustainable growth.

Now coming back to Q1FY'25, our revenues from operations during the quarter have reported a strong growth of 28% year-on-year. The growth has been largely driven by growth in our Visa & Consular segment, which has witnessed an increase in volumes, growing 18% from the corresponding quarter. The volume growth has been due to growth coming from new contracts as well as growth from our existing contracts.

Our enhanced penetration in target markets and strong industry tailwinds from global travel and tourism during the quarter have also contributed positively to our growth. As we have been mentioning about the transition in our business model from partner-run model to self-run model. Over the last few quarters, we have been successful in this transition, and we are now starting to see results in expansion of the margins. And we are hopeful to see further positive outcome from this strategic move in the future.

Another milestone that we have achieved is that we recently completed iDATA acquisition. We have successfully completed the 100% acquisition of iDATA, a leading Turkey-based Visa & Consular service player. The integration of iDATA's business operations with BLS will further solidify our presence in the European geography. We will start seeing the consolidation of this acquisition from Q2FY'25 onwards, and we are also exploring further synergies which will further help to optimize our operations.

Our Digital Service business continues to witness growth traction, while the revenues in Q1FY'25 were at similar levels as compared to Q1FY'24. We continue to deliver a good performance in terms of profitability. Our continuous focus has led to an increase in margins and operational efficiencies, which has enabled us higher profitability in this quarter. We continue to witness growth in this segment with the addition of new banks and CSP during the quarter. As of 30th June 2024, we had 27,000 plus CSPs and more than 110,000 touchpoints. In this quarter, the BC business has seen over 3.5 crore transactions with Gross Transaction

Value of around INR 20,000 crores. Further, in line with our commitment to promote financial inclusion and digital empowerment, we signed a definitive share purchase agreement to acquire 55% controlling stake in Aadifidelis Loan Solution and its affiliates, which is one of the largest loan and distribution processing companies in India with Pan-India presence. A network of 8,600 plus channel partners enabled Aadifidelis to facilitate an average monthly loan disbursement of more than INR 1,500 crores. The acquisition is expected to close in Q2 FY'25 and will align with our company's portfolio of Business Correspondents-led citizen-centric last-mile banking delivery and provide ample cross-selling opportunities.

Page 4 of 15

BLS International Services Limited

August 06, 2024

To conclude, with increased business confidence and travel-facilitating measures and rising air capacity and connectivity across the globe, we anticipate significant boost to the international tourism and corresponding demand of visa applications. We are witnessing a positive momentum and are optimistic about sustaining growth in the future.

We also are resolute in our belief that our strategic growth initiatives and acquisitions will generate substantial long-term value for our stakeholders. Meanwhile, we'll continue to focus on our inorganic growth initiatives, wherein we would be targeting synergistic tech-enabled businesses.

Now I'll turn over the call to Mr. Amit Sudhakar, our CFO, for further updates on financial performance. Thank you.

Amit Sudhakar: Thank you, Shikhar. Good afternoon everyone. I'm pleased to present the consolidated financial performance for the first quarter ended June 30, 2024. Our consolidated revenue from operations increased by 28.5% to INR 492.7 crores from INR 383.5 crores in Q1 FY'24, largely driven by growth in Visa & Consular business. The EBITDA surged by 66% to INR 133.2 crores compared to INR 80.1 crores in Q1 FY'24. EBITDA margin improved to 27% in Q1 FY'25, up from 21% in Q1 FY'24, showing a significant expansion of 615 basis points. PAT in Q1 FY'25 witnessed a robust growth of 70% to reach INR 120.8 crores compared to INR 71.0 crores in Q1 FY'24, with a margin improvement of 600 basis points to 24.5% in Q1 FY'25.

Now moving to

the segmental highlights. Revenue from Visa & Consular Services experienced a strong growth of 36% to register revenue of INR 414.1 crores in Q1 FY'25, up from INR 304.8 crores in Q1 FY'24. EBITDA grew by a robust 71% Y-o-Y to INR 121.3 crores in Q1 FY'25 with a margin of 29%, which expanded by 600 basis points as compared to 23% in Q1 FY'24. The margin has witnessed an expansion due to high volumes, transition to a new business model as well as our effort to bring in operational efficiency in our businesses. The number of visa applications processed during the quarter have risen by 18% from 7,21,000 applications in Q1 FY'24 to 8,50,000 applications in Q1 FY'25. We have also announced the completion of iDATA Acquisition recently, for a consideration of INR 720 crores. This is a large milestone for the company and we will witness the synergistic benefits from Q2 onwards. iDATA is a profitable company and recorded INR 246 crores revenue with INR 144 crores in EBITDA in calendar year 2023.

Our Digital Business revenue stood at INR 78.5 crores in Q1 FY'25 compared to INR 78.7 crores in Q1 FY'24. The EBITDA surged by 31% Y-o-Y to INR 11.9 crores in Q1 FY'25, against INR 9.1 crores in Q1 FY'24. The EBITDA margin sat at 15.2% versus 11.6% in Q1 FY'24.

Page 5 of 15

BLS International Services Limited

August 06, 2024

The company continues to maintain a strong balance sheet with cash and cash equivalent of INR 1,290 crores as on 30th June 2024, and strong return ratios with ROE of 29% and ROCE of 32% on an annualized basis.

With that, I will request the moderator to open the floor for questions.

Moderator: The first question is from the line of Nikhil Shetty from Nuvama Wealth.

Nikhil Shetty: Congrats on a strong set of numbers. My question is on margins. So, we have witnessed substantial growth in the EBITDA margin in Visa & Consular business. And as I understand, number of iDATA is yet to be added to the numbers. So, what led to this growth? And I mean, how much of our partner-based centers are transitioned to the company-owned model? And what is the key reason behind the growth in the EBITDA margin in Visa business?

Shikhar Aggarwal: Yes. Thank you, Nikhil. So, as you know, we grew 600 basis points in EBITDA margin level, now we are standing at 29% EBITDA margin from 23%. And there are, I think, a couple of factors for this growth. Definitely, if you see that in some countries, we have transitioned to our own model, I think 4, 5 countries have already transitioned, more 3, 4, 5 countries are expected to transition. We have gotten an increase in service fee. We have won new contracts at higher service charges, even though existing contract that were tendered we have won at

higher service charges. So the service fee has increased.

Also, there has been an increase in some conversion of different services across the world. So I think that is the reason for increase in EBITDA margin. And yes, we have also seen a growth in revenue of 36%. Volume of applications have also grown by 18%. So I think those are some of the factors that have led to increase in EBITDA margin, and we think that this is sustainable and it can grow further. And yet acquisition of iDATA, the numbers will be added from second quarter.

Nikhil Shetty: Yes. But just to get more clarity on EBITDA margin. So, after the integration of both the acquisitions, how much margin do you expect on a blended basis for FY'25?

Shikhar Aggarwal: The exact number, we don't know. But definitely, we see further upside in our margins. If you see last year, we did 21%, year before we were at 15%-16%. So constantly, the EBITDA margin has been growing and definitely, after this acquisition, we definitely feel that EBITDA margin can grow further.

Nikhil Shetty: Okay, sir. And lastly, sir, despite having INR 1,300-odd crores on our balance sheet, we are planning to raise INR 2,000-odd crores. I believe this is for acquisition as well. So is it fair to believe you have already identified the target company?

Page 6 of 15

BLS International Services Limited

August 06, 2024

Shikhar Aggarwal: So, Nikhil, first of all, this money INR 1,290 crores that we have on the books is as off first quarter-end and post that the acquisition of iDATA was done, so money was paid from that. Also, Aadifidelis Loan Solution that we've announced, we will be using this cash. So, cash level definitely, in the short term, will be utilized in these acquisitions. Obviously, in the next few months and years, we expect more cash to come into the company. But see, this was an enabling resolution that we passed in the Board meeting and in the follow-up AGM we wish to take that up. But definitely, we are constantly looking at growth opportunities of the company.

y. Organically, we are looking at new contracts, new geographies and inorganically these acquisitions.

So definitely, we are talking constantly to different outsourcing companies, not only in Visa, but allied sectors as well. So, this was an enabling resolution, and that is why we passed it. But definitely, we have planned for the future as and when companies that we're talking to, one of it gets closed, the bigger acquisitions, then we will be accordingly raising the funds.

Moderator: The next question is from the line of Sandeep Agarwal from Naredi Investments.

Sandeep Agarwal: Mr. Aggarwal, you did a miracle in company. Congratulations. And we are a shareholder more than 5 years, so we knew this company throughout. We wish all the best to you and your employees. Sir, my question is 55% controlling stake you bought for loan and distribution, so it is for BLS or BLSE-Services?

Shikhar Aggarwal: Thank you, first of all. I think the entire team of BLS International is working hard to deliver good growth on a sustainable basis. So definitely, in the future also, we expect good growth coming in. This company has bought the loan and distribution company in its subsidiary-BLSE-Services. 55% will be held by the BLSE-Services.

Sandeep Agarwal: Okay. Secondly, after 100% acquisition of iDATA, how much cash we have, or we raised some debt?

Shikhar Aggarwal: As off first quarter-end, we have given the cash numbers of INR 1,290-odd crores. Post that, we have utilized certain cash in the acquisition of iDATA.

Sandeep Agarwal: After iDATA, "Yeh Dil Maange More" so what is next?

Shikhar Aggarwal: See, we are--as we've spoken, we are a mature company now, and we are focusing on sustainable growth and we see there is ample opportunity in the market. So we are--as you know, we have been a conservative company utilizing our cash effectively. So accordingly, we are looking at multiple opportunities, both inorganically and organically, and we wish to do acquisitions that will be revenue accretive, EPS accretive, and we'll only focus on that. So definitely, we want to grow, but on a sustainable basis.

Page 7 of 15

BLS International Services Limited

August 06, 2024

Moderator: The next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Yes. Soon the margin expansion, obviously, the margin expansion has been pretty decent, and it has been the highest margin. So, we said that transitioning from partner-run centers to self-managed centers as the main reason. So, if you can throw some more light here in terms of how many centers we have in terms of self-owned and outsourced as of now? And as far as my understanding goes, shifting to the self-management also involves the capex, like owned centers. So, is it turning towards more asset-heavy kind of a model?

Shikhar Aggarwal: So, Amit, first of all, this increase in margins, one of the reasons is the shift from partner-run model to self-owned centers, but there are multiple other factors. If you see, we have got increase in service charges from our existing client government and new tenders that we have

won at good higher service charges. There has been increase in different value-added service fee also, increase in conversion as well. So, there were multiple factors that has led to an increase in margin, and that is sustainable. The capex that pertains, I think Amit can add on that.

Amit Sudhakar: So, Amit, if you see, our depreciation and our employee costs have gone up compared to the last quarters, and only due to this that we have got people on our own payroll as well as we have invested in new facilities. Therefore, the depreciation has also gone up. So, it is reflecting in those rather than in EBITDA directly. So, the impact has come from hedge actually.

Amit Chandra: Okay. So in terms of the 615bps margin expansion that we had, how much we can attribute towards shift towards the self-owned centers and how much would be from the cost saving measures and higher realisation and the value add services, can you give some breakup on that or some more color that would be helpful?

Amit Sudhakar: We don't have a specific breakup, but you can see that the volume growth has been about 18%, whereas the revenue in visa and consular business has grown at around 35%. So that shows the increase in the revenue, which we have done that, which is impacting the EBITDA. On the other hand, if you take out the incremental employee costs and the depreciation, that will give you the net increase, which has come in from EBITDA margins.

Amit Chandra: Okay. And we have also seen quite substantial increase in the number of applications and also the revenue per application has been increasing. So, in terms of the total app

lications, if you

can provide how much has been from Indian and foreign centers or missions, what is driving this higher realization and high volume growth? Is it some specific center, specific countries? Or is it like widespread?

Amit Sudhakar: So, see, this is coming from new contracts which we have won. And in India, we don't more than 10% of the total revenue. So, 90% is all outside India. And the growth is coming from India as well as from outside India in these numbers. It is on high volumes from the existing

Page 8 of 15

BLS International Services Limited

August 06, 2024

centers as well as the new centers, which we have opened for the new contracts which we have won over the last one year.

Amit Chandra: Okay. So, all the contracts that we have won is already into this? So, from here, we can see the growth like normalizing or there are some other contracts that we're winning and there is possibility that this number can grow further because iDATA is coming, so it opens up a new market. So how do you see this in terms of number of applications?

Shikhar Aggarwal: I think if you see the volume, we have grown 18% in terms of the volume in first quarter. This obviously does not include the acquisition numbers. Then numbers will grow further. But I think the opportunity in the market is huge in terms of outsourced market itself, there are multiple tender that are coming up for bidding, and we are doing pilots. We have a bunch of contracts. If you see in the last one year, we have won multiple contracts with multiple governments. In the future also, we expect some market share to come in from that. Then there are non-outsourced markets also, which will continue to outsource. More and more outsourcing will happen, more on the production will come. So definitely, we think that we can sustain the growth momentum.

Amit Chandra: Sir, I just wanted to understand because last 4 quarters, the volume applications has been mostly constant. We have seen a jump in this quarter. So, the growth is coming from existing contracts? Or is it totally from a newer contract in this quarter?

Shikhar Aggarwal: Some growth is also coming from existing contracts. China is now back to pre-COVID level. But obviously, majority of the growth is coming from newer contracts as we have been talking that we have been winning new contracts, deploying them. So, volume growth has started to come in from those as well.

Amit Chandra: Okay. And in terms of the realization growth, obviously, it has been growing steadily. So that could be one of the reasons. But apart from that, is there a mix change also a reason for the increase in applications and how this application will look like after iDATA integration?

Shikhar Aggarwal: Honestly, Amit, I'm sorry, but you are not very clear on the last question. I think you're talking about the volume of iDATA. So, they do 650,000 or something odd applications annually.

Amit Chandra: No, no. I was talking about the net revenue per application. That has been an increasing trend. So how much of that is from the change in the mix of international versus domestic and how much is from value-added services, if you can provide some color on that? And also, how the revenue per application is of iDATA?

Shikhar Aggarwal: So, revenue per application of iDATA is higher than BLS International because they are operating in specific geographies at higher service charges. But I think our revenue mix, Amit

Page 9 of 15

BLS International Services Limited

August 06, 2024

Sudhakar if you can share more.

Amit Sudhakar: This all is coming from outside India only mainly because in India, we have a very limited revenue.

Shikhar Aggarwal: I think maybe you can have a call with Amit Sudhakar on your question.

Moderator: The next question is from the line of Samir Palod from AUM Fund Advisors.

Samir Palod: Wonderful set of numbers. If you can just talk a little bit about cash flow, the EBITDA growth and how much of that EBITDA has translated into cash flow from operations, that would be very helpful?

Shikhar Aggarwal: Yes. I think Amit, our CFO, will take this up.

Amit Sudhakar: So, Samir, if you see our numbers and the growth in cash flow, more or less the EBITDA will match with our incremental cash position. We have given our quarterly cash balances, the increase if you see is more or less matches with the EBITDA that we have done. Because our businesses are all-cash basis, it reflects directly into our cash balances. So, if you see the cash balance had moved by INR 154 crores in this quarter, if you add the depreciation, it will be approximately coming to the same numbers, around that.

Samir Palod: Fair enough. And if you can just talk a little bit about how you see the rest of the year going

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for your Visa processing business, for your current business and for the acquisition business separately? And do you see further operating leverage in your margins going through the next 3 quarters?

Amit Sudhakar: So if you see in the last couple of quarters, we have talked about this shift which we were doing from a partnership-model to our own-model, and the impact started coming from this quarter. And the second, there have been a tailwind as far as global travel is concerned, which is helping us in the volume of business in most of the centers. So that growth is what we have done in this quarter, we feel that this momentum will continue for the current year. And over and above that, the acquisitions, which are in the pipeline as they will add and there will be a value EBITDA accretive from the day 1, will add further to the top line as well as the margins.

Samir Palod: But in terms of sort of steer in terms of what would be the growth you think in your base business as well as in the Turkey business.

Amit Sudhakar: So, see, we have done a growth in this quarter about 18% in the volumes. And overall, about 35% on the revenue, we believe that will continue and the growth in the EBITDA should also be on the same line as for the existing business is concerned. And once these acquisitions are completed, additional EBITDA will be added to the same.

Moderator: The next question is from the line of Kevin Jain from PL Capital.

Page 10 of 15

BLS International Services Limited

August 06, 2024

Kevin Jain: Shikhar and the team, congratulations for these kind of numbers. One peculiar particular thing, which I have noticed, which is not there any of the Indian companies for the first full financial year, March '22, your entire consolidated profit was INR 111 crores. And this is a testimony that in the first single quarter of March '25, you have done INR 120 crores, which is higher than the entire profit of financial year FY '22. Congratulations. Now one fundamental question what I want to ask that you and your management have seen the evolution of VFS or any of the global majors right? Now they have also acquired several regional players. So, if I were to ask that BLS at which juncture or trajectory in terms of acquiring now, as you have acquired iDATA, right. What is the pathway for next 5 to 6 years? And what has been the journey of VFS or any global equivalent measure, see because your acquisition is one of the most relevant things, right? Because then you make a very strong pipe and a very strong funnel, and credentials help to build on credentials. So, can you throw some perspective on this matching the trajectory of VFS, what are our renewed strengths compared to VFS? That would be helpful.

Shikhar Aggarwal: So, Kevin, if you see in the last 4 years, we have grown 92% CAGR level in EBITDA. And that was all organically done. Next few years also, if you divide the bucket of growth of BLS, our first focus is on organic growth, how we can organically increase the revenue from our existing contracts, get more outsourcing from our existing client governments, increase our geographical presence.

And then second is how we can win more contracts from the competition, which are coming up for renewal, where we can build a certain market size share. Then if you see a lot of new governments which have never outsourced like Philippines, Brazil, we recently won, more governments are now in the pipeline, which are outsourcing for the first time. Some existing governments are outsourcing in the newer geographies for the first time. So, first focus is on that.

Then definitely acquisitions. If you see there are only a handful of players in this business globally, big players and then a handful of regional players as well. And we have acquired one of those sizable regional players iDATA. So next few years also, the kind of cash that the

company will throw, we are looking at constantly growing the company both in Visa outsourcing and allied government outsourcing services globally. So, we are looking at different acquisition opportunities. Regional players across the world that can be EPS accretive, economies of scale help us enter into new market and we get our money back in a certain number of years. So definitely, we are looking at those kinds of acquisitions and also Visa outsourcing allied fielding government outsourcing where they are good contracts being held by those companies.

So next year, I feel growth will come on all fronts, and I feel that we can sustain the growth momentum. If you see our competitors, we have won 14 to 15 new contracts in the last 1 to 1.5 years, and most of it was from the competition. Some governments have outsourced for the first time also, that most of this was winning more market share. So that is why we see good growth coming in all fronts of the company.

Page 11 of 15
BLS International Services Limited

August 06, 2024

1.5 years, and most of it was from the competition. Some governments have

outsourced for

the first time also, that most of this was winning more market share. So that is why we see good growth coming in all fronts of the company.

Kevin Jain: We absolutely got it. My last question is that from Q2 or Q3, you will be giving a combined consolidated number on a line-by-line basis. Slogically speaking, when you integrate your numbers with iDATA, your margins at EBITDA level and a PAT level then would be substantially higher. And will there be any costs synergy in time to come, not immediately from the iDATA business over the next 1.5 to 2 years, which you will eventually focus on.

Amit Sudhakar: So Kevin, first, just to give you some numbers, iDATA last year has closed about INR 240 crore stop line and had an EBITDA of around INR 140 crores, so those will get line-to-line consolidated with us, what we would be doing it from, 10th of July onwards. Those will be in our books directly coming in.

Then what we have done is we have analyzed that out of those 15 locations where they have offices out of them, 7 or 8 places, we also have our offices and we are trying to see to synergize those offices and get the benefit of cost and as well as operations. So these efficiencies will add value to the whole transaction, which we plan to do, it will take a couple of quarters to align those operations, so that will have another benefit, which we will see.

Kevin Jain: Perfect. I got the best perspective. Wish you good luck.

Moderator: The next question is from the line of Jaiprakash from Korman Capital.

Jaiprakash: Question on the seasonality. Is there any seasonality in the business? Like there is Q1 generally the stronger than other quarters?

Shikhar Aggarwal: Yes. Definitely, we see good numbers coming in Q1. There is a growth in terms of certain geographies. But now global travel has come to a similar level across all the months, that's what I feel, so I feel that if you see the acquisition that we have done, the new contracts that we are planning. So, I think definitely, we see a good growth coming in all the quarters.

Jaiprakash: Okay, Sir, just to understand, we did the IPO of this BLSe-services, right? So, I just wanted to understand, like what was the reason we did the IPO and because company seem to have enough cash on the balance sheet. So, if you can just give out the rationale?

Amit Sudhakar: Jaiprakash, we basically wanted to deal in both the businesses separately. And they both have their own growth plans and to cater to their funding requirements of their future growth, we wanted to keep them insulated with each other. We do not want to use the cash generated by Visa business into the digital business requirement as well as the digital business cash generation into Visa.

Page 12 of 15

BLS International Services Limited

August 06, 2024

So for that angle, we have delisted that indirectly this company. And now the acquisition which we have announced of Aadifidelis will be done by the IPO funds that we have raised for that expansion. So those funds will be used for the growth of the BLSe-services future growth requirements.

Moderator: The next question is from the line of Arvind Kumar Sharma from Gemological Science International.

Arvind Kumar Sharma: Mr. Shikhar Aggarwal. We have got very actual results. Actually, BLS is the only company which is having business internationally and getting the profits, otherwise, all the companies, which are having global business are in deep trouble. Only companies which are concentrated on India are profitable. One more time I want to congratulate you. Sir, my question is that we have gone for IPO of BLSe-services. But we have the INR 300 crores, it is being unutilized. What is the reason?

Amit Sudhakar: So, Arvind, the last question I explained that the IPO funding we are going to use for this acquisition, which is in the final stages now. We are signing a definitive agreement. And once that happens, we will be utilizing for that as well as the balance will be used for the growth capital of the BLSe-services, where we are investing in the IT infrastructure as well as we are going to open stores as well as the acquisitions. So, there are a couple of more acquisitions

in the pipeline. As and when they get crystallized, we will be announcing that also.

Arvind Kumar Sharma: Actually, we are adding a lot of opportunity. I meant to say in our real budget, we are again emphasizing on retail infrastructure of India. So, you have done very good outside India, let us consider to India.

Amit Sudhakar: So BLS e-services focusing only on India.

Arvind Kumar Sharma: Yes, that's what I want to suggest, you might be knowing it better than me.

Amit Sudhakar: Thanks for your suggestion. Thank you.

Moderator: The next question is from the line of

Sunny Roy, an individual investor.

Sunny Roy: Yes. So, I just saw that you are having an enriched resolution of INR 2,000 crores, via QIP or any other mode, so may I know what the intent or reason is since we had a negative working capital and you have flushed with cash. So why do you want to raise up to INR 2,000 crores via QIP or any other mode?

Amit Sudhakar: So, Sunny that was explained by Shikhar also that this is an enabling resolution we have passed, and which will require an AGM approval also and we will keep it handy for if we are looking at looking at acquisitions globally. If there are some big acquisitions come in, we will have to at that time, take a call of raising these funds. So, at the moment, these are all enabling
Page 13 of 15

BLS International Services Limited

August 06, 2024

resolution. No specific fundraising has been brought out at the moment.

Sunny Roy: Okay. So, you don't have any concrete M&A plan as of now?

Amit Sudhakar: No, no. As and when, we have some, we will be then raising the funds.

Moderator: The next question is from the line of Sachin, an Individual Investor.

Sachin: Congratulations on a amazing set of results. Just wanted to check if there are any opportunities for revenues between the 2 firms, BLS's e-services as well as international. I don't recall specifically where, but is the company looking at travel insurance as a segment revenue? And is that something that the company is looking at? And also, in terms of the exchange rate fluctuations and soon, how well is the company insulated because we're just seeing that in the news now that there's a lot of fluctuations with the dollar. Can you please throw some light on that?

Amit Sudhakar: So as far as travel insurance, this facility we give part of the value-added services to the travelers. That we give them a couple of countries, we give them the option of applying for a travel insurance because that is a mandatory requirement for the Visa. So, we provide those services from respective travel insurance companies. And as far as the exchange rate, we have a natural hedge that our all contracts are in USD or in Euro. So, we collect the equivalent local currency matching with the achieved rate. So, we don't have an exchange rate risk inherited into the system.

Sachin: Okay. And also, in terms of the enabling provision of INR 2,000 crores, I didn't see whether debt was an option, it more inclined toward equity, but not sure if debt is an option or there is going to be equity dilution whenever it can have.

Amit Sudhakar: So, this resolution is only related to equity. And we have earlier passed our overall debt funding requirement as an enabling resolution. So, those are very much there. Once we have some decent amount of acquisition or something, we will be announcing it and then work out the structure of how much debt to equity we'll have to raise.

Sachin: Okay. So hopefully, when that happens, your existing investors have a way to participate in such.

Amit Sudhakar: Certainly. Certainly.

Moderator: The next question is from the line of Manish from KJM Capital.

Manish: First of all, congratulations on the great numbers. I just wanted to know, looking at the current international situation as a BLS International or I DATA, are we involved in a business with any of these countries? And do you think it might affect the quarter 2 numbers?

Page 14 of 15

BLS International Services Limited

August 06, 2024

Shikhar Aggarwal: We operate currently in a global scenario, where there is every year or every quarter or somewhere we have geo-political tension keep happening. So, I don't think on an annual basis, this affects our business. We are operating in 70-plus countries. So, every country across the world, we have some small operations or big operations, but I don't think on an annual basis, anything effects. May be in the short term, it might affect in certain country. But the countries in question, we don't have any sizable revenue. So, I don't think it has any effect on us.

Manish: Okay. And the second question is about BLS e-services as government is looking forward to reach out to the every corner of India for financial inclusion and other services. So as an outsourcing service, what is the growth strategy do we have? And do we have any domestic tenders under pipeline?

Shikhar Aggarwal: I think we are in line with the government strategy. That is why we started the business 6 years back to reach every corner of the country. We already have now 100,000 touchpoints in all the states and union territories. If you see our BC businesses now reached 27,000 touchpoints, we have started loan distribution for private sector banks where in the entire last year, we did INR 600 crores of loan distribution.

ion. And this first quarter itself, we have crossed INR 1,000 crores of loan distribution.

So, I think we are very well aligned with the government strategy of piggy banking to all parts of India. Our reach with existing clients is increasing. We are getting more private sector banks. E-governance also, we are discussing with multiple states outsourcing opportunity that we're recurrently doing. Assisted e-services also to our footfall of 600,000-700,000 people have seen uptick. And that is why we see there has been a 30% increase in EBITDA of e-services as well. So, I think that is here to stay, and we feel there is further growth expected in the coming quarters.

Manish: Okay. And any state government tenders under pipeline?

Shikhar Aggarwal: There are many tenders in the pipeline, but it has to align with our strategy objective or negative working capital up front cash collection. So, we are focused fully on that. We want to grow on a sustainable and consistent manner.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question. I would now like to hand the conference over to Mr. Shikhar Aggarwal for closing comments.

Shikhar Aggarwal: Thank you, everyone, for joining in on our Q1 FY'25 earnings call. We hope all your queries are answered. In case of further queries, please feel free to get in touch with Mr. Gaurav Chugh, our Head IR or our IR team at Ernst & Young, LLP. We look forward to interacting with you again next quarter. Thank you, and goodbye.

Moderator: On behalf of BLS International Services Limited, that concludes this conference. Thank you
Page 15 of 15

BLS International Services Limited

August 06, 2024

for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recording uploaded on the stock exchange on August 6, 2024, will prevail.

Call: Nov 2024

November 18 , 2024

National Stock Exchange
of India Ltd. ,

Exchange Plaza, C -1 Block G,
Bandra Kurla Complex
Bandra [E], Mumbai –
400051

BSE Ltd.,

Phiroze Jeejeebhoy
Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange
of India Ltd. ,

Vibgyor Towers, 4th Floor, Plot
No. C62, G - Block, Opp. Trident
Hotel, Bandra Kurla, Compl ex,
Bandra (E), Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
MSE Scrip Symbol: BLS

Subject: Transcript of Earnings Call held on November 12 , 2024

In continuation to our intimation dated November 05 , 2024 , please find enclosed a transcript of the Earnings Call held on Tuesday , November 12 , 2024 to discuss the operational and financial performance of the Company for the Second quarter ended September 30, 2024.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
Membership No.: FCS12878

Encl: as above

Page1of18
BLSInternationalServicesLimited
November12,2024
"BLSInternationalServicesLimited
Q2andH1FY'25EarningsConferenceCall"
November12,2024
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEADINVESTORRELATIONS
MODERATOR:MR.NIKHILSHETTY–NUVAMAWEALTH

Moderator: Ladies and gentlemen, good day, and welcome to the BLS International Limited Q2 and H1 FY'25 Earnings Conference Call hosted by Nuvama Wealth. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr.

Nikhil Shetty from Nuvama Wealth. Thank you, and over to you, sir.

Nikhil Shetty: Thank you, Del. Good day, everyone. On behalf of Nuvama Wealth, thank you for joining the Q2 and H1 FY'25 earnings call of BLS International Services Limited. To discuss the operational and financial performance of the company, we have with us on the call today, Mr. Nikhil Gupta, Managing Director; Mr. Shikhar Aggarwal, Joint Managing Director; Mr. Amit Sudhakar, CFO; Mr. Lokanath Panda, COO of Digital Business; and Gaurav Chugh, Head of Investor Relations.

I now hand over the conference over to Gaurav. Thank you, and over to you, Gaurav.

Gaurav Chugh: Thank you, Nikhil. Good afternoon, everyone. The company's presentation and press release has already been uploaded on the stock exchanges as well as on the company's website. And we hope that you had an opportunity to go through the same. Let me remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors.

It may be viewed in conjunction with our business estimates that would cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements. I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks. Post which, Mr. Amit Sudhakar will discuss the financial performance of the company, and then we will open the floor for an interactive Q&A session.

Thank you. And over to you, Shikhar.

Shikhar Aggarwal: Thank you. Thank you, everyone, for joining us on BLS International's Q2 and H1 FY'25 earnings call today. I'm extremely delighted to announce that we have concluded the second quarter and first half of fiscal year 2025 with highest-ever financial performance. Our second quarter consolidated revenue has seen a strong increase of 21% to INR 495 crores compared to same period last year. We witnessed highest-ever EBITDA reported by the company at INR 164 crores, which grew remarkably by 89% and our profit after tax was INR 146 crores, surging 78% year-on-year. The result in our first half is the best period till date

with

consolidated revenue climbing 25% to INR 988 crores. EBITDA also grew by 78% to INR 297 crores and profit after tax increasing 74% year-on-year to INR 267 crores. These results

lays a solid foundation for our growth trajectory throughout the remainder of our fiscal. Our remarkable growth is primarily attributed to the surge in visa applications, a direct result of our strategic expansion in key markets and our targeted approach to securing lucrative contracts alongside bolstering our existing ones over the last 18 to 24 months. Further, we have expanded our operations by opening up new visa application centers in Columbia and Peru during the quarter.

During quarter Q2 FY'25, the number of Visa applications processed has increased from 7.2 lakh applications in Q2 FY'24 to 10.1 lakh in Q2 FY'25, which have grown by a robust 41% year-on-year. This includes the application processed by iDATA during the quarter. This uptick aligns with the broader growth in the global travel and tourism industry which has provided an encouraging backdrop for our expansion.

With the completion of acquisition of iDATA in July 2024, we began including iDATA's financials in our consolidated reports from the second quarter onwards. iDATA has contributed significantly to our financial strength, reporting revenues of INR 60 crores and EBITDA of INR 23 crores and also represents around 1.6 lakh visa applications during the quarter.

Synergies from the acquisition of iDATA, and ongoing transition in our business model from partner-run centers to self-run centers has resulted in an enhanced margin profile for the company during the period. Our EBITDA margin expanded to 33.1% in Q2 FY'25, an expansion of 1,186 basis points from 21.3% in the corresponding quarter. Furthermore, our net revenue per application has also increased from INR 1,988 in Q2 FY'24 to INR 2,883 in Q2 FY'25.

Additionally, in October '24, we have also completed the acquisition of Citizenship Invest, a global leader in Residency and Citizenship programs with presence across more than 15 countries, enhancing BLS capabilities and offering long-term visa solutions. Capitalizing on

BL's expansive reach across 70-plus countries combined with Citizen Invest's robust reputation and influence among High Net Worth individuals is anticipated to significantly enhance overall processing volumes.

I'm delighted to report that our Digital Services segment has expanded its presence to more than 121,000 touchpoints, underscoring our commitment to fostering financial inclusion and empowering digital access.

In terms of Business Correspondent (BC) operations, we have seen a remarkable volume of over 3.6 crore transactions with the gross transaction values surpassing INR 20,000 crores during the quarter. Additionally, we have expanded our network by adding more than 2,700 channel service partners bringing our total to over 29,700 BCs as of September 30. The partners also have generated loan leads of approximately INR 1,400 crores for financial

Page 4 of 18
BLS International Services Limited

November 12, 2024

institutions as compared to INR 1,000 crores in the last quarter. The expansion reflects our ongoing efforts to deepen our market penetration.

Our subsidiary BLSE - Services has also signed a definitive agreement to acquire 57% controlling stake in Aadifidelis Solutions and its affiliates (ASPL). It is among the leading loan distribution processing players in India, boasting a comprehensive pan-India presence. ASPL's network of 8,600 plus partners have presence in 17 states and tie-ups with leading financial institutions is an added advantage. The integration of ASPL will complement our existing suite of BC-driven citizen-focused banking services and unlock numerous cross-selling opportunities, further enhancing our service offerings and market reach. We hope to close this transaction quite soon.

As we look to the future, our strategy is dual-faceted. We aim to cultivate organic growth within our Visa and Consular services and digital service business and also actively seeking out opportunities for inorganic expansion, both domestically and internationally. Our outlook for the current fiscal remains positive, and we are dedicated to driving sustainable growth. In closing, I wish to reiterate our strong confidence in the coming quarters. The BL Steam is committed to advancing growth across both of our key business segments. We are convinced that strategic initiatives we have implemented will lay the groundwork for a prosperous future in coming years.

Now I'll turn over the call

to Mr. Amit Sudhakar, our CFO, for further updates on the financial performance. Thank you.

Amit Sudhakar: Thank you, Shikhar. Good afternoon, everyone. I'm pleased to present the consolidated financial performance for the second quarter and half year ended September 30, 2024. In the Q2 FY'25, we achieved a revenue of INR 495 crores marking a robust year-over-year increase of 21% from INR 408 crores reported in Q2 FY'24. This growth was attributed largely by strong performance of Visa and Consular service business. We are witnessing a sustained momentum and remain confident of four prospects for continued expansion in the subsequent quarters.

Our EBITDA for the quarter surged to INR 164 crores, up from INR 87 crores in same period last year, registering a strong growth of 89%. The EBITDA margin for the quarter was 33.1%, expanding by 1,186 basis points year-over-year. This margin expansion was attributed to our cost optimization efforts and transitioning to self-run model and iDATA acquisition.

Profit before tax for the quarter was reported at INR 164 crores, a significant 88% increase from INR 87 crores in second quarter of the previous financial year. The profit after tax also showed a strong performance at INR 146 crores compared to INR 82 crores in the corresponding quarter of the previous year, reflecting a growth of 78%. Taxes in Dubai impacted the PAT growth. Earnings per share for the quarter stood at INR 3.40 per share as

Page 5 of 18
BLS International Services Limited

November 12, 2024

compared to INR 1.90 per share in Q2 FY'24.

Coming to the half year performance, the half year revenue stood at INR 988 crores as compared to INR 791 crores, registering a growth of 25% over the corresponding previous period. The EBITDA for the H1 FY'25 stood at INR 297 crores versus INR 167 crores in the corresponding half year of last year, a robust growth of 78%. The EBITDA margin for the H1 FY'25 stood at 30.1% against 21.1% in H1 FY'24 and an expansion of 901 basis points. Profit after tax stood at INR 267 crores as compared to INR 153 crores in the previous corresponding half year, a growth of 74%.

Now coming to segmental highlights. In Q2 FY'25, our Visa Consular segments saw a strong growth of 30%, generating a revenue of INR 418 crores, an increase from INR 322 crores in Q2 FY'24. The EBITDA for this segment expanded by 107% to INR 152 crores with an EBITDA margin of 36.4%. This represents an increase of 1,360 basis points over 22.8%

margin recorded in Q2FY'24.

The quarter also saw a 41% rise in the number of visa applications processed climbing from INR 7.2 lakhs application in Q2FY'24 to 10.1 lakhs application in Q2FY'25, which includes 160,000 applicant counts from iDATA.

Looking at the first half of the year, Visa and Consular service revenue grew 33% to INR 832 crores in H1FY'25, up from INR 627 crores in H1FY'24. EBITDA for the same period experienced a significant year-on-year increase of 89%, reaching to INR 273 crores with EBITDA margin of 32.9%. This margin widened by 982 basis points compared to a 23% margin in H1FY'24, reflecting an ongoing commitment to growth and efficiency.

In Q2FY'25, our digital business segment reported a revenue of INR 77 crores as compared to INR 86 crores in the same quarter of the previous financial year. The EBITDA for the segment stood at INR 12 crores in Q2FY'25. The EBITDA margin has remained flat at 15.5%. In H1FY'25, the digital revenue stood at INR 156 crores as compared to INR 164 crores in the corresponding period. The EBITDA for the segment stood at INR 24 crores in H1FY'25 as compared to INR 22 crores in H1FY'24. The EBITDA margin witnessed an expansion to 15.3% in H1FY'25 from 13.6% in H1FY'24.

The company continues to exhibit a healthy balance sheet with net cash and cash equivalents totalling to INR 902 crores as on September 30, 2024. Our financial prudence is further reflected in our strong return ratios with the annualized return on equity of 32% and return on capital employed of 27%.

With that, I will request the moderator to open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Dinesh from Finsight.

Page 6 of 18

BLS International Services Limited

November 12, 2024

Dinesh: Okay. First of all, very congratulations on a really good set of numbers, sir. I mean, obviously, on the margins and the PAT front. My questions sir, we have seen the Visa and Consular business has shown a tremendous growth in terms of applications and revenue on all fronts. But the digital business definitely is not on a year-on-year basis, showing the numbers what we are looking at.

So first of all, what are the challenges here that we are facing?

And second, are we don't want

to split this business and completely use this cash, the proceeds of this business so in the Visa business for further acquisitions? That's my first question.

Amit Sudhakar: Nikhil, sir, you would like to take it or?

Nikhil Gupta: No, I don't mind. Actually, I just wanted to respond by saying that all businesses have different risks and rewards, as you know so definitely, the visa and consular business has much higher margins because the number of people kind of competing in that space are less and the digital business is a little more competitive. There is no plan right now to completely sell or separate the businesses.

As you know, digital business is a subsidiary of BLS International. And we want to find opportunities for growth there because we believe there are opportunities still there in that space.

Dinesh: Okay. So then what are the challenges you're facing, sir? Because we are not, I mean, definitely, the numbers are not reflecting that, right? And what is the challenge you are facing?

Shikhar Aggarwal: Competition. I think also, I can add 1 more point. Basically, last year, if you see one of our contracts that completed and in spite of that contract, not having the revenue from that contract, which was in the state of Punjab, the revenues have increased. So definitely, we have seen a growth, but 1 of the contracts were completed last year.

That is the reason you see there is no major growth in terms of revenue, but because the overall revenue reduced from that contract.

Amit Sudhakar: And Dinesh, this IPO money, what we have raised is for the growth, and that's what Shikhar said in his speech also that we are doing few acquisitions and the numbers will start showing from Q3 onwards. So you'll see the growth coming in this business also.

Dinesh: That sounds great, sir. The last thing from my end. So we have made quite a few acquisitions in the last few months, right, including the iDATA. So how do we see the things are panning out there? And what kind of numbers we should expect when we end this financial year and maybe the next financial once we have all the consolidated numbers? Yes.

Amit Sudhakar: So, the consolidations in this quarter, if you see the iDATA numbers have been added in the

Page 7 of 18

BLS International Services Limited

November 12, 2024

current quarter. Therefore, the growth trajectory has been about 22-23% in the revenue, which we have been doing for the last 2 quarters, and we think it will continue with our existing business growing as well as with the acquisitions which are coming in.

Dinesh: Okay. So the kind of numbers we see in the next year I'm masking like say, what was the target and guidance for the next year and -- yes, the next year?

Shikhar Aggarwal: Correct. We want to maintain the numbers that we've achieved in the first few quarters.

Dinesh: Okay. And the same margins, right? We can expect the margins to maybe expand further?

Shikhar Aggarwal: Yes. Our objective is to maintain the same margins.

Moderator: The next question is from the line of Nihal Shah from Prudent Corporate Advisory.

Nihal Shah: Congratulations for the great set of numbers. So if I reduce the applications that we had from iDATA in this quarter so we are looking at around 18% volume growth in these applications that we have processed. So what was that number for iDATA? And how has iDATA been growing since the last few years, if you can share some light on it and their margins as well.

Amit Sudhakar: iDATA is having a revenue of around INR 200 crores to INR 250 crores annually, which is going to be now part of four numbers, further, what we anticipate around 10% to 15% growth going forward in iDATA business that is how we look at it. What was your second question?

Nihal Shah: So the margins have been around 45%, 50% there since the last couple of years. And for this quarter, if you can give specific margins for iDATA?

Amit Sudhakar: As we said, this quarter, they did about INR 60 crores of revenue and INR 23 crores was the EBITDA, about 40%.

Nihal Shah: Okay. And so are we using their facilities to manage our contracts as well in their existing facilities so that synergies have been set already or that will happen in the coming quarters?

Amit Sudhakar: That will happen over the next couple of quarters.

Nihal Shah: Okay. Okay. So that could improve our margin seven more from this level of 33-odd percent, right?

Amit Sudhakar: That's right. Once those synergies will come in play, we will see improvement.

Moderator: The next question is from the line of Vishal Singh from Finvestors.

Vishal Singh: And congratulations on posting excellent results, sir. My question, although 2 of the questions have been answered. My question would

belike what impact of current geopolitical

Page 8 of 18

BLS International Services Limited

November 12, 2024

environment or scenarios which are going on, will have on our business?

Amit Sudhakar: Shikhar, you would like to take it?

Shikhar Aggarwal: Yes. See, as you know, our company is currently present in 70-plus countries involving multiple governments and geopolitical scenarios year-on-year keep on happening in different pockets of the world, but it does not impact us on an annual basis. Definitely, after COVID certain countries, for example, Russia outbound traffic still has not come up.

So once probably the situation stabilizes, we will definitely see numbers coming back from there. But other than that, across the world, we have seen an increase in volumes since 2019.

Vishal Singh: That means there would be a hardy impact. Sir, could you just possibly guide us for like the guidance like 25% to 30% of the conservative side, what you are doing currently for this fiscal year?

Shikhar Aggarwal: If you see our last 5 years, our CAGR growth has been more than 70% in terms of PAT. Even this first 2 quarters, the numbers that we have achieved compared to last year has been phenomenally higher. So definitely, as we grow more as a company as we are bidding for multiple new contracts, billionsof dollars of contracts that we've been bidding for.

We have won a few contracts in the last couple of months, we've deployed them, we have acquired a few companies. So definitely, growth can come from multiple areas, existing business growth, new contracts, acquisitions synergies. We're also shifting from some of the operations in certain countries. We are taking over fully where we had some local partners.

So you will see definitely that we want to maintain whatever we have achieved first.

Vishal Singh: So as per your presentation, as you said, like you have a moat and I think you don't have any peer in our country. As we can see that you have posted that it will be like 20% of CAGR growth in air traffic and passengers will be traveling. So what is your vision on growth trajectory for a longer period, like for 27 or 3 to 5 years like...

Shikhar Aggarwal: Whatever we have achieved in the past year we want to maintain that. And whatever, obviously, industry growth trajectory of 15%, 20%, that is a bare minimum, I feel that we can achieve. But definitely, as in the past also, we want to overachieve the give a high guidance. So definitely, we will be maintaining that.

Moderator: The next question is from the line of Shrija Pathak from JK Capital.

Shrija Pathak: So my first question is actually about revenue per visitor or passport. In the past, it used to be higher than the one that we're seeing right now? Is it because it was actually above 3,000 in the 2015, 2016 years. Have you guys changed the way you calculate it now? Or why is the reason, what's the reason for its decrease?

Page 9 of 18

BLS International Services Limited

November 12, 2024

AmitSudhakar: Sofranklyspeaking,Idon'thavenumbersofFY15-16.Butforthelastcoupleofyears,ifyou see,especiallypost-COVID,thetrendhasbeengoingupononlyonaquarter-to-quarterbasis. Sol'Ihavetocheck'15-16andthencomebacktoyouonthatnumber.

ShrijaPathak: Okay.Great.MysecondquestionisonthelineofEBITDAmarginfortheVisaandConsular business.Iseethatoverthepastcoupleofyears,youroperationalexpensesasapercentageof revenuehasbeengoingdown.Isitbecauseofthenewmodelasyoushiftedtothemoreself-ownedmodel?Isthatthemaajorreasonforthat?

Andwillweseethatkindofcontinue?Iunderstandthatalotoftheexpansioncamebecause ofsomeoftheacquisitions.Butwillweseethistrendaswegoforwardthisfactor contributing significantlytoyourEBITDAmarginsincreasing?

AmitSudhakar: TherewerecoupleofreasonsfortheEBITDAmargin.Oneasyousaid,thathasbeenoneof themajorreasonswhywechangedourmodelfrompartnershiptoourown.Secondhasbeen thenewcontractswehavewonatahigherapplicationpricesaswellaswiththisacquisition wehadjustdoneofIDATA.

Theywereata40%to45%EBITDAmargin.Soallthesefactorshaveimprovedour EBITDAmarginoverthelastcoupleofquartersifyousee.

ShrijaPathak: Okay.Great.Justmylastquestionisaboutthebitthatarehappeningrightnowinthemarket. Howmanyhaveyouguysappliedfor?What'stheprogress?Andyes,justalittlebitonthat.

ShikharAggarwal: Yes.Yes.Sobasically,asweseeinthelastcoupleofyears,everycoupleofyears,bidskeep oncominggloballyandwehavealsowon alotofnewcontractsinthelast1year.Andnext fewyears,also,therearemultiplecontractsgoingoninEuropeandNorthAmerica,an

d differentmultiplecountriesthatwearebiddingforandweareindifferentstagesofbidding. Andoncetheresultisout,wedefinitelyasfortheguidelinesweannouncedwiththemarket. Butdefinitely,thereisabig,big,bigscopeintermsofgrowth.We'vebeenwinningnew contracts.Existinggovernmentsarecomingoutwithre-bids,wherecompetitorsare incumbentandalsoneewergovernmentswhichareoutsourcingforthefirsttime. Sothereisagrowthopportunityinboththetrajectories.

Moderator: ThenextquestionisfromthelineofHenaVorafromDAMCapital.

HenaVora: Justonequestionfrommyend.Sowehaveattributedthefactthatmovingtowardsaself-modelhashelpedusinthemargins.Ijustwantedtounderstand,isthisalsoROCaccretiveif youcanjusttellmewhatROCwewillbemakingunderthispartnershipmodelandunderthe self-drivenmodel?

ShikharAggarwal: Sorry.Sorry,whatwasthelastpoint?

Page10of18

BLSInternationalServicesLimited

November12,2024

HenaVora: IwasaskingwhatsortofROCsdowemakeunderthepartnershipmodelandwhatwe'llbe makingundertheself-drivenmodel?

AmitSudhakar: OurROCnormallyisveryhighbecauseinboththecases,wedon'tinvestintheproperty,but wedoinvestmentintheinfrastructureonly.Whereasinthecaseofpartnershipmodel,we don'tdothatalso.Thewholeinfrastructureandthelogisticsarebeinghandledbythepartner. Soobviously,themarginsaremuchmorewhenyoudoitonyourownversusdoingthrough thepartner.

HenaVora: Okay.JustinballparknumberwouldbeasaretheROCsimilarinboththecases?

AmitSudhakar: Itwilldependfromcountrytocountryandtheinvestmentintheinfrastructure,whichweneed toinvest.

HenaVora: Okay.SoisitfairtoassumethatthepartnershipmodelbetterintermsofROCorthatwould notbethecase?

AmitSudhakar: SolthinkROCwillbeamuchmorewhenwedoonourown.

Moderator: ThenextquestionisfromthelineofPrateekfromMorganStanley.

Prateek: Congratulationsonagoodsetofnumbers.Myquestionwasifwelookattherevenueforthe existingbusiness,removingtheiDATANumbers,ImeanQ-on-Q,therevenueisslightly lower.Soisthereareasonforthat?

AmitSudhakar: Soonehasbeenthaththedigitalbusinessrevenuewaslower.Andthesecond,ourbusinessis quiteseasonalinthesensethatQ4andQ1arethehigherrevenuescomparedtoQ2andQ3. Soduetotheseasonalnatureofthebusiness,aswellas...

Prateek: Sure.AndthesecondquestionwasiDATAEBITDAthatgotaccruedthisquarterwasaround INR23crores.Isthatwhat...

AmitSudhakar: Yes.That'sright.OnaINR60croresofrevenue.

Prateek: Okay.AndwhenIwentthroughpresentationthiswasn'tfortheentire3months,it'sfromJuly 9onwardsthatyouareaccreting.

AmitSudhakar: Exactly.Itisfrom9Julyonwards.

Prateek: Sure.AndistheresomeseasonalityinthatbusinessaswellbecauseCY'23,Ithinkthetotal EBITDAforthatbusinesswasaroundINR140-oddcrores.

AmitSudhakar: Yes.Thereisaseasonalityintheirbusinessalso,asyouknow,duringwinter,thetravelto

Europe is much less compared to during the summer. So now this is a lean season, which will

Page 11 of 18

BLS International Services Limited

November 12, 2024

slow till December practically, it comes to the lowest level of volumes. And then it starts picking up from January-February onwards.

Moderator: The next question is from the line of Yash from Stallion Asset.

Yash: So I think in the first half, you've done 24% revenue growth. And given the strong growth in your visa applications as well, it's up 44% Y-on-Y. Second half, do you think we can grow more than 25%? And even in FY'26, do you think we can maintain this 25% run rate in revenues?

Amit Sudhakar: Seerevenues can go much higher because of the new acquisitions, which are in the pipeline and some have got crystallized. So it will have an impact in the Q3 as well as Q4. We are anticipating the revenue to be higher.

Yash: Okay, Okay, Got it. And I think you had acquired this 1 business. I think it's scaled Aadifidelis sorry, I'm not getting the name right on the loan processing business in the first quarter. I just want to see how large can this be? I think this business is a part of your digital business of loan processing and it had about INR 22 crores of EBITDA for FY'24.

And I'm just trying to understand how you can scale those businesses up and what would the numbers look like in FY'25 and '26?

Amit Sudhakar: We are at the last stage of closing this transaction, hopefully, we should get it closed in this month. The last year, audited numbers were about INR 600 crores of revenue on which they had a INR 22 crores of EBITDA. We see

earnings synergy with our businesses because we also have more than 30,000 CSPs as well as touch points of over 1 lakh.

And if we can work out a synergy between those touch points and the loan and distribution company's expertise, we can scale up this business. And hopefully, we'll see that over the next couple of quarters and see how we can scale up this business.

Yash: Right. And sir, any sort of new acquisition similar to iDATA? Because obviously, I think discussion is that you've got a lot of cash on balance sheet. So I mean, if you haven't got any acquisition similar to iDATA, then any possible dividend to reward the shareholders?

Amit Sudhakar: So we just closed another one, which is a Citizenship Invest about \$31 million acquisition, which got finalized in the first week of October. And that is in Dubai. They provide residency and citizenship to more than 20 countries. So that is where we have invested, Aadifidelis will be the next investment, which will happen hopefully in this month.

So we have a decent acquisition pipeline. And as and when they get crystallized, we'll be utilizing our funds and dividend we have been paying. So the surplus, we are using it for dividend as well as for the new acquisitions.

Page 12 of 18

BLS International Services Limited

November 12, 2024

Moderator: The next question is from the line of Anuj Jain from Global Capital.

Anuj Jain: And congratulations on the wonderful set of numbers. Just want to understand 1 thing this quarter, we have seen significant improvement in the EBITDA margins, right? So I mean this is a combination of 2 things. One is iDATA as well as the second one is where you are moving from partner model to self-managed model.

So can you please help me in understanding like what kind of further improvement we can see and how this partner model and self-management model will help us in increasing the margins going forward?

Shikhar Aggarwal: First of all, just shifting from partner to self model is not the answer, there are multiple factors. We have increase in service fees also in many of the tender service value-added services fees have been increased. The conversions have also improved. So multiple factors have led to increase in EBITDA margins and definitely moving from partner-run model wherein we have to share some of the revenue.

And profitability with them, now 100% of this will be captured by us, will definitely have led to an increase in EBITDA margins. And going forward, our objective is to maintain this EBITDA margins first. As you know, we were at 21% last year when we grew to 27% in the first quarter. Now we have grown 33%. So our objective is to maintain the number that we have achieved.

I think it's a high number that we have done now 33%. So first objective is just to maintain it.

And if we see more synergies that can improve EBITDA margins, then definitely, we will add on. But main objective is to deliver consistent EBITDA margins at this level.

Moderator: The next question is from the line of Ravi Kumar Naredi from Naredi Investments.

Ravi Naredi: Sir, whatever iDATA and other subsidiaries we bought, we took INR 255 crores on borrowing in spite we have cash balance of INR 1,000 crores. Any specific reason to borrow?

Amit Sudhakar: Mainly because of the better ROI calculation on the acquisition. So the borrowing has been

done in Turkey for the acquisition. It's a tax-efficient structure. That was the main reason; we did the acquisition on a small amount of borrowing.

Ravi Naredi: Okay. Okay. Understand. Any new visa application mandate, if we won in this quarter, will you describe it?

Shikhar Aggarwal: See, we are constantly bidding for multiple contracts. In this quarter, we have opened offices in new geographies in Colombia and Peru. We've also rolled out certain contracts that we won, again, for example, in the Poland and Philippines. We recently started Portugal and Morocco. I think it was in the quarter before or this quarter, I don't know.

Page 13 of 18

BLS International Services Limited

November 12, 2024

Constantly, we are rolling out newer contracts in new geographies and also opening new offices for our existing contracts. For this quarter also, we have done the same.

Ravi Naredi: Okay. And this in investor presentation, you mentioned ongoing transition from partner model to self-managed model. What is the difference?

Shikhar Aggarwal: Difference is that there are still certain countries that you see that we have the opportunity to transition. So we are evaluating that in certain geographies of the world. So that is what it means.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Within our visa business, as far as we move to ID

AT A revenue number of INR 60 crores.

Sequentially, our revenue numbers are lower within the visa business despite the fact that the number of application process is similar. Like in now visa business, the EBITDA margins are primarily higher because EBITDA is similar, while revenues are lower sequentially. So can you explain why this has happened while the revenues are lower sequentially within visa business, excluding IDATA.

Amit Sudhakar: This has been mainly on account of consular numbers being much higher, where the revenue per application is much lower. Wherein we have passport renewal services and the others services were much higher compared to the Q1. Therefore, the mix has been a little different. That's why.

Ankush Agrawal: Okay. Okay. It doesn't have any impact of accounting, I think in FY'24, we take this accounting change where in the embassy fees, which was a pass-through was directly being passed and was not being booked. Has that also impacted a bit in this quarter or that has not been done in FY'24, '25?

Amit Sudhakar: So nothing in this quarter.

Ankush Agrawal: Okay. These second question is around IDATA. So IDATA margins are about 37% this quarter and the revenue number of INR 60 crores is similar to the number that we shared at the time of acquisition for 2023. So wanted to understand why the revenue has not grown plus why the margins are lower than, say, 55%, 58% at IDATA in 2023 to now, 37% in this quarter.

Amit Sudhakar: Nikhil sir, you will take it or?

Nikhil Gupta: I can take that. Two things have happened. One is that there has been some changes in certain countries where we are operating, where the volumes of transactions have come down because of things like e-visa, we've compensated some of that with high volumes and new additional volumes in other countries.

And you'll keep seeing this improvement as we decided that we will do synergies with BLS

Page 14 of 18

BLS International Services Limited

November 12, 2024

where 9 centers were to be done in 9 months. We've already completed 4 of them, and therefore, you will start seeing improvements coming in, in the quarters ahead.

Ankush Agrawal: Okay. But do we expect that we will be able to achieve like similar margins as per their pre-acquisition like now?

Nikhil Gupta: We expect to improve the margins, as I said and achieve the kind of margin that we were doing earlier.

Ankush Agrawal: Okay. The last question is would it be possible for you to share how much of our visa business is dependent upon the Spain contract? I know it's a large number but for a ballpark of how much of our revenues and profitability would depend on Spain contract.

Amit Sudhakar: Spain will be around, say, 25% to 30%.

Ankush Agrawal: Just 25% to 30% of overall revenue you are saying?

Amit Sudhakar: That's right. That's right.

Ankush Agrawal: But the application to sales will be much higher because of the data that we have shared earlier.

Amit Sudhakar: No, the application ratio will be same or similar.

Moderator: The next question is from the line of Ishika Bajaj from Helios Capital Asset Management.

Ishika Bajaj: So bookkeeping questions. So for cost of service in Q2 FY'25 is going down by around INR 63 crores. So is there a particular reason for this? Or is it just because of the model

shifting from partnership to self.

Amit Sudhakar: Yes. That's been the major reason and what the commission we were repaying to the partner were booked under cost of service directly, which is not there, and that expenses are being booked under employee costs and the administrative costs.

Ishika Bajaj: Other expenses, that's also gone up by INR 50 crores. What is the reason for that?

Amit Sudhakar: Exactly the same reason that it has moved out of the cost of sales and the expenses have been under other expenses and the employee costs because now all those offices are being maintained by us.

Ishika Bajaj: Yes. Understood. And one more thing, when this IDATA acquisition was announced, it was said that initially, you're going to pay EUR 50 million and then go on a milestone-based payment structure. So is that still something that you're doing or you paid out the entire INR 720 crores?

Page 15 of 18

BLS International Services Limited

November 12, 2024

Amit Sudhakar: So we have paid the entire amount, except a small, I think, EUR 4 million, which is to be paid over the next 1 year or so.

Moderator: The next question is from the line of Ruchita Ghadge from I-Wealth.

Ruchita Ghadge: So my question was on the partnership model. So have you converted all our centers from partnership into self-made or there are still a few models which are remaining.

Shikhar Aggarwal: Yes. There's still a few pending but depending on the

operational requirements we are

analyzing whether it is feasible enough to convert or not, but most of them have been converted.

Ruchita Ghadge: Okay. So we expect the margin to further increase from your 34%, 35% PBT margin that we've made during this quarter. We see a further improvement once we convert those models as well?

Shikhar Aggarwal: As we said, like we have really grown from 21% margin level to 27% and now 33% soon an increased revenue that you expect in the coming quarters and years, consolidation with all the companies. Our main objective is first to maintain the margin that we've achieved. So as of now, our objective is just to maintain the margin that we have achieved.

And if we grow further, that will be a bonus. But our objective right now, consolidation that we plan to do in the next few years is to maintain the margins.

Ruchita Ghadge: And this Aadifidelis acquisition, when do we see these numbers coming in our books?

Amit Sudhakar: We are planning to see that it gets closed in the coming months. And hopefully, we will see the numbers reflecting in our Q3 numbers.

Ruchita Ghadge: And what is the kind of growth that we see in this business?

Amit Sudhakar: I think once we get into the business, we will have a much better idea of how we can grow it further.

Moderator: The next question is from the line of Chandan Mishra from Fininvestor.

Chandan Mishra: First of all, congratulations on posting good set of numbers. My first question is, if you please quantify the organic business growth in the current and coming years leaving the acquisition...

Amit Sudhakar: We couldn't get your question.

Chandan Mishra: Sir, please quantify the organic business growth in the current and the coming years...

Shikhar Aggarwal: 18% is what we have grown organically.

Page 16 of 18

BLS International Services Limited

November 12, 2024

Chandan Mishra: This is sir, leaving the acquisitions aside?

Shikhar Aggarwal: Correct. In terms of volume applications.

Chandan Mishra: And sir, my next question is what are the acquisitions planned in the near current future?

Shikhar Aggarwal: Right now our aim is to consolidate the acquisitions that we have done and streamline the operations. And then going forward, as you know, we are constantly looking for growth opportunities for both organically and inorganically. So if good opportunity arises, then we can definitely look at further acquisitions.

Chandan Mishra: One last question, sir. As it is being asked, but my question is just follow-up to digital business. As we have seen some flat dip in digital business year-on-year. Do we expect some improvement in upcoming quarter on the year-end?

Shikhar Aggarwal: Definitely, as we said that digital business, we have actually internally seen a growth only because one of the contracts that we are running was completed last year. So that is why the revenue was not taken from that contract. In spite of that, our other business and digital business have grown. So we do expect growth coming in digital business in the coming quarters and years.

Moderator: The next question is from the line of Balu from Parami Financial Services.

Balu: Congratulations on the good set of numbers. I have one question. I think in the month of August, we had announced for the QIP. So your views on those. Where are we in terms of our

QIP?

Shikhar Aggarwal: I think we had just announced enabling resolution as a company that what our plank knows that every year we do enabling resolution, depending on the requirement, we will announce the QIP. Right now, there is no requirement but that was just enabling resolution. As and when there is a requirement where we have a big acquisition opportunity or requirement of funds, we will be announcing that.

Moderator: The next question is from the line of Dinesh from Finsight.

Dinesh: Sir, I think most of my questions have been already answered, but can you just tell us like the cash, which is approximately INR 900 crores, right, all inclusive where is this cash? Is it in India or is it in foreign operations?

Amit Sudhakar: So basically it's all over the world, but a major portion is in India and the second highest amount is there in Dubai because there we consolidate.

Dinesh: Okay, India. And sir, sir, like, say, as you mentioned, we have already done a few acquisitions and a few are maybe under pipeline, I'm assuming that. So the cash which we have is after

Page 17 of 18

BLS International Services Limited

November 12, 2024

paying all the current acquisitions which we have already done, right? Or are we expecting any drawdown from this cash for any of the pending acquisitions?

Amit Sudhakar: No, we will be using this for the pending acquisitions.

Dinesh

: Okay. And how much is that amount? And what is the amount we are expecting there?

Amit Sudhakar: See, actually, if you see our results, we are generating about INR 500 crores to INR 600 crores a year of cash in the company with the current run rate. And we have used out of this money \$31 million for the Citizen Invest, which we announced in the first week of October. And now we are going to even pay for the Aadifidelis in a month's time.

So these are the current investments and others, which are in the pipeline. Once they get crystallize, we will know how much we need to pay them.

Dinesh: Okay. So there is certain pending amount is still we are expecting, right?

Amit Sudhakar: That's right. And we are generating also. So it's both.

Moderator: The next question is from the line of Yash from Stallion Asset.

Yash: So I think last time, you had mentioned that you have about \$1.5 billion to \$2 billion of opportunity. And I wanted to understand how many tenders are now like going to be renewed? What is like a bidding pipeline for the next 2 years?

Shikhar Aggarwal: Yes. The answer is out of those we already announced that we won Slovakia Global in the last one year, Hungary, while multiple contracts, Italy government, Poland, Portugal. So we have won multiple contracts and also we are bidding for newer contracts and as and when we win more contracts we'll definitely announce.

Yash: Okay. So I mean, is it possible to quantify like what...

Shikhar Aggarwal: Opportunity is much bigger. It's definitely upwards of \$1.1 billion, \$1.5 billion. In Europe, there are multiple countries that are coming in for renewals, in North America also. And we are actively now as we grow as a company, as we mature as a company, even with this acquisition of iDATA, not only that we've added geographical presence, we've also added some good people who had good presence in different geographies that where we were not present.

And they have good relationships in those territories. So definitely, we see good opportunities coming in, and we are hopeful that we will win certain market shares as we are performing our existing contracts well, re-winning them as well and governments are taking notice and they have good reliance on us. So definitely, we see that government wants to change the market scenario globally and stop the over reliance on one monopoly player.

Page 18 of 18

BLS International Services Limited

November 12, 2024

So that is why we see growth coming in, in our company.

Yash: Right. And sir, second question is that as you said that you have about INR 500 crores to INR 600 crores of cash generation. So after the acquisition as well. I mean is just to the Board as a suggestion, would it be possible to open for a buyback?

Shikhar Aggarwal: I think we can consider it. We are looking at multiple options right now. Our main focus is to deploy the cash in terms of either acquisitions or dividend to the shareholder that we've been doing. We're also investing in technology and also opening of newer centers consolidating our operations. We're also spending on business development and getting more quality people on board. Definitely, we have not explored that, but we can discuss it on our next Board meeting.

Moderator: Due to time constraint, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Shikhar Aggarwal: Thank you, everyone, for joining the Q2 FY'25 Conference Call of BLS International. We look forward to talking to you again next quarter.

Moderator: Thank you. On behalf of Nuvama Wealth, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 12, 2024, will prevail.

Call: Feb 2025

February 18, 2025

National Stock Exchange of India
Ltd.,
Exchange Plaza, C-1 Block G,
Bandra Kurla Complex Bandra [E],
Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai - 400 001 Metropolitan Stock Exchange of
India Ltd. ,
Vibgyor Towers, 4th Floor, Plot No.
C62, G - Block, Opp. Trident Hotel,
Bandra Kurla, Complex, Bandra (E),
Mumbai – 400098
NSE Scrip Symbol: BLS BSE Scrip Code: 540073 MSE Scrip Symbol: BLS
SUBJECT: Transcript of Earnings Call held on February 12, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated February 06, 2025 please find enclosed a transcript of the Earnings Call held on Tuesday, February 12, 2025 to discuss the operational and financial performance of the Company for the third quarter and nine month ended December 31, 2024.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Page 1of16"BLS International Services Limited
Q3& 9M FY '25 Earnings Conference Call"
February 12, 2025
MANAGEMENT :MR.NIKHIL GUPTA –MANAGING DIRECTOR
MR.SHIKHAR AGGARWAL –JOINT MANAGING
DIRECTOR
MR.AMITSUDHAKAR –CHIEF FINANCIAL OFFICER
MR.LOKANATH PANDA –CHIEF OPERATING
OFFICER –DIGITAL BUSINESS
MR.GAURAV CHUGH –HEADINVESTOR RELATIONS
MODERATOR :MR.NIKHIL SHETTY –NUVAMA WEALTH
MANAGEMENT

BLS International Services Limited
February 12, 2025
Page 2of16
BLS International Services Limited
February 12, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 months FY '25 Earnings Conference Call of BLS International Limited, hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand over the conference over to Mr. Nikhil Shetty from Nuvama Wealth Management.
Thank you, and over to you, sir.

Nikhil Shetty: Thank you, Rutuja. Good day, everyone. On behalf of Nuvama Wealth Management, I appreciate you joining us for the Q3 and 9 months FY '25 earnings call of BLS International Services Limited. Today, we have with us the leadership team to discuss the company's operational and financial performance. So, we have with us Nikhil Gupta, Managing Director; Shikhar Aggarwal, Joint Managing Director; and Amit Sudhakar, CF O; Lokanath Panda, COO, Digital Business; Gaurav Chugh, Head of Investor Relations.

With that, I now hand over the call to Gaurav. Thank you, and over to you.

Gaurav Chugh: Thank you, Nikhil. Good afternoon, everyone. Thank you for taking time out to join this call.

Just to remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in conjunction with our businesses that would cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks; post which, Mr. Amit Sudhakar will discuss the financial performance of the company; and then we'll open the floor for an interactive Q&A session. Thank you, and over to you, Shikhar.

Shikhar Aggarwal: Thank you. Good evening, everyone, and thank you for joining us on BLS International's Q3 and 9 months financial earnings call today. We trust you had the chance to review our results, press release and investor presentation, which are available on both the stock exchanges and our company's website.

I am delighted to present an update on our company's

performance, which reflects a period of

significant growth and strength. In the quarter and 9 months of the fiscal year 2025, we have recorded a robust increase in our consolidated revenues of 17% and 22% year-on-year to INR 513 crores and INR 1,500 crores, respectively. These figures represent the highest revenue we have attained for the corresponding periods to date. Also to highlight, we have surpassed our FY '24 EBITDA and profit number within 9 months of this fiscal.

In terms of profitability, our performance for the quarter has been remarkable with the EBITDA

Page 3 of 16

BLS International Services Limited

February 12, 2025

experiencing a substantial year-on-year 79% growth to INR 158 crores, with our profit after tax has also seen around a 50% increase to INR 128 crores.

The integration of new businesses (we have acquired iDATA, Citizenship Invest and Aadifidelis), coupled with our transformative shift from a partner and to a self-managed model, have significantly strengthened our margin profile in the current period. We have witnessed EBITDA margin expansion of approximately 1,000 basis points in both Q3 and 9 months period.

If you look at this fiscal, we have invested over INR 1,000 crores across various acquisitions.

While the integration of new business is going as per plan, we continue to witness strong cash flow generation, which translates to a healthy balance sheet with a net cash position of around INR 690 crores as of December 31, 2024.

We are committed to delivering robust financial performances, which is evident in our strategic focus and onward structural enhancements we are implementing within our business model.

These concentrated efforts are designed to solidify our foundation and propel us towards sustained growth and profitability.

During Q3 FY '25, the number of visa application processed has increased from 7.14 lakhs in Q3 FY '24 to 9.08 lakhs, a strong growth of 27% year-on-year. This growth is in sync with the trajectory of global travel and tourism sector, which has been riding the wave of new trends and technologies, offering a conducive environment for us to expand our business.

Additionally, our net revenue per application has witnessed a year-on-year growth of 26%, climbing from INR 2,250 in Q3 FY '24 to INR 2,837 in Q3 FY '25, reflecting our operational efficiency and value creation. In 9 months, the net revenue per application has grown by around 40% to around INR 2,800.

The acquisition of Citizenship Invest (CI) was completed in October 2024. Citizenship Invest puts us at the forefront of the industry for residency and citizen programs with an expanded presence in over 15 countries. The strategic move bolsters BLS expertise in providing comprehensive visa solutions but also leverages CI's esteemed standing and influence in the HNI category.

With the acquisition of CI, we are poised to significantly increase our processing volumes and reinforce our market position. We began to consolidate the financial performance of CI into the performance in our quarter.

Further, I'm happy to report we also concluded the acquisition of Aadifidelis Loan Solutions on November 26, 2024, and it's being consolidated under our Digital Service Business as effective the same date.

Page 4 of 16

BLS International Services Limited

February 12, 2025

ASPL stands as a prominent entity in the India's loan distribution and processing sector with an extensive network that spans the nation. Our Digital Business has also been witnessing robust performance, driven by both organic and inorganic growth. Its revenue from operations grew 87% to INR 137 crores in Q3 FY '25 as compared to INR 74 crores in Q3 FY '24. Organic growth of the business was around 16%. EBITDA of the business grew by 88% to around INR 18 crores from INR 9.4 crores in Q3 FY '24.

Looking ahead, we are committed to nurturing organic expansion in our Visa & Consular and Digital Service Business segments, and concurrently, we are on the lookout for

new avenues of

inorganic growth on both domestic and global markets. Our projections for the ongoing fiscal year are optimistic, and we are focused on fostering enduring growth.

In conclusion, I want to reaffirm our unwavering confidence in the forthcoming quarters. The BLS team is resolutely dedicated to propelling growth within our principal business divisions. We firmly believe that these strategic measures we have put in place will serve as a solid foundation for a sustained success in the years to come.

Now I'll turn over the call to Mr. Amit Sudhakar, our CFO, for further updates on our financial performance. Thank you.

Amit Sudhakar: Thank you, Shikhar. Good afternoon, everyone. I am pleased to present the consolidated financial performance for the third quarter and 9 months ended December 31, 2024. In the quarter Q3 FY '25, we achieved a revenue of INR 513 crores, marked a robust year-on-year increase of 17% from INR 438 crores reported in Q3 FY '24. We continue to see strong momentum and remain optimistic about our potential growth in the coming quarters. Our EBITDA for the quarter surged to INR 158 crores, up from INR 89 crores in the same period last year, registering a substantial growth of 79%.

The EBITDA margin for this quarter was 31%, expanded by 1,059 basis points year-over-year. The increase in our margins is a result of our successful cost optimization strategy, which includes shifting to self-managed models and integration of new businesses. As mentioned by Shikhar as well, we have begun integration of Citizenship Invest into our portfolio in this quarter.

Profit before tax for the quarter was reported at INR 140 crores, a 54% increase from INR 91 crores in the third quarter of previous financial year. The profit after tax also showed a record performance at INR 128 crores compared to INR 87 crores in the corresponding quarter of the previous year, reflecting a growth of 47%. The earnings per share for the quarter stood at INR 2.93 per share as compared to INR 2.05 per share in Q3 FY '24.

Coming to 9 months performance. The 9-month revenue stood at INR 1,501 crores as compared to INR 1,229 crores, registering a growth of 22% over previous years. The EBITDA for 9 months FY '25 stood at INR 455 crores versus INR 255 crores in the corresponding 9 months

Page 5 of 16

BLS International Services Limited

February 12, 2025

of last year, a robust growth of 78%. The EBITDA margin for 9 months FY '25 stood at 30.3% against 20.8% in 9 months FY '24, an expansion of 956 basis points. The profit after tax stood at INR 394 crores as compared to INR 240 crores in the previous corresponding 9 months, a growth of 64%.

Now coming to segmental highlights. In Q3 FY '25, our Visa & Consular Service segment's revenue stood at INR 376 crores. Net revenue grew by 60% Y-o-Y to INR 258 crores as compared to INR 161 crores reported in Q3 FY '24. The EBITDA for this segment expanded by 77% to INR 140 crores with an EBITDA margin of 37.4%. This represented an increase of 1,564 basis points over 21.7% margin recorded in Q3 FY '24.

Looking at the 9 months, Visa & Consular Service revenue grew by 22% to INR 1,207 crores, up from INR 991 crores in 9 months FY '24. The net revenue was up by 78% Y-o-Y from INR 436 crores to INR 775 crores for 9 months FY '25. The EBITDA for the same period experienced a significant year-on-year increase of 85%, reaching INR 414 crores with an EBITDA margin of 34%. The margin widened by 1,171 basis points compared to 23% margins in 9 months FY '24, reflecting an ongoing commitment to growth and efficiency.

In Q3 FY '25, our Digital Business segment reported a robust revenue growth of 87% Y-o-Y to INR 137 crores as compared to INR 74 crores in the same quarter of the previous financial year. This increase includes Aadifidelis Solutions revenue of INR 53 crores consolidated from November 26, 2024, onwards. The EBITDA for the segment increased significantly by 88% Y-o-Y to INR 18 crores in

Q3 FY '25. EBITDA margin stood at 12.9%.

In 9 months, FY '25, the Digital Business revenue stood at INR 293 crores as compared to INR 238 crores in the corresponding period. EBITDA for the segment stood at INR 42 crores in 9 months FY '25 compared to INR 32 crores in 9 months FY '24. EBITDA margin stood at 14.2%

in 9 months FY '25 against 13.4% reported in 9 months FY '24.

Having invested upward of INR 1,000 crores in new acquisitions during FY '25, primarily funded through internal accruals, the company remains of strong financial position. As on December 31, 2024, our balance sheet reflects a healthy net cash reserve of INR 690 crores. That's all from my side. I will request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. The first question is from the line of Hatim Broachwala from JM Financial. Please go ahead.

Hatim Broachwala: Sir, I want to know that how much is the contribution from the acquisition done in the Visa segment for iDATA and the other company which we had acquired, Citizenship company. So how much is the contribution in the Visa segment?

Amit Sudhakar: So, if you look at iDATA in the current quarter, they have contributed about INR 25 crores.

Page 6 of 16

BLS International Services Limited

February 12, 2025

And Citizenship Invest has contributed about INR 4.75 crores of the net profit.

Hatim Broachwala: The INR 25 crores is from iDATA and...

Amit Sudhakar: INR 4.75 crores from Citizenship.

Hatim Broachwala: And sir, can you provide same data for the revenue?

Amit Sudhakar: Yes. So, the revenue in iDATA was around INR 59 crores and Citizenship was about INR 13 crores.

Hatim Broachwala: Sir, if let's say, if I adjust INR 59 crores plus INR 13 crores, so it comes to INR 72 crores.

Let's say, if I reduce from the current number to just see the organic number, then I see a de - growth in the number. But the visa count have increased by 27%. So, I'm not able to understand that, on one hand, the count is increasing.

Shikhar Aggarwal: Yes, I think, we have understood the point. So basically, Amit, you can add. And this is, if you talk about year -on-year, if you see the net revenue, that has actually increased.

Amit Sudhakar: So basically, we look at the net revenue growth, as we have talked about, the change in the business model .

Hatim Broachwala: Yes, sir.

Amit Sudhakar: Can you check that there is a Net Revenue growth matching with the growth in the EBITDA numbers?

Hatim Broachwala: Is your top line impacted by the business model change?

Amit Sudhakar: No, no. Top line has not affected, because of the change. But mainly, it is more on the net revenue.

Hatim Broachwala: Okay, sir. Sir, also in the E -Service segment, how much the acquired company has contributed?

Amit Sudhakar: It's about Aadifidelis , has contributed about INR 49 crores.

Moderator: The next question is from the line of Sandeep Agarwal from Naredi Investments.

Sandeep Agarwal: Sir, my first question is regarding we have categorized three type of services: Core Services, Value -Added and Personalized Citizen Services. Sir, can you provide the bifurcation of turnover and margin between them?

Shikhar Aggarwal: Can you repeat the question?

Sandeep Agarwal: Sir, we have categorized our services in three types of services: Core Services, Value -Added

Page 7 of 16

BLS International Services Limited

February 12, 2025

services and providing Citizenship Services.

Shikhar Aggarwal: You're talking about BLS E -Services?

Sandeep Agarwal: Yes. So, can you bifurcate the turnover and margins between them?

Shikhar Aggarwal: I think that were three lines of business that we are doing, that we are providing banking correspondent services. We are providing e -governance services and we are providing assisted e-commerce at the time of IPO we had mentioned. But the margins are pretty similar in all these segments.

Till now, we don't bifurcate. Because the same state, we are doing multiple things. We are also running banking c

orrespondents. We are also running e -governance using the same centres.

We're also providing assisted e -commerce using the same centres. So that is why we don't bifurcate the numbers.

Sandeep Agarwal: Okay. Okay, sir. Sir, just another one. Sir, other income down from INR 23.4 crores to INR 14.7 crores Q -on-Q basis.

Amit Sudhakar: Shikhar also talked about that we have done the investment in the new businesses. So, the interest from fixed deposits have come down.

Sandeep Agarwal: Okay. And sir, our net operating margin and operating profit margin also down on Q -on-Q basis. And what will be the sustainable margin?

Amit Sudhakar: See, we have been saying that we want to maintain over 30% margin in our Visa business. And Digital business will change because of the mix of Aadifidelis and the other businesses. They have a different percentage of margins. So, there will be a change happening depending on the

revenue mix in that particular quarter.

Shikhar Aggarwal: But if you see our Visa business, our margin has grown over 36% in the last quarter. And it was 20% last year. But now it has grown to 37%. So, there are little change in the e - governance business, because of Aadifidelis business that we acquired at lesser margin. But profits overall are growing, if you see. So definitely, Visa business s pecifically, we want to maintain the margins. And E -Services also, probably it will maintain at this level.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: Yes. Just I had a question around, if we see the seasonality part, if I see last year, number of visa application is around 7.14 lakhs applications in Q2, Q3 and Q4. And this year, you have seen a dip on Q -on-Q basis. From 10 lakh, we have come to 9 lakh v isa applications. So how should we read these numbers? And what kind of numbers should we expect for quarter 4? Should we expect 1.2 million applications for quarter 4? How we should read that number?

Page 8of16

BLS International Services Limited

February 12, 2025

Shikhar Aggarwal: So, see, if you see this quarter, we have done around 9 lakh applications. Correct? And if you see the same quarter last year, December '23, we had around 7 lakh applications. But if you see previous quarter, we had done 10 lakhs. So obviously, since this quarter, there is seasonality. People travel less during November, December. So that is why we have done lesser numbers compared to last quarter. Still, because of the acquisition of iDATA and new contracts that we had started, there has been an addition in the numbers.

And it has actually increased from 7 lakhs that we did last year. There were some organic growth, some because of the acquisition, some new tenders. And that is the reason we have done 9 lakhs in this quarter. And going forward, quarter 4, January is also a little less. But February, March, we start seeing numbers coming up. And quarter 1, we see good travel going on. So definitely, going forward, we feel the numbers should go up.

Arpit Shah: No, I was referring to Q2, Q3, Q4 FY '24. The numbers are broadly the same. There was no seasonality impact in FY '24. In FY '25, you have seen a dip of 10% Q -on-Q in Q3 FY '25. How we should read the Q4 numbers?

Shikhar Aggarwal: Actually, last year, what happened was one of our contracts that we have done for the Indian Embassy in Canada, there was a major surge in Q3 in terms of revenue. There was a change in the policy over there, wherein people had to come to the centre, becaus e of some change in regulation in the local laws of the country. So that is why for that quarter last year, we had seen a certain surge in revenue. But now it has come back to normality this year. So that is why normally, on an ongoing ba sis, quarter 3 seasonally is less for us as a company.

Arpit Shah: Got it. So now, if I have to see FY '26, what kind of PAT guidance you would like to give to the market? Because this year, probably you are going to close around

INR 520 crores to INR

550 crores kind of a number on the PAT front in FY '25. So, FY '26, you can still think that the growth would be, let's say, more than 30% on the PAT front, FY '26?

Shikhar Aggarwal: See, if I talk about the past and tell you about the market where it is heading, if you see in the last 5 years, we've done 70% CAGR growth in terms of profitability. In this year, in 9 months, the entire profits of the last year, we have surpassed already . We have already spent INR 1,000 crores on acquisition. If you see in the future many new tenders that we are bidding for, there are billions of dollars of tenders that are coming out on an organic basis. Then inorganically, also, we're looking at acquisition opportunities.

So definitely, first of all, our objective is to maintain. Whatever number that we have achieved, we want to make that a new base. Whatever margins we have achieved, we want to make that the new base. And going forward, definitely there are multiple oppor tunities both on the organic and inorganic front. So definitely, we would want the company to keep on continuing to grow. We have not given any projection or such to the market that this is a percentage you want to grow at.

Page 9of16

BLS International Services Limited

February 12, 2025

But as having seen our past, the potential is there. Only 50% of the market is outsourced. Billions of dollars of contracts are coming up for renewal. We are eligible for all these tenders. There are multiple other countries which have never outsourced or outsourced for the first time. We're also looking at inorganic growth, both in BLS International and BLS E -Services. So definitely, I think, if you combine all those multiple factors, there is good leeway for growth in the future.

Arpit Shah: So, you believe INR 700 crores is a reasonable estimate to make for FY '26 as a PAT number?

Shikhar Aggarwal: Sorry, can you repeat?

Arpit Shah: INR 700 crores, is that a reasonable estimate to make for FY '26?

Shikhar Aggarwal: See, actually, what I've told you is that, I don't want to comment on any specific numbers. But what we have done in the past, we want to maintain. Whatever number, we want to make that

as a base. And then, as I have told you, there are many opportunities, both on organic and inorganic front. And definitely we, as a company, negative working capital cash flow in company. So definitely, we feel that we will grow as a company. But the exact numbers, I cannot mention at this stage.

Arpit Shah: Sure, sure. I completely understand. In the Visa & Consular business, what percentage of business is now not directly dependent on visa? Like what percentage would be visa, and what percentage would be non-visa in the Visa & Consular business?

Shikhar Aggarwal: See, that percentage, normally we don't take out. If you see in the COVID period, we did about INR 50 crores of profit each year. Still, that was only on the back of Consular Service business.

Obviously, that has also grown. So, I don't know the exact mix of how much is exactly Consular, how much is Visa. Because in many countries, the embassy outsources all the services to us. It is including Consular and the Visa. So, there is no specific mix that we have taken out.

Moderator: The next question is from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Firstly, just a clarification. The INR 25 crores and INR 4.75 crores number that you gave for iDATA and Citizenship, these are EBITDA numbers, right? Not net profits?

Amit Sudhakar: These are profit numbers.

Ankush Agrawal: Last quarter, you gave INR 23 crores EBITDA for iDATA.

Amit Sudhakar: Yes. So iDATA, the revenue was about INR 59 crores. And the profit of INR 25 crores in this quarter.

Ankush Agrawal: No. Q2, you said EBITDA was INR 23 crores. Now you're saying PAT was INR 25 crores for this quarter.

Page 10 of 16

BLS International Services Limited

February 12, 2025

Shikhar Aggarwal: No, no, no. I think, you're very confused. We only men-

tioned about this current quarter. , we

have done a profit before tax of around INR 25 crores in iDATA and INR 4.75 crores in Citizenship Invest.

Ankush Agrawal: Okay. What would be the number of applications for iDATA during the quarter?

Shikhar Aggarwal: I think, that we have to find out. That, I don't think we have the bifurcation right now. But we'll get back to you on that.

Ankush Agrawal: Okay. So, the second question was basically this year, if we look at our growth, the growth has probably come from substantial increase in our margins and some of the inorganic acquisition that we have done. Now going ahead next year, do you think there is more room for us to expand our margins from where currently it is and to be able to do certain big ticket size of acquisition? Because, otherwise, I mean, do you think organic-wise, you are looking at some of the contracts that will close, that will deliver you the kind of growth that we have been seen? Because otherwise, sequentially, there is hardly any growth in the core business.

Shikhar Aggarwal: If you see last year, we have done INR 88 crores of EBITDA on a combined level in December quarter. And this year, we have done INR 140 crores of EBITDA.

Ankush Agrawal: Yes. That's what I'm trying to say. This year, obviously, we have seen a substantial increase in our margin.

Shikhar Aggarwal: If you see, we subtract the iDATA and Citizenship number from INR 140 crores, the number comes to around INR 110 crores. So, compared to INR 88 crores, we have got INR 110 crores of EBITDA only on organic basis. So, there has been a surge of 30%, 40% even on the organic business.

Ankush Agrawal: I'm not denying that. Obviously, you have delivered a substantial increase in the core business margins, those were like low 20s, besides that going to 30s. But from here onwards, do you still believe we can expand margins from here? I think that will be difficult, right?

Shikhar Aggarwal: See, first of all, we as a company want to operate as a sustainable basis. We are always aiming for obviously more efficiencies that we can bring into the business. If you see last year, we were doing 20% of the EBITDA margin at consolidated level. This year, we have reached 30% level. From last quarter, there has been a little dip, because of the acquisition of our subsidiary, and our subsidiary acquired this company Aadifidelis Solutions, which is at a lesser margin. So definitely, our objective, as I've said in the past, is to maintain the margins that we have achieved.

Whatever quarter, whatever margins we achieved, we want to maintain that. And we keep on striving for bringing in efficiencies in our business that may or may not lead to increase in margins in the future. But definitely, whatever we have achieved, we want to maintain that.

Page 11 of 16

BLS International Services Limited

February 12, 2025

That is what I want to specify.

Ankush Agrawal: Okay. Got it. Just the iDATA application number for the quarter, if you got it.

Shikhar Aggarwal: Sorry?

Ankush Agrawal: The number of applications for iDATA, if you have got it.

Shikhar Aggarwal: That we can send you this separately. Because we don't have those numbers handy right now.

Moderator: The next question is from the line of Tanish from Beas Capital.

Tanish: Do you have any data on what percentage of your existing contracts are up for renewal in the next 2, 3 years?

Shikhar Aggarwal: We have renewed 90% of our contracts. So, as we have said in the last 1, 2 years, after COVID, a lot of these contracts came up for renewal. Spain, we have won the contract again. Last few years, we have won the contract with Indian Embassy in Canada again. So, 95% of our contracts, 90% of the contracts we have renewed.

Tanish: What percentage will be renewal next year, next 2 years?

Shikhar Aggarwal: Next 2 years, see, all these contracts are 5 to 7 years. Some are 10 years, I think. So, as I said, most of the contracts we have renewed. Next 2 years, probably 5%, 10% of th

e contracts might

be coming up for renewal.

Tanish: And what amount of new contracts are you looking to bid in next 2, 3 years, bifurcated by geography, if you have any data? Where is the traction?

Shikhar Aggarwal: No. We have already specified that there are multiple tenders that we are bidding for a multi billion dollar worth of opportunities that we are bidding for. There are different stages of bidding. A lot of this we have won. If you see the press releases and announcements that we have done in the last 1 year, we have added new contracts with Portuguese, Poland, Italy, Hungary, Czech Republic, many governments that we've added.

So, there are multiple other tenders also that we are bidding for. And some of the countries which are outsourcing for the first time also. So, there are multiple opportunities that we are looking at.

Tanish: Okay. Just another bookkeeping question. What is the difference between the net revenue and the revenue from operations in the Visa & Consular segment? Like what line items are not included in the net revenue?

Amit Sudhakar: Yes. So basically, the direct expenses and like commissions, when we had the partner model, Page 12 of 16

BLS International Services Limited

February 12, 2025

what we used to pay them was a direct expense. For example, courier charges. So, the blue dart payment has been netted off. And, it's the net revenue which we earn per application. And that is what we focus on, and we strive to increase that.

Moderator: The next question is from the line of Akshat Bairathi from RSPN Ventures.

Akshat Bairathi: Sorry, this question is being reiterated. Just wanted to understand on the sequential revenue. So then, we have seen the number of applicants and the revenue per applicant dipping this quarter sequentially, which has impacted our revenues. But in Q2 as well, if we remove the iDATA revenue, sequentially, we saw a dip of almost 13.5% to 14%. So, any colour on that will be really helpful. And the second part of the revenue is that we have done three acquisitions in the previous couple of quarters. So, when do we see this revenue growth kicking in sequentially?

Shikhar Aggarwal: See, I think, we did not understand your questions properly. But from what we've understood is that quarter-on-quarter, as we have explained, there's dip in the volume, because of seasonality impact. Still, if you see our net revenue per application has actually gone up, right?

So actually, quarter-on-quarter, year-on-year, both the parameters, our revenue per application has gone up. Only the overall revenue has dipped, because of the volume drop. And I think, that is what was the first point.

Amit Sudhakar: Second, how we look at it, our existing business growth depends on the growth in the travel industry. And if the travel industry overall grows at around 11% CAGR, then, we work on, say, 15% as a growth in our numbers and revenue.

Akshat Bairathi: All right, sir. Sir, second question is on the cash. We are carrying around INR 700 crores of cash balance. So, are we planning any more acquisitions going further?

Shikhar Aggarwal: See, this year, this financial year, we already spent upwards of INR 1,000 crores in acquisitions. And definitely, we have spent a major chunk. Still, we have INR 700 crores of net cash on the books. Going forward, as we have explained in the past, we are constantly looking at value-accretive opportunities for the company, both from an organic and inorganic basis. But definitely, we are open for inorganic opportunities as well as when we win new tenders, technology, we need to deploy cash. So, we are very open for more opportunities in the future.

Moderator: The next question is from the line of Manish Chorgha from KJMC Capital.

Manish Chorge: Mr. Aggarwal, I believe that you have given a number of INR 49 crores as a revenue for Aadifidelis. Is that correct?

Amit Sudhakar: Yes, correct.

Manish Chorge: Okay. So, I just wanted to know that this number is for entire

quarter 3? Or I think it has been

acquired at the end of November. So, this number is for December or for the entire quarter 3?

Page 13 of 16

BLS International Services Limited

February 12, 2025

Shikhar Aggarwal: I think, this is some part of November and December.

Amit Sudhakar: 26th November onwards.

Manish Chorge: Okay. So, if I'm not wrong, in FY '24, this company has done a revenue of INR 577 crores. So, can I assume that in quarter 4, the number could be around INR 150 crores for Aadifidelis?

Shikhar Aggarwal: Yes. That is what we are expecting, yes.

Moderator: The next question is from the line of Gopal Krishnan from Uthranush Investments.

Gopal Krishnan: Yes. Fantastic. Actually, sir, I found that this iDATA and Citizenship Invest the EBITDA is phenomenally higher by around 50% from the data that we have provided in the investor presentation. So, going forward, the 30% EBITDA that we have achieved will definitely be more, right? So, for example, in FY '26, can I say that your EBITDA will be close to 40%, something like that?

Shikhar Aggarwal: See, if you see the actual numbers that we have given you, at Citizenship Invest our EBITDA is close to 37%. And at iDATA, the EBITDA is close to 41%. And these companies are operating in specific geography for specific governments. We have been operating as a global company across the world. So, some countries, margins are lesser and some countries, the margins are more.

And from that point of view, if you see, we have reached from a 20% last year now to a 30% consolidated margins. And our main objective is to maintain this number. We don't want to have haphazard growth. So, our objective is to maintain the number. And we are looking at cost efficiencies and economies of scale in the future.

Amit Sudhakar: And if you see our quarterly Visa segment EBITDA margin, they are nearing 37%. So, in Visa business, because of these companies are coming under Visa & Consular business segment, we are achieving those 37% EBITDA.

Gopal Krishnan: No, actually, the iDATA, the EBITDA is 59% and Citizenship, the EBITDA is 45%. As you said, okay, it is on a specific geography. But going forward, I thought it might average down to around at least 40%. I mean, correct me if I'm wrong.

Shikhar Aggarwal: No, actually, you're wrong, because iDATA EBITDA is at 41%, and are in our numbers that we have achieved this quarter and Citizenship Invest is at 37%. And if you see our visa numbers, we've achieved an EBITDA margin of 37%.

Gopal Krishnan: Okay. And then, my second question is regarding this Digital business. This seems to be a drag on our total business. Is there any plan to spin off Digital business into a separate entity, like what you have done with E -Services?

Page 14 of 16

BLS International Services Limited

February 12, 2025

Shikhar Aggarwal: See, first of all, we do not believe it's a drag. If you see retail business, it is a volume -generating business. And since it is a business mostly operating in India, we get paid in INR. It's a volume business. So, if you see our overall profit this quarter is at INR 18 crores compared to INR 9 crores last year same quarter. So actually, we have doubled our profits in this business. And going forward, we feel that there's a big opportunity.

We have done 87% of revenue growth in this business. So, I feel definitely this business also has a big potential in the next few years. And as we add more value -added service spectra, I think, in the long run, the margins will also go up in this business per application. But if you see in total basis, total revenue is growing, total profits is growing. So definitely, I feel that this is also a good synergistic business for our company.

Moderator: The next question is from the line of Dinesh Kulkarni from Finsight.

Dinesh Kulkarni: Really good set of numbers. Sir, my question is, where do you think the next phase of growth would come for our company, assuming, as you just mentioned that we already have done INR 1,

000 crores of acquisitions, and we have a cash balance close to INR 700 crores. So, I just wanted to know like whether it will be more of organic or inorganic, if you could elaborate on that?

Shikhar Aggarwal: I think, as I've already mentioned in the last couple of questions, the same answer I can give you again, that we are looking at both the opportunities. There are multiple billion dollars of contracts that are coming up for renewal, multiple services, multiple geographies that we are bidding for and different services. So organically also, we have been winning a lot of tenders and next few years also, we expect the same. Inorganically, also, since we've acquired this three, four companies only in the last 1, 2 years. Next few years also, we are looking at different inorganic opportunities. So, both the places the growth will come from.

Dinesh Kulkarni: So, my question is more on terms of, like say, whatever growth we have achieved in the last, like, 20%, 30% CAGR growth, is that achievable again? Or are we like fully penetrated now and we don't see this kind of high double -digit or 20% plus growth?

Shikhar Aggarwal: As I said, we are still at the tip of the iceberg. There is full potential in the market, only 50% of the market is outsourced. 50% market is still getting outsourced. And out of the 50% market,

which is outsourced, multiple tenders are coming up for renewal, in which we are eligible, and we are bidding for. So definitely, there are still huge potential in this Visa & Consular Services and many other services that we can get into.

Moderator: The next question is from the line of Arpit Shah from Stallion Asset.

Arpit Shah: I just wanted to understand, we have seen a stellar EBITDA growth and stellar net revenue growth of the Visa business. But when it comes to the PAT numbers, we have a bit lagged on the PAT number. So, when will it converge to EBITDA growth numbers, the PAT growth

Page 15 of 16

BLS International Services Limited

February 12, 2025

according to you?

Amit Sudhakar: Sorry, you're talking about taxes?

Arpit Shah: No, the PAT number or the PBT number. The PBT number has lagged the EBITDA growth and the revenue growth number in the Visa business. So, when can we see it converging going ahead?

Amit Sudhakar: I think, over the period, you will see, currently, the numbers look a little subdued as far as PBT is concerned. But PBT is going up, there's a tax element which is increasing, because of taxation has come in Dubai as well as our expansion in Turkey and India businesses. There, the tax percentage is much higher. So, if you see as a percentage of tax over PBT is going up.

Arpit Shah: Okay. So, what kind of tax numbers we should build in for FY '25 and FY '26?

Amit Sudhakar: So, what we are working on last year, the tax percentage was around 9%. This year, we think it will go to around 12%.

Arpit Shah: That is FY '25 expecting 12%. And FY '26?

Amit Sudhakar: 12%. I said, 12%.

Arpit Shah: 12%. Okay. And how are we looking to utilize the cash, the INR 690 crores? How are you looking to utilize it? Is it going to be dividends?

Amit Sudhakar: As Shikhar said, we are seriously looking at new opportunities and acquisitions as well as expansion of our existing business with new contract. So those will be there and dividend, obviously, will also be part of it.

Moderator: The next question is from the line of Aahan Tulshan from Trivantage Capital.

Aahan Tulshan: I just wanted to understand what the approximate market shares would be for VFS Global and BLS International?

Shikhar Aggarwal: See, exact numbers, the market is not very structured in terms of any market report or study.

So, we don't know the exact numbers. But after this acquisition of iDATA, et cetera, probably we should be globally at 15%, 20% market share in terms of the client governments. And we don't know the exact numbers the competition is at. But definitely, we are much ahead.

Moderator: Ladies and gentlemen, due to the time constraint,

this will be the last question for today, which is from the line of Mayur Bapodra, an individual investor.

Mayur Bapodra: Congratulations for the great set of numbers. Sir, all my questions have been answered. Just one question regarding capital allocation. So, what is the thought process when we acquire any

Page 16 of 16

BLS International Services Limited

February 12, 2025

company? We are like for the past 3 quarters, we are on acquisitions spree, and we invest INR 1,000 crores in different new companies. So, what is the thought process behind INR 1,000 crores like ROCE, ROE requirements? Or what is your thought process behind allocating capital for acquisition?

Shikhar Aggarwal: See, if you see from a business point of view, we have acquired companies that are in our line of business. They are synergistic businesses, high profit point businesses with good government, they are working where we can go globally, we can combine other offices, et cetera. So definitely, whatever margins that we are doing, we can sustain them and learn from them. So that was the strategy from a business point of view, and we will recover our money within a matter of a couple of years. In terms of ROE, ROCE, Amit, if you want to add?

Amit Sudhakar: So, we ensure that our return on investment is much higher compared to what we earn on our dividend, or interest from the banks. So, we currently work on ROE of around 15% or so.

Mayur Bapodra: Okay, okay. Great, sir. And sir, I heard Shikhar sir, Amit sir's show on Josh Talks and I enjoyed it thoroughly, like the understanding of business you provided on that. So, and congratulations for the future endeavours. Best of luck.

Amit Sudhakar: Thank you.

Shikhar Aggarwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Shikhar Aggarwal: Thank you, everyone, for joining our Q3 FY '25 earnings call. We hope all your queries were answered. In case of any further queries, please free to get in touch with Mr. Gaurav Chugh, our Head of Investor Relations, or the Investor Relations team at E&Y. We look forward to

interacting with you next quarter again. Thank you, and goodbye.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 12, 2025, will prevail.

Call: May 2025

May 21, 2025

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on May 16, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated May 09, 2025 please find enclosed a transcript of the Earnings Call held on Friday, May 16, 2025 to discuss the operational and financial performance of the Company for the fourth quarter and year ended March 31, 2025.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

"BLSInternationalServicesLimited
Q4&FY'25EarningsConferenceCall"
May16,2025
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEADINVESTORRELATIONS
MODERATOR:MR.NIKHILSHETTY–NUVAMAWEALTH
MANAGEMENT
Page2of15
BLSInternationalServicesLimited
May16,2025

Moderator: Ladiesandgentlemen,goodday,andwelcometotheQ4andFY'25ConferenceCallofBLS InternationalServicesLimited.Asareminder,allparticipantlineswillbeinthelisten-only modeandtherewillbeanopportunityforyoutoaskquestionsafterthepresentation concludes.Shouldyouneedassistance duringtheconferencecall,pleasesignalanoperatorby pressingstar,thenzeroonyourtouchstonephone.Pleasenotethatthisconferenceisbeing recorded.

InowhandtheconferenceoverttoMr.NikhilShettyfromNuvamaWealthManagement.

Thankyou,andoverttoyou,sir.

NikhilShetty: Yes.Thankyou,Alaric.Goodday,everyone.OnbehalfofNuvamaWealthManagement,I appreciateyoualljoiningusfortheQ4andfullyearFY'25EarningsCallofBLS InternationalServicesLimited.

Today,wehavewithustheleadershipteamtodiscussthecompany'soperationaland financialperformance.So,wehavewithusMr.NikhilGupta,ManagingDirector;Shikhar Aggarwal,JointManagingDirector;AmitSudhakar,CFO;LokanathPanda,COO,Digital Business;GauravChugh,HeadofInvestorRelations.

Withthat,nowIhandoverthecalltoGaurav.Thankyou,andoverttoyou.

GauravChugh: Thankyou,Nikhil.Goodafternoon,everyone.Thankyoufortakingouttimetojointhiscall today.Justtoremindyouthatthisdiscussionmaycontainforward-lookingstatements that mayinvolveknownorunknownrisks,uncertaintiesandotherfactors.Itmaybeviewedin

conjunction with our businesses that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company. And subsequently, we'll open the floor for Q&A.

Thank you, and over to you, Shikhar.

Shikhar Aggarwal: Thank you. Good evening, everyone, and thank you for joining us on BLS International's Q4 and FY'25 Earnings Call today. We trust you had the chance to review our results, press release and investor presentation, which are available on both the stock exchange and our company's website.

I'm delighted to announce that FY'25 has been an exceptional year for us with record-breaking performance across all key metrics. Our consolidated revenue reached INR 2,193 crores, marking an impressive 31% year-on-year growth. Our EBITDA strengthened to INR 629 crores with an enhanced margin to 28.7%, while net profits surged to INR 540 crores, representing about a 66% increase over the previous financial year.

The exceptional performance is driven by several key factors. Robust growth in both our visa & consular and digital business, the ongoing transition to self-managed model and the strategic integration of various acquisitions we did during the financial year 2025, namely iDATA, Citizenship Invest and Aadifidelis in India.

Our visa and consular business has emerged as a strong contributor, experiencing robust growth fuelled by sustained

growth in the global travel, positively impacting the visa application volumes, the successful execution of new contracts, the integration of new acquisitions and the ongoing transition to self-managed model across various geographies.

We achieved a record high in visa volumes reaching 37.51 lakh in FY'25 from 28.65 lakh in FY'24, with the net revenue per application increasing to INR 2,903 from INR 2,146 in FY'24, a growth of 35%. In line with the growing trajectory during the financial year, we have successfully opened new centres across various countries, including Colombia, Peru, Gambia, Sri Lanka, Philippines, Egypt, UAE, Vietnam and others.

Additionally, in China, we have transitioned to enhance our operational efficiency further. Ecuador also saw a significant transition this year, further solidifying our commitment to expanding our footprint.

On the digital service front, we have witnessed strong traction, especially after the integration of Aadifidelis Solutions, which has strengthened our position within the broader ecosystem and enhanced our market presence in BC network.

The Digital Services segment reported revenues of INR 540 crores, growing 71% and EBITDA of INR 60 crores, reflecting a solid growth of 22%. At the end of FY'25, the digital ecosystem had expanded to 44,800+ CSPs and 142,000+ touchpoints, enhancing both accessibility and service delivery across the under-served area.

The vertical also enabled loan disbursement of around INR 12,000 crores, including INR 6,700 crores through Aadifidelis solutions, supporting our financial inclusion initiatives. The comprehensive growth strategy not only reinforces our commitment to served diverse community but also positions us as a key player in driving sustainable economic development through innovative digital solutions.

Moreover, in our pursuit of enhancing digital services, we have forged strategic partnerships with many key institutional service providers, including Canara Bank, Central Bank, SBI and Bajaj FinServ. These collaborations have significantly enhanced our outreach.

Additionally, our partnership with insurance providers like SBI General Insurance and Aditya Page 4 of 15

Birla Insurance has allowed us to tailor our offering to meet the diverse need of our clients. By leveraging advanced technology and analytical skills, we continue to scale our business. In FY'25, we invested more than INR 1,000 crores across strategic acquisitions. Despite this, we ended the year with a healthy cash balance of INR 928 crores.

As we move forward, we remain deeply committed to deliver sustainable and profitable growth. Our strategy remains two-fold, aggressively pursue organic growth by winning new contracts and deepen client engagement while also exploring value generation, inorganic opportunities in tech-enabled outsourcing and digital services globally.

In conclusion, this performance reflects our continued focus on operational excellence, strategic expansion and business transformation. As we move forward, our strong fundamental disciplined execution and customer-centric approach positions us well to sustain momentum and create long-term shareholder value. Thank you once again for your continued

BLS International Services Limited

May 16, 2025

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trust and support.

I will now hand over the call to our CFO, Mr. Amit Sudhakar, to take you through the financial highlights in more detail.

Amit Sudhakar: Thank you, Shikhar. Good afternoon, everyone. I'm pleased to present the audited consolidated financial performance for the fourth quarter and full year ended March 31, 2025.

In the Q4 FY'25, the revenue stood at INR 693 crores, a year-on-year growth of 55% from INR 448 crores in Q4 FY'24. EBITDA for the quarter came in at INR 174 crores, registering a growth of 93% Y-o-Y from INR 90 crores in Q4 FY'24, with EBITDA margin improving by 496 basis points Y-o-Y to 25.1% from 20.2% in Q4 FY'24, reflecting our transition to a self-managed model and contribution from higher-margin contracts. Profit after tax for the quarter was INR 145 crores, up 70% Y-o-Y from INR 85 crores in Q4 FY'24, supported by enhanced profitability across both our business segments.

During this quarter, we witnessed a remarkable performance in our Visa & Consular service segment, which demonstrated robust growth. Revenue surged to INR 441 crores, reflecting a significant increase of 19% Y-o-Y from INR 370 crores in Q4 FY'24.

Notably, our EBITDA margin expanded by an impressive 1,347 basis points Y-o-Y, reaching 34.2% compared to 20.8% in the previous year Q4 FY'24. The growth was fuelled by a 38% Y-o-Y increase in application volume

from 7.1 lakh in Q4 FY'24 to 9.8 lakh in Q4 FY'25, with net revenue per application standing strong at INR 3,149, a growth of 26% Y-o-Y from INR 2,500 in Q4 FY'24.

In addition, our Digital Business segment also showed positive results, reporting a revenue of INR 252 crores, marking a remarkable 226% Y-o-Y growth from INR 77 crores in Q4 FY'24.

The growth was largely driven by successful integration of Aadideli's acquisition and strong

Page 5 of 15
BLS International Services Limited

May 16, 2025

traction in our BC network.

The EBITDA for this segment reached INR 23 crores, showcasing an exceptional growth of 74% Y-o-Y from INR 13 crores in Q4 FY'24 with margins stabilizing at 9.2%.

Coming to the full year FY'25 performance, we closed the year with a consolidated revenue of INR 2,193 crores, a growth of 31% Y-o-Y from INR 1,677 crores in FY'24. This is the highest ever annual revenue for the company.

EBITDA grew by 82% Y-o-Y to INR 629 crores from INR 346 crores in FY'24 with EBITDA margin improving from 808 basis points Y-o-Y to 28.7% compared to 20.6% in FY'24. This margin expansion was driven by scale, transition to self-managed centers, higher realization per application and integration of the newly acquired businesses.

Our profit after tax for the year rose by 66% Y-o-Y to INR 540 crores compared to INR 326 crores in FY'24. The Visa & Consular business segment posted a robust growth with the revenue rising to INR 1,653 crores compared to INR 1,362 crores in FY'24, a growth of 21% Y-o-Y. And EBITDA margin expanded by 1,293 basis points Y-o-Y to 34.5%, up from 22.1% in the previous year.

Application volume increased by 31% to 37.5 lakh in FY'25 from 28.7 lakh in FY'24, while net revenue per application stood at INR 2,903 in FY'25, up 35% from INR 2,146 in FY'24.

The digital segment reported revenue of INR 540 crores, up 71% Y-o-Y from INR 315 crores in FY'24, driven by Aadideli's acquisition and traction in the Business Correspondent business.

EBITDA for these segments stood at INR 60 crores, up 32% Y-o-Y from INR 45 crores in FY'24 with the margin stabilizing at 11% in FY'25. On the balance sheet front, we continue to maintain a robust financial position with net cash of INR 928 crores as on March 31, 2025, even after deploying over INR 1,000 crores in strategic acquisitions during the year. The return ratios remain strong with ROE at 31% and ROCE of 22% for FY'25. The Board of Directors of the company have recommended a dividend of INR 1 per share.

Looking forward, we remain optimistic about our growth prospects, our healthy cash reserve, improved margin profile and expanding global footprint position as well to capture emerging opportunities in both our core as well as digital verticals.

With that, I will request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question comes from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Shikhar ji you and your team under Nikhil Gupta ji, you are doing excellent work. Our

Page 6 of 15
BLS International Services Limited

May 16, 2025

company profit in March 2020 was INR 50 crores, so it increased to INR 540 crores. First, congratulations to entire team. Sir, my first question, how many visa permission we have applied for which we are awaiting sanctions from countries? And what is our success ratio?

Means if we apply 10, how many we get?

Shikhar Aggarwal: So as you know, in this quarter, we have done around 9.8 lakh applications. We have already said compared to 7.14 lakh; it is an increase of 38% compared to last year. And we continue applying for multiple tenders across the world. Currently, none of the tenders we applied have not sanctioned. There is no sanctioned that have come out of those countries anyway. I mean we continue to apply for different tenders. You see the result of the business that the numbers we have achieved. A lot of it is organic and we've also won new tenders. Some of this is deployed this year, some are in deployment stage. But at the same time, we are bidding for new contracts in different geographies.

Ravi Naredi: Right. And second, sir, in quarter 4, our fee for visa is INR 3,149. So now our base is increasing. So what is target for financial year '26?

Shikhar Aggarwal: See, our target is to first maintain the number that we achieved. We need to maintain the target regarding which we are always striving at more cost efficiency, increasing the profits, etc. So I mean, right now, a healthy growth of 15% to 20% minimum level that is the target we want to achieve. We have been targeting that only every year, but we have been delivering better. So that is what we are again targeting.

Ravi

Naredi: 20%, right?

Shikhar Aggarwal: See, internal targets are very different. But for the market, I don't want to give any forward-looking number or statement. We have not given any target yet, okay?

Ravi Naredi: And sir, lastly, due to Turkey involved with Pakistan war, do you see any problem in our business?

Shikhar Aggarwal: No, no. Let me answer. We are working in 70 countries with multiple European governments in different parts of the world and delivery of services in different parts of the world. So we are a global company now. So there is no issue anywhere in the world.

Moderator: The next question comes from the line of Yogesh from Moneyvesta Capital Services.

Yogesh: I want to know in the Visa & Consular segment, there is an improvement of more than 10% of EBITDA. Is this level sustainable in the future? And can you throw some light on this?

Shikhar Aggarwal: Yes. This level will be sustainable in the future in the Visa & Consular business.

Moderator: Does that answer your question, Yogesh?

Page 7 of 15

BLS International Services Limited

May 16, 2025

Yogesh Anand: Sir, can you explain some light on the reason of improvement of this 10% EBITDA margin?

Shikhar Aggarwal: As we have explained in the past quarters also, because we have done a lot of efforts, in some countries the transition from partner-led model where we had some partners, operational partners, we are now completely operating on our own. Service fee has increased, conversion of different services have improved, increase in prices have come. So a lot of factors have led to this growth.

Moderator: The next question comes from the line of Gaurav Srivastava from Abundita Capital.

Gaurav Srivastava: Soon CEO of your team members, very congratulations for the exceptional result given by your team. I think it's a team effort which gives us a decent return. My one query is regarding looking at the P&L account, I found the other costs increased significantly, accounting 47%. So just wanted to know what is the other cost? Why is it so increased for the last 3, 4 years?

Amit Sudhakar: You mean cost of service?

Gaurav Srivastava: Yes. I just go through your expenses breakup. So other costs contribute to 47% of your cost. Earlier it was 10%. But this year, it has gone very high?

Amit Sudhakar: Yes. So Gaurav, that is because as we have been talking in our earlier investor calls also that we have changed our model, now it is a self-run model, as we have taken offices on our own and we have our own people rather than a partnership model.

So where the commission used to be paid in the cost of services, now we have our own employees and the rentals and the location administration costs, all are being paid by us.

Therefore, there's an increase in the other expenses, whereas if you see the cost of services are coming down. Overall, the margins are improving.

Moderator: The next question comes from the line of Varun Subramanian from Ascent Capital.

Varun Subramanian: Just a couple of quick book-keeping questions. Soon revenue, then net revenue seem to be essentially your net revenue per application into a number of applications. Is the delta between revenue on the Visa & Consular services business? So the delta between revenue and net revenue, is that also partially what is being passed on to the embassy and secondly, consular services? Is that correct?

Amit Sudhakar: To some extent it is right that the cost of services get adjusted because in certain places, we have the embassy fees being part of the cost of services and all the direct expenses.

Varun Subramanian: So essentially, the cost of services is being counted as revenue in the consolidated revenue, right, topline? Net revenue will exclude that...

Amit Sudhakar: Yes, for representation, we show it net revenue.

Page 8 of 15

BLS International Services Limited

May 16, 2025

Varun Subramanian: Got it. So of the INR 150-odd crores, which is basically revenue minus net revenue, how much would be roughly the Consular services?

Amit Sudhakar: I don't have the direct figure.

Varun Subramanian: Can I assume around \$25 into whatever, 9.8 lakh applications would be the cost of services?

Amit Sudhakar: See, that has not been in all the countries. There are only one or two, couple of countries where the billing happens along with the embassy fees. So it's not in all the countries.

Varun Subramanian: Okay. Understood. Okay. And second thing is on EBITDA margins between Visa & Consular Services. Assuming, let's say, INR 50 crores-INR 60 crores coming from Consular services, what would be the at least margin percentage indicatively across these two businesses? And what kind of growth are you seeing in the Consular

services business?

Amit Sudhakar: The margins are practically same in both the businesses. So this ~35% EBITDA margin, which we have shown, as we have been saying in the earlier conference calls also that we want this to remain above 30%, and we want to maintain it.

Varun Subramanian: Got it. And one final question. I think you've been able to sort of increase the net revenue per application quite significantly over the last, let's say, 5, 6 quarters. I'm assuming that value-added services are largely driving this. Just wanted to understand where do you see this sort of capping out because they're already at INR 3,000 per application?

Shikhar Aggarwal: So I think, first of all, we've got an increase in our service fee also in many countries. And as you see a lot of tenders QCBS bids, we are getting higher technical marks. So, our service fee per application is also increasing. So definitely, there is a mix of factors for increase. And right now, our target is to maintain that. Now how much further we can go, we cannot give you exact number. But definitely, we strive to improve it every year.

Varun Subramanian: So I understand this correctly, it's also a combination of the pass on that the embassy is giving you, not just increase in value-add services.

Shikhar Aggarwal: Correct.

Moderator: The next question comes from the line of Anuj Jain from Global Capital.

Anuj Jain: Congratulations on the wonderful set of numbers. So I just want to understand, I mean, like we are holding some INR 900-odd crores of cash in our balance sheet. And we have done pretty decent acquisitions in FY'25. So what are our plans of utilizing this cash going forward? How we are planning for that?

Shikhar Aggarwal: See, if you see last year, we've done INR 1,000 crores plus acquisition and we're real so a dividend paying company. This year also we have paid 100% dividend on the face value we

Page 9 of 15

BLS International Services Limited

May 16, 2025

have announced. So I mean, this is a cash-generating company. It's a negative working capital business.

And as we grow, we generate more amount of cash. We are seeing effective ways of utilization. Acquisition was one. Dividends we've been paying. We are investing on different resources, growth of the company, getting good quality people, spending some on technology, capex, etc.

So going forward, I think the growth that we foresee in terms of new contracts coming in, etc., some cash will be utilized in that. We are reinvesting in improving our offices, technology, etc. And also, we are again open on the acquisition that we have done, the synergies properly kick in, we are open to more acquisitions in the future as well.

Anuj Jain: Okay. And I just want to understand one more thing. I mean, like any new agreement with any new country is in pipeline. I mean, do we expect any new business or it's a routine business, routine thing?

Shikhar Aggarwal: No, it's a growing company. Every year, if you see, we add new contracts, add new volume. So whenever we sign a contract, we will announce it.

Moderator: The next question comes from the line of Sachin, an Individual Investor.

Sachin: Congratulations on a great set of results, sir. I've been a long-term investor in the company, and you never fail to disappoint us. So a big thank you from all the investors. So my question is with regard to China. Can you please tell us what's happening with China in terms of post-COVID volumes?

Have we come back to how it was before? And also, we saw an acquisition as part of an exchange notification, was that the Indian Embassy work in Beijing that was taken over? Are we seeing all of this because they're really getting self-managed by us? That's the question.

Shikhar Aggarwal: Correct. So China, the volume is almost, not 100%, but it's almost back to pre-COVID level. We have seen a good growth in terms of four revenue from China. And we've also transitioned to our own model there. So that is why you must have seen an entity incorporation or something. So we have a strong footing.

Sachin: Can you also tell us in terms of cost optimization of self-managing. What percentage of cost

optimization still remains due in terms of like what we targeted versus where we are and how much more can we actually look at self-managed offices for ourselves?

Shikhar Aggarwal: To understand your question, you're saying about the cost optimization? Correct?

Sachin: Yes. Surely, we'll have like a ball park, right? So where are we in terms of how much more can we do?

Page 10 of 15

BLS International Services Limited

May 16, 2025

Shikhar Aggarwal: See, there was no set target, first of all, since we are a growing company, there was no target to do cost optimization. But as in COVID, we learned a new

way of doing business. So

definitely, we kind of learned that. But the acquisition that we have done, where we can do sharing of offices, economies of scale can help push that we are in the process of doing. And we've done in many countries and some more countries are on the pipeline. So that is there for sure.

Sachin: Okay. And everybody's question is in terms of the cash balances and what we do. So we know that you will keep looking at acquisitions. But are there companies out there like iDATA with that sort of EBITDA profile still there, which can improve our company as well? Or is it all competitive, less EBITDA sort of companies in the future? Because the concern is around EBITDA numbers getting diluted with the BLSE-Services numbers getting added, right? So whenever there is that...

Shikhar Aggarwal: No. But if you see the visabusiness, the EBITDA numbers are 34%, and they continue to remain that. And going forward also, there are still one or two companies in the business, which have high EBITDA numbers. So we'll continue to remain on that trajectory.

Moderator: The next question comes from the line of Samir Palod from AUM Fund Advisors LLP.

Samir Palod: Excellent set of results, so many congratulations. Shikhar, I wanted your views on sort of what you expect in FY'26, the sustainability of the 30%-plus EBITDA margin. So if you can sort of throw some light on expected sales growth from this high base that you've created of almost INR 2,200 crores and on the margins as well there? Very helpful, that would be.

Shikhar Aggarwal: So see, this is a factor, the EBITDA percentage number that we've achieved is a factor of efforts that we started doing 5 years back. So it took a lot of time. And it started showing results 1.5-2 years back. Every quarter, we've seen an increase in EBITDA numbers. And we are quite comfortable with what we have achieved.

So in the visabusiness, I think our immediate target is just to maintain whatever we have achieved. There's no plan to grow that in the future. But I mean, all the initiatives that we take everyday, so it might lead to an increase. But right now, our plan is to sustain whatever EBITDA margin we have achieved, and we are at a healthy number.

In regard to growth in revenue, etc., I mean, if you see in the past, this financial year we've done 30% revenue growth and 82% EBITDA growth. If you see last 5 years, we've been growing at more than 90% CAGR in terms of profit if you start from 2021. So definitely, our target is to grow.

There is no set target that we're giving to the market, but you can't take growth in visavolumes, etc. So at least 15%, 20% normal growth that we've been doing on top of that. There are multiple other things that we are focusing on. So I mean, there's no exact percentage that we

Page 11 of 15

BLS International Services Limited

May 16, 2025

can tell, but we wish to maintain the growth momentum that we have been maintaining for the last 5 years.

Samir Palod: Fair enough. And you had made an acquisition in Turkey, right, or one of the companies which had a Turkish contract?

Shikhar Aggarwal: No, no. Actually, please, I suggest that you see and read. We are working with European Government. So we acquired a company called iDATA, which has contracts with Germany, Italy and Czech Republic Government in 15 countries. So Turkey is one of the countries where they operate.

So that is the scenario where people from Turkey who go to Germany, Italy, they apply for visas in our offices. So there is no contract. The contracts are only with German Government and Italy Government. As we have been operating for the Spanish Government there from 2016 as well. So globally, we operate in 70 countries with multiple governments. That is the scenario.

Samir Palod: So no likely impact of anything to do with India, Turkey tension, right?

Shikhar Aggarwal: I told you that we are working with all these European governments globally. There is no issue.

Samir Palod: Right. And sorry, I don't have the balance sheet data in front of me, but what was the operating cash flow in the current year?

Amit Sudhakar: Then we have talked about it is INR 928 crores is the net cash balance.

Samir Palod: This is cash flow during the year? I'm not asking for the cash balance. I'm asking for the operating cash flow during the year.

Amit Sudhakar: So operating cash is INR 903 crores.

Moderator: The next question comes from the line of Manish Choraghe from KJM Capital.

Manish Choraghe: Congratulations on great set of numbers. I just wanted to know, would you be able to give any specific numbers on iDATA and Aadifidelis solutions?

Shikhar Aggarwal: I think there's no specific numbers, but what we can tell you is that we have achieved EBITDA growth of 80% from last year and

and 20% of that growth has come from our acquisitions, but more than 60% has come from organic. So it's only 20% growth that has come because the full year numbers haven't captured the full year numbers of these acquisitions.

Manish Choraghe: Okay. And any further acquisitions pipeline?

Page 12 of 15

BLS International Services Limited

May 16, 2025

Shikhar Aggarwal: I think we are always looking at different opportunities. So as and when anything is finalized, we'll definitely let you know.

Moderator: The next question comes from the line of Anupama from Ratna Traya Capital.

Anupama: Yes, I had the same question actually on the acquisition. Can we have the revenue numbers for the Aadifidelis acquisition and may be the profitability also?

Amit Sudhakar: So if you look at Aadifidelis, we have about INR 200 crores of revenue in the current financial year.

Anupama: And what kind of EBITDA or PAT would be from Aadifidelis?

Amit Sudhakar: Aadifidelis has an EBITDA of around 4% to 5%.

Anupama: 4% to 5%. Okay. And do we have like the application number, some iDATA?

Shikhar Aggarwal: I think we have the total volume. So we have done around 9.83 lakh applications versus 7.14 lakh, which is a growth of 38%. So this I think numbers include organic growth as well as the growth from acquisitions.

Anupama: Right. And can I just have like a guidance or commentary on what is the seasonality with the applications? Like last June, I can see a good jump, but then it has sort of stabilized on that.

And then the last year or so, it's been at around INR 7 lakhs.

Shikhar Aggarwal: I mean if you see last 2 years, that is how the business is, you have seen the numbers in the last 2 years, every quarter that is how it operates on an ongoing basis.

Anupama: So there's no seasonality between the quarters?

Shikhar Aggarwal: No, there is. I'm saying as you are seeing seasonality between different quarters last few years is the same thing this year also. So there is seasonality.

Moderator: The next question comes from the line of Veeranna Savadi, an Individual Investor.

Veeranna Savadi: I'm an Individual Investor in BLSE - Services. My question is what is your future review for BLSE - Services? And the second question is, is there anything you are going to expand BLS E-Service outside India? So these are my two questions.

Shikhar Aggarwal: So I think if I heard you right, see, BLSE - Services, if you see our EBITDA has grown 32% at INR 60 crores now compared to INR 45 crores last year. And we are seeing a phenomenal momentum in BLSE - Services. Our network has grown to more than 120,000 centers. We have enrolled multiple new public sector & private sector banks

Page 13 of 15

BLS International Services Limited

May 16, 2025

We have started different adjacent businesses, higher-margin businesses. I've been talking about in the past years, the B2C segment, like insurance services, etc., that have started to increase our profitability. And the loan and distribution business that we've gotten into, I think Aadifidelis is working in some codes now, with our presence we can really take that forward. So in the next few years, we expect good growth in BLSE - services and we are looking at multiple tenders with different banks to grow our BC business as well as e-governance contracts as we have been operating in. I mean, Gujarat, West Bengal, we are looking at multiple tenders in other states as well. So I feel it is a good business that has a great potential to grow.

Veeranna Savadi: Yes. My second question, Sir, anything you would like to expand this business outside India as well, like maybe in neighbour countries, Sri Lanka, Bangladesh, there might be some opportunity to grow?

Shikhar Aggarwal: Yes, definitely, right now, the market is very big in India. We are kind of first achieving a good volume revenue there. And then in the future, definitely, we are open since we can take the support of the parent company, BLS International, which has offices in 70 countries. So definitely, in the future, if the opportunity arises, definitely we will look at it.

Moderator: The next question comes from the line of Nikhil Shetty from Nuvama Wealth Management.

Nikhil Shetty: Shikhar, could you please share which countries are yet to transition from partner-led to own

model? If you don't want to name them, fine, but at least the potential, I mean, the revenue percentage that would be helpful. So this shift could be a meaningful trigger for the margin expansion. And you had mentioned about China. And could you elaborate on the potential financial benefit that could materialize from this particular market, perhaps with some indicative numbers?

Shikhar Aggarwal: See, I think already, if you see we have tra

nsitioned most of the countries. There is -- in my knowledge, maybe 1 or 2, but probably I don't know if that will be the significant change in revenue or not. But from China, we started in January. So I mean, the numbers of China have already been incorporated in the financials of this quarter. Maybe some more growth is expected.

So going forward, this growth is multiple factors. That is just one element, the transition. So that will continue to be there. But if you talk about if we have analysed what revenue will get increased from Spain in the future, we have not done any of those studies. I mean majority of the work has already been done. There are some one or two more countries left that we will be doing.

Nikhil Shetty: Okay. And also, while FY'26 appears well positioned with the steady base business and full integration of the acquired entity. So it would be helpful if you could share your thoughts on

Page 14 of 15

BLS International Services Limited

May 16, 2025

the medium-to long-term outlook, specifically for 3 to 5 years, what kind of revenue growth trajectory is the management deciding?

Shikhar Aggarwal: See, we always like to take conservative numbers for the market, and if you see last 5 years, we have done exceptionally well. We understand the base has increased of the company, and it is not easy as a big company to grow. But if you see the opportunity size in this market there's multi-billion there. It's humongous.

There are a lot of contracts that are in the pipeline. As we grow as a company, governments are building trust on us. They're re-awarding tenders to us. New governments want to reduce the monopoly, give work to multiple players, which are qualified, which only have 3 in the world.

So we think that there is a big opportunity in terms of getting good market share organically. There is an opportunity in growth in our existing business. Vis-a-vis volumes will grow. Revenue per application, service fees have been growing. Value-add services have been growing. Conversions have increased. We are trying to do economies of scale combining our multiple offices. So there is a good amount of organic growth that we continue to focus on.

And then on top of that, these tenders that we are bidding for and if there's an acquisition opportunity that comes also in the future. So we expect healthy growth. At bare minimum 15%, 20% is something that we wish to maintain. We don't want to give aggressive numbers to the market. But definitely, our target is to achieve more.

Nikhil Shetty: And just to get a more sense on the tender side, if you give us a sense in next, say, 12 to 18 months, what is the opportunity size we are bidding for and the conversion possibility from that? And any big in near term, big geography, which is up for renewal in near term?

Shikhar Aggarwal: Yes. First of all, as we have explained in the past, our strategy as a company has been to bid for all tenders. So we have been bidding. That is how we have grown the company. We have been bidding for all tenders in our industry from day one the company got established.

So there is \$1 billion worth of contracts that are coming up for renewal that we are clear that we have been in touch with those governments. So definitely, we will be bidding for that. And then in the future, more tenders will come up again.

Nikhil Shetty: Okay. And lastly, just on the iDATA and Citizen Invest, how much is contributed for the entire '25?

Shikhar Aggarwal: I mean from the growth; I know that it's only 20% of the growth of EBITDA that has come from the business. Out of the 82% growth in EBITDA, only 20% has come this year from that.

Nikhil Shetty: In terms of topline?

Page 15 of 15

BLS International Services Limited

May 16, 2025

Shikhar Aggarwal: In terms of EBITDA. I don't know in terms of topline, I think Amit can...

Nikhil Shetty: Yes, I just want revenue numbers. I'm fine.

Shikhar Aggarwal: Otherwise, yes, you can take it up later.

Moderator: The next question comes from the line of Sanket from GEPL Capital.

Sanket: Congratulations to you guys. And I just had one question that we have acquired SLW Media, just wanted to know what's the outlook for that company? How are we moving forward with that acquisition?

Shikhar Aggarwal: No, no. We have explained in the past that we have not acquired, this was a INR 70 lakh investment that we did to enhance our brand and that is doing very strong. And that is

profitable. We have no further investment that we are making in that company.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Gaurav Chugh: Thank you, everyone, for joining this call today. We hope all your queries have been answered. In case

you have any further queries, please do reach out to Gaurav Chugh or the EY team. We look forward to interacting with you again next quarter. Thank you, and goodbye.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Nuvama Wealth Management, that concludes this conference. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure a high level of accuracy. Some minor editing may have been done for better readability. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 16, 2025, will prevail.

Call: Aug 2025

August 11, 2025

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on August 06, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated July 29, 2025 please find enclosed a transcript of the Earnings Call held on Wednesday, August 06, 2025 to discuss the operational and financial performance of the Company for the first quarter ended June 30, 2025.

The transcript is also available on the Company's website at <https://www.blsinternational.com/>

You are requested to take the same on your records.

For BLS International Services Limited

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Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Page 1 of 16

"BLS International Services Limited
Q1FY'26 Earnings Conference Call"
August 06, 2025

MANAGEMENT: MR. NIKHIL GUPTA – MANAGING DIRECTOR,
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
MR. LOKANATH PANDA – CHIEF OPERATING
OFFICER
MR. GAURAV CHUGH – HEAD – INVESTOR RELATIONS
MODERATORS: MR. MOEZ CHANDANI – AMBIT CAPITAL
BLS International Services Limited
August 06, 2025

Page 2 of 16 Moderator: Ladies and gentlemen, good day and welcome to BLS International Services Limited Q1FY '26 Earnings Call hosted by Ambit Capital Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Moez Chandani from Ambit Capital. Thank you and over to you.

Moez Chandani: Thank you. Good afternoon and on behalf of Ambit Capital, I thank the management of BLS International Services Limited for the opportunity to host your Q1FY'26 Earnings Conference Call.

We have the following members of management with us today, Mr. Nikhil Gupta – Managing Director; Mr. Shikhar Aggarwal – Joint Managing Director; Mr. Amit Sudhakar – Chief Financial Officer; Mr. Lokanath Panda – COO, Digital Business and Mr. Gaurav Chugh – Head of Investor Relations.

I will now hand over the call to Mr. Gaurav Chugh to walk us through the initial comments.

Thank you all and over to you, sir.

Gaurav Chugh: Thank you, Moez. Good afternoon, everyone. Thank you for taking time out to join this call today. This is to remind you that this discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It may be viewed in

conjunction with our businesses that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements. I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company, and we will then open the floor for an interactive Q&A session. Thank you and over to you, Shikhar.

Shikhar Aggarwal: Good evening, everyone. Thank you for joining us for the Q1 FY'26 Earnings Call of BLS International Services Limited. This year holds special significance for us as we mark our 20th anniversary. A remarkable milestone that speaks of our journey of resilience, innovation, unwavering commitment to excellence over the last 2 decades.

Before we dive into our performance, I want to take a moment to sincerely thank our stakeholders, partners and team members. Your trust and support have been central to shaping BLS into a globally trusted brand it is today. Our journey has been defined by sustainable growth, adaptability to changing markets and a deep-rooted customer-centric approach. I am BLS International Services Limited

August 06, 2025

Page 3 of 16 delighted to share that we have commenced FY'26 on a strong note. This quarter's performance reflects the strength of our operating model and the impact of our strategic execution.

We have yet again achieved highest-ever quarterly financials. Our consolidated revenue reached Rs. 710 crores, marking an impressive year-on-year growth of 44% over the last year's corresponding quarterly revenue of Rs. 493 crores. The growth was led by the

existing

businesses as well as the consolidation of four acquired businesses i.e. DATA, Citizenship Invest and Aadifidelis Solutions during the previous financial year.

Our EBITDA grew by 53% to Rs. 204 crores from Rs. 133 crores in Q1 FY'25. EBITDA margin also expanded by 171 basis points to 28.7%. Our PAT stood at Rs. 181 crores, witnessing a growth of 50% over Q1 FY'25. Our Visa and Consular business continued to drive our company's long-term growth ambitions. This quarter saw strong traction aided by surging global travel and increased integration of digital and tech-led solutions. The segment delivered a revenue growth of 11% year-on-year to Rs. 461 crores and net revenue growth of 60% year-on-year to Rs. 360 crores. The growth was primarily driven by change in our business model from partner-run to self-managed across many locations as well as due to consolidation of i.e. DATA.

We recorded an EBITDA margin of 40.4% in this segment as compared to 29.3% in Q1 FY'25, supported by the company's strong focus on cost efficiencies. We have continued to deliver robust growth in the number of applications as we processed 11.4 lakh applications during the quarter, representing a year-on-year growth of 33.6%.

The global visa outsourcing market continues to present a significant opportunity projected to grow at 14% CAGR and expected to reach USD 8.2 billion by 2028, a trend we are well positioned to capitalize on.

Now, moving forward to the Digital Service business:

Revenue in these segments surged 218% year-on-year to Rs. 250 crores with an EBITDA at Rs. 18 crores. Growth here was primarily driven by the consolidation of Aadifidelis as well as growth in our BC business. During the quarter, our step-down subsidiary Zero Mass also signed a definitive agreement to acquire CSPs of SBI and HDFC Bank from Sub-KIMPACT Solutions. This strategic acquisition will mark a significant step in the company's commitment to expand financial inclusion and enhance last-mile banking delivery across India. Our Business Correspondent and Business Facilitator business continues to drive financial inclusion. We have onboarded over 10,000 retailers and entered into a strategic partnership with Bajaj FinServ, HDFC Bank along with MicroATM, CSP rollout in Odisha and furthermore. Beyond banking, we have also expanded our digital footprint with a new project in Chhattisgarh for digitizing sub-registrar offices, streamlined land record registrations and BLS International Services Limited

August 06, 2025

Page 4 of 16 launching Aadhaar Enrollment Centers in Rajasthan, and partnering with Delhivery for nationwide courier services.

We continue to benefit from the successful integration of recent acquisitions such as i.e. DATA, Citizenship Invest and Aadifidelis. These integrations have expanded our service capability, improved operational efficiency and extended our presence and market share in high-growth markets.

As we look forward, BLS International remains well-positioned to build on this momentum.

We are expanding through key government partnerships and diversifying our offerings into areas such as citizenship, residency and entry services.

With a strong leadership team, a healthy pipeline of opportunities and increasing adoption of innovative technologies, we are confident in our ability to create sustainable long-term value.

I now invite our CFO—Mr. Amit Sudhakar, to walk you through the Financial Highlights.

AmitSudhakar: Thankyou,Shikharandawarmwelcometoalltheparticipants.Iampleasedtopresentthe consolidatedfinancialresultsforthe1stQuarterofFinancialYear2026,ended30thJune2025. Wehavestartedtheyearonastrongfooting.ConsolidatedrevenueforthequarterstoodatRs. 710crores,reflectingarobust44%year-on-yeargrowth,comparedtoRs.493croresinQ1FY '25.

Thisgrowthwasdrivenbycontinuousstrengthinourcoreoperationsaswellasfullquarter impactofrecentacquisitionsofDATA,CitizenshipInvestandAadifidelisSolutions,which wereconsolidatedduringFY'25.EBITDAforthequartergrewby53%Y-o-YtoRs.204 crores,withtheEBITDAmarginexpandingby171basispointsto28.7%.Thismargin improvementisaresultoffouroperationalleverage,continuousfocusoncostoptimization,the transitionofself-managedcentersandhighertransactionrealization.Profitaftertaxroseby 50%Y-o-YtoRs.181crores,reflectingimprovedperformanceacrossbothourcorebusiness segments.

Now,movingtoVisaandConsularservices.TheVisaConsularsegmentcontinuedodeliver strongresults,withrevenueincreasedby11%Y-o-YtoRs.461crores.TheEBITDAmargin inthissegmenti

mprovedsignificantly40.4%upfrom29.3%inQ1FY'25.Thestrong performancewasprimarilydrivenbyenhancedcostefficiencies,higherproportionofself- managedcentersandconsolidationofDATA'shighmarginoperations.Applicationvolumes grewby34%,reachedRs.11.4lakhwhilenetrevenueperapplicationgrewby19%Y-o-Yto Rs.3,167perapplication.

Digitalsegmentrecordedanexceptionalgrowthwithrevenueincreasedby218%Y-o-YtoRs. 250crores,largelyduetointegrationofAadifidelisSolutionsPrivateLimitedfromNovember BLSInternationalServicesLimited

August06,2025

Page5of162024.EBITDAindigitalbusinessroseby53%Y-o-YtoRs.18crores,highlightingthe growingmomentumofourdigitalserviceportfolioandtheoperationalprogressmadeduring thequarter.

Balancesheetandoutlook:

OurbalancesheetremainedquitestrongdespiteinvestingoverRs.1,000croresinvarious strategicacquisitionsduringthepreviousfinancialyear.Wecontinuedtomaintainanetcash positionofRs.1,126croresason30thJune2025,comparedtoRs.928croresofnetcashasof 31stMarch2025.

OurQ1performancereflectsthe disciplinedexecutionofourgrowthstrategywithaclear focusonscalability,marginexpansionanddiversificationacrossgeographicandservicelines. Weremainconfidentinourtrajectoryandarecommittedodeliveringsustainedvaluetoall ourstakeholders.

Withthat,nowIinvitethemoderatortoopenthefloorforquestions.Thankyou.

Moderator: Thankyouverymuch.Wewillnowbeginthequestion-and-answer session.Wewilltakeour firstquestionfromthelineofArpitShahfromStallionAsset.Pleasegoahead.

ArpitShah: Ijustwantedtocongratulatethemanagementforthisquarter'sperformance,40%EBITDA marginsinaquarterwhereitwasfacedwithalotofmacroheadwinds.Anditisalmostdone thisquarter'sEBITDAisalmostequivalenttoFY'23'sfull-yearEBITDA.Iamjustgladtosee suchkindofexecution,suchkindofprogressintermsofexecutionthatthemanagementhas shownus.IhadaquestionregardingtheVFSIPO,whichisprobablyoncards,whichisgoing tobecominginthenextcoupleofquartersorso.Ijustwanttounderstandhowdoyoustack upagainstVFS?Itisprobablythevaluationwhichisrunningaroundthestreetisabouta multi-billiondollar,somethingaround\$8-\$10billionkindofanIPO.Andhowdowestackup againstsomethinglikeaVFS?AndIjustwantedtounderstand;wehaveeseenphenomenal growthinthelastcoupleofyears.Eventhisquarteritwas11lakhapplications,morethan 36%growthY-o-Yinatoughmacroenvironment.So,nowhowdowegoaheadfromhere? Dowsustainthiskindofgrowthrategoingaheadordowenowstepupbeyondthese outsourcing?Dowenowstartdoingbetterthingswithbettermargins,highermargins?Whatis theroadmap?HowdowebecomeRs.1,000croresPATcompanyletussayfromcurrent levels?Howmuchtimedoyou envisage seeing it currently?Andjustcongratulationsona phenomenalperformance,Thankyousomuch.

ShikharAggarwal: Arpit,firstofall,Ithinkbettermargins,sowehavealreadyachieved,ifyouhave seenthe Visabusinessaround40%EBITDAmargins.Andonanoverallbasis,28.7%onconsolidated basis.So,Ithinkourimmediateandlong-termobjectiveistomaintain.We haveincreased from35%inthelastquarterandlastyearwewere at29%.So,wehavenowreached40%.So, ourimmediatetargetistomaintainthat.Wedon'tknowaboutthiscompetition,butdefinitely BLSInternationalServicesLimited

August06,2025

Page6of16morecompaniesgettinglistedinthemarketwillbegoodforus.Therewillbemorecoverage.

Rightnow,alotofinvestorssaythatwearetheonlylistedcompanyinthisspaceglobally.It willbeverygoodfortheanalystcommunitytobenchmarkus.Whatweknowisthatglobally,

I think we have achieved around 16%-17% global market share. I feel that we are these second largest company globally in this business. And as you have seen now, if you compare the numbers 5 years back, our revenue has grown 5x, our EBITDA has grown 15x. We as a company, we know execution and that is what we are focused on. Keeping our heads down, we are focused on execution. So, definitely we feel that whatever numbers we have achieved, we can maintain. And what guidance or what we are telling people is that now with the increased base also, next 3-4 years, we would continue to grow 20%-25% in terms of profitability, revenue, etc. And there are multiple opportunities in terms of new tenders coming out in the Visa field itself. And only as we spoke, only 50% of the global market is outsourced. So, right now, in the outsourced m

arket, only there are multiple tenders that are coming out. Some we have won, some we have deployed, some are at different stages. So, as you see, we have done 11.36 lakh applications, a 33% increase compared to similar quarter last year. So, definitely, there is a big leeway for growth going forward. So, definitely, whatever we have achieved, we will maintain, and we will look forward to consolidating the market.

Arpit Shah: Got it. And if I could just speak about seasonality, typically if I have whatever I see in terms of EBITDA or the PAT numbers for Quarter 1, if you go for the full year, it is typically 4.5-5x our Quarter 1 EBITDA or PAT. Should we see a similar kind of seasonality going ahead even for this year? Or do you think the seasonality has changed post acquisitions and where you have different kinds of countries now participating that it weakens the seasonality? Or do you think that the run rate that we used to see from Quarter 1 to let us say the full year, that number still maintain?

Shikhar Aggarwal: See, post-COVID, a lot of things have changed. Trends have changed. As you see, the global travel trend has changed. So, definitely there are different timelines that we see, but typically quarter one as you know, a lot of outbound travel from India also happens during this time. So, definitely it is more. So, I think Quarter 3, Quarter 4, probably, I don't remember exactly, is a little lesser. But yes, as you have seen in the last few years, the numbers we have achieved, acquisition etc. So, globally, we are operating in multiple geographies. So, definitely there is some high seasons somewhere else, but Quarter 1 definitely has been good for us.

Arpit Shah: 11 lakh applications. Congratulations on that. We have seen a new high number of applications. I thought we would saturate around a million per quarter, but I think we just surpassed that by another one lakh applications. Congratulations. Thank you so much.

Shikhar Aggarwal: Thank you.

Moderator: Thank you. We will take our next questions from the line of Ravi Naredi from Naredi Investments. Please go ahead.

BLS International Services Limited

August 06, 2025

Page 7 of 16 Ravi Naredi: Thank you very much to give me opportunity. Sir, what is our plant out of Rs. 1,100 crore cash immediately? Any acquisition on card or any new contract you find with any country which you would like to tell today?

Shikhar Aggarwal: As you know that last year itself, we did upwards of Rs. 1,200 crore in acquisitions. We deployed our money in that and that is getting positive. Now, if you see this again, there is a cash flowing company. We are Rs. 1,100 crore plus net cash position. So, definitely, we are looking at different opportunities. Right now, it is consolidating our previous acquisitions. So, as and when something gets materialized, we will definitely let you know.

Ravi Naredi: But immediately, no such acquisition on card, right?

Shikhar Aggarwal: We have an M&A team that keeps on looking. As and when something gets finalized, we will tell you.

Ravi Naredi: Sir, you tell you acquire 100% stake in Citizenship Invest, which offer leading player in residency and citizenship. In actual, what is the business model of that company?

Shikhar Aggarwal: I think we have already explained this multiple times in the past also, in the last quarter results also. But I can tell you again that this is a company that is into long-term visas. We are currently into short-term and business visas. This company facilitates residency and passports for different countries around the world.

Ravi Naredi: From where we got more growth in digital service or visa service?

Shikhar Aggarwal: You have seen the number that on a consolidated level, on a revenue basis, we did 200% plus growth on the Digital Service business. But EBITDA, as you see combined, we did 55% growth in EBITDA. So, both the businesses have seen growth.

Moderator: Thank you. We will take our next question from the line of Vansh Solanki from RSPN Ventures. Please go ahead.

Vansh Solanki: My questions are on the margin side. If we see the margin of the Visa and Consular segment and digital services segment separately on a Q-o-Q basis, then visa services are around 500bps plus margin. So, I want to understand that in Q1, the management converted the more partnership model into self-run model during Q1. And also, digital services, the EBITDA margin has declined. Even ASPL is still a lower margin subsidiary, but it has full impact on a Quarter 4. So, why the margin is declined in Q1?

AmitSudhakar: Youarecorrect. IntheVisabusiness, wehaveconvertedfewmorebusinesseswherethe partnershipmodelwaschangedtoself-managedbusiness, whichhelpedusinimprovementof

EBITDAMargin. Whereasinthedigitalbusiness, themajorportionoftheturnoverhascome fromtheacquisitionwedidof Aadifidelis, wherethemarginsareabout4%EBITDA. So, the BLSInternationalServicesLimited

August06, 2025

Page8of16averagehascomedownbecauseofthat. Growthhasincreased, buttheaveragehascomedown ofthedigitalbusiness.

VanshSolanki: Butthedigitalbusinesshasalready, ASPLisalreadyconsideredfullyonaQuarter4, Iguess?

AmitSudhakar: Yes.

VanshSolanki: Yes. StillmarginisdecreasinginQ1?

AmitSudhakar: Yes, becauseinQuarter4, theygettheincentives. Ifyouunderstandthebusinessof Aadifidelis, theyareintoandistributionandforthewholeyear, theirperformanceonthe basisofthat, theygetincentives. So, themarginswerehigherduringQ4.

VanshSolanki: AndIjustwanttounderstandthathowmanypersentofstores, theconnectionpointsareina partnershipmodelasofnowandself-ownedmodel?Canyoujustgivemeabifurcationofboth?

AmitSudhakar: So, mostlyallhavenowbeenconvertedintoourownself-managedmodel. Thelastmajorone wasChina, whichwasdoneintheQ1.

VanshSolanki: So, ifIunderstandcorrectly, thenEBITDAMarginwillbethesametilltheQ1. AmIright?

AmitSudhakar: Yes, thatiswhatourexpexpectationis.

VanshSolanki: Andjustonelaastbookkeepingquestion. Canyoujustgivemetherevenuecontributionfor ASPL, iDATAandCitizenshipbusinessforQ1andalsoEBITDAMarginifpossible?

AmitSudhakar: So, approximatelyaroundAadifidelisaboutRs. 150crores. iDATAisabout72orso. CitizenshipwasaboutRs. 11croresinthis.

VanshSolanki: AndEBITDAMargin, ASPL, youold4%approx. andabouttheothers?

AmitSudhakar: Thatisright.

VanshSolanki: OthersforCitizenshipandiDATA?

AmitSudhakar: TheyaremoreorlessasperourVisabusiness, around30%-40%.

VanshSolanki: Thankyou, sir. Andcongratulationsforyourfuture. Allthebest.

Moderator: Thankyou. WewilltakeournextquestionfromthelineofAmitChandrafromHDFC Securities. Pleasegoahead.

AmitChandra: Yes, thanksfortheopportunity. So, myfirstquestionisonthestrongY-o-Ygrowththatwe haveseen, ifyoucanbreakdownthatintowhatwouldbeorganicandwhatwouldbeinorganic

BLSInternationalServicesLimited

August06, 2025

Page9of16inthat. So, 44%Y-o-Y, ifyoucanbreakthatdownintoorganicandinorganicgrowth?And alsosecondly, themarginexpansionthatwehaveseenisalsoafunctionofacquiringthe highermarginiDATAbusiness. So, theEBITDAMarginalso, ifyoucanbreakdown?And also, ifyoucanexplainthefundamentalreasonbehindwhatledtothemarkinexpansion, specificallybyshiftingintotheself-runmodelversusthepartnershipmodel?Andwhatarethe advantagesofself-runversuspartnership?Butintermsoftheself-runmodel, whatkindof assetsthatweown, howmanyofficeswehaveacross, whichareowned, andwhicharerented, ifyoucangivesomeclarificationonthat?

AmitSudhakar: So, Amit, ifyouseefromY-o-Ybasis, Q1versusQ1, thegrowthfromnewacquisitions have beeninrevenueabout35%, whichhascontributedandhasalsocontributedtoabout30%in EBITDAMargins, ifyoulookatthat. Andasyousaid, theadvantageofmovingfrom partnershiptoself-managed, thebiggestadvantageonthesamewasthemarginwhich was keptbythepartnerhasnowbeencominginourrownbooks. Andforthat, wehaveeithertaken overtheexistingestablishmentofthepartnerorwehaveopenedourownofficesinthose countries. Andwehavenotpurchasedanyassetsasproperty, butitisallthefurnitureandthe officeinteriorsandeverything. Thosehavebeenacquired.

AmitChandra: So, howmanyofficesyoumusthaveacquiredortakenoverinthatprocess?Andwhat, soif youjustcanexplainthecommercials, howitworkedearlierversusnow, becausethe margin expansionbecauseofthathasbeenprettystrongandwearenotabletounderstandexactlyhow thecommercialshavebeenworkingthere, solknowwehavedoneagoodjobhere, butjust forclarification, ifwecanunderstandthat?

AmitSudhakar: So, earlierwhenitwasapartnershipmodel, thedirectcostsofthelogisticsaswellas maintainingtheofficesandotherwaspaidtothepartner, whichwasgoinginourdirectcostof services, whereinnowthathascomeoutandthemaintenanceoftherentalsoftheplaceand theemployeeecostisgettingdirectlydebitedtoourrespectiveheadsofexpensenow. So, ifyou seeoverthelastyearorso, thecostofservicesiscomingdownasapercentageoftherevenue. Andyouwillseethecosthasgoneupintermsoftheemployeeecostsandtheotherexpenses.

Th

atistheadministrativeexpenses.

AmitChandra: So, wearesayingmostoftheofficerunningcostisnowmorelikeanOPEXmodel, right?

AmitSudhakar: That is right.

AmitChandra: And how many offices we have in a rental or own model, if you can explain across the country?

AmitSudhakar: So, practically 100% are basically on a rental basis only.

AmitChandra: Understood. And also in terms of the contracts that we have currently, both Indian and global, what would be the pipeline in terms of the renewal pipeline? What are the major contracts that are coming up for renewal if you can have some data on that?

BLS International Services Limited

August 06, 2025

Page 10 of 16 Shikhar Aggarwal: Amit, I think we have explained in the past, in the last one year, 90% of our contracts have been renewed. Next 2-3 years, some of those will come up, but we have a clear visibility on the next 4-5 years, 6-7 years of our revenue. Even we explained, we won some contracts with the US government last year that are for 10 years. So, we have a clear visibility. We have a very strong position as a company as of now.

AmitChandra: So, because the trend has been, major outsourcing has been done, because I think this number was 10%-20% a few years back, which has gone up to 50% in terms of outsourcing. So, we are the major beneficiaries of that or because the market has expanded. So, some other players or the competition also come up or it continues to be only VFS and BLS kind of?

Shikhar Aggarwal: For us only, honestly, it has been 15 years. It took a long time to come here. New players, I welcome them to enter the industry. First of all, I think, as you know, the qualification criteria and all is pretty strict. And we are dealing with monopolistic players and see both the things have happened. We have won most of the growth that has come in is also mostly from the contracts that we have won from the competition, but also the market has expanded a bit. Newer client governments have also outsourced, newer services have been outsourced, newer geographies have been outsourced. So, it is a mix and every year, the business is also growing, 14%, as you know, year-on-year, there is a CAGR growth in terms of travel. So, a lot of factors have led to this growth where we are at. As I have explained to you, we are working on 10 different factors at any given point of time to achieve growth and profitability of the company.

AmitChandra: And Shikhar, in the Schengen area, how many contracts we have in terms of the global contracts? And how many we are bidding as of now?

Shikhar Aggarwal: We are working currently with more than 40 client governments in more than 70 countries.

And there are multiple Schengen governments. I need to count how many exact numbers we have. But we are working for Italy, Germany, Spain, Czech, Portugal, Poland, and Hungary.

So, we are working for multiple, many more governments, I can't recall right now. But we have in the last few years managed to penetrate a lot of the Schengen governments. We are working for the US government, Indian government, Philippines government, Brazil government. That is how you see we have achieved all this growth has come from all these factors. So, in the next few years, many countries are coming out with their tenders, new governments are coming out with contracts. So, we are bidding for it actively. And we feel now we have a presence globally, a good team on the ground and we feel that if we can maintain our execution, then definitely we can win more business.

Moderator: We will take our next question from the line of Gopalakrishnan from Uttranush Investments. Please go ahead.

Gopalakrishnan: Yes, thanks for the opportunity. And congratulations to the entire BL Steam for this stellar performance. Really happy. Now, I just have one question regarding this profit growth versus BLS International Services Limited

August 06, 2025

Page 11 of 16 Sales growth. It has been a phenomenal run for the company. For example, trailing 12 months, your sales growth is 35% and profit growth is 58%. And for 3 years also, it is 37% and 66%.

So, sales growth is around the 35%-37% range and profit growth is in the range of 58%-66%. Now, my question is, now that you have done the partner to ownership model transition, have you reached a saturation point or are there any plans to improve this profit margin? If so, what are those plans? That is one thing. And the second thing is about this other income. I saw in the annual report other income comprises of interest from deposits and sale of securities and all of that. Does it continue the same way or is there any other addition to the other income? Thank you.

AmitSudhakar: Thank you, Gopalakrishnan. See, for your first question on the growth, as we discussed that we

have changed our business model and practically we have converted all the partners into our self-managed offices. We see now these margins will now get stabilized over the period now and growth will still be there because we are aggressively looking at new contracts, we are looking at new M&A options for growth. So, we see that we should be able to maintain a decent growth over the next couple of years and somewhere maintain our profit margins at these levels. And as for your second question about the other income, yes, because as you know, we have a healthy cash balance on our books, which is more than Rs. 1,100 crores as on today, that all has been kept in debt funds or fixed deposits and whatever we earn on that is

being part of four other income.

Gopalakrishnan: Actually, my question was like regarding this profit growth, what you are saying is, you have almost reached the saturation level and beyond this, the same margin will be maintained going forward. Is my understanding correct?

Amit Sudhakar: No, I am saying that the margin will stabilize at this level, but growth will still be there.

Gopalakrishnan: Understood. And then UKFTA, any impact? I know last time you told it is a very small, minuscule portion of the business, but now that the FTA has been signed and are there any tailwinds from that?

Amit Sudhakar: No, it doesn't impact us in any way.

Gopalakrishnan: Thank you. That is all.

Amit Sudhakar: Thank you.

Moderator: Thank you. We will take our next question from the line of Dinesh Kulkarni from Finsight. Please go ahead.

Dinesh Kulkarni: Yes. Thank you, sir. And are really great set of numbers. Congratulations on that. So, two specific questions. One is if you see, iDATA was included, became part of the BLS in July last year. So, it was not part in the first quarter. So, if you could just tell me for the Visa business, BLS International Services Limited

August 06, 2025

Page 12 of 16 If we do apples for apples comparison, how the organic growth look like? I know the consolidated number seems very high because we have acquired other businesses in digital, but if I just see for visa, how does that compare?

Amit Sudhakar: So, see, if you look at only on an organic basis, our EBITDA has grown at 31%. The revenue was around the same level, but the margin has improved.

Dinesh Kulkarni: So, are you seeing any additional growth in the acquired businesses over the last 1 year or in the stand-alone deal with entities? Like where is the growth coming from?

Amit Sudhakar: So, we are anticipating going forward, the growth will come from, if you look at the Visa business, one from the tourism growth globally, which we anticipate should be in the range of 8%-10% CAGR. And the balance will come through selling of our value-added services to the travelers. So, we look at that as the growth parameter for our existing businesses.

Dinesh Kulkarni: Sounds great, sir. And I am sure you're looking for more acquisitions with the cash reserves we have definitely. Just trying to understand, sir, say we are operating in so many countries, and I would like to understand where is the niche here? Is it the technology which we are operating or is it the processes which we employ? Or is it the, like how you are handling the manpower and the workload? Like, why should BLS get an opportunity even when as you mentioned, other players are also getting into this. Why should we win versus others? Like, where is the niche then if you could explain?

Shikhar Aggarwal: Well, players are getting into it. Some investor had on this call asked this question. So, as I have said, there are three people are qualified for this bid and obviously, technology is something we are an Indian company. That is something that we have an edge on globally and the delivery that we are doing globally. So, that is the reason.

Dinesh Kulkarni: Yes, but so like as a client, what is the first preference? Is it, I am sure the Indian tech company may not be the only preference they would have, right? Like, you understand what my question is, like it is in terms of why you should win versus others? Or is it okay, anyone sets up another technology company and gives this kind of service, like how fair chance they will also have?

Shikhar Aggarwal: See, we are in this industry for last 15-20 years. So, our experience, our delivery, our reference from client governments, our platform that we are doing multiple factors, not one.

Dinesh Kulkarni: Sounds good. And it seems you are winning great and hope you are going to do this. Thank you very much.

Shikhar Aggarwal: Thank you so much, sir.

BLS International Services Limited

August 06, 2025

Page 13 of 16 Moderator: Thank you. We will take our next question from the line of Viv

ek Gautam from GS Investment.

Please go ahead.

Vivek Gautam: Yes, congratulations, sir, on consistent good performance. My question is, is a case of peak margin for our company, especially in view of the fact that many nations have become very sort of xenophobic and not encouraging the migration to their countries for jobs and for student visa also becoming difficult. So, what impact it is having on our case? And second thing is about, what would be the impact of four-e-visas and visa on arrival services for our company? And last question is about how does it stand with VFS and our differentiator? They are the bigger players and sort of better image they have on social media also. Thank you.

Amit Sudhakar: So, as you said, countries are getting stricter in their processing. On the other hand, they are talking about e-visas. So, there is a contradiction on both sides. The countries who are looking strict on their visa rules are the one where we work and they are controlling. Today, we have a bottleneck more on the number of applications which embassies can process. And once they

de-bottleneck their processing, our volumes, by default, will continue going up only. So, we don't see any, at the moment, concern on the volumes per se. And as far as e-visas are concerned, they are for some limited countries which are working on e-visas and that is a different market altogether.

Vivek Gautam: Do we get impacted because of that, sir?

Amit Sudhakar: Not really, because if you look at the developed nations and developing nations, they still go through the proper process of scrutinizing the visa applications and then providing the visas.

Vivek Gautam: The question about the comparison with our major competition and the social media presence, which is there for us?

Amit Sudhakar: See, we compete with VFS and other competitors in all the bidding because this is a tender process. And in that, we are as strong as anybody else.

Vivek Gautam: And sir, lastly, there is not much institutional interest in our company in spite of we are coming out with great numbers. So, would you like your IR or your company's IR Head to participate more in the analyst conferences and invite more institutional investors with you because the numbers are consistently good, but unfortunately, except for LIC, not much of an interest of late, sir?

Amit Sudhakar: So, frankly speaking, we have not been focusing on the investments side. About a year back, we have hired an IR person and now he is going for all the investment calls and the others. And hopefully, they will also look at our company now.

BLS International Services Limited

August 06, 2025

Page 14 of 16 Vivek Gautam: Yes, but I believe if you can participate in the analyst conferences and meet the research houses, it will be better for us and you are being the majority shareholder, sir. You can think of that, sir. And ask your IR firm also to be more proactive in that regard, sir.

Amit Sudhakar: That is right. That is what we have started doing over the last, I would say, a year or so. So, let us see. But we have started attending those conferences.

Vivek Gautam: We need to sort of pay attention to our social media presence also, specifically in our line of business. So, that somehow gets negative things get propagated out of the way. But positive things are not that much, sir. We have to focus on that, sir.

Amit Sudhakar: Our Investor Relations person is here only, and I think he will take your input.

Vivek Gautam: Yes. Thank you, sir. Keep up the good work.

Amit Sudhakar: Thank you, Vivek.

Moderator: Thank you. We will take our next question from the line of Sachin, an Individual Investor. Please go ahead.

Sachin: Hi. Many congratulations. I am a long-term shareholder in the company for over 8 years, and it is the best performing in terms of revenues, profitability, as well as governance as well. So, many congratulations for all the things that you guys have achieved. So, just in terms of, is there any restriction for us to do like a forward integration and get into the travel industry? Yes, probably become like a travel agent and then, route visas and all of that. Do client governments actually restrict us from getting into that sort of thing? Or has the company thought about something of that sort?

Shikhar Aggarwal: No. We are actually focused on our government, like our business, which is into government outsourcing services and that's exclusive contracts. So, this is what we are focused on. And this is what we are talking about.

Sachin: But there is no restriction from client governments?

Shikhar Aggarwal: We have not explored that checklist because our objective is to remain in the line of business where we are in.

Sachin: All right. And also, in

terms of China, we saw news that the Chinese, travel visas for Chinese

folk traveling into India has restarted. Can you tell us how that trend is at the moment?

Shikhar Aggarwal: I cannot comment on the trend, but I can tell you that we are the authorized provider for the Indian Embassy in China. And definitely any positive trend in that will lead to an increase in numbers for us.

BLS International Services Limited

August 06, 2025

Page 15 of 16 Sachin: Right. And one last question is on the dividend policy. So, we are seeing the profits go up, but I am not sure if investors know about the dividend policy. Can you tell us, last time I asked this question, you said the Board generally takes an appropriate decision, but is there like a percentage or something that is set aside for shareholders?

Shikhar Aggarwal: So, I think, first of all, we are utilizing, as you know, we have done Rs. 1,200 crores worth of acquisitions last year. And also from the day the company got listed, we have been paying dividends. Our policy is already there on the website as well, which is up to 30% of the profits that we are paying as dividend. So, we are continuing to pay dividends, from the day the company got listed. And we are continuing to invest the money of the company in the growth of the company, which is acquisitions, technology, etc.

Sachin: Right. No complaints, just in terms of what it was.

Shikhar Aggarwal: Thank you so much. Thank you.

Moderator: Thank you. Next question is from the line of Dilip, an Individual Investor. Please go ahead.

Dilip: Yes, congratulations for a good number in this quarter, even the previous quarters and years also. I have just a couple of questions. One is that, in your investor presentation, you have mentioned that outsourcing and your in-house services are 50-50 will become in 2029. Right now, is there a chance that 50 will become in-house will become the 30-10 or may be finally, they would not like to do it because the cost for the government is increasing much more than that? That is one question. And second question that I don't find, whether you have a presence in France, because that is a destination where all inbound traffic is very high for that country. So, I guess there was a query whether you also have a presence there and do those kind of services?

Shikhar Aggarwal: So, definitely, if you see from the last few years, outsourcing has increased. Before, it was zero outsourcing, now, it has come up to 50% level. And definitely going forward, outsourcing will be more. Regarding different countries, including the name that you mentioned, we are continuing to try and bid for contracts globally. And as and when we win contracts with different governments, we will let you know.

Dilip: And the last question is that you have a share of about 10% as volume. So, probably when your 50 gets reduced further, then I can presume that your share will automatically increase?

Shikhar Aggarwal: Definitely, if the outsourcing market increases, we will also get a better share in outsourcing.

Dilip: Or can I presume that you are taking effort to increase from 10% to further 12%, 13%, 15%, whatever it is, who are your nearest competitor or who are it globally?

Shikhar Aggarwal: Yes, we are making effort to increase our market share, definitely.

BLS International Services Limited

August 06, 2025

Page 16 of 16 Moderator: Thank you. Next question is from the line of Vansh Solanki from RSPN Ventures. Please go ahead.

Vansh Solanki: Hello, sir. Just a follow up question that 11.4 million applications are on a console basis. But you just mentioned in a call that Citizenship are a long-term visa, like a stand alone is a short-term visa. So, can you just give the bifurcation of both that how is the stand alone and how much is from?

Shikhar Aggarwal: 99% of the applications are from tourist and business visa. So, the Citizenship Invest volume is very less and revenue is very high. There is a very different category of applications. So, out of this 11.9 lakh, 99% is of the core business, which is really short-term and long-term business visa.

Vansh Solanki: Thank you, sir. That is from my side.

Shikhar Aggarwal: Thank you. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last speaker for today. I now hand the conference over to management for closing comments. Over to you, sir.

Shikhar Aggarwal: Thank you all for joining our Earnings Call for Q1 FY'26. Thank you so much. Have a good day.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The Co

mpany takes no

responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Some minor editing may have been done for better readability. In case of discrepancy, the audiorecordings uploaded on the stock exchange on August 06, 2025, will prevail.

Call: Nov 2025

November 18, 2025

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on November 12, 2025

Dear Sir/ Ma'am,

In continuation to our intimation dated November 04, 2025 please find enclosed a transcript of the Earnings Call held on Wednesday, November 12, 2025 to discuss the operational and financial performance of the Company for the second quarter ended September 30, 2025.

The transcript is also available on the Company's website at <https://www.blsinternational.com/transcript>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Encl: As above

"BLSInternationalServicesLimited
2QFY'26EarningsConferenceCall"
November12,2025
MANAGEMENT:MR.NIKHILGUPTA–MANAGINGDIRECTOR
MR.SHIKHARAGGARWAL–JOINTMANAGING
DIRECTOR
MR.AMITSUDHAKAR–CHIEFFINANCIALOFFICER
MR.LOKANATHPANDA–CHIEFOPERATING
OFFICER–DIGITALBUSINESS
MR.GAURAVCHUGH–HEAD,INVESTORRELATIONS
MODERATOR:MR.MOEZCHANDANI–AMBITCAPITAL
Page2of15
BLSInternationalServicesLimited
November12,2025

Moderator: Ladiesandgentlemen,goodday,andwelcometotheBLSInternationalServicesLimited 2QFY'26EarningsConferenceCall,hostedbyAmbitCapital.Asareminder,allparticipant lineswillbeinthelisten-onlymode,andtherewillbeanopportunityforyoutoaskquestions afterthepresentationconcludes.Shouldyouneedassistance duringtheconferencecall,please signalanoperatorbypressingstarthenzeroonyourtouch-tonephone.Pleasenotethatthis callisbeingrecorded.

InowhandtheconferenceoverttoMr.MoezChandanifromAmbitCapital.Thankyou,and overttoyou,sir.

MoezChandani: Thankyou.Goodafternoon,everyone.OnbehalfofAmbitCapital,Iwouldliketowelcome youalltothe2QFY'26EarningsCallforBLSInternationalServicesLimited.Joiningusfrom themanagementtoday,wehaveMr.NikhilGupta,ManagingDirector;Mr.ShikharAggarwal, JointManagingDirector;Mr.AmitSudhakar,ChiefFinancialOfficer;Mr.LokanathPanda, COO,DigitalBusiness;andMr.GauravChugh,HeadInvestorRelations.Ithankthe managementfortheopportunitytohosttheearningscall.

WewillnowbeginwithopeningremarksfromMr.GauravChugh,postwhichtheforumwill beopenforaninteractivequestion-and-answersession.Thankyou,andoverttoyou,Gaurav.

GauravChugh: Thankyou,Moez.Goodafternoon,everyone.Thankyoufortakingtimeouttojointhiscall. Thisistoremindyouthatthisdiscussionmaycontainforward-lookingstatements thatmay involveknownorunknownrisks,uncertainties,andotherfactors.Itmaybeviewedin

conjunction with our business risks that could cause future results, performance, or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company, and we will then open the floor for a Q&A session. Over to you, Shikhar.

Shikhar Aggarwal: Good afternoon, everyone, and thank you for joining us for the BLSQ2 & H1 FY'26 Earnings Call. We trust that you have had an opportunity to review the results, press release, and investor presentation, which have been uploaded to the stock exchanges and our website. We are pleased to share that the company has delivered a strong performance during the quarter, reflecting robust operational momentum across our key business verticals. On a consolidated basis, revenue for the second quarter increased 49% year-on-year, while EBITDA grew by 30%.

On a sequential basis, we have maintained our EBITDA margins at around 29% in the second quarter, and we feel the margins have now stabilized at these levels. Profit after tax for the quarter rose by 27%. The results provided a solid platform for the sustained growth in the

Page 3 of 15

BLS International Services Limited

November 12, 2025

remainder of the fiscal year.

Our visa and consular service business continued to strengthen its global footprint and reinforce our leadership in the outsourced visa processing

industry. During the quarter, we

secured a 3-year mandate from the MEA, Government of India to operate India Visa application centers across key cities in China, including Beijing, Shanghai, and Guangzhou. With improving dynamic relationships between India and China, we anticipate a meaningful increase in visa volumes going forward. In addition, we were awarded a contract by the government of Cyprus to establish a visa application center in Kazakhstan, thereby further enhancing our international presence.

Visa volumes increased by 12% during Q2 FY'26, rising to 11.3 lakh applications compared to 10.1 lakh applications in Q2 FY'25. Net revenue per application improved by 12% from INR 2,883 in Q2 FY'25 to INR 3,223 in Q2 FY'26, supported by enhanced service offering and favorable business mix. Our subsidiary, iDATA, continued its strong growth momentum, processing around 1.8 lakh applications during the quarter, demonstrating sustained demand and operational efficiency.

The successful integration of iDATA and new contracts positions us well for the enhanced expansion. In a major milestone, we also won a prestigious and large-scale contract valued at around INR 2,000 crores from the Unique Identification Authority of India to establish district-level Aadhaar Seva Kendra. The long-term agreement reinforces our proven capability in executing large-scale e-governance and public service delivery projects, while strengthening our role in India's digital ecosystem. This contract will be executed over a period of 6 years.

Now moving on to the digital service business. Revenue from digital services increased significantly from INR 77 crores in Q2 FY'25 to INR 278 crores in Q2 FY'26, registering a remarkable growth of around 259% year-on-year. This is primarily due to the consolidation of Aadifidelis Solutions, which was acquired in November 2024.

During the quarter, our digital service business continued to strengthen its partner ecosystem through strategic collaborations aimed at expanding service offerings and enhancing customer reach. We entered into key partnerships with Aditya Birla Capital and Piramal Finance in July 2025, followed by many other companies.

In the same month, we also partnered with Grameen Foundation for Social Impact. The partnerships collectively reinforce our position as an integral and diversified digital service platform. We continue to expand our digital service network, which now exceeds approximately 147,000 touchpoints, underscoring our commitment to enabling financial inclusion and enhancing digital services across India.

In our BC business, we processed around 3.5 crore transactions during the quarter, with gross

Page 4 of 15

BLS International Services Limited

November 12, 2025

transactional value crossing INR 27,300 crores. We further strengthened our distribution network by adding more than 15,000 channel service partners, taking the total to over 45,400 BCs as of September 30. Our partners generated loan leads of approximately INR 8,600 crores for financial institutions during the quarter, compared to INR 1,400 crores in Q2 FY'25, reflecting deeper market penetration and enhanced service delivery.

Now I'll turn over the call to Mr. Amit Sudhakar, our CFO, for further updates on our financial performance. Thank you.

AmitSudhakar: Thankyou,Shikhar.Goodafternoon,everyone.I'mpleasedtoshareourconsolidated financialresultsforthesecondquarterandfirsthalfendedSeptember30,2025.ForQ2FY'26, ourrevenue reachedINR737crores,representingastrong49%year-on-yeargrowthfrom INR495croresinQ2FY'25.Thisgrowthwasdrivenbyasteadyincreaseinapplication volumesandtheconsolidationofCitizenshipInvestandAadifidelis,whichaddedfurther momentum.

OurEBITDAforthequarterrosetoINR213crorescomparedtoINR164croreslastyear, recordingagrowthofalmost30%.TheEBITDAmarginstoodat28.9%.Marginshavenow largelystabilizedatthislevel,asthekeybenefitfromshiftingtotheself-operatedcenter modelandintegratingouracquisitionbusinesseshasbeenrealized.

ProfitbeforetaxforthequarterstoodatINR203crores,up24%fromINR164croresinthe samequarterlastyear.Profitaftertaxincreasedby27%toINR186crorescomparedto INR146croresayearago.It'sworthnotingthatthisstronggrowthcamedespite lowerother incomeduringQ2FY'26.TheearningspershareforthequarterwereINR4.25comparedto INR3.36pershareinQ2FY'25.

Nowlookingatthehalf-yearperformance,therevenueforH1FY'26stoodatINR1,447 croresversusINR988croreslastyear,upby46%.EBITDArosetoINR41

7croresfrom

INR297crores,agrowthof40%withthemarginsteadyat29%.Profitaftertaxforthehalf yearwasINR367crorescomparedtoINR267croreslastyear,showinga38%increase.

Comingtosegmentalhighlights.InQ2FY'26,theVisaandConsularServicessegment recordedarevenueofINR457crores,a10%growthoverINR418croreslastyear.EBITDA forthesegmentroseby26%toINR192croreswithamarginof42%,animprovementof549 basispointsfrom36.4%marginlastyear.Visaapplicationvolumesalsogrew12%from10.1 lakhto11.3lakhapplications.Thisimprovementinprofitabilitywasdrivenbyhigher volumes,costoptimization,andthe strategic shiftto a self-run model across key geographies. Inthefirsthalf,Visa&Consularservicesrevenuegrewby11%toINR919crorescompared toINR832croreslastyear.EBITDAforthesegmentrosesharplyby38%toINR378crores withamarginimprovingto41%from33%lastyear,reflectingourfocusonefficiencyand profitability.

Page5of15

BLSInternationalServicesLimited

November12,2025

IntheDigitalBusinesssegment,revenue reachedINR278croresinQ2FY'26,upfromINR77 croresayearago.EBITDAforthequarterwasINR21crores,a72%rise withamarginof 7.4%.ThisgrowthwasprimarilydrivenbytheconsolidationofAadifidelis.

Forthe firsthalf,theDigitalBusinesssegment revenue reachedINR528crorescomparedto INR156croresinH1FY'25.TheEBITDAforH1FY'26wasINR39croresascomparedto INR24croresinthe correspondingperiodofthepreviousfinancialyear.Thecompany continuestomaintainastrongcashflowandahealthybalancesheetwithnetcashof INR1,306croresasonSeptember30,2025,comparedtoINR928croresason31,March 2025.

Withthat,Iwillnowhandovertothemoderatortoopen the floorforquestions.Thankyou.

Moderator: Thankyou.Wewillnowbeginthequestion-and-answer session.Thefirstquestioncomes fromthelineofShrenikMehtafromIndoAlpsWealth.

ShrenikMehta: Ihavetwoquestions.One,onthedigitalservice,we'veseenasharpdeclineinEBITDA. WhatisthevisionfortheEBITDAoverthenextfewquarters?Howdoyouseethatevolving?

ShikharAggarwal: No.See,ifyoulookatthedigitalservicebusiness,ourEBITDAmarginhasdropped primarilybecauseoftheacquisitionofnewcompany,Aadifidelis,whichweacquiredin November2024.Themarginis3%ontherevenueandtheincreasedrevenue.Ifyouseeonan overallbasis,ourEBITDAhasgrowntoINR20croresfromINR12croresinthe previous year'slastquarter.

Basically,definitelypercentagehasgonedown,aswesaid,explainedalsoatthetimeof acquisitionofAadifidelis,sinceit'sahighrevenue,lessEBITDAmargincompany.Our immediateobjectiveistomaintaintheEBITDAmargin,butoverall,youcanseethatbothour revenueandprofitabilityhaveincreased.

ShrenikMehta: Youbelievethemarginwouldremainat7%goingforwardaswell?

ShikharAggarwal: No,I mean,inallofourbusiness,ourobjectiveistogrowthemargin,butrightnow,asthe baseofthecompanyhasreallyincreased,weaimtostabilizethemargin.Goingforward,as weintroducemorevalue-added services,thereisdefinitelyscopeforimprovement.

ShrenikMehta: Mysecondquestionwasaboutthehotelacquisition.Ireallycan'tseehowe-visacompanyor adigitalservicecompanycansaythatthisisstrategicorthisis somethingwhichisapartof thediversification.Whatwastherealtriggerbehindtheacquisition?Whatdoyouseethe hospitalitysegmentevolvingasfarastheBLSInternationalisconcerned?

ShikharAggarwal: See,ourfirstofall,long-termobjectiveistobeasset-lightplayer.Asyouknow,wewantto bebrandnameowner,asweareintheindustrywhereinweareintouchwithalotoftravel

agents across the world, where the people who are applying for tourist visa, etc., they continue to demand for different kind of services, which is airline, hotels, etc., booking from us, so we thought that this would--we did a very small investment, if you see from our cash reserves that we have, to understand this, which itself gives us a 10% to 12% return on our investment. Our objective is that once we learn, our objective is not to invest, but to acquire the expertise so we can run our own brand name. Our objective is to run an asset-light model as in the visa business. That was the strategy because our customers are the same. We are globally in touch with all the travel agent community, customers who are demanding different types of services. That was the reasoning behind getting into that.

Shrenik Mehta: Tomorrow

, if the customers are thinking about an airline, we could also do something in the airline sector?

Shikhar Aggarwal: See, that obviously is a multi-billion-dollar business, and we don't have the bandwidth to invest in that. As I said, this was that one investment to understand how the businesses are. Then, going forward, our objective is to be an asset-light business.

Moderator: The next question comes from the line of Krishnam Saraf from Samridhi Finance Family Office.

Krishnam Saraf: I just have one question on the topline. This INR 736 crores as of Q2, what would be that number, if we exclude the acquisition, Citizenship and Aadifidelis?

Shikhar Aggarwal: Amit?

Amit Sudhakar: These two businesses had contributed around INR 200 crores in the revenue, which is about on the topline, around 20%-25%.

Krishnam Saraf: Excluding that, it's around INR 536 crores versus INR 495 crores of Q2 of last year?

Amit Sudhakar: That's right. On the PBT, it is about 5%, 6% only because Aadifidelis, as Shikhar said, the margins are about 2.5%, 3% only.

Krishnam Saraf: These two questions were on the MEA ban that was issued. I'm a bit confused around that. A few days after the ban was issued, the company also made a filing on winning a new contract from the MEA. If you could just give us some color on is the ban still effective? That is one.

Second is, what was the actual cause of the ban? If you can provide some color on that as well.

Shikhar Aggarwal: Yes. As we when we had released in the exchanges, we had already announced in the interviews that we had received a notification from the MEA, saying that there were some customer complaints because of that, they are temporarily putting a ban on applying for new tenders. This tender we had already won. We are currently operating all government contracts

Page 7 of 15

for the Indian government as well as across the world, so there's no issue on that. As we said, we are working to resolve soon, and we are hopeful of resolving the matter soon. There should be no issue or any impact on our financials, etc.

Krishnam Saraf: The ban is still effective, if I understand correctly. Can you also elaborate on what the customer complaints were? That would be helpful.

Shikhar Aggarwal: No, there were some SLA-driven complaints regarding waiting time, etc., that is normal when you're reprocessing millions of applications. We had already announced that. We are working towards resolving the matter and are hopeful that it will be resolved soon. There is no impact on our financials or revenue.

Moderator: The next question comes from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki: My question is about organic growth in the Visa segment. If I look at the Visa and Consular segment, the revenue is approximately 10% only, while the management is always telling that the industry is already growing at 14%, 15%. Our Y-o-Y growth is very slow down in the last 2 quarters. Last quarter was also around 11% and this quarter is also Y-o-Y around 10% only. Even my number of applications are growing, net revenue is also growing, but why my revenue is not suiting up?

Shikhar Aggarwal: Amit, if you can explain to him that our EBITDA has grown by 30%, and you can also explain to him.

Amit Sudhakar: Yes, the growth depends on the volume of business. Over the last two quarters, the volumes have increased by 10%, and our revenue has also matched that growth. Whereas, if you look at the margins, they have improved over the last year; if you compare them now with last year, the margins have increased by more than 500 basis points. Improvement has been done on account of rationalization and the cost.

Vansh Solanki: I already understood about the EBITDA and all, but that is because of the partner acquisition, which we have done; our EBITDA and gross margins also shot up very nicely. I'm just concerned about the organic growth in the visa segment, why it is very stable even over the last 3 quarters, I see. In March also, it's INR 440 crores, June also, it's INR 460 crores and in

September also it's INR 460 crores only?

Amit Sudhakar: Yes. That depends on the volume, basically. See, the travel volume is growing at 10%; the revenue will follow accordingly.

Vansh Solanki: Another question on the revenue, can you just give me the split of revenue of Citizenship India, Aadidafelis, and iDATA for this quarter?

Amit Sudhakar: Yes. As I said, Citizenship Invest was about INR 14.5 crores, iDATA was about INR 71.5 crores.

Page 8 of 15
BLS International Services Limited

November 12, 2025

crores.

Vansh Solanki: The last question is on the guidance of a number of applications for the full-year '26?

Shikhar Aggarwal: See, we

have done 11.3 lakh applications this quarter. The first quarter is a high season, and our second quarter is also a high season. Our objective is to achieve more numbers than we did last year. Right now, in terms of volume, we don't know how many volumes are expected in third quarter and fourth quarter. We definitely wish to surpass whatever we have achieved in the last few years.

Moderator: The next question comes from the line of Viren Sameer Deshpande from Alpha Peak Investments.

Viren Deshpande: It was nice to see the growth in all our businesses continue very well. We are growing this digital services business in a big way. Now, we secured a contract from the government with respect to this Aadhar Center establishment, etc., which is, I think, more than INR 2,000 crores. I think you had mentioned that this revenue will be received over a period of 6 years. Is it correct?

Shikhar Aggarwal: Correct. That is correct. We have recently won this landmark project from central government, wherein we will be establishing around 250 to 300 centers within India. It will start from December. Gradually, we anticipate that the revenue will increase. This is the minimum level that we aim to achieve, but if we can process more transactions, the revenue can be even higher.

Viren Deshpande: To understand this, you mentioned that suppose this work starts from January onwards, so in a quarter, suppose we establish about 10 centers, after establishment, per center, we are going to get some revenue?

Shikhar Aggarwal: See, it is according to the volume that we generate. Once the project is started in full force, all the centers are started, and all the volumes start coming in. It takes some months for the volume to go to the normal level, then we will get the full revenue. Definitely, it will take some months to ramp up, but as I said, from next year, the revenue will start coming.

Viren Deshpande: Annually, we expect any ballpark figure, any idea of annual revenue?

Shikhar Aggarwal: You can divide by 6.

Viren Deshpande: About INR 350-odd crores, if I divide.

Shikhar Aggarwal: Correct. When the project is fully ramped up, we expect that revenue to come in.

Viren Deshpande: Secondly, you clarified about this Ministry of External Affairs thing and the complaints and all those things. That is good. We hope to get it resolved sooner, but after that only, we

Page 9 of 15
BLS International Services Limited

November 12, 2025

secured new business from Ministry of External Affairs?

Shikhar Aggarwal: I just explained this. I clarified in the previous question as well.

Viren Deshpande: Yes. For China, we got that, that was a good thing.

Shikhar Aggarwal: Correct.

Viren Deshpande: Regarding this hotel, as you mentioned, since our business is not to be investing in big, we want to be asset-light, pursue this model because our margins, etc., will be significantly dampened if we invest in these types of businesses. It will be good, we restrict our investment in this line and keep on making good margins as we are making currently?

Shikhar Aggarwal: No. As we have explained, our objective is to be in the asset-light business. We want to offer full topography of services. As we said, we were getting a lot of customer demand for different kinds of services, hotels, etc., so we thought it was a good model that we could get into the asset-light managed hotel business.

From that, we made one small investment. Learning from that, then we can replicate across the world, so this was the objective of how we started the digital services in 2016. I think this will really add to our revenue and profitability in the coming years as well.

Viren Deshpande: But we don't propose to buy any properties further?

Shikhar Aggarwal: No.

Viren Deshpande: Our margins are currently about 28%. Do we expect to hold onto about this 28%, 29% level?

Shikhar Aggarwal: Correct. These are the consolidated margins. As you know, more than 40% EBITDA margins we are doing in this business, our immediate and long-term objective is to sustain the margins that we have achieved.

VirenDeshpande: Yes,becauseVisagivesusagoodbusinessmarginof40%-odd.Thesedigitalserviceswill diluteittosomeextent,butwewillalsobegettinggoodrevenues.Together,blendedmargins shouldbeintherangeof29-30%,whichisourgoal.

ShikharAggarwal: Correct.

Moderator: ThenextquestioncomesfromthelineofArpitShahfromStallionAsset.

ArpitShah: IjustwantedtounderstandwhatkindofcashweareholdingrightnowontheIndianbooks?

AmitSudhakar: You'retalkingabouttheIndianbooks;itwillbearoundINR350crores.

ArpitShah: AboutINR1,000-oddcroreswouldbethenontheinternationalbooks,ri

ght?

Page10of15

BLSInternationalServicesLimited

November12,2025

AmitSudhakar: Yes.Itwillbeallovertheglobe.Together,itwillbearoundINR1,000crores.

ArpitShah: AnyplanstogobackthecashfromoverseassubsidiariestoIndia?Becausewhat'stypically happeningrightnowisthatwehavebeenseeingaphenomenalperformanceintermsof revenues,EBITDA,visaapplications,andeverything,butallofthisisnotgettingreflectedin ourvaluationstodayintermsofthemarketcapthatweshouldbehaving.

Webroadlyhavea2-playermarketglobally,weandVFS,andthekindofvaluationsmarkets aregivingustodayisbecauseofprobablythecashthatistayingoutsideofIndia.Ifwe can probablygetthatcashtoIndiabypayingallkindsoftaxes,whicheverarenecessary,probably thatwillpushupthevaluationsforourcompany,whichisdoingphenomenallywellinterms ofitsexecution,butgiventhecashisoutside,thevaluationstayshasacaptoit'snumber.How areyouthinkingaboutit?

AmitSudhakar: Lastyear,ifyoulookat,wedidaboutINR900croresofinvestmentinnewacquisitions outsideIndia.Itallhappenedfromthecashthere.Inthecurrentyear,wearealsolookingat moreacquisitions.Asandwhentheygetcrystallized,wewillneedcashoutsideIndiarather thaninIndiaforthose.

Secondly,pleaseunderstandthatabout70%ofourcashgetsgeneratedoutsideIndia.Asand whenrequired,intheformofdividendandotherpayments,wearegettingthemoneyfrom there.Dependingonwhereweinvestmentsarerequired,weaccordinglymovethemoneyin thoserespectiveregions.

ArpitShah: Isitpossibletoactuallyformulateapolicyfordividendsbecauseweareaveryhighcash- generatingcompany.Idon'tthinkwewillrequirethatkindofcashgrowtheveryyearthose kindsofopportunitiesarenotavailableinthemarketcurrently,giventherearelimitedplayers whicharedoingvisaprocessing.Wecanactuallyformulateaformaldividendpolicyandstart givingoutthecash toshareholders.Ithinkthatwouldbeagreatstrategytohave.

AmitSudhakar: Youareright.Wehaveadividendpolicy.Earlier,itwas15%ofourconsolidatedcash generatedamount.Nowwehave raiseditto30%ofoursurpluscashaftertakingintoaccount anyfundingrequirements,thenetcash.TheBoardhavetheflexibilityofincreasingthe dividendgoingforward.

ArpitShah: Anyplanstohaveabuybackgivenwherethevaluationsareforthecompanyandwhatkindof numbersyouaregoingtobeproducingatleastforthenextcoupleofyears isprobablyvery muchattractivevaluationsforthe companythatyouareinandthekindofopportunities whichisouthere.Doyouthinkabuybackwouldbeagreatopportunitytogoaheadwith?

AmitSudhakar: Personally,Idon'tseeanymajortaxbenefitfortheinvestors,inthecaseofthebuyback. Again,it'saBoarddecision,bothoptionsareopenfortheBoardtotakeacall.

Page11of15

BLSInternationalServicesLimited

November12,2025

ArpitShah: Becauseminorityinvestors,whatis happeningistypically,themarketcapcreation,which shouldhappenwiththiskindofperformance,isnothappening.Probably,thecashisoneof thereasonsthatistayingoutsideIndia,andoneofthereasonswhyinvestorsaren'tgetting thatkindofconfidencetoactuallybepartofthisjourney.Thatismyonlyfeedback.

AmitSudhakar: Iunderstand,butaspertheSEBIguidelinesforabuyback,the companyfreereservesare takenintoaccountfordecidingthequantumofbuyback.Inourcase,thefreereservefor buyback,theamountisvery small.Dividendbecomes,Iwouldsay,abetteroptionfor rewardingtheshareholders.Yes,thesecanbediscussedbytheBoard,andIwillcertainlyput thoseoptionsforward.

ArpitShah: Ithinkyouallshouldlookatthisvery,verystronglyinthiskindofprocessbecause thatwill reallyhelp everyoneout.

Moderator: ThenextquestioncomesfromthelineofShreyafromMoneyvestaWealthManagement.

Shreya: Congratulationsontheresults.Ihadaquestionaboutyourkeygovernmentcontract.AsI saw theofficialMEAreport,theKuwaitcontracthasalreadyexpiredinSeptember2025,andthe CanadacontractwillalsobedueforrenewalinDecember.Couldyouupdateusonwhether thishasbeenrenewed,orifthereisaninterimarrangementinplace,orifthereisanyannual discussion tobegin?

Shikhar Aggarwal: No. All our contracts are ongoing, and we have extensions in all our contracts. We need to see the exact pipeline that you are mentioning, so right now, all our contracts are intact.

Shreya: The next question I want to ask, regarding the MEA ban. As you mentioned, it's a

temporary

ban, so are you focusing on going beyond the visa application? What's your broader strategic priority for the next 2 years in terms of government partnerships and geographical diversification?

Shikhar Aggarwal: No. As we said, when we started, we were working with only one government from 2007 to '08 when we started. Now our revenue from the Indian government is only 12% of our revenue. We have continued to grow and gotten many new government clients. Our strategy is to get more government contracts that are coming up for renewal, and that is what we are focused on.

Shreya: Like outside India, you're talking about, not only in the Indian government, you are focusing more on the outside India, different governments for the contracts?

Shikhar Aggarwal: Correct. Globally. We are focusing on India as well as globally.

Moderator: The next question comes from the line of Divyanshu Mahawar from Invexa Capital.

Divyanshu Mahawar: Congratulate the good set of numbers. My first question is regarding the visa application
Page 12 of 15

BLS International Services Limited

November 12, 2025

globally. What is the total number of visa applications that have been handled? Out of which is--how much is in-house and how much is outsourced? What I actually wanted to understand is that for the next 2 to 3 years, what could be the potential of that outsourcing of the total visa applications that are being handled?

Shikhar Aggarwal: See, what we handled, we can tell you that we handled around 11.3 lakh applications this quarter. What we feel is that we currently have 15% to 17% global market share, and 50% of the market is outsourced. 50% is yet to be outsourced, which is what the numbers we had showed; there's no proper study that is out there, but this is what our assumption is. There is an opportunity for tender that are coming in the outsourced market as well. As well as the new government, which has never outsourced, and also, there's a prospective opportunity to even get contracts on that.

Divyanshu Mahawar: Secondly, on the visa business, if you look at the EBITDA margin, I think it is an all-time high EBITDA margin, roughly around 42% EBITDA margin. Just wanted to understand what percentage of your whole visa business has been converted to a self-centered model, which we used to manage by a partner model. It's a 100% self-owned model, or it's 10%, 5% is remaining on the partnered model. Because if it's remaining, then I think margin expansion could also be a big change in Visa's business. What are your thoughts on this?

Shikhar Aggarwal: No. Our objective is to increase the base just to maintain the margins. We are at a very increased pace. We don't expect the margin to go up. Our objective is to stabilize the margins. We are operating in multiple countries, still with partners for different reasons, and we need to check the exact numbers to determine how many we operate. The majority are operated by us independently. This is the objective right now.

Divyanshu Mahawar: Is there any chance that the remaining countries that we are operating in have a partnered model? Going forward, can they move towards a self-centred model?

Shikhar Aggarwal: Yes, we have to see the feasibility. There is a possibility some countries could move, but I don't expect any further change in margins, since we have really reached a very high level already.

Moderator: The next question is from the line of Abhijeet from Pi Asset Managers.

Abhijeet: Just two questions. How do you see the revenue mix between the visa segment and digital services 2 years down the line?

Shikhar Aggarwal: See, revenue mix has changed primarily because of the acquisition of Aadifidelis, which is at a higher revenue and less EBITDA. Around INR 200-odd crores of revenue has come from Aadifidelis. That is why if you see the revenue mix has a little bit changed in the visa and digital business. Going forward, we feel that revenue in the Visa business will also go up.

Page 13 of 15

BLS International Services Limited

November 12, 2025

Revenue in the digital business will also go up.

There could be some small change where in Visa business could contribute more, but the digital services business is also going forward at the same rate. I don't expect any downward change in the revenue mix from the Visa business, but it could change in the future as we win new contracts, both in the Visa and digital business.

Abhijeet: You largely expect the mix to remain the same, right?

Shikhar Aggarwal: Amit, what do you think? It's very difficult to answer at this point. I feel this is the bare minimum. It could only be better.

Amit Sudhakar: I think it should get to that 70-30 range somewhere over the period. Again, it is subject

tto how

the new business comes in, as well as the acquisition.

Shikhar Aggarwal: Correct.

Abhijeet: The other question was regarding the ban from MEA. What steps are you taking towards not getting a ban from other governments because...

Shikhar Aggarwal: We work with government every day. Every day, we are in talks with the governments. We are monitoring their SLA, etc., so our steps are always to fulfill all the contractual obligations. So that is what we are focused on.

Moderator: The next question is from the line of Shikha Mehta from Time and Tide Advisors.

Shikha Mehta: I just have a few questions. I'm sorry if they're repetitive in nature. One, I wanted to understand what our acquisition pipeline is going forward. If we have anything currently in the pipeline or we have any targets of acquisitions for the next, say, 12 to 18 months?

Amit Sudhakar: Shikha, we have a couple of targets we are working on, and we hope to increase our pipeline of target companies, which we can review and take them forward. We are quiet, I would say, aggressively looking at decent acquisition over the next couple of years.

Shikha Mehta: Sir, do we have a certain valuation target that we look at like a range, say, 2x sales or a certain kind of EBITDA that we look to acquire?

Amit Sudhakar: Yes, our main focus is on those companies whose valuations are based on EBITDA multiple. We never look at revenue multiple, and the whole objective is to look at the ROI point of view, of returns, and then what synergies we can have.

Shikha Mehta: When we say ROI, do we mean ROI for us as in an acquiring company, what kind of ROI is generated for us, or as an entity as a whole?

Page 14 of 15

BLS International Services Limited

November 12, 2025

Amit Sudhakar: Yes, from our point of view. What return on our investment will we generate? We look at a lot of other parameters also. This will take a couple of hours to discuss, but more or less, the bottom line is that we are serious about the acquisition and expanding our existing businesses as well.

Shikha Mehta: Sir, secondly, can you tell me what percentage our stand-alone business has grown, that is, without any of the new acquisitions?

Amit Sudhakar: In this quarter, because of the Aadifidelis, our acquired businesses have given us about 20%-25% of the revenue, and about 6%, 7% in the PBT.

Shikha Mehta: How much has our visabusiness grown without counting any of the other assets?

Amit Sudhakar: This quarter is practically all organic growth, which has come in Q2.

Shikha Mehta: Broadly, organic growth only. 27% year-on-year, broadly, or 25% if you remove a bit of the acquisition. Say, 25% is something you can consider year-on-year organic growth?

Amit Sudhakar: The organic growth, if you see the Visa business, we have done about 10% this quarter. That is all in the Visa business and another 15% or so we have done in the Digital business.

Moderator: The next question comes from the line of Athar Syed from Smart Sync Services.

Athar Syed: Sir, I have one question: What is your vision for the next 3 to 5 years? Where are you seeing your visabusiness and digital business? Currently, our visabusiness is around 75% and our digital business is around 25%, so what should we assume in the future?

Amit Sudhakar: 70-30 is what we are looking for. Again, this will depend on how the new contract comes in and how the acquisition happens over the period of time.

Athar Syed: What kind of companies are we looking for in acquisitions? Last time we did hotels and etc., so any...

Amit Sudhakar: See, we are looking at businesses that have some synergy with our existing business, or we can grow those businesses because of our reach and our clients, so that we can somehow expand those businesses in the future.

Moderator: In the interest of time, this was the last question for today's conference call. I now hand the conference over to the management for closing comments. Over to you, sir.

Gaurav Chugh: Thank you, everyone, for joining this conference call. If you have any further questions, you can get in touch with the EY team or Gaurav Chugh. Thank you so much.

Moderator: Thank you, sir. On behalf of Ambit Capital, that concludes this conference. Thank you for
Page 15 of 15

BLS International Services Limited

November 12, 2025

joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability.

In case of discrepancy, the audio recordings uploaded on the stock exchange on November 12, 2025, will prevail.

Call: Feb 2026

February 12, 2026

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on February 06, 2026

Dear Sir/ Ma'am,

In continuation to our intimation dated February 03, 2026 please find enclosed a transcript of the Earnings Call held on Friday, February 06, 2026 to discuss the operational and financial performance of the Company for the third quarter and nine months ended December 31, 2025.

The transcript is also available on the Company's website at <https://www.blsinternational.com/transcript>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
M. No.: FCS12878

Encl: As above

Page 1 of 16

"BLS International Services Limited
3Q & 9M FY26 Earnings Conference Call"

February 06, 2026

MANAGEMENT : MR. NIKHIL GUPTA – MANAGING DIRECTOR
MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR
MR. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
MR. LOKANATH PANDA – CHIEF OPERATING
OFFICER , DIGITAL BUSINESS
MR. GAURAV CHUGH – VICE PRESIDENT & HEAD -
INVESTOR RELATIONS

MODERATOR: MR. MOEZ CHANDANI – AMBIT CAPITAL

BLS International Services Limited

February 06, 2026

Moderator: Ladies and gentlemen, good day, and welcome to BLS International Services Limited Q3 and 9 Month FY '26 Earnings Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Moez Chandani from Ambit Capital. Thank you, and over to you, sir.

Moez Chandani : Good evening, everyone. On behalf of Ambit Capital, I would like to welcome you all to the Q3FY26 Earnings Call for BLS International Services Limited. Joining us from the management today, we have Mr. Nikhil Gupta, Managing Director; Mr. Shikhar Aggarwal, Joint Managing Director; Mr. Amit Sudhakar, Chief Financial Officer. Mr. Lokanath Panda, COO, Digital Business ; and Mr. Gaurav Chugh, Head, Investor Relations.

I thank the management for the opportunity to host this earnings call. We now begin with opening remarks from Mr. Gaurav Chugh, post which the forum will be open for an interactive question -and-answer session. Thank you, and over to you, Gaurav.

Gaurav Chugh : Thank you, Moez. Good evening, everyone. Thank you for taking out time to join this call today. Before we begin, I would like to point out that some statements made in today's discussion may be forward -looking in nature, and a disclaimer to this effect has been included in our earnings presentation shared with you earlier.

I would like to invite Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company. We will then open the floor for an interactive Q&A session. Over to you, Shikhar.

Shikhar Aggarwal : Good evening, everyone, and thank you for joining us on BLS International's Q3 and 9MFY26 Earnings Call. We trust you've had the opportunity to review the results, press release , and investor presentation. We are pleased to share that the company delivered a remarkable performance in Q3 and 9 MFY26.

For the 9 MFY26, our consolidated revenue and PAT experienced a robust growth of 46% and 36% year -on-year, reaching INR2,184 crores and INR537 crores, respectively. This is nearly to the equivalent of the revenue of last year itself that we have achieved in first 9 months.

This performance was driven by higher application volumes, multiple contract wins across major geographies , diversification of service portfolios and consolidation of acquired business over the last few years.

Page 3 of 14

BLS International Services Limited

February 06, 2026

Q3 FY '26 was also a strong quarter for the company as revenue grew by 44% year -on-year driven by healthy momentum across both our businesses. EBITDA for Q3 FY '26 increased 25% year -on-year, while PAT recorded a growth of 33% year -on-year, reflecting disciplined execution and operational efficiencies.

Our visa and consular service business continues to witness strong growth traction in Q3FY26, while the revenue grew 20% year -on-year, our EBITDA increased by an impressive 28%. This growth highlights BLS strong execution capabilities and positive impact of our successful transition of a business model from a partner -led to sell -managed model. The number of applications processed increased by 18% during Q3, rising to 10.7 lakh applications compared to 9.1 lakh in Q3FY25.

Net revenue per application also grew by 19% to INR3,383 in Q3FY26 compared to INR2,841 in Q3FY25. We continue to expand our global footprint by winning newer contracts and renewing existing contracts during the quarter. The company secured a 5 -year global contract from Slovak Republic

to establish and operate visa application centres in over 80 countries.

The company was also awarded a 3 -year contract by the Ministry of External Affairs, Government of India to establish Indian visa application centres in China. Further, the company also won a lot of new contracts from the Cyprus government in multiple countries like South Africa, China, Mongolia, et cetera. In addition to these new contracts, we renewed our mandate with the MEA, Government of India to provide attestation and apostille service across 17 major cities in India.

Our digital business also continued to witness significant momentum. Revenue from digital service in Q3FY26 more than doubled to INR287 crores from INR137 crores in Q3FY25, registering a remarkable year -on-year growth of 109%. This is primarily on account of growth in BC and loan distribution business, along with increasing scale in assisted, digital and citizen service offering.

The company's asset -light and scalable operating model remained a key enabler growth, supported by a wide and growing network of 1,51,000 -plus touch points and 45,800 -plus service channel partners. The BC business is witnessing significant traction with GTV generated increasing to INR27,000 crores during the quarter as compared to INR21,000 crores during Q3FY25.

In addition to this, the company also achieved a significant milestone of having INR10,000 crores of aggregate bank balances in the bank accounts opened through BLS E -Services channel. The loan lead generation business, also witnessing strong traction as the company generated loan leads worth INR9,700 plus crores during the quarter, which has significantly increased from INR2,900 -plus crores in the last quarter.

Another key highlight for the digital business was winning INR100 crores project from

Page 4 of 14

BLS International Services Limited

February 06, 2026

Government of Bihar for establishing of Permanent Enrolment Centres for Aadhar. This mandate complements the recently received order from UIDAI to upgrade Seva Kendras with aggregate value of around INR2,000 crores.

We are continuing to strengthen our technology across both our businesses while leveraging AI, advanced analytics, cloud platforms and automation to enhance security, scalability and performance while delivering smarter, faster and more reliable digital solutions to customers and partners. Our continued investment in technology is helping us deepen trust with governments by strengthening our customer -first approach.

While the company is consistently growing, it has also followed a policy of rewarding its shareholders through years by way of dividends. In line with this, the Board has approved an interim dividend of 200% of face value, that is INR2 per equity share in the board meeting today.

Before concluding, I would also like to speak on the recently announced budget, which offers an optimistic outlook for travel and tourism sector. The budget demonstrates a strategic commitment to revitalizing this crucial industry with increased funding allocated for infrastructure development as well as support for setting up five regional medical tourism hubs. The inflow of tourists into the country is expected to increase.

Additionally, the change in tax rates for overseas tourism packages, along with rising disposable income are anticipated to lead in growing number of overseas traveller's into the future. For BLS, as one of the largest global visa outsourcing players, these initiatives are encouraging and are expected to have a positive impact on the business.

To conclude, the period ahead offers meaningful opportunities for BLS International as global mobility continues to normalize and governments increasingly rely on trusted partner for public service delivery. Our well -diversified presence across geography and service lines, expanding scale in priority markets and a strong pipeline of en

gagement positions us to build on our momentum.

Now I'll hand over the call to Mr. Amit Sudhakar, our CFO, to walk you through the financial performance. Thank you.

Amit Sudhakar : Thanks, Shikhar. Good evening, everyone. I'm pleased to share the consolidated financial results for the third quarter and 9 months ending December 31, 2025. In Q3FY26, our total revenue grew 44% year -on-year to INR737 crores, up from INR513 crores last year. This came from steady growth in both our visa and digital businesses.

EBITDA for the quarter rose 25% to INR198 crores compared to INR158 crores last year. The profit before tax was INR191 crores, up 36% from INR140 crores in the same quarter last year. Profit after tax grew by 33% to INR170 crores from INR128 crores in Q3FY25.

Page 5 of 14

BLS International Services Limited

February 06, 2026

Now looking at the 9 months consolidated financials for FY '26 Revenue increased to INR2,184 crores, up 46% from INR1,501 crores last year. Nine months EBITDA grew 35% to INR615 crores from INR455 crores last year. Profit after tax was INR537 crores, a 36% jump from INR394 crores last year. We nearly hit last full year number in just 9 months, thanks to more visa applications and better operational efficiency.

Coming to the segment highlights in visa and consular services for Q3FY26 recorded revenue of INR449 crores, up 20% from INR376 crores last year. This was driven by 18% more application volume from 10.7 lakhs this quarter versus 9.1 lakhs last year. EBITDA rose by 28% to INR180 crores, with margins at 40%, an improvement of 275 basis points from 37% margin last year.

For 9 months, visa and consular service segment, revenue rose by 13% to INR1,369 crores

from INR1,207 crores in 9 MFY25. EBITDA jumped by 35% to INR558 crores with margins improving to 41% from 34%, reflecting our focus on efficiency and profitability. In Digital Business, Q3 revenue more than doubled to INR287 crores from INR137 crores. EBITDA for the quarter was at INR18 crores. For 9 months, Digital Business segment revenue reached to INR815 crores, up from INR293 crores in 9 months FY '25. EBITDA for the 9 MFY26 was INR57 crores compared to INR42 crores last year. The company continues to generate strong cash flows and healthy balance sheet, hence, the Board has declared an internal dividend of INR 2 per share.

With that, over to the moderator for questions. Thank you.

Moderator: Our first question comes from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki : Yes. So, as we saw in this quarter, our visa applications grew very well to 17% YoY. And the management also talking like for many quarters that many big contracts are coming globally. So my question on that can you just say in next 1 year or 2 years, which of the country's contracts are going to renew and how much that will be worth like country-wise, like I know that there will be opportunity of very big. But just country-wise that in next 1 or 2 years, which big country is going to give a big order?

Shikhar Aggarwal : So, as we have said that we have grown, our application volume has also grown by 19% this quarter, and we have already announced that we have won a lot of new contracts with different governments this quarter. So, there are many governments which are coming out, and we are actively working on it as we regularly do. And as and when the results come, we announce that to the market.

Vansh Solanki : Okay. And the second question is on employee expense. This quarter, the employee expense grew significantly from like QoQ, if I see, it was 108 to 123. So, is there any one-off or these

BLS International Services Limited

February 06, 2026

are the expenses due to the UIDAI centres, I assume?

Shikhar Aggarwal : I think, primarily because of the UIDAI.

Vansh Solanki: So like this will be from the normal range from now on, right? This will continue

in the future

also. There is no one-off?

Shikhar Aggarwal: Yes, there is no one-off.

Vansh Solanki : Okay. And just one of a bookkeeping question. Can you just give a revenue of ASPL Citizenship, iDATA. And also in this quarter, we will have a revenue for U.K. hotel also. So can you just point the number these four?

Amit Sudhakar : So Aadifidelis about INR200 crores was the revenue, Citizenship invest is about INR12 crores. And third one, U.K. Hotel is about INR11 crores.

Vansh Solanki : Okay. And iDATA?

Amit Sudhakar : iDATA is about INR70 crores.

Vansh Solanki : And are you going to continue the visa application as you are seeing the travel is going on. So, the 15% growth you have mentioned for the FY '26. So, will it be continued through FY '27 and '28 also?

Shikhar Aggarwal : Yes, we have already said that for the next 5 years, our target is to achieve 20% to 25% growth.

Moderator: Our next question comes from the line of Shreya Kejriwal from Moneyvesta Wealth Management.

Shreya Kejriwal : Congratulations on the great results. I want to understand the revenue growth split between organic and inorganic. And also, regarding the EBITDA margin, as I see that it has been like contracted on year-on-year basis. So, could you elaborate on the key drivers behind this? And how should we think about the margin normalization going ahead?

Amit Sudhakar : Yes. So, the organic growth has been in the range around 26% in the current quarter.

Shreya Kejriwal: Yes. So my second question was regarding the EBITDA margin. As I see that on year-on-year basis, the margin has been contracted. So like what's the key driver behind this? Like how should we think about the margin normalisation going forward?

Amit Sudhakar: So as we have explained in our last call also, the sales mix has changed a little bit. In the visa business, we have improved our margins YoY. If you see the segment results, in the digital business, the growth has been more than 100%, where the margins have contracted because of Aadifidelis, which has a lower EBITDA margin business.

Page 7 of 14

BLS International Services Limited

February 06, 2026

Moderator: Our next question comes from the line of Varun Subramanian from Ascent Capital.

Varun Subramanian: Just a couple of things on the consular services business. I see that if I just compare the 9-month numbers for FY '25 versus '26, I think the revenue has come from around INR440 crores to INR280 crores. There's actually degrowth in that piece, right, except visa revenue essentially. So

if you could just talk about that business, Is the number correct?

Secondly, what is the revenue model there? is it only India or is it outside India as well? And also, like, why it's going down and what the margin profile looks like for that ? Because it looks like your margin profile is improving as that revenue share is reducing?

Shikhar Aggarwal: Amit, if you can answer because I didn't understand what revenue he's talking about.

Amit Sudhakar: Yes. Our margins have been improving in the visa business.

Varun Subramanian: Okay. Let me explain. In your visa and consular business, you have the net revenue that's coming from visa applications. That number has been steadily going up, right? So if I take your total visa and consular revenue and subtract that, you understood it now?

Amit Sudhakar: We missed out.

Varun Subramanian: Okay. I'm saying that if you take the total visa and consular services revenue, right? And you subtract the visa revenue, which is your net revenue per application revenue, right? That is the consular revenue, correct? Now that consular revenue has been coming down.

Gaurav Chugh : So the difference between the revenue and the net revenue is basically the cost of services that we exclude or we reduce. There is no separate revenue of visa or consular services. It's all clubbed into one.

Varun Subramanian: Okay.

So the way we should look at revenue is only the net revenue should be looked at. The gross revenues is typically including the cost of service basically?

Amit Sudhakar : See, if you look at our visa revenue, and you reduce the cost of services, which is a direct services cost, that is the net revenue.

Varun Subramanian: Okay. And so where does the consular revenue get booked?

Shikhar Aggarwal: It is part of it, the visa consular is one single segment.

Gaurav Chugh : We don't report separately visa and consular services. It's part of that.

Varun Subramanian: No. But then if I just do a number of applications into net revenue per application, so you're grossing up the consular revenue into the net revenue per application, is that understanding correct?

Page 8 of 14

BLS International Services Limited

February 06, 2026

Gaurav Chugh : No, that's what I'm trying to tell you that the visa and consular services is a single segment that we report. We don't separately report visa and consular services revenue . So if you look at our INR449 crores of revenue in the visa segment, this is both for visa and consular services.

EBITDA of INR180 crores or 40% is for both the businesses together.

Varun Subramanian: Yes, exactly. So within that, is the visa revenue INR362 crores? Or is that just the net revenue for the entire segment?

Gaurav Chugh : Okay, I can explain you. INR449 crores is the revenue from operations of the visa and consular services. There are certain cost of services that we have to incur. This is basically , if you look at, we have at certain places, we have partner model. So we have to pay to a partner, we have to pay to certain vendors. So net revenue is the actual revenue that comes to my kitty after paying off various costs, - direct cost. So INR362 crores is the net revenue for me.

Amit Sudhakar: You can look at it like gross profit of the business. Whatever the direct costs we reduce.

Varun Subramanian: Understood. So that means the cost of services have been coming down, that's because of your own model, the shift to own model?

Amit Sudhakar: Exactly, exactly.

Varun Subramanian: Understood. Okay. That's helpful.

Moderator: Thank you. Our next question comes from the line of Shikha Mehta from Time and Tide Advisors.

Shikha Mehta: So I actually just had one question regarding our all our acquisitions. So (a), do we have acquisitions planned in the future? Going forward, do we have a pipeline of companies we are looking to acquire? And (b), internally, do we have an IRR we want to make as BLS or companies acquired by us?

Shikhar Aggarwal: I think on the first part, I can answer. And as you have seen, we've been acquiring companies in the last few years. Last year, we spent around INR1,300 crores on acquisitions. And again, the synergy has started to come in. We've combined those offices, etcetera. And so I think definitely, we have M&A team, we are constantly looking at opportunities, but we are very conservative in the kind of companies we want to buy. It gives us long value addition.

Shikha Mehta: Can you elaborate on conservative, sorry? When you say we are extremely conservative, you mean on a valuation front, you mean on the kind of companies you look to acquire?

Shikhar Aggarwal: I meant on synergies, we look at only allied services. These accounts are our government services business, which can provide synergies to our business. The valuations are healthy. We can grow the business quickly. From our existing offices, we can synergize. There can be cost reduction, etcetera. So those are the couple of parameters that we look at.

Page 9 of 14

BLS International Services Limited

February 06, 2026

Shikha Mehta: So then the U.K. acquisition we did, I don't think that actually synergizes with our business, right? So what was the thought process like?

Shikhar Aggarwal: We have already answered that in the last investor

call also about that acquisition that we are wanting to get into allied services. And that was a one-off thing that we did. And going forward to utilize the experience as we want to get to a more travel services. And going forward, we want to get into total management contract kind of experience where there is no upfront capex deployment.

Shikha Mehta: So is the understanding correct that if we find another possible acquisition in hotel management at a good valuation, we would look to acquire, or is this a one-off?

Shikhar Aggarwal: As we have explained that last time also that this was that we did to understand experience, gain experience and now we'll utilize that experience to get into management contracts.

Shikha Mehta: Understood. Yes, sir. And lastly, on the IRR generated to BLS as an investor in these acquired companies, what range do we look at?

Amit Sudhakar: If we look at the ROI, at least in double-digits minimum and especially when it is outside India, that is quite a decent return which we are looking at.

Shikha Mehta: So say, on iDATA, Aadifidelis, etera, we look at getting double-digit return over a longer-term period of time as a company that has invested in these businesses?

Amit Sudhakar: That's right.

Shikha Mehta: So I mean, is it possible for you to give a payback period or something of sorts? Because we have a very large goodwill on our books. And if you give a payback period, maybe even ballpark on the 3, 4 companies we've acquired recently, it would help us understand your thought process much better.

Amit Sudhakar: So currently, what we have acquired, they all have a payback between 5 to 7 years.

Shikha Mehta: Five to 7 years. Okay. Understood.

Moderator: Our next question comes from the line of Mehul Panjuani from 40 Cents.

Mehul Panjuani: Sir, I'm new to your company. So I would like to understand what all entails in the digital services? What services come under our digital offerings?

Amit Sudhakar: So in digital offering, we have currently 3 verticals. One is the business correspondent which is a banking business wherein we provide the last mile banking. Then we have our loan distribution company, which we acquired last year, and the third is the E-governance where we provide, (we call it G2C) government to citizens. We provide services on behalf of the

Page 10 of 14

BLS International Services Limited

February 06, 2026

government to the citizens. So these are the 3 verticals we have.

Mehul Panjuani: And sir, please correct me if I'm wrong. Sir, BLS E-Services is that catering to all the digital services? Or is that a wrong understanding?

Amit Sudhakar: No, that's correct. That is the one which is providing all the 3 services.

Moderator: Our next question comes from the line of Atharv from Sonar Capital.

Atharv: Sir, which geographies or visa categories are currently seeing the strongest growth for BLS.

And do you expect this trend will continue over the next quarter or the next year also?

Shikhar Aggarwal: See, globally, all the geographies for us are growing. We have seen good growth coming in from the Middle Eastern market, the East Asian market, India, China, Latin American countries, definitely, the trend we see continuing. Going forward, definitely, there is some war that is happening between Russia and Ukraine that gets streamlined, which there is hope.

And definitely, we'll see a good growth in volume coming from that region as well. Because pre-war that was a very big volume for us. But I think after this spends probably the volumes, if they come back then that could be a very big reason.

Atharv: Okay. So now India and Europe, trade deal is almost done. So do you expect some or more volumes from Europe also?

Shikhar Aggarwal: It's too soon. As you know, the trade deal was announced, but it will take time for it to get ratified by different bodies in Europe. But definitely, there

will be a jump in the relationship between Europe and India. And definitely, we see that volumes could increase in the future because of that.

Moderator: Our next question comes from the line of Siyaa Deshmukh from Pune E Stock Broking Limited.

Siyaa Deshmukh: I have 2 questions. First is Slovak contract and the international acquisitions can contribute what kind of revenue in top line terms? And second was which quarter can be considered strongest for the company?

Amit Sudhakar: Volumes you will be able to know once these contracts have been active but quarter-wise, Q4 and Q1 are the ones which are the highest volumes and revenues we get.

Moderator: Our next question comes from the line of Abhijeet from PI Assets.

Abhijeet : Regarding the Slovak Republic contract, should we expect the temporary margin compression due to consolidated expenses before the entire series of premium utilization?

Shikhar Aggarwal : We will be utilizing a lot of centres from our existing centres as well across the world. So there
Page 11 of 14

BLS International Services Limited

February 06, 2026

will be economies of scale. So definitely, initially in any contract that we win or deploy in different countries, there is investment. But after that, it is quite streamlined.

Abhijeet: And there was a mention of AI in the investor presentation. So how are you leveraging AI?

And can you quantify the impact AI had on the bottom line in the last quarter?

Shikhar Aggarwal : See, it's very difficult to quantify right now of savings that we have made, but we have implemented AI in a very practical manner in different departments of the organization, right from HR to call centre to customer engagement. So our answer percentage has increased. A lot of calls, we picked up quality has improved.

Our recruitment has become better. We are able to put more people faster. Very difficult to quantify in terms of costs, but we definitely have cost savings that we have seen in terms of some of the angles. But I think it's too soon to quantify exactly the number.

Abhijeet: And lastly, I just wanted to get your views on the reason behind allocation of capital and management bandwidth to the digital segment because it effectively and valuably consolidated margin profile. And also regarding this, how do you see the mix of visa and digital services over the next 2 years?

Shikhar Aggarwal : See as we have said this was because of the one of the acquisitions that we did of Aadifidelis Solutions , which is at a 3% EBITDA margin , the digital business definitely is growing. And as we see that we can add more services to that loan business, more margin will come in. So we definitely feel the mix will maintain because we see major growth coming in both the segments of the business.

Abhijeet: So do you foresee margin expansion in the digital services?

Shikhar Aggarwal : I mean visa business also, if you see the margin has expanded to upwards of 40% now in the last few years. So definitely, we see a growth , in the future , in the digital business as well. But right now, as and when we introduce more value -added services and ancillary services, we will see margin improvements.

Abhijeet: No, that's right. The reason I was asking is that because the contribution of Visa segment itself is coming down gradually. So even if the margin has expanded to, say, 38%, 40%, the net impact on the blended margin, I mean it's not that meaningful simply due to the fact that there is severe margin contraction happening in the digital services ?

Shikhar Aggarwal: Yes. Amit, I think what we have discussed is that this was an acquisition that we did to enhance the company. And I think we are very happy with that because going forward, we can grow that company from our existing centres and zero mass. So definitely, we feel that whatever is achieved now will maintain and our target is to improve as such.

Page 12

of 14

BLS International Services Limited

February 06, 2026

Moderator: Next question comes from the line of Viren Sameer Deshpande from Alphapeak Investment .

Viren Sameer Deshpande: Sir, congratulations for the good set of numbers. And the digital services you explained have been growing quite well and all those things. That is good. But actually, as you explained that the salaries and employee benefits have gone up now almost more than 50% year -on-year?

So if you take the blended level of our turnover is about INR740 crores in this quarter. And the employee cost is INR123 crores. So what do you expect to be the normalized employee cost going forward?

Amit Sudhakar: If you see our last year audited numbers, our employee cost was about 14.75%. Now our 9 months is about 15.5%. So overall, if you see, we are in that range of 15%.

Viren Sameer Deshpande: So, it will be similar because of this UIDAI or Bihar and all those things, which what we are doing, that is not going to increase it significantly?

Amit Sudhakar: No, See, we have got people on board and revenue will start coming now from this quarter onwards.

Viren Sameer Deshpande: Okay. Okay. But as you mentioned, it will be in the range of around 14.5%, 15%, similar to the last year's level. And secondly, what are the cash and cash equivalents at the end of this quarter?

Amit Sudhakar: About INR 1,400 crores.

Viren Sameer Deshpande: Okay. And what was it last quarter?

Amit Sudhakar: It was about INR1,290 crores or something.

Viren Sameer Deshpande: So, there is an accretion of about INR100 crores. And this Chinese operations which what we

have been allowed by the Ministry of External Affairs to set up offices across China for this purpose. Has the work started there and because there is expected to be a lot of exchange in India and China, which had been halted for COVID, et c. But do you see a good significant revenue coming from that Chinese operations?

Shikhar Aggarwal: Yes. We see a good jump in revenue in the future.

Viren Sameer Deshpande: Because exclusively, we will be operating from Indian side.

Amit Sudhakar: Correct.

Viren Sameer Deshpande: So that will be a good booster for us.

Moderator: Our next question comes from the line of Ikshit Naredi , an Individual Investor.

Page 13 of 14

BLS International Services Limited

February 06, 2026

Ikshit Naredi : I hope you heard the name of company called Atl ys. So the new age business like Atl ys would give hassle -free visa coverages in India of almost all the countries. And personally, I even tried that and they did a great job. So what negatives and positives will have on our business from these type of service businesses? Can you please elaborate on this?

Shikhar Aggarwal: See, we are in the business of exclusive government contracts where anyone who has to apply for a visa for the government we work for will have to go through us. So any company, any travel agent or any start -up or any company that works in the visa domain has to go through one of the providers as our competitors for applying for any business. So we are in the business of exclusive outsourcing, and that is what we are focused on.

Ikshit Naredi : Okay. And my second question is on Slide 10, it's mentioned that your digital services margin drastically reduced from 14.2% to 7%. So can you please explain about that?

Amit Sudhakar: As we explained earlier, this is because of the Aadifidelis , the new acquisition we did last year. And there, the margins are around 3% to 4% of EBITDA. So that Sales mix has changed the overall percentage.

Moderator: Next question comes from the line of Varun Subramanian from Ascent Capital.

Varun Subramanian : I have one question on the e -Visa. So I just wanted to check in terms of when you go to governments or embassies to renew contracts, have they been discussing implementing e -Visa as a process instead of the m

annual process, one? And what part of that process will necessitate

people to still come to an embassy? Maybe the biometrics part is one that stands out.

But if you could just walk me through what an e -visa process would look like, let's say, if someone like Spain is a large customer for us now, our source of income moves to exclusively e-Visa for their visa application process. How would that affect our business? How would we still play a role? And what will be the revenue impact according to you ?

Shikhar Aggarwal: I think if you do your research and you see that in Europe, they have announced in the next few years, they are also digitizing part of the process. So that will lead to an increase in volume for us itself, and people will have to still come to the centre to do the biometric.

So it is only part of the process that we will only handle digitize. So all the governments that we are working for, the numbers will grow in the near future. And the governments to handle the capacity better, they want to digitize part of the process where we will be digitizing it for them. Certain applications will come in that category, all will be processed through us.

So we see the new technologies that are coming in the future as enhancing our business.

Biometric was not there 5, 7 years back. It got to reduced 7 years back. So definitely, we feel that we have a very good grip on the market and we are in touch with the government. We feel that going forward itself, we will see good growth in numbers as you can see more

Page 14 of 14

BLS International Services Limited

February 06, 2026

volumes coming in, and we are adopting whatever technology is coming on.

Varun Subramanian : So the customer will still have to come to a BLS centre . That's the main point?

Shikhar Aggarwal: Correct.

Moderator: Ladies and gentlemen, due to the time constraint , that was the last question for today. I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, team.

Gaurav Chugh: Thank you, everyone, for joining this call today. If you have any further questions or clarifications, you can reach out to Gaurav Chugh or EY team. Thank you so much. Have a good weekend .

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of the BLS International Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy. Some minor editing may have been done for better readability. I n case of discrepancy, the audio recordings uploaded on the stock exchange on February 06, 202 6, will prevail

Call: May 2026

May 25, 2026

National Stock Exchange of India Ltd.,
Exchange Plaza, C-1 Block G, Bandra Kurla Complex
Bandra [E], Mumbai – 400051 BSE Ltd.,

Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai - 400 001
NSE Scrip Symbol: BLS BSE Scrip Code: 540073
SUBJECT: Transcript of Earnings Call held on May 20, 2026

Dear Sir/ Ma'am,

In continuation to our intimation dated May 15, 2026 please find enclosed a transcript of the Earnings Call held on Wednesday, May 20, 2026 to discuss the operational and financial performance of the Company for the fourth quarter and financial year ended on March 31, 2026.

The transcript is also available on the Company's website at <https://www.blsinternational.com/transcript>

You are requested to take the same on your records.

For BLS International Services Limited

.....
Dharak A. Mehta
Company Secretary & Compliance Officer
ICSI M. No.: FCS12878

Encl: As above

Page 1 of 16

"BLS International Services Limited
Q4 & FY26 Earnings Conference Call"

May 20, 2026

MANAGEMENT : MR. SHIKHAR AGGARWAL – JOINT MANAGING
DIRECTOR
M R. AMIT SUDHAKAR – CHIEF FINANCIAL OFFICER
M R. LOKANATH PANDA – CHIEF OPERATING
OFFICER – BLS E-SERVICES LIMITED
M R. GAURAV CHUGH – HEAD INVESTOR RELATIONS

Page 2 of 15

BLS International Services Limited

May 20, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the BLS International Services Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Before we proceed, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with the Company's business risks that could cause future results, performance or achievements to differ significantly from what may be expressed or implied by such forward-looking statements. I now hand the conference over to Mr. Gaurav Chugh from BLS International Services Limited. Thank you, and over to you, Mr. Chugh.

Gaurav Chugh: Good afternoon, everyone. Thank you for taking out time to join this call today. From the management, we have Mr. Shikhar Aggarwal, Joint Managing Director; Mr. Amit Sudhakar, Chief Financial Officer; Mr. Lokanath Panda, Chief Operating Officer from BLS E-Services.

I would like to hand over the call to Mr. Shikhar Aggarwal for his opening remarks, post which Mr. Amit Sudhakar will discuss the financial performance of the company, and then we will open the floor for an interactive Q&A session. Thank you, and over to you, Shikhar.

Shikhar Aggarwal: Good evening, everyone, and thank you for joining us on BLS International's Q4 and FY26 Earnings Call. We hope you have had the opportunity to review the results, press release and Investor Presentation uploaded on the Stock Exchanges as well as our website.

We are pleased to share that the company delivered a remarkable performance in the financial year FY26 with the highest ever performance across all key parameters and metrics. Revenue, EBITDA and PAT grew by 37%, 30% and 34% year-on-year, respectively. The performance was driven by higher application volumes, multiple contract wins across various geographies, diversification of service portfolios and increase in net revenue per application in the Visa business.

I would also like to highlight that the company has demonstrated exceptional performance over the last 3 years, reporting a growth in all parameters like Revenue, EBITDA and PAT at a CAGR of 34%, 54% and 49% respectively. This is a noteworthy achievement by the company, further validating the robust business model as well as the effectiveness of the company's strategies.

Q4 FY26 was also a strong quarter for the company, driven by healthy momentum across both our businesses. EBITDA and PAT for the quarter grew 17% and 29%, respectively, year-on-year.

Page 3 of 15

BLS International Services Limited

May 20, 2026

Our Visa & Consular business continues to witness strong traction for the quarter as well as for the full year. The business continues to witness strong profitability with FY26 EBITDA growing by an impressive 30% year-on-year and EBITDA margins grew to 40% from 34% in FY25. This growth highlights BLS' strong execution capabilities, operational efficiencies and the positive impact of successful transition of our business model from partner-run to self-managed model.

BLS International has processed more than 44.1 lakh applications during the year, which grew from 37.5 lakh applications. Net revenue per application also witnessed a growth of 14% to INR3,302 per application as compared to INR2,903 per application.

BLS International has also taken several strides in terms of technology enhancement. During the quarter, the company partnered with IACCIA to offer trade document attestation services across 17 centers. We also partnered with Sypha AI to modernize Visa & Consular

business

through AI-powered solutions. We also introduced AI VoiceBots for visa related applications, etcetera.

Our Digital Services business continued to witness significant momentum, crossing INR1,000 crores in revenues. Revenue from Digital business more than doubled to INR1,158 crores, registering a remarkable year-on-year growth of 114%. This is primarily on the account of the BC business, including loan distribution, along with increased scale in assisted digital and citizen service offerings.

The company's asset-light and scalable operating model remains a key enabler of growth, supported by a network of 155,000+ touch points with around 45,800+ channel partners. The BC business is witnessing significant transaction with GTV at more than INR 1.1 lakh+ crores during the year compared to INR 87,000+ crores in FY25.

The company also witnessed strong traction due to acquisition of Aadifidelis. The company

generated leads worth more than INR36,800 crores during the year. We are continuously strengthening our technology by enhancing and leveraging AI, advanced analytics and cloud performance.

While the company is consistently growing, it has also followed the policy of rewarding its shareholders throughout the years by way of dividends. In line with this, the Board has recommended a final dividend of 50% of face value, that is INR0.5 per equity share in addition to the interim dividend of INR2.0 per equity share, already paid during the year. This leads to 250% of dividend of face value and a dividend payout of more than INR100 crores for the entire year.

Before I conclude, I would also like to address the impact of travel industry due to the ongoing
Page 4 of 15

BLS International Services Limited
May 20, 2026

geopolitical situation. What we are witnessing today is a temporary scenario, and a shift where people choose to travel, due to the ongoing tension in Middle East. However, our revenue remains intact.

Thank you so much. I would now like to hand over the call to our CFO, Mr. Amit Sudhakar.

Amit Sudhakar: Thank you. Good evening, everyone. I'm pleased to share the consolidated audited financial highlights for the fourth quarter and full year ended 31st March 2026. Revenue for FY26 increased, to INR2,998 crores, as compared to INR2,193 crores last year, up by 37% Y-o-Y. This growth is on account of increased momentum in both our businesses.

FY26 EBITDA rose to INR819 crores from INR629 crores in FY25, registering a growth of 30% YoY. EBITDA margin stood at 27.3% for FY26. Profit after tax for the full year was INR724 crores compared to INR540 crores last year, showing a 34% increase.

Now looking at Q4 FY26 consolidated performance. For Q4 FY26, we recorded a strong growth of 18% year-on-year in consolidated revenue, increasing to INR815 crores in Q4 FY26 from INR693 crores in Q4 FY25. The growth was driven by steady growth in both Visa and Digital businesses. EBITDA for the quarter increased by 17% year-on-year to INR204 crores as compared to INR174 crores in the same quarter last year. Profit after tax increased by 29% to INR187 crores compared to INR145 crores in Q4 FY25.

Coming to segment highlights. In FY26, Visa & Consular Services grew by 11% to INR1,840 crores compared to INR1,653 crores in FY25. EBITDA for the segment rose sharply by 30% to INR738 crores, with the margin improving to 40.1% from 34.5% last year, reflecting our focus on efficiency and profitability.

In Q4 FY26, the Visa & Consular Services segment recorded a revenue of INR472 crores, a 7% growth over INR441 crores in same quarter last year. The growth in revenue was mainly driven by the increase in visa application volume, which grew by 10% year-on-year to 10.8 lakh application in Q4 FY26 from 9.8 lakh application in Q4 FY25. EBITDA for the segment rose by 19% to INR180 crores with a margin of 38%, an improvement of 400 basis points from 34% margin last year.

In FY26, the Di

gital segment revenue more than doubled to INR1,158 crores compared to INR440 crores in FY25. The EBITDA for FY26 was INR81 crores compared to INR60 crores in the previous financial year. In Q4 FY26, the revenue increased to INR343 crores in Q4 FY26, up from INR252 crores in Q4 FY25. EBITDA for the quarter was at INR24 crores.

The company continued to maintain a strong cash flow and a healthy balance sheet. During the year, the business generated a cash flow from operations of INR903 crores. As on 31st March FY26, the company maintained a strong net cash balance of INR1,434 crores.

Page 5 of 15

BLS International Services Limited
May 20, 2026

With that, I will now hand over to the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. Your first question comes from the line of Mehul Panjwani with 40 Cents. Please go ahead.

Mehul Panjwani: Okay. Sir, congratulations on a great set of numbers. Sir, I have one question about the current situation in West Asia. So, because of this, have you seen any setbacks in the last quarter?

Shikhar Aggarwal: See, if you see our numbers, we have actually grown. On an annual basis, our EBITDA has grown by 30%. And even if you see our EBITDA in the last quarter compared to Q4 of last year, has still grown by 17%.

So, for us, there has been no impact. As we have said before, since the company has been operating from year 2007 and 2008, there are multiple things, geopolitical things happening in the world from back then. And every year, something or the other happens.

So temporary, definitely, some things get affected. But on an annual or a quarterly basis, everything gets balanced. Today, we are in 80+ countries working in more than 40 client

Governments. So definitely, some impact is there on a short-term level, but on an ongoing or annual level, everything gets balanced.

Mehul Panjwani: Right, sir. So, thanks for clarification. But let's say, if this situation, if the war wasn't there, then you would have reported better numbers?

Shikhar Aggarwal: In the last quarter? I don't know exactly if we would have reported any better numbers. I need to check. But definitely, there could be some impact. We have still grown a lot, if you see on an annual and quarterly basis. Maybe, yes, definitely some volume could have come back to us.

Moderator: We take the next question from the line of Vansh Solanki with RSPN Ventures. Please go ahead.

Vansh Solanki: Hi Shikhar, am I audible?

Shikhar Aggarwal: Yes, you are.

Vansh Solanki: Yes. So also just on the war side, so you just told that the Q4 would be better if the war wasn't there. So, in Q1, are we seeing any impact of the war still? Because still the war is not closed or it is not -- all the negotiations are made. So maybe Q1 or maybe Q2 also, can we see the impact? So how are you seeing Q1 and full year FY27 in terms of volume growth, Visa volume growth?

Shikhar Aggarwal: See, it's only May. Right now, we cannot tell you exactly what the impact of the war will be.

As of now, we are going strong, and we will continue to maintain our growth from last year. I

don't know exactly what the scenario in the future will be. But as of now, things are steady.

Page 6 of 15

BLS International Services Limited

May 20, 2026

Vansh Solanki: Okay. And also, the last -- from many quarters, management has said that many contracts of the governments are pending for renewal. So, is there any visibility for that?

Shikhar Aggarwal: No, we have also announced, many results we have announced. We have won Slovakia, Cyprus, Indian government tender last year. We won a lot of tenders for Italy, Portugal and Poland. So, all of them are part of that. We won a big UIDAI worth INR2,500 crores tender last year. Still, there are many more tenders...

Vansh Solanki: My question is majorly forward-looking, in the FY27, are we tracking any government, which is, contract pending for renewal?

Shikhar A

Aggarwal: It is a constant tender business. Many new governments are coming out with tenders. We're actually bidding at different stages. Many governments are outsourcing for the first time. So definitely, we have a big potential for growth in terms of different tenders that are coming up for renewal.

Vansh Solanki: Okay. And the second set of questions is about the UIDAI work order, which we have received. So how much revenue have we actually booked in Q4? And how much -- for how much month like from the...

Shikhar Aggarwal: No. It has only been one or two months since we started the rollout. Right now, Phase I in which we have to roll out 40-50 offices, we have done. Eventually, we have to roll out more than 200 offices. So, I think it will take at least 1-1.5 years for the ramp-up and the full revenue to start coming in.

Moderator: Thank you sir. We take our next question from the line of Shikha Mehta with Time & Tide Advisors. Please go ahead.

Shikha Mehta: Yes, I just had a few questions. One, of course, I wanted to understand the situation on the war and the geopolitical situation in the sense. I'd assume March for us would be close to a washout because I don't think a lot of travel was happening, but maybe this quarter could see slightly better movement. So, I would want some guidance on that from a visa point of view.

And secondly, seeing our Visa & Consular business for Q4 and for the whole year, the number of applications, that is the volume, has grown at a much faster pace than the actual revenue from operations. So, can you help me understand that a bit as well? Because from what I can see in your presentation, the net revenue per application has also increased at a very fast pace. So where is this -- what is the gap between both?

Shikhar Aggarwal: Yes. So, regarding your first question, I can take that. See, we have already answered the question of the geopolitical situation. It's not in our control. Still, if you see in the last quarter, March was not a washout for us. We have grown from similar quarter last year.

Page 7 of 15

BLS International Services Limited

May 20, 2026

So, we've had a major growth of more than 17.6%. So definitely, as someone asked, it could have been further growth. We also won new tenders that you've deployed because of also which the volume has grown. So, I think that is a situation.

And this quarter, we'll see. We'll get to know once the quarter ends. But we are going strong.

Obviously, there is some impact but still, we are growing from same quarter last year.

Shikha Mehta: Q1 is usually our strongest quarter of the year. So...

Shikhar Aggarwal: Yes. So, I've said no, that definitely we are going steady.

Shikha Mehta: Okay. Yes. And on the second question, the volume, the number of applications versus the revenue?

Shikhar Aggarwal: Yes, so number of applications have grown because also we have won some contracts, we've deployed them, Cypress, Slovakia, etcetera, some volume has started to come in. So definitely, volume has gone up. And net revenue, maybe Amit can explain that it has gone up, right?

Amit Sudhakar: Yes. The net revenue improvement, Shikha, is on account of mainly two reasons. One, the value-added services per application go up, the net revenue per application increase as well.

The new contracts which we have won are at better pricing, that also have an impact on the net revenue improvement.

Shikha Mehta: But sir, if that is the case, how has the number of applications for the year increased by 10% and our revenue from operations just increased by 7% for Q4?

Amit Sudhakar: That's what I said that, if the value-added services in the quarter have gone lower, then the per application revenue will come down.

Shikha Mehta: But sir, per application, we've still shown...

Gaurav Chugh: Shikha, what's happening with that. There is a factor in value-added services conversion. So, if you look at the conversion, if you

look at our net revenue, net revenue has grown by 20%, whereas our application count has grown by 10%. This is for the quarter. So, this ultimately translates that the conversion in the value-added services and our share of value-added services has gone up.

Though it is not reflected in the revenue, it is reflected in the net revenue as well as our EBITDA.

So, our EBITDA margins and absolute EBITDA are going up. So, there is revenue sharing between the third-party vendors we take for certain services. So, the true picture is that you should take net revenue growth, which is at 20%, whereas application count growth is around 10%.

Amit Sudhakar: Or we can take it offline if you want further details; we can share that.

Page 8 of 15

BLS International Services Limited

May 20, 2026

Moderator: The next question comes from the line of Deeya with Sapphire Capital. Please go ahead.

Deeya: Hi sir. Thank you for asking my question. So, you said that March has been quite good for you.

Can you describe how the month of April has been for us?

Shikhar Aggarwal: We cannot give any forward-looking statements, but we have explained in the previous question also that we are growing steady.

Deeya: So, you're seeing demand picking up?

Shikhar Aggarwal: Yes. But if you see our fourth quarter also, we have grown by more than 17% compared to same quarter last year. So yes, for us, we are a global company now. We operate in 80+ countries.

But definitely, for us, if demand goes down to somewhere, sometimes it picks up from somewhere else. Yes, we are going steady.

Deeya: Okay, sir. And any guidance on how our FY27 revenue number is going to look like?

Shikhar Aggarwal: I think this year also, we said that we will grow by 20%-25% on an increased base last year, we've been seeing. But I think growth was much larger than that. We grew at 30% on EBITDA level. So, I think this year, our target is on an increased base to grow the company at 20%-25%.

So that is what our internal targets are.

Deeya: Okay, sir. Thank you and all the best.

Moderator: The next question comes from the line of Shreya Kejriwal with Moneyvesta Capital Private Limited. Please go ahead.

Shreya Kejriwal: So, congratulations, sir, on the results. So, my question was regarding the net cash balance. It's like it's around INR1,400 crores. So, what are your key capital allocation priorities going forward? And my second question also regarding can you share the split between the organic and inorganic contribution to the overall revenue growth in this quarter?

Shikhar Aggarwal: Amit, you can answer, please. Thank you.

Amit Sudhakar: So first, as far as the organic and inorganic revenue, technically in the current year, we have not done any new major acquisition. So, the numbers are very much, I would say, as per the previous year and current year could be looked at on a same basis, except for Aadifidelis, which has contributed about, around 25% of the revenue, which has come from November 2024 Aadifidelis. Otherwise, all the other numbers are comparable with last year.

Shreya Kejriwal: And sir, regarding the first question, regarding the net cash balance, what are your key priorities regarding capital allocation?

Amit Sudhakar: So, I think we have announced one acquisition, which is in the pipeline. And we are working

Page 9 of 15

BLS International Services Limited

May 20, 2026

on a few more. And as and when they get crystallized, we will be using funds for that. And as Shikhar said, we are bidding for some contracts currently. And if they come, we will be deploying and opening those new projects which may come in. So major utilization of the cash will be for the expansion of the existing business as well as for inorganic growth, which we plan to do.

Shreya Kejriwal: Okay, sir. Thank you so much.

Moderator: The next question comes from the line of ValueQuest. Please go ahead.

Analyst: Firstly, congratulations on a good set of num

bers. I had a couple of questions. In the previous

answer, Amit, you mentioned that you were working on a few acquisitions. And there was also an interview where Shikhar had mentioned about -- allocating about INR2,000 crores towards acquisition over the next 4-5 years. Could we get some more color in what segment we are looking?

Will this be more on the Digital side or in our core Visa & Consular Services business? That's question one. And I'll follow up with the other question.

Amit Sudhakar: Sure. We are looking at businesses in both the segments. But what happens that sometimes you are working on a couple of opportunities, some get crystallized and some get finalized much earlier than the other. But the intent is to grow in both the businesses, and they have their own growth trajectory, and we see a tremendous growth in both of them.

Yes, Digital currently looks much more domestic driven, whereas Visa & Consular business, we are looking at targets outside India in this business. But we are open at businesses which have synergy with our existing business, or they can add value to our existing businesses.

Analyst: Understood. And my second question was about the Aadhaar contract. So, we've started to sort of set up those centers. So, over the next 6 months, we will start seeing full revenue starting to flow. Could you sort of walk us through what sort of revenues do we expect over FY27 and FY28 through this contract? And on economics, how do the margins look like?

Shikhar Aggarwal: See, this is too soon to right now tell you about a firm picture on that because we have rolled out Phase I, for 40-50 centers have to roll out 200 centers and numbers start coming in from fully -- full implementation takes at least a year. This was, upwards of INR2,000 crores contract that we had won.

And the revenue has to be accrued over the next 5, 6 years to us from the time the contract is fully deployed. And we were expecting a typical margin of, I think, 15% to 20% EBITDA margins in this contract.

Analyst: Understood. And so, this contract sort of expires. So, after 5-6 years, this goes back to the
Page 10 of 15

BLS International Services Limited

May 20, 2026

government?

Shikhar Aggarwal: Normally, no, no, that's not the case. Normally, in any tenders, normally, they are for different durations, 6 years, 7 years, 8 years, 10 years. This contract is for 6 years. So maybe it will come for re-tender, it will get extended, etcetera. We'll see. We don't know what will happen after 6 years.

Analyst: And is this one under BLS International or the E-Services subsidiary?

Shikhar Aggarwal: BLS International. Because see, this is like a passport services project wherein you will have to deploy offices across India. People will come to you, and you will get per application payment, etcetera. And so that is why we felt that this is onshore delivery within India in Tier 1 cities. So, this is under BLS International.

Analyst: Got it. Perfect. All the best for the coming year. Thank you.

Shikhar Aggarwal: Thank you.

Moderator: Your next question comes from the line of Darshil Jhaveri with Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good evening, sir. Thank you so much for asking my question. Firstly, congratulations on the great set of results, sir. Sir, just wanted to understand in terms of our EBITDA margins, we performed really well, but the Digital business at a higher scale, I think our margins have suffered a bit. So how do you look at it like going forward, sir?

Amit Sudhakar: I said, we have acquired Aadifidelis, which is a loan distribution company, where the EBITDA margins range around 4% to 5%. So as the mix has changed in the Digital revenue, the margins are showing lower, but there is growth in the absolute number, and that is more than 30% plus growth in the EBITDA.

The business model works on a commission of 2%-2.5% of the loan which gets distributed and a part

of the same is passed through to the DSAs and others. So, margins are thin, but volumes are very high.

Darshil Jhaveri: Okay. So, it's a commission business. So Fair enough, sir. So, on an overall basis, like what is the margin that we can expect because the Visa business also, we are hitting really good

margins. So, in terms of capping, like I think 40% margins are really great, but can we sustain them? Like what do we look at in terms of sustainable long-term margins sir, overall, for the business or the Visa business, whatever you would be comfortable commenting, sir?

Amit Sudhakar: So, if you see this year, the Aadifidelis sale has been there throughout the financial year. So, currently, the 7% to 8% EBITDA margin of Digital has stabilized. We are now looking at how to improve it going forward. And whereas the Visa business is currently touching around 40%, we are looking at maintaining these. So, the current margins are what we are going to maintain

Page 11 of 15

BLS International Services Limited

May 20, 2026

going forward.

Darshil Jhaveri: Okay. Fair enough. That's it from my side. Thank you so much sir.

Amit Sudhakar: Thank you.

Moderator: The next question comes from the line of Varun from Ascent Capital. Please go ahead.

Varun: Great set of numbers. Just wanted to check this impact of the war, right? Have you seen -- now that you've been through so many cycles, have you sort of seen that the seasonality impact shifts because obviously, we have that seasonality with regards to maybe the holiday quarters or whatever. Historically, because you've been through COVID and other events in the past, have you seen that impact sort of getting shifted where there's a pent-up demand and it comes back later, at least in specific geographies?

Shikhar Aggarwal: I think definitely, as you've said, 20 years we've been operating, there are different geopolitical scenarios happening time and again. Every year, there's something or the other happening in different part of the world. We are in 80+ countries now. So definitely, there is a little bit of impact on us. But yes, there could be, we are not sure what will happen in the future.

But yes, we have seen a little drop in numbers in some countries, but still we have grown on an annual basis. On a quarter basis, we are still growing. So, we don't know exactly. After COVID, obviously, travel was 0 in COVID. So, numbers obviously came back after COVID. It's not zero right now. There's a little bit of impact. Could be that it comes back. But yes, we cannot comment on that fully.

Varun: Got it. And second thing, I just wanted to check on the UK hotel. What is the sort of update on that? And secondly, is that a space in which you're going to continue to make acquisitions? Or is that still a one-off as of now?

Shikhar Aggarwal: No. I think we have already said in the last few quarters that we will not do any acquisition in the hotel space. This is going strong. And as we have said that we are looking at the model where it's an asset-light model, and that is what we are focused on.

Varun: Understood. Thank you.

Moderator: The next question comes from the line of Sameer Deshpande with Fair Deal Investments. Please go ahead.

Sameer Deshpande: Congratulations on the good results, and the consistency over the last 2, 3 years in growth has been quite good. So, I think with the catching base effect, the growth rates are seeing some tapering off maybe quarterly. But now as you mentioned, I wanted to know about the effective tax rate. Our tax rate is, I think, in early 10%, 12%. So, what is likely to be the tax rate going forward?

Page 12 of 15

BLS International Services Limited

May 20, 2026

Amit Sudhakar: So, see, just to give you a rough position, in Dubai, we have a free trade zone where our company is, which is practically still enjoys the tax-free zone benefits. So, the effective rate of the whole group is currently around 10% to 12%.

This may go a little higher in the future because in Dubai, they may change the tax rate from 9% to 12%, and that will have maybe a minor impact on our net tax position by about 1%. But end of the day, boils down to the sales mix and the profit in the respective countries and the tax rate in those respective countries.

Sameer Deshpande: Except Dubai, we are not expecting any change. So maybe it is 10%, 12%, it may be 13%? It will not be substantially higher?

Amit Sudhakar: that's correct. Unless until, theoretically, if our profit goes very high in a few countries as a percentage it changes and if the taxes are higher in those places, like currently, India is growing faster, and therefore, the mix is changing slowly.

Sameer Deshpande: And after our China operations, which we started, I think, 6 months back after receiving it from the Ministry of External Affairs, how is the business on that front?

Shikhar Aggarwal: It has started, numbers are going steady, and still, there's a lot of potential for numbers to grow.

Sameer Deshpande: So overall, our blended margins are about 25%, considering the lower margins in Digital Services or UIDAI, but very high good margins of about 40% in our Visa & Consular services,

our main core area. So, the core area growth suppose continues in double digits, about 10% to 15%, then that will be good and the Digital Services will grow substantially higher. So, is the blended margin expected to continue about 25%?

Shikhar Aggarwal: As of now, we are going to maintain the margins. Digital business, we are seeing as and when the business grows, we get more services implemented there, definitely, our expectation is in the future margins will go up in the Digital business.

Sameer Deshpande: Okay. They will continue to be -- so current margins are expected to hold going forward?

Amit Sudhakar: Yes, subject to the mix remains the same.

Sameer Deshpande: Okay. That is true. But our Visa & Consular continues to be around 40%. So that is a main key area.

Amit Sudhakar: Yes. See, both the businesses will maintain their current margins.

Sameer Deshpande: And the cash reserves are quite good.

Moderator: We have our next question coming from the line of Gopalakrishnan from Uttranush Investments. Please go ahead.

Page 13 of 15

BLS International Services Limited

May 20, 2026

Gopalakrishnan: Yes, excellent evening, all of you. Thank you for the opportunity and congratulations to the team on a great set of numbers. So, my question is about this other income. This quarter, the other income is the highest. I just wanted to know whether it is -- I know it is through the investment that we make and the FD and all of that, FD interest and all. Is it sustainable? That is my first question.

Amit Sudhakar: This quarter, it is a little higher, about INR5 crores to INR6 crores is because of the foreign exchange gain. That is a one-off. It won't come every year, but the balance amount is mainly on account of interest on the FDs, and the mutual fund debt, which we have debt mutual funds income.

Gopalakrishnan: And also, another thing is about the intangible assets of around INR1,200 crores that you are showing. I just want to know whether -- what it is? And whether -- I mean, it is going to be there sustainable?

Amit Sudhakar: They are being tested for impairment by the valuers in all the respective countries. And currently, there is no impairment on that as per the valuations report, which we have received. So, it will depend on how the valuation Report. Every year, we get it done. And on the basis of that, we book the entries.

Gopalakrishnan: Okay. And then update on MEA ban on our company on new tenders and also our Prime Minister has called not to travel for one year, any impact on our business?

Shikhar Aggarwal: We are a global company in 80+ countries. And definitely, increase in travel, both outbound and within India increases appetite for customers to tra

vel. So definitely, we see ourselves going steady.

Gopalakrishnan: And then MEA travel ban? MEA's ban on new tender, any update, sir?

Shikhar Aggarwal: We have already given the update. There is no ban.

Gopalakrishnan: Okay. Thank you. That's all. Thank you sir.

Moderator: The next question comes from the line of Amit Maheshwari with Maheshwari Family Office. Please go ahead.

Amit Maheshwari: Yes. So first of all, congratulations on a good set of numbers. I actually wanted to get a little more color on the geographical split between our revenues. So, while I understand that it's not possible to share it at a country level basis, but if you could just throw some color on which are the key geographies and their broad contribution to our revenue? So that's my first question. And my second question would be in terms of the presentation mentions that there's a potential opportunity of about \$1 billion to \$2 billion worth of contracts expected to come up for bidding in the next couple of years. If you can throw some color on the different -- what is -- if we were

Page 14 of 15

BLS International Services Limited

May 20, 2026

to say, split our pipeline in various stages in terms of early evaluation active bidding and sort of early stages of exploratory bidding.

If you could just split, it into those 3 categories at a broad level. I understand you may not have the specific numbers readily available. But if you could just give that, that would help us sort of improve our understanding of the business.

Shikhar Aggarwal: If I can give you some understanding of the business, we've been growing for the last 3 years at 50% CAGR in terms of revenue and bottom line. And if you've seen in the last 10 years growth of the company, that is on back of existing contracts, new contracts. Last year itself, we won 5-8 contracts that we've already won and deployed. That is why you've seen an increase in volume. And as we said, we'll continue to bid for new tenders.

This is the business we are in. Multiple tenders that keep on expiring of our competitors every year, new governments come out for tenders, and we are at different stages of different tenders in Europe, North America, et cetera. As and when the win comes, we'll definitely announce it, but we'll continue to maintain our growth trajectory of 20% to 25% every year.

Amit Maheshwari: Let me -- maybe I can rephrase my question. I'm not trying to understand which we are winning. I just want to understand of, let's say, a potential \$1 billion worth of contracts coming in, how much do we expect to potentially come up for a tender, say this year and how much, say, would be next year? Would it be possible to give a broad indication?

Shikhar Aggarwal: I think in the next 1 or 2 years only, most of them are going to come out.

Amit Maheshwari: Okay. And in terms of geographical split, how much of our revenues would be, say, from Europe, Asia, Middle East? Is it possible to give that broad indication?

Amit Sudhakar: Amit, if you're asking the current business or you're asking for the expected tender which are expected?

Amit Maheshwari: No, no, for the current business.

Amit Sudhakar: So last year, I don't have the ready percentages, but I can tell you the big regions we have been catering to, is basically, say, UAE and then you have Saudi, you have Morocco, Algeria, UK, USA, Canada and Singapore. these are the major, and now China, which has picked up well.

Moderator: We have a next question coming -- sorry, a next follow-up question coming from the line of Mehul Panjwani with 40 Cents. Please go ahead.

Mehul Panjwani: Sir, my question is regarding the INR2,500 crores tender you alluded to in one of the responses. Can you throw some light and elaborate on it?

Amit Sudhakar: Which project?

Page 15 of 15

BLS International Services Limited

May 20, 2026

Mehul Panjwani: Sir, you mentioned in one of the responses about INR2,500 crores project or tend

er. So, I missed

that one. If you can please elaborate a little.

Amit Sudhakar: UIDAI, Aadhaar project.

Mehul Panjwani: Okay. So that did we win it in FY26 or it is ongoing?

Amit Sudhakar: We have won the contract. We are deploying resources. The whole project has to be in 3 phases. We have completed the first phase, and second phase is under process. And the third one will be completed in the current financial year. And this project is for 6 years.

Mehul Panjwani: Right. Sir, what are we supposed to -- what kind of services are you providing as part of this project?

Amit Sudhakar: We are basically opening offices for Aadhaar, wherein people can come, and get their Aadhaar amended. They can have a new Aadhaar card, and it will be directly under the Aadhaar

Department of Central Government.

Mehul Panjwani: So, we are just building the physical infrastructure here, and we are also having a...

Shikhar Aggarwal: It is also a user-pay model. It's also the same user-pay model that we are doing in the Visa outsourcing industry where we get money per application.

Mehul Panjwani: All right, all right. Okay, thank you, sir. Thank you so much and all the best.

Moderator: Ladies and gentlemen, we will take this as our last question for the day. I now hand the conference over to Mr. Gaurav Chugh for closing comments.

Gaurav Chugh: Thank you, everyone, for joining this call. If you have any questions, you can reach out to EY team or myself. We are available for the calls. Thank you so much and have a good evening.

Moderator: Thank you. On behalf of BLS International Services Limited, that concludes this conference.

Thank you, everyone, for joining us, and you may now disconnect your lines.

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